**NEW ISSUE—BOOK-ENTRY-ONLY** **RATINGS (See "RATINGS"): S&P: "AA+"**
**Fitch: "AA+"**

*In the opinion of Kutak Rock LLP, Bond Counsel, under existing laws, regulations, rulings and judicial decisions and assuming the accuracy of certain representations and continuing compliance by the City with certain covenants, interest on the Series 2016 Bonds (including any original issue discount properly allocable to certain of the Series 2016 Bonds) is not includible in gross income for federal income tax purposes, is exempt from State of Colorado income tax, is not a specific preference item for purposes of the federal alternative minimum tax and is excluded from the computation of State of Colorado alternative minimum tax. See the caption "TAX MATTERS."*

# $437,025,000
# City of Aurora, Colorado
**acting by and through its**
**Utility Enterprise**
## First-Lien Water Refunding Revenue Bonds, Series 2016
## (Green Bonds)

**Dated: Date of Delivery** **Due: August 1, as shown below**

The First-Lien Water Refunding Revenue Bonds, Series 2016 (the "Series 2016 Bonds") will be issued in fully registered book-entry form in denominations of $5,000 or integral multiples thereof. The Series 2016 Bonds will be registered in the name of Cede & Co., as nominee of The Depository Trust Company ("DTC"), securities depository for the Series 2016 Bonds. UMB Bank, n.a. will act as Paying Agent, Registrar and Transfer Agent for the Series 2016 Bonds. Individual purchases are to be made in book-entry-only form in authorized denominations. Purchasers, as Beneficial Owners, will not receive certificates evidencing their ownership interest in the Series 2016 Bonds. Interest is payable February 1, 2017 and semiannually thereafter each August 1 and February 1 to and including the maturity dates shown below, unless the Series 2016 Bonds are redeemed earlier.

**$207,920,000 SERIES 2016 SERIAL BONDS**

| Year | Amount | Rate | Price or Yield | CUSIP | Year | Amount | Rate | Price or Yield | CUSIP |
|---|---|---|---|---|---|---|---|---|---|
| 2020 | $2,350,000 | 1.500% | 0.830% | 051595 AL0 | 2028 | $12,615,000 | 5.000% | 1.870% | 051595 BF2 |
| 2021 | 4,855,000 | 5.000 | 0.970 | 051595 AM8 | 2029 | 13,245,000 | 5.000 | 1.930 | 051595 AU0 |
| 2022 | 7,565,000 | 5.000 | 1.130 | 051595 AN6 | 2030 | 13,905,000 | 5.000 | 1.980 | 051595 BG0 |
| 2023 | 10,410,000 | 5.000 | 1.280 | 051595 AP1 | 2031 | 14,600,000 | 5.000 | 2.030 | 051595 AV8 |
| 2024 | 1,625,000 | 3.000 | 1.400 | 051595 AQ9 | 2032 | 6,045,000 | 4.000 | 2.330 | 051595 AW6 |
| 2024 | 9,305,000 | 5.000 | 1.400 | 051595 BE5 | 2032 | 8,835,000 | 5.000 | 2.080 | 051595 BM7 |
| 2025 | 11,445,000 | 5.000 | 1.520 | 051595 AR7 | 2033 | 15,565,000 | 5.000 | 2.130 | 051595 AX4 |
| 2026 | 4,000,000 | 4.000 | 1.650 | 051595 AS5 | 2034 | 16,345,000 | 5.000 | 2.180 | 051595 AY2 |
| 2026 | 8,015,000 | 5.000 | 1.650 | 051595 BJ4 | 2035 | 17,160,000 | 5.000 | 2.220 | 051595 AZ9 |
| 2027 | 12,015,000 | 5.000 | 1.760 | 051595 AT3 | 2036 | 18,020,000 | 5.000 | 2.260 | 051595 BA3 |

**$40,000,000 3.000% Series 2016 Term Bonds due August 1, 2041 – Price @ 100.858% CUSIP: 051595 BK1**
**$62,915,000 5.000% Series 2016 Term Bonds due August 1, 2041 – Price @ 123.706% CUSIP: 051595 BD7**
**$45,000,000 2.000% (initial rate) Series 2016 Step Coupon Term Bonds[1] due August 1, 2046 – Price @ 100.000% CUSIP: 051595 BB1**
**$25,000,000 3.000% Series 2016 Term Bonds due August 1, 2046 – Price @ 100.427% CUSIP: 051595 BL9**
**$5,000,000 4.000% Series 2016 Term Bonds due August 1, 2046 – Price @ 112.026% CUSIP: 051595 BH8**
**$51,190,000 5.000% Series 2016 Term Bonds due August 1, 2046 – Price @ 123.206% CUSIP: 051595 BC9**

The Series 2016 Bonds are issued for the purpose of refinancing obligations originally incurred to finance or refinance additions and improvements to the Water System operated by the Utility Enterprise of the City. The Series 2016 Bonds are special, limited obligations of the City, acting by and through its Utility Enterprise, and are payable solely from and secured by a first (but not necessarily exclusively first) lien upon certain net pledged revenues, consisting of the net revenues of the Water System of the City remaining after the payment of operation and maintenance expenses. See "THE SERIES 2016 BONDS—Security and Flow of Funds."

*The Series 2016 Bonds are not a debt or indebtedness or a multiple-fiscal year debt or other financial obligation of the City under the Constitution and laws of the State of Colorado. The Series 2016 Bonds are not payable from the proceeds of general property taxes or any other form of taxation, and the full faith and credit of the City is not pledged for their payment.*

The Series 2016 Bonds are subject to redemption as described under the caption "THE SERIES 2016 BONDS—Redemption."

**This cover page is not a summary of the issue. Investors should read the Official Statement in its entirety to make an informed investment decision.**

The Series 2016 Bonds are offered when, as and if issued, subject to approval of validity by Kutak Rock LLP, Bond Counsel, and certain other conditions. Kutak Rock LLP has also been retained to assist the City in the preparation of this Official Statement. Certain legal matters will be passed upon for the City by the Office of the City Attorney and for the Underwriters by Sherman & Howard LLC. Piper Jaffray & Co. has acted as financial advisor to the City in connection with the Series 2016 Bonds. Delivery of the Series 2016 Bonds through the facilities of DTC in New York, New York, is expected on or about August 16, 2016.

**Morgan Stanley** **RBC Capital Markets**

**BofA Merrill Lynch** **Wells Fargo Securities**

**The date of this Official Statement is July 21, 2016.**

[1] See "THE SERIES 2016 BONDS–Description of the Series 2016 Bonds–*Step Coupon Term Bonds Due August 1, 2046*."

**No broker, dealer, salesman, or other person has been authorized to give any information or to make any representation with respect to the Series 2016 Bonds which is not contained in this Official Statement, and, if given or made, such other information or representation must not be relied upon as having been authorized by the City. The information in this Official Statement is subject to change and neither the delivery of this Official Statement nor any sale made after any such delivery shall, under any circumstances, create any implication that there has been no change since the date of this Official Statement. This Official Statement shall not constitute an offer to sell or the solicitation of any offer to buy, and there shall be no sale of any of the Series 2016 Bonds, by any person in any jurisdiction in which it is unlawful for such person to make such offer, solicitation, or sale. The Underwriters have provided the following sentence for inclusion in this Official Statement: The Underwriters have reviewed the information in this Official Statement in accordance with, and as a part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.**

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**THE PRICES OR YIELDS AT WHICH THE SERIES 2016 BONDS ARE OFFERED TO THE PUBLIC BY THE UNDERWRITERS MAY VARY FROM THE INITIAL PUBLIC OFFERING PRICES OR YIELDS SHOWN ON THE COVER PAGE HEREOF, AND THE UNDERWRITERS MAY ALLOW CONCESSIONS OR DISCOUNTS TO DEALERS AND OTHERS TO FACILITATE DISTRIBUTION OF THE SERIES 2016 BONDS. NEITHER THE SECURITIES AND EXCHANGE COMMISSION NOR THE SECURITIES REGULATORY AUTHORITY OF ANY STATE HAS APPROVED OR DISAPPROVED THE SERIES 2016 BONDS OR THIS OFFICIAL STATEMENT. ANY REPRESENTATION TO THE CONTRARY IS UNLAWFUL.**

## SUMMARY OF THE OFFICIAL STATEMENT

**The City.....** The City of Aurora, Colorado (the "City") is located in the Denver/Aurora, Colorado metropolitan area. It currently has an estimated population of 351,200 persons and covers more than 154 square miles. The City is a home rule city and operates under a council-manager form of government. See "THE CITY."

**The Series 2016 Bonds .....** The First-Lien Water Refunding Revenue Bonds, Series 2016 (the "Series 2016 Bonds") are being issued in the aggregate principal amount of $437,025,000 by the City, acting by and through its Utility Enterprise (the "Enterprise" or "Aurora Water"). The Series 2016 Bonds are issued in book-entry-only form, in denominations of $5,000 or integral multiples thereof, through the facilities of The Depository Trust Company, New York, New York. See Appendix F "INFORMATION RELATED TO BOOK-ENTRY-ONLY SYSTEM."

**Green Bond Designation.....** The City has designated the Series 2016 Bonds as Green Bonds, pursuant to the generally accepted Green Bond Principles promulgated by the International Capital Market Association. The proceeds of the Series 2016 Bonds will be allocated to the Refunding Project (as defined below), which the City has determined, in its sole discretion, is a qualified "Green Project" because substantially all of the obligations expected to be refunded by the Series 2016 Bonds financed or refinanced projects having environmental and conservation benefits. See "GREEN BOND DESIGNATION."

**Security for the Series 2016 Bonds .....** The Series 2016 Bonds are special and limited obligations of the City, acting by and through Aurora Water, payable solely out of and secured by an irrevocable pledge of and a first lien upon the Net Pledged Revenues as defined under the caption "THE SERIES 2016 BONDS—Security and Flow of Funds." *The Series 2016 Bonds are not general obligations of the City and are not payable in whole or in part from the proceeds of general property taxes or any other form of taxation. No property of the City or Aurora Water, other than the Net Pledged Revenues, is pledged as security for the Series 2016 Bonds.*

**Redemption .....** The Series 2016 Bonds are subject to optional redemption prior to maturity and certain Series 2016 Bonds are subject to mandatory sinking fund redemption as described herein. See "THE SERIES 2016 BONDS—Redemption."

**Aurora Water.....** Aurora Water was organized to operate the City's municipal water system (the "System"), together with the City's storm and sanitary sewer utilities (collectively, "Aurora Water"), on a fully self-supporting basis, and operates as a City-owned business. The City Council is the governing body of Aurora Water. See "AURORA WATER."

**The System .....** The System provides water service to persons and property both inside and outside the City. The System's assets consist of water rights, raw water storage facilities, water treatment facilities, treated water storage facilities and distribution lines. Most improved properties in the City and certain properties

outside the City are served by the System and pay service charges to Aurora Water based upon their water consumption, in addition to connection and development fees at the time of connection to the System. See "THE SYSTEM."

The operations and revenue-generating capacity of the System are subject to many of the same risks and contingencies affecting other large Western water systems, including variability in supply due to weather and climate conditions (see "FACTORS AFFECTING THE DELIVERY OF WATER TO CUSTOMERS"); the need to convey raw water over long distances and provide adequate water storage (see "THE SYSTEM"); the need for ongoing management of ratemaking and financial policies (see "FINANCIAL INFORMATION CONCERNING THE SYSTEM") substantial environmental regulation (see "FACTORS AFFECTING THE DELIVERY OF WATER TO CUSTOMERS – *Environmental Concerns*"); and substantial future capital needs for water rights and System infrastructure (see "CAPITAL IMPROVEMENT PLANNING").

**The Series 2016 Refunding Project.....** The Series 2016 Bonds are being issued for the purposes of refunding, paying and discharging all of the City's outstanding First Lien Water Improvement Revenue Bonds, Series 2007A (the "Series 2007A Bonds") and First-Lien Water Refunding Revenue Bonds, Series 2008A (the "Series 2008A Bonds"), as well as refinancing the City's Colorado Water Conservation Board Loan, dated as of November 20, 2007, in the original principal amount of $75,750,000 (the "CWCB Loan"). The Series 2007A Bonds, the Series 2008A Bonds and the CWCB Loan are referred to collectively as the "Refunded Obligations." The refunding of the Refunded Obligations (the "Refunding Project") is being undertaken to effect debt service savings and other economies. The Refunded Obligations were originally issued for the purpose of financing a portion of Aurora Water's ongoing program of additions and improvements to the System. See "USE OF PROCEEDS—The Series 2016 Refunding Project."

**Prairie Waters.....** In 2007 the City issued $421,495,000 aggregate principal amount of its Series 2007A Bonds, the proceeds of which were used, together with proceeds of the CWCB Loan and other funds, to finance a major capital construction project known as "Prairie Waters." Prairie Waters is a water diversion and treatment project intended to provide a substantial enhancement to the raw water supplies and treatment facilities available to the System. Prairie Waters consists of wells, recharge basins, a pipeline, pump stations and a water purification plant designed initially to increase the water supply available to the System by approximately 10,000 acre-feet annually, with provisions for expansion to deliver larger amounts in the future, by facilitating more efficient use of the City's water rights. Prairie Waters was undertaken to make the System more drought-resistant and increase its capacity to serve customers. The City was able to complete Prairie Waters on schedule and over $100 million under the original projected cost of $754.8 million, allowing the City to reduce its related borrowing from the originally estimated amount of $600 million to $542.6 million. See "PRAIRIE WATERS"

**Constitutional Limitations on Taxes, Revenues, Borrowing and Spending.....** In 1992, the Colorado Constitution was amended to impose substantial limitations, including voter approval requirements, upon the taxes, revenues, borrowing, and spending of the State and local governments. See

"CONSTITUTIONAL LIMITATIONS ON TAXES, REVENUES, BORROWING AND SPENDING." The Series 2016 Bonds are permitted to be issued without voter approval under the provisions of such amendment which exclude "enterprises" and their bonds, and refundings at lower interest rates, from such limitations.

**Tax Treatment of Interest on the Series 2016 Bonds .....** In the opinion of Kutak Rock LLP, Bond Counsel, under existing laws, regulations, rulings and judicial decisions and assuming the accuracy of certain representations by the City and continuing compliance by the City with certain covenants, interest on the Series 2016 Bonds is not includible in gross income for federal tax purposes, is exempt from State of Colorado income tax, is not a specific preference item for purposes of the federal or alternative minimum tax and is excluded from the computation of State of Colorado alternative minimum tax. Such conclusions may be subject to substantial limitations and exceptions in the case of particular taxpayers as described under the caption "TAX MATTERS."

**Professional Services .....** The professional firms participating in the initial offering of the Series 2016 Bonds are as follows:

| | |
|---|---|
| Bond Counsel: | Kutak Rock LLP<br>Suite 3000<br>1801 California Street<br>Denver, CO 80202-2626<br>Telephone: 303-297-2400 |
| Financial Advisor: | Piper Jaffray & Co.<br>Suite 1250<br>1200 Seventeenth Street<br>Denver, CO 80202<br>Telephone: 303-820-5865 |
| Senior Managing Underwriter: | Morgan Stanley & Co. LLC<br>1400 16th Street, Suite 4045<br>Denver, CO 80202<br>Telephone: 303-825-3063<br>Facsimile: 312-706-4665 |
| Counsel to the Underwriters: | Sherman & Howard LLC<br>633 17th Street, Suite 3000<br>Denver, CO 80202<br>Telephone: 303-297-2900 |

**Additional Information.....** Additional information concerning the City, Aurora Water, the System and the Series 2016 Bonds may be obtained from the City's Director of Finance, 5th Floor, 15151 East Alameda Parkway, Aurora, Colorado 80012, Telephone: (303) 739-7055, or from the Financial Advisor at the address and telephone shown above. The City will enter into an undertaking for the benefit of the beneficial owners of the Series 2016 Bonds pursuant to Securities and Exchange Commission Rule 15c2-12 to provide certain information concerning the Series 2016 Bonds on a continuing basis, and to file such information with specified information repositories accessible to investors.

See "THE SERIES 2016 BONDS—Continuing Disclosure Undertaking" and Appendix E hereto.

**THE FOREGOING SUMMARY IS QUALIFIED IN ITS ENTIRETY BY REFERENCE TO THE DETAILED INFORMATION CONTAINED IN THIS OFFICIAL STATEMENT. EACH PROSPECTIVE INVESTOR SHOULD READ THE OFFICIAL STATEMENT IN ITS ENTIRETY.**

**OFFICIAL STATEMENT**

**Relating to:**

**$437,025,000**
**City of Aurora, Colorado**
**acting by and through its**
**Utility Enterprise**
**First-Lien Water Refunding Revenue Bonds, Series 2016**

## INTRODUCTION

### Generally

This Official Statement, including its cover page and appendices, is provided in connection with the issuance by the City of Aurora, Colorado (the "City") acting by and through its Utility Enterprise (the "Enterprise" or "Aurora Water") of $437,025,000 aggregate principal amount of First-Lien Water Refunding Revenue Bonds, Series 2016 (the "Series 2016 Bonds"). The Series 2016 Bonds will be issued under the Water System General Revenue Bond Ordinance, Ordinance No. 2003-18, as amended (the "General Ordinance") and the Series 2016 Water Revenue Bond Series Ordinance, Ordinance No. 2016-26 (the "Series Ordinance"), adopted by the City Council (the "Council"), supplemented, as to certain details of the Series 2016 Bonds, by a Final Terms Certificate executed by the City's Director of Finance (the "Final Terms Certificate" and, together with the General Ordinance and the Series Ordinance, the "Bond Ordinance"). The term "City" as used in this Official Statement refers to the City and, where appropriate, to the City acting by and through Aurora Water. The City is a political subdivision of the State of Colorado (the "State") organized and existing as a home rule city under the laws of the State and a home rule charter (the "Charter").

The Series 2016 Bonds will be payable solely from and secured by a first (but not necessarily exclusively first) lien upon the Net Pledged Revenues of the Water System of the City (as defined herein). For a definition of the term "Net Pledged Revenues," see "THE SERIES 2016 BONDS—Security and Flow of Funds."

THE SERIES 2016 BONDS DO NOT CONSTITUTE A DEBT OR INDEBTEDNESS OR A MULTIPLE-FISCAL YEAR DEBT OR OTHER FINANCIAL OBLIGATION OF THE CITY WITHIN THE MEANING OF THE CONSTITUTION OR LAWS OF THE STATE OF COLORADO. THE SERIES 2016 BONDS ARE NOT PAYABLE IN WHOLE OR IN PART FROM THE PROCEEDS OF GENERAL PROPERTY TAXES OR ANY OTHER FORM OF TAXATION AND THE FULL FAITH AND CREDIT OF THE CITY IS NOT PLEDGED FOR THEIR PAYMENT.

### Plan and Purpose of Financing

The Series 2016 Bonds are being issued for the purposes of refunding, paying and discharging all of the outstanding First Lien Water Improvement Revenue Bonds, Series 2007A (the "Series 2007A Bonds") and the outstanding First-Lien Water Refunding Revenue Bonds, Series 2008A (the "Series 2008A Bonds") as well as refinancing the City's Colorado Water Conservation Board loan, dated as of November 20, 2007, in the original principal amount of $75,750,000 (the "CWCB Loan" and, together with the Series 2007A Bonds and the Series 2008A Bonds, the "Refunded Obligations"). The refunding of the Refunded Obligations (the "Refunding Project") is being undertaken for the purpose of effecting debt service savings and other economies. The Refunded Obligations were originally issued for the

purpose of financing a portion of Aurora Water's ongoing program of additions and improvements to the Water System operated by Aurora Water (the "System").

The references to and summaries of provisions of the Constitution and laws of the State and the descriptions of documents included herein do not purport to be complete and are qualified in their entirety by reference to the complete provisions thereof, copies of which are available from the City, or through the Underwriters during the period of the initial offering of the Series 2016 Bonds.

Capitalized terms used and not defined herein have the respective meanings specified in Appendix C to this Official Statement.

## FORWARD-LOOKING STATEMENTS

THIS OFFICIAL STATEMENT CONTAINS STATEMENTS RELATING TO FUTURE RESULTS THAT ARE "FORWARD-LOOKING STATEMENTS" AS DEFINED IN THE PRIVATE SECURITIES LITIGATION REFORM ACT OF 1995. WHEN USED IN THIS OFFICIAL STATEMENT, THE WORDS "ESTIMATE," "FORECAST," "INTEND," "EXPECT," "PROJECTED" AND SIMILAR EXPRESSIONS IDENTIFY FORWARD-LOOKING STATEMENTS. SUCH STATEMENTS ARE SUBJECT TO RISKS AND UNCERTAINTIES THAT COULD CAUSE ACTUAL RESULTS TO DIFFER MATERIALLY FROM THOSE CONTEMPLATED IN SUCH FORWARD-LOOKING STATEMENTS. ANY PROJECTION IS SUBJECT TO SUCH UNCERTAINTIES. INEVITABLY, SOME ASSUMPTIONS USED TO DEVELOP THE PROJECTIONS WILL NOT BE REALIZED AND UNANTICIPATED EVENTS AND CIRCUMSTANCES WILL OCCUR. THEREFORE, IT CAN BE EXPECTED THAT THERE WILL BE DIFFERENCES BETWEEN PROJECTIONS AND ACTUAL RESULTS, AND THOSE DIFFERENCES MAY BE MATERIAL.

## GREEN BOND DESIGNATION

### Green Projects

The City has designated the Series 2016 Bonds as "Green Bonds," in accordance with the generally accepted Green Bond Principles promulgated by the International Capital Market Association (the "Green Bond Principles"). Pursuant to the Green Bond Principles, the City is permitted to make this voluntary designation due to the intended use of the proceeds of the Series 2016 Bonds. The proceeds of the Series 2016 Bonds are to be used to finance the Refunding Project. The Refunded Obligations in turn funded the Prairie Waters project ("Prairie Waters") and other improvements to the Water System. The City estimates that more than 90% of the proceeds of the Refunded Obligations were allocated to Prairie Waters and other purposes of the kind contemplated by the Green Bond Principles.

The term "Green Bonds" is used herein for identification purposes only. The purpose of labeling the Series 2016 Bonds as Green Bonds and describing particular characteristics of the System and Prairie Waters in detail in this Official Statement is to allow investors seeking to invest directly in bonds that finance or refinance environmentally beneficial projects to evaluate the environmental merits and benefits of the projects financed by the Refunded Obligations. The owners of the Series 2016 Bonds do not assume any specific project risk or economic benefit related to the Refunding Project as a result of the Green Bonds designation. No independent certification is being obtained with respect to the treatment of the Series 2016 Bonds as Green Bonds.

At the time of its initial design, Prairie Waters was one of the largest water-related projects in the State, designed to provide a sustainable long-term water supply to the City's growing population under

drought conditions. Among other benefits, Prairie Waters makes use of riverbank filtration (see "PRAIRIE WATERS–Current Status), a cost-effective natural pretreatment process. See "PRAIRIE WATERS." The City considers Prairie Waters an environmentally beneficial project because it resulted in more efficient utilization of the existing water supplies of the System and reduced the need for additional water rights acquisitions. As a result of Prairie Waters, the availability of water to the System increased by approximately 20%, without the acquisition of new water rights or construction of additional raw water storage. See "PRAIRIE WATERS–Successive Uses of Existing Water Rights." Prairie Waters makes use of technology to promote the conservation of water resources, improve water usage efficiency, provide protection to System customers under drought conditions and make deliveries of water possible to smaller water providers outside the System's current service area, thereby providing regional water supply and conservation benefits.

All of the proceeds of the Series 2007A Bonds as well as the proceeds of the CWCB Loan were used to fund Prairie Waters. Proceeds from the Series 2008A Bonds were used to refund obligations of the City issued in 2004, the proceeds of which were used to finance various additions and improvements to the System, including: the renovation and expansion of the Wemlinger Water Treatment Plant (expanding the plant's treatment capacity from 60 to 80 MGD, installing state-of-the-art treatment technology designed to meet regulatory requirements and improving architectural features); constructing approximately three miles of water transmission line to serve the redevelopment of the 577 acre former Fitzsimons Army Medical Center (improving the City's existing distribution system and facilitating urban infill development); acquiring and constructing storage capacity (including the acquisition of the City's storage easement in Spinney Mountain Reservoir on the South Platte River, which increased the City's water storage capacity by approximately 4,000 acre-feet); and acquiring and developing water rights. The City considers at least some portion of each of these projects to be environmentally beneficial because these projects improved the System by making it more drought-resistant and increasing its capacity to serve customers.

**Process for Evaluation and Selection**

Aurora Water frequently undertakes extensive project evaluation, including implementing its Water Management Plan and Integrated Master Plan, in order to maintain compliance with federal and State standards. See "THE SYSTEM–Treatment and Distribution Assets–Water Management Plan", "CAPITAL IMPROVEMENT PLANNING–System Expansion and Improvement Projects" and "FACTORS AFFECTING THE DELIVERY OF WATER TO CUSTOMERS." In 2003, the City undertook a detailed study of various methods of drought hardening the System after drought conditions prevailing over preceding years had reduced the amounts of the System's stored water to historically low levels. See "FACTORS AFFECTING THE DELIVERY OF WATER TO CUSTOMERS." The City determined that Prairie Waters was the most cost-effective, efficient and sustainable project of the proposed projects considered in the 2003 study. See "PRAIRIE WATERS."

**Management of Proceeds**

The funding and construction of Prairie Waters was administered under extensive project management and cost analysis procedures. As a result of labor and construction industry conditions during the construction period, as well as the effectiveness of Aurora Water's management of Prairie Waters funds, Prairie Waters was completed approximately $100 million below its budgeted cost. Funds for Prairie Waters were placed in segregated accounts and monitored by Aurora Water and an external construction manager to ensure that the proceeds of the obligations to be refinanced by the Refunding Project were properly allocated to project purposes. Prairie Waters is currently in operation and performing its intended purposes. The funding of the other projects financed or refinanced by the Refunded Obligations was also effected through segregated accounts monitored by Aurora Water.

### Reporting and Tracking

All of the proceeds of the Series 2016 Bonds are to be allocated to the Refunding Project immediately following the issuance of the Series 2016 Bonds. Because all projects financed by the Refunded Obligations are now complete, the City does not intend to undertake any further tracking of and reporting on the use of such proceeds. See "PRAIRIE WATERS–Components of Prairie Waters" and "PRAIRIE WATERS–Current Status."

## THE SERIES 2016 BONDS

### Description of the Series 2016 Bonds

The Series 2016 Bonds are special and limited obligations of the City, acting by and through Aurora Water, and are issued for the purpose of refunding all of the Refunded Obligations. The Series 2016 Bonds are in the denominations, bear interest, mature, and are subject to the other terms and conditions stated on the cover page hereof.

***Step Coupon Term Bonds Due August 1, 2046.*** The following rates of interest apply to the $45,000,000 principal amount of Series 2016 Step Coupon Term Bonds during the following periods:

| From: | To and Including: | Interest Rate: |
|---|---|---|
| August 16, 2016 | July 31, 2019 | 2.000% |
| August 1, 2019 | July 31, 2026 | 2.250% |
| August 1, 2026 | July 31, 2031 | 3.500% |
| August 1, 2031 | July 31, 2041 | 4.500% |
| August 1, 2041 | August 1, 2046 | 5.000% |

***Debt Service Requirements.*** The debt service requirements of the Series 2016 Bonds and the other obligations payable from the Net Pledged Revenues are set forth in Table XI.

### Authority for Issuance

The Series 2016 Bonds are issued under authority of the Charter and Article II of Chapter 138 of the City Code (the "Enterprise Ordinance"). Under the Enterprise Ordinance, the City has designated and currently maintains its water and storm and sanitary sewer activities as an "enterprise" for purposes of Article X, Section 20 of the Colorado Constitution ("TABOR"). See "AURORA WATER." As bonds of a TABOR enterprise, and because they effect a refunding at lower interest rates, the Series 2016 Bonds are authorized to be issued without approval by the electors of the City. See "CONSTITUTIONAL LIMITATIONS ON TAXES, REVENUES, BORROWING AND SPENDING."

### Registration and Payment

The Series 2016 Bonds will be registered in the name of Cede & Co., as nominee of The Depository Trust Company ("DTC"), securities depository for the Series 2016 Bonds. For so long as the Series 2016 Bonds are in book-entry form, the principal of and interest on the Series 2016 Bonds will be payable at the office of UMB Bank, n.a., or its successors, as paying agent, registrar and transfer agent (the "Paying Agent"). Interest on the Series 2016 Bonds is payable by wire transfer to Cede & Co. upon written instruction or by check or draft mailed by the Paying Agent to the registered owners of the Series 2016 Bonds whose names and addresses appear in the registration books of the City on the Regular

Record Date, i.e., the fifteenth day, whether or not a business day, of the calendar month preceding the interest payment date. Under certain circumstances a Special Record Date may be fixed by the Paying Agent to establish ownership of the Series 2016 Bonds for the purpose of paying interest not paid when due or interest accruing after maturity.

**Book-Entry-Only System**

DTC will act as securities depository for the Series 2016 Bonds. The Series 2016 Bonds will be issued as fully registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully registered Series 2016 Bond will be issued for each maturity of the Series 2016 Bonds, each in the aggregate principal amount of such maturity, and each of such Series 2016 Bonds will be deposited with DTC. For information regarding DTC see "Appendix F—Information Related to Book-Entry-Only System."

**Redemption**

The Series 2016 Bonds are subject to redemption prior to maturity as follows:

***Optional Redemption***. Series 2016 Serial and Term Bonds (except the Step Coupon Term Bonds due August 1, 2046) maturing on August 1, 2027 and thereafter are subject to redemption prior to maturity at the option of the City on August 1, 2026 or any date thereafter, in whole or in part, and if in part in such order of maturity as the City shall determine and by lot within maturities, at a redemption price of par plus accrued interest to the redemption date, without redemption premium. The Series 2016 Step Coupon Term Bonds maturing August 1, 2046 are subject to redemption at the option of the City on August 1, 2019 or any date thereafter at a redemption price equal to par plus accrued interest to the redemption date, without redemption premium.

***Mandatory Sinking Fund Redemption***. The Series 2016 Term Bonds are also subject to mandatory sinking fund redemption.

The 3.000% Series 2016 Term Bonds maturing on August 1, 2041 are subject to mandatory redemption by lot from mandatory sinking fund installments, at a redemption price equal to par plus accrued interest only to the redemption date, on August 1 of the following years and in the following amounts, such redemption amounts to be subject to proportionate reduction in the event of partial optional redemption of such Series 2016 Term Bonds:

| **Year** | **Amount** |
|---|---|
| 2037 | $7,535,000 |
| 2038 | 7,760,000 |
| 2039 | 7,995,000 |
| 2040 | 8,230,000 |
| 2041 (stated maturity) | 8,480,000 |

The 5.000% Series 2016 Term Bonds maturing on August 1, 2041 are subject to mandatory redemption by lot from mandatory sinking fund installments, at a redemption price equal to par plus accrued interest only to the redemption date, on August 1 of the following years and in the following amounts, such redemption amounts to be subject to proportionate reduction in the event of partial optional redemption of such Series 2016 Term Bonds:

| Year | Amount |
|---|---|
| 2037 | $11,385,000 |
| 2038 | 11,955,000 |
| 2039 | 12,550,000 |
| 2040 | 13,185,000 |
| 2041 (stated maturity) | 13,840,000 |

The 2.000% (initial rate) Series 2016 Step Coupon Term Bonds maturing on August 1, 2046 are subject to mandatory redemption by lot from mandatory sinking fund installments, at a redemption price equal to par plus accrued interest only to the redemption date, on August 1 of the following years and in the following amounts, such redemption amounts to be subject to proportionate reduction in the event of partial optional redemption of such Series 2016 Term Bonds:

| Year | Amount |
|---|---|
| 2042 | $8,145,000 |
| 2043 | 8,550,000 |
| 2044 | 8,980,000 |
| 2045 | 9,425,000 |
| 2046 (stated maturity) | 9,900,000 |

The 3.000% Series 2016 Term Bonds maturing on August 1, 2046 are subject to mandatory redemption by lot from mandatory sinking fund installments, at a redemption price equal to par plus accrued interest only to the redemption date, on August 1 of the following years and in the following amounts, such redemption amounts to be subject to proportionate reduction in the event of partial optional redemption of such Series 2016 Term Bonds:

| Year | Amount |
|---|---|
| 2042 | $4,710,000 |
| 2043 | 4,850,000 |
| 2044 | 4,995,000 |
| 2045 | 5,145,000 |
| 2046 (stated maturity) | 5,300,000 |

The 4.000% Series 2016 Term Bonds maturing on August 1, 2046 are subject to mandatory redemption by lot from mandatory sinking fund installments, at a redemption price equal to par plus accrued interest only to the redemption date, on August 1 of the following years and in the following amounts, such redemption amounts to be subject to proportionate reduction in the event of partial optional redemption of such Series 2016 Term Bonds:

| Year | Amount |
|---|---|
| 2042 | $ 920,000 |
| 2043 | 960,000 |
| 2044 | 1,000,000 |
| 2045 | 1,040,000 |
| 2046 (stated maturity) | 1,080,000 |

The 5.000% Series 2016 Term Bonds maturing on August 1, 2046 are subject to mandatory redemption by lot from mandatory sinking fund installments, at a redemption price equal to par plus accrued interest only to the redemption date, on August 1 of the following years and in the following amounts, such redemption amounts to be subject to proportionate reduction in the event of partial optional redemption of such Series 2016 Term Bonds:

| **Year** | **Amount** |
|---|---|
| 2042 | $ 9,265,000 |
| 2043 | 9,730,000 |
| 2044 | 10,210,000 |
| 2045 | 10,725,000 |
| 2046 (stated maturity) | 11,260,000 |

***Notice of Redemption***. Notice of redemption of any Series 2016 Bonds is to be given by the Paying Agent by sending a copy of such notice by first-class mail, postage prepaid, at least 30 days prior to the redemption date, to the Underwriters and to the registered owner of each Series 2016 Bond all or a portion of which is called for prior redemption, at his or her address as it last appears on the registration records kept by the Paying Agent. For so long as the Series 2016 Bonds are in book-entry form, any such redemption notice may be given, in lieu of such mailing, by sending a copy thereof by electronic means, to DTC or its designee. Failure, as to any Series 2016 Bond, to mail or send such notice as provided above, or any defect therein, does not affect the validity of the proceedings for the redemption of any other Series 2016 Bonds. Any failure of DTC to advise any Participant, or of any Participant or indirect participant to notify the Beneficial Owner, of any such notice and its content or effect does not affect the validity of the redemption of the Series 2016 Bonds called for redemption or any other action premised on that notice.

In the event of a call for redemption, the City's notification to DTC initiates DTC's standard call procedure. In the event of a partial call, DTC's practice is to determine by lot the amount of the interest of each Participant in the Series 2016 Bonds to be redeemed, and each such Participant then selects by lot the ownership interest in such Series 2016 Bonds to be redeemed. When DTC and Participants allocate the call, the Beneficial Owners of the book-entry interests called are to be notified by the broker or other organization responsible for maintaining the records of those interests and subsequently credited by that organization with the proceeds once the Series 2016 Bonds are redeemed.

**Security and Flow of Funds**

***The General Ordinance and the Series Ordinance***. The Series 2016 Bonds are to be issued pursuant to a Water System General Revenue Bond Ordinance (the "General Ordinance") and a Series 2016 First-Lien Water Refunding Revenue Bond Ordinance (the "Series Ordinance"), adopted by the City Council, acting as such and as the governing body of the Enterprise, and supplemented, as to certain final terms of the Series 2016 Bonds, by a final terms certificate executed by the Director of Finance (the "Final Terms Certificate" and, collectively with the General Ordinance and the Series Ordinance, the "Bond Ordinance"). The Series Ordinance provides for the application of substantially all of the proceeds of the Series 2016 Bonds as follows: (a) an amount sufficient to pay the Costs of Issuance is to be deposited in the Series 2016 Costs of Issuance Account; and (b) the remaining Series 2016 Bond proceeds are to be deposited to the Series 2016 Refunding Escrow Account as described under the caption "USE OF PROCEEDS—Sources and Uses of Funds." The Bond Ordinance provides that the General Ordinance and the Series Ordinance are irrepealable until the Series 2016 Bonds and the interest thereon are fully paid or defeased. The following are brief summaries of certain material provisions of the Bond Ordinance.

***The Series 2016 Costs of Issuance Account***. The Series Ordinance establishes a Series 2016 Costs of Issuance Account. The portion of the proceeds of the Series 2016 Bonds reasonably required to pay costs of issuance is required to be deposited in the Series 2016 Costs of Issuance Account, and used, to the extent required, for the payment of Costs of Issuance of the Series 2016 Bonds, and to the extent of any excess, for any other lawful purpose.

***No Series 2016 Debt Service Reserve Account***. Pursuant to the Series Ordinance, there will not be a designated debt service reserve account in connection to the Series 2016 Bonds.

***Pledged Revenues and Flow of Funds***. The General Ordinance defines the System to include the municipal water system presently owned and operated by the City, acting by and through the Enterprise, together with all Equipment and Improvements to the System (but excluding Special Facilities) and any other property or facilities specifically added to the System by ordinance of the City Council. Special Facilities are defined in the General Ordinance as any property financed or refinanced for water purposes upon the express condition that it shall be financed or refinanced with Special Facilities Obligations and excluded from the System during the time such Special Facilities Obligations are Outstanding. The Income of the System is defined in the General Ordinance to include all rates, fees, or charges for services furnished by, or the direct or indirect use of the System, together with any interest income of the System attributable to the investment of moneys in the accounts created in the General Ordinance and not specifically excluded from the lien of the General Ordinance, and subject to certain exclusions enumerated in the full text of the definition of "Income" in Appendix C hereto. See "THE SYSTEM."

The General Ordinance establishes a special account (the "Income Account") into which all Income is to be deposited. The Income Account may be maintained as a subfund, account or subaccount of the Water Enterprise Fund.

The Income on deposit in the Income Account is to be applied in the following order of priority:

FIRST, to the payment of necessary and proper costs of operating and maintaining the System ("Operation and Maintenance Expenses") as they become due (the Income less such Operation and Maintenance Expenses being referred to as the "Net Pledged Revenues");

SECOND, to the Debt Service Account in monthly installments sufficient to pay any interest accrued and due on the next interest payment date and a ratable portion of the next installment of principal, if any, on the Series 2016 Bonds and similar installments with respect to any outstanding parity securities;

THIRD, to the debt service reserve accounts, if any, established in connection with outstanding First Lien Revenue Obligations to the extent required to maintain minimum reserve requirements or, if the minimum reserve requirements are satisfied with surety bonds or other credit facilities, to reimburse the issuers thereof for any amounts advanced by them, with interest (no such reserve accounts will exist upon issuance of the Series 2016 Bonds, but such reserve accounts could be established in connection with future issues of First Lien Revenue Obligations);

FOURTH, to the payment of the Debt Service Requirements of obligations having a lien on the Net Pledged Revenues subordinate to the lien of the Series 2016 Bonds and other outstanding First Lien Revenue Obligations; and

FIFTH, to be used, free of the lien of the General Ordinance, for the acquisition of improvements or other properties or facilities for the System or for any one or any combination of other lawful purposes of the City or Aurora Water as the City may from time to time determine.

Moneys in any or all of the foregoing accounts may, to the extent provided by Final Terms Certificate, be made subject to transfer to an Excess Investment Earnings Account. In order to give effect to the requirements of both the Internal Revenue Code of 1986, as amended, and the General Ordinance the City may, to the extent necessary, advance, subject to reimbursement, moneys required for the payment of Operation and Maintenance Expenses from funds earmarked for Improvements or Capital Projects, and may also, to the extent necessary, advance, subject to reimbursement, Net Pledged Revenues required for the payment of Debt Service Requirements of Obligations from funds earmarked for Operation and Maintenance Expenses. Nothing in the General Ordinance prevents the City from creating subfunds or subaccounts for the purpose of recording payments and accumulations in a manner consistent with the accounting principles which may be employed by the City from time to time.

***Rate Maintenance***. In the General Ordinance, the City covenants, among other things, to prescribe, revise and collect fair and reasonable rates, fees and charges for use of the System which shall produce Income sufficient, together with any other moneys legally available therefor and credited to the Income Account, to make the payments and accumulations required by the Ordinances; and which shall produce Net Pledged Revenues in each ensuing Fiscal Year at least equal to the sum of 120% of the Combined Annual Debt Service Requirements of all Outstanding First-Lien Revenue Obligations and 105% of the Combined Annual Debt Service Requirements of all Outstanding Subordinate Revenue Obligations, plus any amounts required to meet then existing deficiencies pertaining to any fund or account relating to the Net Pledged Revenues or any securities payable therefrom. For purposes of compliance with the Ordinances, including the Rate Maintenance Covenant, there may be counted as Income any funds contributed to the System by the City. See "TABLE XVII—WATER SERVICE CHARGES AND USAGE RATES" for past and certain currently estimated future rates.

The Series Ordinance provides, with respect to the Series 2016 Bonds, that so long as the Net Pledged Revenues in any calendar year are sufficient to pay at least 100% of the Combined Annual Debt Service Requirements of all Outstanding First-Lien Revenue Obligations (as such terms are defined in the Series Ordinance) and 100% of the Combined Annual Debt Service Requirements of all Outstanding Subordinate Revenue Obligations, the failure to meet the rate maintenance requirements of the General Ordinance in such calendar year shall not constitute an Event of Default so long as the City shall, within 180 days after the end of such calendar year, promptly retain and cause an Independent Accountant or Consulting Engineer, as such terms are defined in the General Ordinance, to prepare a rate study for the purpose of recommending a schedule of rates, fees and charges for the use of the System which in the opinion of the firm conducting the study will be sufficient to provide Income to be collected in the next succeeding calendar year which will allow compliance with such rate maintenance requirements. In the Series Ordinance, the City agrees, within three (3) months of receipt of such study, and in any event before the end of the calendar year, to adopt rates, fees and charges for the use of the System, based upon the recommendations contained in such study, which will provide compliance with such rate maintenance requirements in the next succeeding calendar year.

***First-Lien Bonds***. Pursuant to the General Ordinance, the Series 2016 Bonds and any Additional First-Lien Revenue Obligations constitute a first and prior (but not necessarily exclusive) lien on the Net Pledged Revenues.

***Additional Obligations***. Additional Obligations may be issued, subject to certain provisions of the Bond Ordinance.

The General Ordinance prohibits the issuance of Obligations having a claim to the Income prior or superior to that of the Series 2016 Bonds. Subordinate securities may be issued at any time.

Additional First-Lien Revenue Obligations may be issued provided that, at the time of their issuance: (a) the City is not in default under the provisions of the Bond Ordinance; and (b) the Net Pledged Revenues for the last complete Fiscal Year or any 12 consecutive whole months out of the last 18 prior to the issuance of the proposed Additional First-Lien Revenue Obligations, as certified by the City Manager or a Consulting Engineer or Independent Accountant, must have been equal to at least 120% of the Maximum Annual Debt Service Requirements of the Series 2016 Bonds and Additional First-Lien Revenue Obligations then Outstanding and the Additional First-Lien Revenue Obligations proposed to be issued. If any adjustment in System rates or fees is to be effective during or prior to any Fiscal Year in which the Maximum Annual Debt Service Requirements occur, the Net Pledged Revenues may be adjusted to reflect the Net Pledged Revenues which would have been produced had the modified rates been in effect throughout such Fiscal Year.

For a more detailed description of the Bond Ordinance, see Appendix C hereto.

### Continuing Disclosure Undertaking

In order to facilitate compliance by the Underwriters with Securities and Exchange Commission Rule 15c2-12 (the "Rule") the City will enter into an undertaking in substantially the form set forth in Appendix E hereto (the "Continuing Disclosure Undertaking") to provide certain information, including audited financial results, on an annual basis, and to provide notice of certain specified events contemplated by the Rule, to the information repositories designated in the Continuing Disclosure Undertaking. Investors may obtain access to such filings in the manner specified in Appendix E hereto.

The specific information required to be provided by the City under the Continuing Disclosure Undertaking includes: (a) notice of the occurrence of any of the material events enumerated in the Rule; (b) annual audited financial statements; and (c) annual operating results with respect to the items described under the caption "FINANCIAL INFORMATION CONCERNING THE SYSTEM—Operating History" and Tables II, III, VII, X, XII, XVII, XIX and XXI.

Failure to perform the Continuing Disclosure Undertaking does not constitute an Event of Default under the Bond Ordinance, but in the event of a failure to perform the Continuing Disclosure Undertaking, the owners of the Series 2016 Bonds have the right to seek a court order directing the City to perform its obligations thereunder.

In June of 2012, 2013 and 2014, the City did not file with the Municipal Securities Rulemaking Board (the "MSRB") through its Electronic Municipal Market Access facility for municipal securities disclosure ("EMMA") certain operating data required by a continuing disclosure undertaking entered into by the City with respect to certain bonds issued by the Metro Wastewater Reclamation District, Colorado ("Metro"), a regional sewer treatment provider. The City filed the required information as part of its own 2012-14 EMMA filings but such filings did not refer to the Metro bonds' CUSIP numbers. In November, 2015, the City filed such operating data through EMMA, specifically with respect to the Metro bonds.

## USE OF PROCEEDS

### Sources and Uses of Funds

The City estimates the following sources and uses of funds in connection with the sale of the Series 2016 Bonds:

| | |
|---|---|
| **Sources** | |
| Principal Amount of Series 2016 Bonds | $437,025,000 |
| Original Issue Premium | 80,822,922 |
| Release of Prior Debt Service and Reserve Funds | 37,835,352 |
| **Total Sources** | $555,683,274 |
| **Uses** | |
| Refunding Escrow Cash Deposit | $ 69,895,120 |
| Federal Securities Purchases | 483,267,712 |
| Costs of Issuance[1] | 2,520,442 |
| **Total Uses** | $555,683,274 |

[1] Includes underwriting discount, legal, printing, accounting, financial advisory fees and rounding amount.

**The Series 2016 Refunding Project**

The net proceeds of the Series 2016 Bonds, together with certain other legally available funds, are to be applied after delivery of the Series 2016 Bonds to the payment and discharge of the Refunding Obligations, pursuant to a Refunding Escrow Agreement (the "Escrow Agreement") dated as of August 1, 2016 between the City and UMB Bank, n.a. (the "Escrow Bank"). Under the Escrow Agreement the Escrow Bank is directed to prepay the principal and accrued interest on the CWCB Loan on August 23, 2016, and to pay in the ordinary course and call for redemption on August 1, 2017 and August 1, 2018, respectively, the refunded Series 2007A and Series 2008A Bonds.

The funds held by the Escrow Bank pursuant to the Escrow Agreement (the "Refunding Escrow Account") are required to be held, pending their use to pay the Refunded Obligations, in cash, direct obligations of or obligations unconditionally guaranteed as to principal and interest by the United States of America ("Federal Securities"). The Owners of the Series 2016 Bonds will have no claim to the assets of the Refunding Escrow Account.

The accuracy of computations indicating that the Refunding Escrow Account is sufficient to make the required payments in connection with the Refunded Obligations will be verified by a firm of certified public accounts. See "VERIFICATION OF CERTAIN CALCULATIONS."

## THE CITY

Currently the third largest municipality in Colorado, the City was founded in 1891 as an unincorporated community and was incorporated on May 5, 1903 as the Town of Fletcher. In 1907, the Town Council changed the name to "Aurora." The Council-Manager form of government was adopted by the City in 1954, and the 11 members of the City Council (including a full-time Mayor, who is elected specifically for that position) are chosen biennially for staggered four-year terms in non-partisan elections. The Mayor serves as the presiding officer at all meetings of the Council and is not entitled to vote upon any resolution or ordinance unless it is to create or break a tie vote. A Mayor Pro Tem is elected by the Council to serve in the absence of the Mayor. In 1961, the City became a home rule city by adopting its own Charter pursuant to Article XX of the Constitution of the State. The City is a full-service local government and owns Aurora Water. For more detailed information concerning the City, its government, growth and development and the local economy, see "Appendix D—GENERAL INFORMATION CONCERNING THE CITY." While the City has other sources of revenue, the Series 2016 Bonds are not secured by any funds or revenues of the City other than the Net Pledged Revenues.

## AURORA WATER

Aurora Water was organized to operate the City's municipal water system (the "System"), as well as its sanitary sewer system and the storm drainage system (together with the System, "Aurora Water"), on a fully self-supporting basis as a City owned business. The Council is the governing body of Aurora Water. Only the net revenues of the Water System are included in the Net Pledged Revenues and the Series 2016 Bonds are not secured by any pledge of sewer system or storm drainage system revenues.

Aurora Water, under the administration of the Director of Aurora Water, has approximately 430 full time equivalent employees and is responsible for the operation and maintenance of all water, sanitary sewer, reclaimed effluent and storm drainage facilities owned by the City. Aurora Water has two major functional divisions, Water and Wastewater. The Water Division is engaged in developing, protecting, operating, maintaining and expanding the System for the benefit of users within the City and limited service areas outside the City. Funds of the System are maintained in accounts separate from funds of the Wastewater Division. The Wastewater Division is further divided into the Sanitary Sewer and Storm Drainage operating divisions. An Administration Division provides administrative oversight for the entire department. Other divisions provide financial and customer billing, plan review and connection application, capital projects, public information and conservation, and resource acquisition and quality control functions.

### Principal Officials

Aurora Water operates under the supervision of the Director of Aurora Water. Following is a description of the principal Aurora Water officials involved in the management of the System. See "Appendix D—GENERAL INFORMATION CONCERNING THE CITY—City Management" for information concerning key elected and appointed officials of the City government.

***Marshall Brown***, Director of Aurora Water (the "Director"), has been employed with the City since 2012. Mr. Brown has more than 20 years of experience in the water industry. He began in the private sector, where he gained significant technical expertise on water resource evaluation and development, feasibility studies, groundwater modeling and groundwater characterization and remediation. Mr. Brown was previously the head of the water utility in Scottsdale, Arizona. During his time with Aurora and Scottsdale, two industry leading utilities, Mr. Brown has had the opportunity to plan, manage and direct activities to position each organization for sustainable futures. Mr. Brown received a Bachelor of Science degree from Brigham Young University in Geological Engineering and a Master of Science degree from the University of Arizona in Geophysical and Geological Engineering.

***Alexandra Davis***, Water Resources Manager, has been employed with the City since 2015. Ms. Davis has spent almost 20 years in the water resources field. She started at the Colorado Attorney General's office representing Natural Resource agencies and the State Engineer in Colorado Water Court. She spent a year as a Special U.S. Attorney representing Department of Interior agencies on water issues. While at the Colorado Department of Natural Resources (the "DNR"), she served as the Assistant Director for Water and the Director of the Inter Basin Compact Committee. There, she was responsible for implementing the Governor's and the DNR Director's agendas, creating and implementing statewide water policy, and aiding the Department agencies with water-related issues, policies and projects. As Assistant Director for Water, she served on a number of influential boards and committees including the Upper Colorado River Commission, the Colorado Ground Water Commission, Colorado Water Conservation Board, Western States Water Council, Governor Ritter's South Platte Task Force, and the Colorado Supreme Court Water Rules Committee. After a short stint in private law practice, Ms. Davis returned to the State as the Colorado Parks and Wildlife Water Resources Manager and from there came to Aurora Water. Ms. Davis has a Bachelor of Arts degree from Pitzer College, majoring in Psychology

and Organizational Psychology and a Juris Doctorate degree from the University of Colorado. Ms. Davis also spent a year in Japan studying International Studies at Waseda University.

***Dan Mikesell,*** Deputy Director of Water Operations and Environmental Programs, has been employed with the City since 1981. Mr. Mikesell has 35 years of experience in the water industry. During that time, he has held the positions of Interim Director, Deputy Director of Operations & Engineering, Manager of Operations, Water Services Manager and Customer Service Superintendent, all with the City. He currently serves as a member of the Homestake Steering Committee and the Aurora/Colorado Springs Joint Water Authority, as well as the Metropolitan Wastewater Reclamation District Board of Directors. Mr. Mikesell has an Associate of Applied Science degree in Management.

***Jo Ann Giddings***, Deputy Director of Water Financial Administration, has been employed with the City since 2005. Ms. Giddings has over 13 years of experience in government finance at the city and county level. Ms. Giddings' experience at the City includes working in the City finance department as well as the finance office of Aurora Water. In addition to working for the City and Arapahoe County, Ms. Giddings also worked for a public accounting firm performing audits mainly for governmental entities. In addition to the city, county and audit experience, Ms. Giddings also has experience in commercial banking. Ms. Giddings received a Bachelor of Science degree in Accounting from Regis University and is a certified public accountant licensed in the State of Colorado.

***Kelley Neumann***, Deputy Director of Water Planning & Engineering, has been employed with the City since 2015. Ms. Neumann has over thirty years of engineering and water-related experience. Prior to joining the City, Ms. Neumann spent over twenty years with the San Antonio Water System where she began as an Operations Engineer and worked her way up to Senior Vice President – Strategic Resources. In addition, Ms. Neumann gained water-related experience while on active duty with the U.S. Army Corps of Engineers. Ms. Neumann has a Bachelor of Science degree in Civil Engineering from the University of Texas, a Master of Public Administration degree from the University of Texas San Antonio, and is a licensed professional engineer in Colorado and Texas.

***Employee Pension Plan***. Employees of Aurora Water are employees of the City and as such are covered under the City's pension and post-employment benefits policies and plans. The City's pension policies and plans are described in Appendix D hereto. See "Appendix D—GENERAL INFORMATION CONCERNING THE CITY—Employees; Unions and Labor Relations–*Employee Pension Plans*."

**Designation and Character of the Enterprise for Purposes of TABOR**

To facilitate compliance with certain provisions of Article X, Section 20 of the Colorado Constitution ("TABOR") described under the caption "CONSTITUTIONAL LIMITATIONS ON TAXES, REVENUES, BORROWING AND SPENDING," the Council enacted the Enterprise Ordinance, confirming the existence of Aurora Water (including both the Water and Sewer Systems) as an "enterprise" for purposes of TABOR. TABOR defines an "enterprise" as a government owned business authorized to issue its own revenue bonds and receiving less than 10% of its annual revenue in grants from all State and local governments combined. In the 12 months ended December 31, 2015, Aurora Water did not receive any material portion of its total revenues in grants from the State or its political subdivisions, including the City. Total revenues for that period, including development fees, were $212,228,843 ($139,138,097 of which were water system revenues and $73,090,746 of which were wastewater and storm drainage system revenues). Because total revenues for this purpose include items such as development fees, which are not treated as operating revenues for financial reporting purposes, these amounts are higher than the revenue figures reflected in Tables XIV and XV.

The City has made no covenant in the Bond Ordinance or the Enterprise Ordinance that it will continue to maintain Aurora Water as an "enterprise" under TABOR beyond the current fiscal year. A future failure of Aurora Water to qualify as an "enterprise" for purposes of TABOR would not affect the validity of the Series 2016 Bonds or the right and obligation of the City to increase fees and charges when required by the Bond Ordinance, but the absence of continuing spending exceptions such as those described under the caption "CONSTITUTIONAL LIMITATIONS ON TAXES, REVENUES, BORROWING AND SPENDING" would result in the inclusion of Aurora Water in the City's overall spending and revenue base and limitations while Aurora Water continued to be disqualified. See "CONSTITUTIONAL LIMITATIONS ON TAXES, REVENUES, BORROWING AND SPENDING." In part because of voter-approved exceptions to the City's TABOR revenue and spending limits, such a result, in the event that it occurred, would not be expected to adversely affect either Aurora Water or the City as a whole.

## THE SYSTEM

Aurora Water operates the Water System, which is the second-largest independent municipal water supply system in the Denver/Aurora metropolitan area, supplying treated water to over 81,560 active customer accounts as of December 31, 2015.

### Origins; Establishment; Early Development

From 1918 until 1949, the portion of the System in the City was operated by the Denver Board of Water Commissioners ("Denver Water") and individual payments for water bills were made by customers directly to Denver Water. In October 1949, the City's Utility Department was established. Meters were installed on the main transmission lines leading from Denver to the City, and the City contracted with Denver Water for bulk water service. Individual customers' payments for water service were then made directly to the Aurora Water Department. Under terms of the contract then in force, Denver Water had to approve all new connections and all system taps had to be made by Denver Water employees.

In 1951, due to a combination of factors causing a shortage in its supply system, including drought and the growth of the metropolitan area, Denver Water established a "blue line" beyond which water service would not be provided. In the City, the blue line coincided generally with the City limits at that time. Because Denver Water would not supply water outside the blue line boundary, and because of strong growth pressures, the City decided to seek its own water supplies.

The City's initial source of supply was obtained in 1957 from a shallow well field pumping ground water from the Cherry Creek alluvium. Nearly all sources of water developed since then have been renewable surface water supplies.

In 1962, the City entered into an agreement with the City of Colorado Springs to jointly undertake the Homestake Project, a major transmountain diversion project which was completed in 1967 and serves as a source of water for both cities. The Homestake Project and the City's acquisition of South Platte River water rights periodically from the 1960s through the 1990s made it possible for the City to establish a water supply system independent of Denver Water. During the 1980s, the City purchased several large blocks of agricultural water in the lower Arkansas Valley and transferred them to municipal use. These water sources are delivered through the same physical facilities that are used for water from the Homestake Project. Aurora Water continues to purchase water rights as they become available. Since 2002, various operating agreements and spot leases have been negotiated to provide short term water sources during drought conditions.

The City is currently pursuing additional projects and agreements designed to increase water supplies and delivery capacity, and to improve water treatment and reclaimed water plants. Many of these projects are described under the caption "CAPITAL IMPROVEMENT PLANNING."

**Growth of the System**

The following tables show the total growth of the System during the past ten years, growth by class of customer for the past three years, and the ten largest customers of the System in 2015. For a discussion of certain information presented in the following table, see "FINANCIAL INFORMATION CONCERNING THE SYSTEM—Management's Discussion and Analysis of Trends in Water Fund Financial Results."

**TABLE I**
**Selected System Statistics**

| Year[1] | Total No. of Water Taps | Total Miles of Water Pipe[3] | Million Gallons Supplied | Daily Average Supplied (In Millions of Gallons) | Metered Sales |
|---|---|---|---|---|---|
| 2005 | 73,723[2] | 1,267 | 15,116 | 41.4 | $ 55,989,979 |
| 2006 | 76,240[2] | 1,316 | 15,994 | 43.8 | 67,915,709 |
| 2007 | 76,422 | 1,321 | 15,582 | 42.7 | 78,237,930 |
| 2008 | 76,655 | 1,340 | 15,738 | 43.0 | 81,281,979 |
| 2009 | 76,707 | 1,347 | 13,834 | 37.9 | 79,882,742 |
| 2010 | 78,423 | 1,359 | 15,732 | 43.1 | 96,031,453 |
| 2011 | 79,006 | 1,363 | 15,403 | 42.2 | 95,932,103 |
| 2012 | 79,723 | 1,368 | 16,653 | 45.5 | 102,772,014 |
| 2013 | 80,567 | 1,370 | 14,418 | 39.5 | 89,352,538 |
| 2014 | 81,382 | 1,395 | 14,564 | 39.9 | 90,734,124 |
| 2015 | 82,309 | 1,408 | 15,148 | 41.5 | 94,028,301 |

[1] As of, and for the year ended, December 31.
[2] Includes 2,517 stubbed taps.
[3] Water pipe for this purpose includes pipes with a diameter of 6" and greater.
Source: Aurora Water

**TABLE II**
**Customers by Class**[1]

| | 2013 | 2014 | 2015 |
|---|---|---|---|
| Residential (1-4 units) | 73,210 | 74,116 | 75,009 |
| Multi-Family (5+ units) | 2,419 | 2,430 | 2,470 |
| Commercial | 2,939 | 2,958 | 2,983 |
| Irrigation | 1,116 | 1,091 | 1,098 |
| Total | 79,684 | 80,595 | 81,560 |

[1] Excludes tertiary, hydrant, raw and well water customers. Note that one customer may have several accounts. Excludes parties receiving water by contract or short-term lease.
Source: Aurora Water

**TABLE III**
**Ten Largest Treated Water Customers of the System in 2015**

| Customer | Consumption[1] | Percent of Total Consumption | Metered Sales | Percent of Total Metered Sales |
|---|---|---|---|---|
| City | 337,810 | 2.3% | $2,253,865 | 2.4% |
| University | 279,332 | 1.9 | 1,675,419 | 1.8 |
| Public School System | 239,178 | 1.7 | 1,445,392 | 1.5 |
| Military Base | 187,744 | 1.3 | 1,138,750 | 1.2 |
| Public School System | 186,568 | 1.3 | 1,114,786 | 1.2 |
| Homeowners' Association | 113,866 | 0.8 | 666,240 | 0.7 |
| Bottling Company | 106,694 | 0.7 | 659,090 | 0.7 |
| Apartment Complex | 61,814 | 0.4 | 360,055 | 0.4 |
| Governmental Entity | 54,222 | 0.4 | 355,372 | 0.4 |
| Hospital | 44,172 | 0.3 | 273,995 | 0.3 |
| Total | 1,611,400 | 10.3%[2] | $9,942,963 | 10.6%[3] |

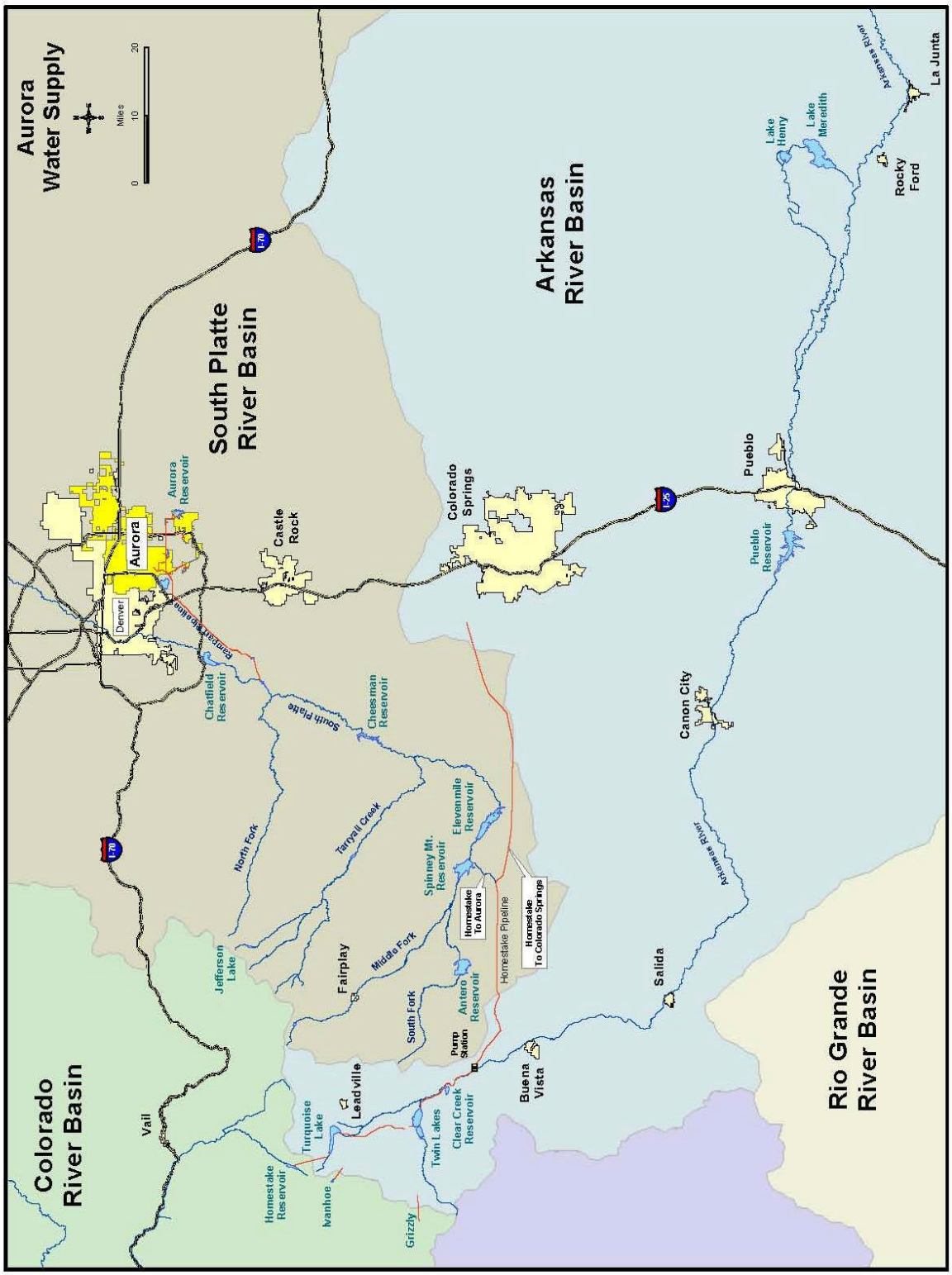
[1] Annual consumption in thousand gallons.
[2] Total consumption in 2015 was approximately 15,661,000 gallons.
[3] Total metered sales in 2015 were $94,028,301.
Source: Aurora Water

## Service Area

The policy of Aurora Water is to make water service available to all the land within the City, provided that each prospective customer making a new connection to the System pays the required connection and development fees. The majority of Aurora Water's customers are within the City. Based on historical population data and trends, the City's planning department estimates that the City's population will grow at a rate of approximately 1.7% each year. The 2015 Financial Plan (see "FINANCIAL INFORMATION CONCERNING THE SYSTEM–The System Financial Plan") assumed growth in the System's customer base at a rate of 1.7%. Currently, there are approximately 70 square miles (a little less than 50% of the total area of the City) of developable vacant land within the City limits. See "Appendix D—GENERAL INFORMATION CONCERNING THE CITY—Growth and Development." Although the City agrees to provide water service to newly annexed areas, the decision as to when there are sufficient inhabitants to make construction of water lines feasible is in the sole discretion of the City. Current City annexation policy requires that owners of property to be annexed by

the City must dedicate to the City any groundwater rights they own. A Water Transmission Development Fee is charged to pay for extension of water lines to the property. Connection fees are also charged when any new customer connection is added to the System. See "THE SYSTEM—Supply Assets," "—Treatment and Distribution Assets" and "FINANCIAL INFORMATION CONCERNING THE SYSTEM—Water Rates and Fees" and "Appendix D—GENERAL INFORMATION CONCERNING THE CITY—Growth and Development." As of December 31, 2015, the System served approximately 81,560 customer accounts.

**WATER SYSTEM AREA MAP**



The following paragraphs describe the major components of the System.

**Supply Assets**

All of the City's surface water supply originates in three major watersheds. Evaluated based on the estimated maximum annual yields of principal raw water supply sources, approximately 67% of the source of supply is from the South Platte River Basin, approximately 18% is from Colorado River Basin and approximately 15% is from the Arkansas River Basin (see the map on preceding page). About 95% of the City's water is derived from renewable surface water supplies. Nearly 75% of the City's water supply was purchased from senior agricultural water users in open market transactions. The raw water yield and storage capacities of the City's water supply system are shown in Tables IV, V and VI.

In the Colorado River Basin, the City is a partner in water supply projects with other governmental agencies. The Homestake Water Project is shared with Colorado Springs Utilities and collects water from the Eagle River watershed. Homestake Reservoir, on Colorado's Western Slope, is used to regulate the seasonal delivery of this supply. The Homestake Tunnel conveys water underneath the Continental Divide to Turquoise Lake, located in the headwaters of the Arkansas River near Leadville. The Busk Ivanhoe Water Project, equally shared by the City and the Pueblo Board of Water Works, also supplies water to Turquoise Lake via the Carlton Tunnel. This water supply originates in the Fryingpan River watershed, a tributary of the Colorado River Basin. The City also owns 5% of the Twin Lakes Project, which collects water from the Roaring Fork watershed and conveys it to Twin Lakes via the Independence Pass Tunnel.

In the upper Arkansas River Basin, Turquoise Lake and Twin Lakes are interconnected through the federally owned Mount Elbert Pipeline, a component of the Fryingpan Arkansas Project. The City purchased water rights historically used to irrigate four ranches in the vicinity of these reservoirs. The City's largest water supply in the Arkansas River Basin originates from agricultural water rights (Rocky Ford Ditch and Colorado Canal) purchased from farms located about 50 miles east of Pueblo. The point of diversion for transferred water derived from these rights is moved upstream to Twin Lakes by exchange, trade, or contract.

Water derived from all of the City's water rights originating in the Colorado and Arkansas River Basins is ultimately delivered to Twin Lakes and then pumped through the Otero Pump Station to Spinney Mountain Reservoir in the headwaters of the South Platte River. The Otero Pump Station, which pumps water over Trout Creek Pass to the Arkansas River, is jointly owned with Colorado Springs Utilities. In the South Platte River Basin, the City's largest source of supply, the City has acquired water rights which were used to irrigate a number of ranches in South Park, located upstream from Spinney Mountain Reservoir and in the Tarryall Creek watershed. Spinney Mountain Reservoir is a major element of the City's water supply system as it captures water supply that yields principally from May through July. Water is released from Spinney Mountain Reservoir down the South Platte River to Strontia Springs Reservoir, a project owned by Denver Water and jointly maintained by the City, Denver Water and other entities.

From Strontia Springs Reservoir, the City's water is combined with water from other surface water rights and delivered into the City via the Rampart Parallel Pipelines. Along the route, water may be temporarily stored in Rampart and Quincy Reservoirs, delivered to one of the City's water treatment plants, or placed in terminal storage at Aurora Reservoir. Water stored at the Aurora Reservoir can be delivered to the Peter D. Binney Water Purification Facility ("Binney") or the Wemlinger Water Treatment Plant for treatment and distribution in the City. Additional supplies from ground water, principally from the Cherry Creek alluvium, are also delivered either directly to the treatment plants or to Quincy Reservoir.

The following table summarizes the City's principal raw water supply sources. Annual volumes shown are based on actual annual yields at the source in acre feet. Each basin has its own unique characteristics which include snowpack, stream flows, irrigation patterns, industrial uses and municipal demands. In the process of collection, transportation and storage of raw water up to, but not including, the treatment facilities, approximately 30% of the gross amounts diverted are lost annually due to evaporation, water rights administration and stream seepage. The table below is not adjusted for these amounts.

**TABLE IV**
**Annual Yields (in acre-feet) of Principal Raw Water Supply Sources**
**by River Basin as of December 31, 2015**

| Source | Minimum[1] | Maximum[2] |
|---|---|---|
| **Colorado River Basin** | | |
| Homestake | 1,500 | 23,112 |
| Busk-Ivanhoe | 125 | 4,189 |
| Twin Lakes | 827 | 3,450 |
| Pueblo Lease | - | 5,000 |
| Colorado River Basin Total | 2,452 | 35,751 |
| **Arkansas River Basin** | | |
| Upper Arkansas Ranches | 76 | 2,179 |
| Rocky Ford Ditch (I and II) | 4,728 | 15,649 |
| Colorado Canal | 818 | 13,102 |
| Arkansas River Basin Total | 5,622 | 30,930 |
| **South Platte River Basin** | | |
| South Platte Above Spinney Mountain Reservoir | 1,698 | 20,502 |
| Spinney Mountain Reservoir | - | 60,391 |
| Tarryall Basin | 504 | 16,412 |
| Last Chance Ditch | 512 | 4,979 |
| Intake Priority | - | 3,074 |
| Denver Basin Wells | 70 | 1,477 |
| Effluent Exchange to Strontia | - | 3,698 |
| Cherry Creek Wells | 148 | 4,783 |
| Prairie Water Well[3] | 707 | 4,127 |
| Return Flows Used[3] | 11,772 | 15,344 |
| Lower South Platte Ag Rights | - | 1,094 |
| South Platte River Basin Total | 15,412 | 135,881 |
| **System Total** | 23,486 | 202,562 |

[1] Minimum yield based on 2002-2015 water year yields.
[2] Maximum yield based on 2002-2015 water year yields.
Note: One acre foot = 325,851 gallons. Excludes return flows. Table IV does not include any short term water leases. Observed flows may be outside the range of the minimum and maximum levels under extreme hydrologic conditions.
[3] Return flows captured are not included as part of native yield.
Source: Aurora Water

Aurora Water estimates that its water rights portfolio can annually deliver 55,300 acre-feet over a four-year period under drought conditions similar to those observed in the early 1950s. This is considered to be the firm yield of the System.

Raw water diverted pursuant to the City's water rights is stored in various reservoirs as described in the following table.

**TABLE V**
**Summary of System Raw Water Storage**
**Capacity (acre-feet) as of December 31, 2015**

| Reservoir | Capacity Available for City Use |
|---|---|
| Pueblo Reservoir | 10,000 |
| Lake Meredith | 8,923 |
| Lake Henry | 845 |
| Twin Lakes | 2,733 |
| Turquoise Reservoir | 20,000 |
| Homestake Reservoir | 21,388 |
| Jefferson Lake | 2,313 |
| Spinney Mountain Reservoir | 53,651 |
| Aurora Reservoir | 31,679 |
| Strontia Springs Reservoir | 700 |
| Rampart Reservoir | 1,295 |
| Quincy Reservoir | 2,693 |
| Total Storage | 156,220 |

Source: Aurora Water

The volumes of water deliverable to the City for its customer uses are reflected by average year yields minus losses plus any supplemental water that must be released from reservoir storage. The volume of water stored in the City's reservoirs increases during wetter periods when the City's water rights produce more yield than actual customer demands and decreases in drier periods when the City's water rights produce less yield than actual customer demands. The following table details the City's raw water supply, outflow and end of year storage.

**TABLE VI**
**System Raw Water Supply, Outflow and Storage (acre-feet)**

| Year | Gross Raw Water System Yield[1] | Lease Water Purchases | Outflow[2] | End of Year Storage[3] | Percent of Total Capacity Filled as of 12/31[4] |
|---|---|---|---|---|---|
| 2010 | 82,387 | 5,031 | 83,300 | 121,575 | 78% |
| 2011 | 96,776 | 5,036 | 88,711 | 129,527 | 83% |
| 2012 | 43,448 | 5,057 | 83,702 | 87,848 | 56% |
| 2013[5] | 90,827 | 5,022 | 69,042 | 99,840 | 64% |
| 2014[5] | 111,325 | 5,012 | 62,195 | 122,683 | 78% |
| 2015 | 89,773 | 6,026 | 98,194 | 118,841 | 76% |

[1] The quantity of water flowing into the raw water system.
[2] The quantity of water flowing from the water system. Includes water supplied to the City's customers and water system losses (e.g. reservoir evaporation and stream transit losses).
[3] Total quantity of water in the City's raw water reservoirs on December 31 of each year.
[4] The lowest reservoir storage typically occurs in April or May before the snowmelt runoff.
[5] There was no storage at Homestake Reservoir during this time due to needed maintenance.
Source: Aurora Water

Based on the System's current capacity, Aurora Water management considers the desired storage as of May 1 to be a minimum of 61% of the total storage (as shown in Table V) or 95,000 acre feet. Various measures have been instituted to encourage conservation and maintain minimum storage as nearly as possible at that level. In 2016, measurements indicate storage has exceeded the 61% target.

**Treatment and Distribution Assets**

***Treatment Facilities***. The City has three potable water purification facilities, the Griswold Water Purification Plant, Wemlinger Water Purification Plant and Binney. Each plant individually has adequate capacity to service the population's peak daily water demands from October through April, which allows for efficient maintenance of the facilities during the winter months. Typically, these water treatment plants deliver up to four times more water on peak summer days than on winter days when only indoor demands must be served. In the normal operations of the System, two of the three plants are kept operational for redundancy purposes. All three plants operate during the peak season to ensure redundancy and uninterrupted supply of treated water.

***Griswold Water Purification Plant*** (formerly known as the Kuiper Water Treatment Plant). The plant was completed in 1968 and provided the City with treatment capacity of 20 million gallons per day (MGD). Expansions in 1972 and 1976 increased the capacity to 50 and 70 MGD, respectively. A renovation completed in 2001 improved water treatment technology and expanded the facility's treatment capacity to approximately 80 MGD.

***Wemlinger Water Purification Plant***. The plant was completed in 1983 as a 40 MGD facility. An expansion of the plant in 1986 increased its treatment capacity to approximately 60 MGD. Expansion and improvements to the plant completed in 2004 increased its capacity to 80 MGD and improved its operational flexibility in treating the variety of water sources available to the City.

***Peter D. Binney Water Purification Plant***. Binney, which began operations in 2010, is currently a 10 MGD facility. A portion of the water processed at Binney comes from the South Platte (Prairie

Waters) source and the remainder comes from mountain sources stored in Aurora Reservoir. Construction is currently underway to expand the plant to an expected capacity of 30 MGD by 2036, the end of the current 20-year capital plan. The design of the plant contemplates that it could be expanded to a total capacity of 100 MGD.

In 2012, Binney received the Marvin M. Black Partnering Excellence Award from the Associated General Contractors of America. In 2016, Binney was also awarded the Phase IV "Excellence in Water Treatment" designation through the American Water Works Association's Partnership for Safe Drinking Water program. In order to achieve this highest level of recognition, staff at Aurora Water had to pass a rigorous evaluation and three levels of review. Only 16 water providers in the country have achieved Phase IV status. Aurora Water's Wemlinger and Griswold facilities received the Phase IV designation in 2008 and 2011 respectively, making Aurora Water the only water provider in the country to have achieved and maintained the Phase IV designation for three treatment facilities.

The following table represents the City's average daily and peak day demands for treated potable water and the consumption of such treated water from 2011 to 2015. Treatment values represent the volume of water delivered to the water treatment plants while consumption values represent the volume of water delivered to the City's distribution system for customer use. The difference between treatment and consumption values represents process water that is not available for customer use.

**TABLE VII**
**Average Daily and Peak Day Demand**
**(In Millions of Gallons per Day)**

| | **2011** | **2012** | **2013** | **2014** | **2015** |
|---|---|---|---|---|---|
| Average Daily Treatment | 45.2 | 47.3 | 40.3 | 40.7 | 42.3 |
| Average Daily Consumption | 42.2 | 45.5 | 39.5 | 39.9 | 41.5 |
| Peak Hour Treatment | 140.6 | 156.4 | 145.5 | 124.0 | 126.0 |
| Peak Day Treatment | 87.4 | 90.8 | 84.8 | 81.5 | 87.0 |
| Peak Day Consumption | 83.7 | 88.5 | 83.9 | 78.3 | 83.0 |

Source: Aurora Water

**TABLE VIII**
**Finished Water Storage—2015**

| Facility | Capacity |
|---|---|
| Griswold Clearwell[1] | 15.0 MG |
| Wemlinger Clearwell[1] | 10.0 MG |
| Smoky Hill Tanks[2] | 14.0 MG |
| Robertsdale | 10.0 MG |
| Blackstone | 5.0 MG |
| Marina | 6.5 MG |
| Powhaton | 3.7 MG |
| Total | 64.2 MG |

[1] A clearwell is a tank or vessel located on-site at a water treatment plant and used for storing treated water. Clearwell storage reduces the need to adjust plant flow rates to meet changing demands in the System.
[2] Includes three tanks.
Source: Aurora Water

***Distribution to Customers***. The water distribution system provides delivery of potable water through a network of system facilities including finished water storage tanks, pump stations, pipelines, pressure reducing stations and service connections. The distribution system includes eight storage tanks capable of holding over 64 million gallons of finished water. Finished water storage (Table VIII) includes clear wells and above grade, at grade and below grade tanks. On average, approximately half of the volume of finished water storage is available for emergency purposes. Emergencies include fire protection, as well as pump station and system outages. The balance of finished water storage is operational storage used to meet peak demand during any given day. Distribution and transmission pipelines range in size from 4 inches up to 66 inches. The System covers eight pressure zones and includes both pumped (eight pump stations) and gravity fed distribution systems.

***Management of Non-Revenue Water.*** Aurora Water performs periodic reviews of the amount of the System's water that is lost to pipeline leakage, evaporation, testing, flushing and other unanticipated sources of water loss between the treatment facilities and the ultimate customers ("non-revenue water"). As of the staff's latest review of the System's non-revenue water in April of 2016, it was estimated that only 4.52% of water passing through the System was non-revenue water.

***Monitoring of Lead in Distribution System.*** Aurora Water reports results for all regulated indicators of water quality on the City website. Water quality tests are conducted in the City's Quality Control Laboratory, which is certified by the Colorado Department of Public Health and Environment (CDPHE). Lead testing is done every three years. Under this schedule, 2016 is a testing year. When 10% of samples taken in a given testing year exceed 15 parts lead per billion, action is required, which would include notification to and education of the public, as well as determining preventative measures to stop the leaching of lead from occurring. The City's most recent test for lead in 2013 did not exceed the 90th percentile action level. Water samples from at least 50 homes that are considered high risk under EPA guidelines are used for the testing.

Because the System is relatively new, there is not a substantial amount of lead pipe in the distribution system. Lead can be found in the service lines or in the solder used to join copper pipes. When lines are replaced or repaired, Aurora Water employees routinely check for lead in the pipes as well as the pipe joints to the extent practicable. Through treatment system best management practices, a protective film develops over discovered lead to help prevent it from leaching into the water. When the

City replaces a lead service line, affected customers are notified and have the option to also replace their lines. Addresses of potentially affected customers are also tracked for possible samples in future tests.

Aurora Water is considering implementing an inspection program to assist customers with identification and remediation regarding lead pipes.

***Water Management Plan***. Drought conditions have existed periodically throughout the mountain states and other parts of the western United States since at least 2000, necessitating careful management of all water uses by municipal water system operators. The last major drought directly affecting the System began in 2002 and ended in 2003. See "FACTORS AFFECTING THE DELIVERY OF WATER TO CUSTOMERS." Each year since 2002, Aurora Water, like other water utilities in the area, has adopted a Water Management Plan which describes various levels of water availability and restrictions that can be implemented depending on water demand, reservoir storage levels, water supply and weather conditions, and the amount of water that is available to meet the City's needs over the subsequent 12 month period or longer. The Water Management Plan identifies six stages of water availability and varying water use limitations at each stage. The intent of the Water Management Plan is to promote prudent water use and encourage citizens to support water conservation programs.

Aurora Water reviews the Water Management Plan in light of mountain snowpack, reservoir levels and other conditions existing in spring and early summer. If conditions warrant, the City Council passes a Water Availability Resolution, adopting a stage of water availability (from Stage I to Stage V), each stage representing a progressively higher demand reduction goal up to Stage V, which would be adopted when emergency drought conditions exist. Irrigation and outdoor water usage become more restricted, under policies established by the Water Management Plan, as the stages progress. When no drought stages are declared, a normal schedule is recommended for all customers, to limit watering to three days a week during the demand use period. Pursuant to the Water Management Plan, the Director or his or her designee monitors water supply and demand conditions on a weekly basis during the months of March through September and on a monthly basis from October through February. The City Council may make any necessary program or policy changes, or alter the Water Availability Resolution and its implementation, based on the recommendation of the Director.

Pursuant to the City Code, as incorporated into the Water Management Plan, water availability surcharges are assessed, in addition to standard rates, when a customer's water usage exceeds amounts permitted under the City's relevant Water Availability Resolution. Progressive rate surcharges are implemented at the four highest water availability stages. The applied water availability surcharge for each customer is based on the customer's cumulative usage in each tier or rate, as applicable, under the approved water availability stage. The surcharges are meant to both encourage consumer conservation of water as well as prevent potential losses in revenue during drought conditions. Compliance by customers with the Water Management Plan is mandatory and enforceable as provided by the City Code. A customer's first violation of the restrictions imposed under the Water Management Plan results in a warning. Any subsequent violations within a 12-month period result in fines being added to the violator's water bill.

The System forms a physical and operating framework onto which future supply elements can be added to increase System reliability and to meet the current and future customer needs. The Prairie Waters system, which began operations in 2010, provides an additional supply capacity that can be used to protect customers during severe droughts. However, it is still necessary to aggressively conserve the System's water supply by maintaining minimum acceptable reservoir levels in case long-term dry conditions are experienced in the future. Additional water sources are being obtained and water development projects are expected to provide contributions to the City's water rights portfolio. In the near term, acquisition of smaller blocks of water, water leases, water restrictions and supplies available

through Prairie Waters are expected to be used to manage the City's overall water assets. Interim water supplies are available through dry year leases and optional water leases. Prior Water Management Plans have focused on the goal of accelerated recovery of reservoir levels. As of May 1, 2016 measurements indicated reservoir storage levels exceeded normal operating conditions prior to the 2016 outdoor watering season.

**Homeland Security**

The City has implemented various security measures designed to protect critical portions of the System from acts of terrorism and other hazards. Beginning early in 2002 key Aurora Water employees participated in the Sandia Labs training Risk Assessment Methodology for Water Systems ("RAMW") and have performed numerous Risk Self-Assessment Tests. In addition, all key City employees have attended and have been certified in the National Incident Management System ("NIMS") and key managers attended a weeklong training at the Homeland Security Training Institute in Emmitsburg, Virginia. Aurora Water maintains emergency action plans for the System which include each of its dams, and coordinates annually with federal, State, and local jurisdictions on communication plans and protocol if an emergency were to occur.

A Vulnerability Assessment was conducted in 2003 which identified key recommendations for protecting Aurora's system. This assessment was sent to and approved by the EPA. All facilities have been hardened to protect them from potential immediate threats, agreements have been made with local police and fire and a tightening of policies and procedures has occurred at water facilities. In 2005, the City upgraded all existing critical sites with an advanced security system.

InfraGuard (FBI) notifies Aurora Water of credible threats against drinking water infrastructure identified by law enforcement agencies, locally or nationally. Additionally, a private security company has been put on retainer to provide additional security if a threat warrants.

## CAPITAL IMPROVEMENT PLANNING

The following summarizes the current status of Aurora Water's capital improvement planning for the System.

**System Expansion and Improvement Projects**

Based on the results of the latest master plan study, water demand by 2045, with enhanced conservation programs, is projected to increase about 45% to 78,000 acre feet annually to serve a population of 570,000. Water sources to meet projected demand are expected to be developed through a variety of capital projects including the further acquisition of water rights through new source development, purchase and transfer from existing senior water rights, leases, operating agreements and expansion of the reclaimed water system. The addition of these new water sources will require construction of diversion structures, storage reservoirs, pump station expansions, transmission pipelines, expansion of the distribution system and treated water storage reservoirs. All facilities are expected to be designed and operated to meet federal drinking water standards and the reliability/security standards expected of a major municipal water system. Management of water demand and development of both nonpotable and indirect potable uses, as well as further limited development of groundwater sources, is expected to reduce or delay the amount of trans basin water resources that must be developed.

Aurora Water is finalizing an Integrated Water Master Plan (the "IWMP") in 2016 to guide the development of the various capital improvements, and the acquisition of new water resources based on

water demand projections and a prioritization of the most viable water supply alternatives. The plan is under final review and is expected to be updated periodically by Aurora Water.

***Supply Assets***. A key element of the future System capital improvements program is the addition of major raw water storage. This storage is expected to be developed through storage reallocation of existing facilities, construction of off-channel reservoirs and/or operating agreements with other water agencies resulting in higher levels of seasonal operating storage and drought resilience of the System. It is projected that more than 100,000 acre feet of additional storage capacity could be developed by Aurora Water by year 2050 of which 50,000-75,000 acre-feet could be developed by 2025. Short term reservoir projects include the acquisition of gravel pits to facilitate water rights exchanges and storage of reclaimed water and reusable return flows.

The City maintains a continuing program of acquiring senior agricultural water rights for transfer to municipal use. The City expects the costs of these rights to continue to rise. A review of potentially available water rights on select ditch systems that can be integrated with proposed System operations has been completed and has focused efforts on certain water rights for acquisition when they become available. All rights acquired under this program would need to be transferred to municipal use. The City is also considering entering into short term leases or interruptible supply programs with parties who may want to temporarily cease their irrigation operations and provide water for municipal use. This arrangement has been used by the City in recent leasing programs in the Arkansas Valley.

***Wild Horse Acquisition.*** In accordance with the City's ongoing commitment to acquire additional System reservoir and storage capacity, the City is in the process of purchasing the land for a reservoir to be known as Wild Horse in Park County. The purchase and sale contract for the Wild Horse property is expected to be complete by August of this year. The estimated build-out cost of the reservoir after acquisition of the site is $92 million. The City would not be required to acquire additional water rights to use Wild Horse, which is located approximately 10 miles from the System's Spinney Mountain Reservoir. According to preliminary projections, Wild Horse could provide the City with an additional 32,400 acre-feet of water storage. The Wild Horse project has a target completion date of 2022.

***Planned Improvements to Treatment and Distribution Assets***. The City upgraded the Griswold Water Purification Plant to 80 MGD and completed the upgrading and expansion of the Wemlinger Water Purification Plant to 80 MGD in 2004. Binney is able to produce 10 MGD from South Platte (Prairie Waters) Water and is being expanded to meet future needs. The plants provide the City with water treatment capacity and process upgrades capable of meeting and exceeding all federal drinking water standards. See "CAPITAL IMPROVEMENT PLANNING."

Aurora Water, as part of its master planning process, continuously reviews delivery system needs as the City continues to grow. The IWMP contemplates expected expansion of development in the City along the E 470 corridor and the Northeast Plains area. A phased expansion of water distribution pipelines, pump stations and finished water storage reservoirs is planned. The delivery of high quality drinking water to all existing and new customers on the System requires the construction and operation of a fully integrated and looped water distribution system to stabilize the operating demands on the City's water treatment plants.

**Capital Plan**

The long term Capital Improvement Plan (the "CIP") of the System contemplates a capital budget for System expansion and improvement through 2025 of nearly $627 million (inflation adjusted). The CIP projects approximately $358 million of this amount to be incurred in 2016 through 2020. Major costs over Aurora Water's 20-year capital plan (commencing in 2016 and concluding in 2036) include

water storage projects along with treatment plant expansions and water rights acquisitions. The CIP is expected to be funded through a combination of available cash of Aurora Water and future bond proceeds, if needed.

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**TABLE IX**
**Capital Improvement Program (In Thousands)**

| Capital Project Type[1] | FY 2016 | FY 2017 | FY 2018 | FY 2019 | FY 2020 | FY 2021 | FY 2022 | FY 2023 | FY 2024 | FY 2025 | TOTALS |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Operations and General Management[2] | $ 1,559 | $ 417 | $1,687 | $3,785 | $3,811 | $ 4,272 | $8,349 | $2,040 | $ 1,147 | $ 867 | $27,933 |
| Pumping[3] | 6,821 | 2,200 | 4,497 | 0 | 0 | 0 | 0 | 0 | 7,976 | 85 | 21,580 |
| Source of Supply – Other[4] | 3,900 | 6,000 | 5,250 | 3,050 | 3,928 | 2,750 | 22,635 | 250 | 735 | 2,435 | 50,933 |
| Source of Supply – Storage[5] | 25,753 | 30,167 | 19,800 | 82,907 | 10,460 | 5,865 | 10,848 | 4,000 | 9,038 | 4,150 | 202,987 |
| Source of Supply – Water[6] | 8,188 | 7,040 | 9,736 | 12,933 | 936 | 7,236 | 936 | 15,554 | 13,305 | 12,682 | 88,547 |
| Transmission and Distribution[7] | 9,588 | 7,955 | 18,795 | 15,994 | 11,344 | 8,154 | 22,350 | 21,838 | 26,349 | 16,039 | 158,404 |
| Treatment[8] | 13,705 | 11,468 | 7,646 | 6,046 | 886 | 4,990 | 0 | 0 | 1,730 | 29,945 | 76,416 |
| TOTALS | $69,513 | $65,247 | $67,412 | $124,715 | $31,365 | $33,267 | $65,118 | $43,682 | $60,279 | $66,202 | $626,799 |

[1] FY 2016 reflects 2016 Adopted Budget appropriations; remaining years reflect estimated future appropriations. The System's financial plan is done on a cash, rather an appropriation, basis.
[2] Refers to projects dedicated to the maintenance of citywide water operations, including automated meters, uninterruptable power supply, vault/valve rehab and future maintenance facilities.
[3] Refers to projects to maintain or improve existing pump stations and new pumping facilities.
[4] Refers to pipelines, wells, tunnels and projects associated with facilitating the storage of water and transporting stored water.
[5] Refers to reservoirs, gravel pits, water storage projects and land acquisition for associated storage projects.
[6] Refers to water rights acquisitions, rehabilitation and maintenance of existing storage facilities.
[7] Refers to projects used to operate, maintain, improve, or construct new facilities used to convey water throughout the System, predominately through pipelines.
[8] Refers to projects used to operate, maintain, improve, or construct new treatment facilities, or projects related to the treatment of water.

## FACTORS AFFECTING THE DELIVERY OF WATER TO CUSTOMERS

The following describes some of the factors affecting the ability of the System and other municipal water systems in Colorado to generate revenue by delivering water to their customers.

***The Prior Appropriation System of Water Rights***. Colorado and most other western States follow the prior appropriation doctrine for allocating and administering tributary water (i.e., water in, or hydrologically connected to surface streams). The Colorado Constitution provides that rights to use tributary water are rights of use, which means that water may be used pursuant to water rights but the water itself is not actually owned. While tributary water rights are transferred and encumbered in a manner similar to real estate, the ownership of land does not carry with it the ownership of tributary water rights. Rather, tributary water rights arise from the act of diverting water and putting it to particular beneficial uses recognized by State law.

The seniority of a tributary water right, i.e. its priority in the event that there is not enough water physically available for all who wish to divert water from the same source, is established mainly by reference to the date of appropriation (i.e., the taking of steps to put the tributary water to beneficial use) by the owner in the Water Courts of the State ("Water Court") adjudication proceeding. Earlier adjudications are generally senior to later adjudications. Water Court decrees typically specify the amount, place and type of use and the water rights must be used in that manner unless the Water Court approves a change of the place and type of use. For purposes of describing water rights, quantities of water are typically expressed in acre feet (one acre foot = 325,851 gallons, the amount which would cover one acre with one foot of water) or in cubic feet per second ("c.f.s.") of flow. This discussion primarily concerns direct flow tributary water rights, i.e., rights to divert water flowing in a stream or other body of water. State law also recognizes tributary storage rights and rights to exchange tributary water. Additionally, State laws provide for ownership of underground water. If underground water has a direct connection to the surface stream it is administered as the tributary water. Underground water with only an attenuated connection, or no connection with surface streams, is referred to as non-tributary water. Non-tributary water is non-renewable (i.e. after it is used it is not replenished naturally) and its use and ownership is based upon a different system that treats such water as an element of land ownership similar to a mineral interest.

Senior tributary water rights are often purchased by municipalities from agricultural users and then changed through a proceeding in the Water Court from their historically decreed agricultural use to municipal use. Water Court decrees of this kind generally include conditions meant to prevent injury to other users of water by replicating historic patterns of use. There exists an active market in senior tributary water rights, which are highly valued and sought after by municipal, industrial, agricultural and other users.

***Water Rights Acquisitions and Water Court Proceedings.*** As part of its ongoing process of acquiring water rights, the City must seek decrees concerning the status of its water rights from the Water Court. The City presently has numerous cases pending in the Water Court, in which the issues relate to: (1) changes in the beneficial use of water rights from irrigation to uses in the System; (2) changes in points of diversion of water to which the City has rights; (3) the amount of water actually yielded by water rights of the City; or (4) various combinations of the foregoing issues. In some Water Court proceedings involving trans-mountain water rights, the objectors include well-organized and funded western slope water interests. Water Court proceedings are considered necessary in the ordinary course of development and operation of the System, and generally concern the City's use, at its points of diversion, of such water rights, or the protection of acquired water rights. The City believes these cases can be concluded without material adverse effect on Aurora Water's future financial position or the operations of the System.

***Physical Availability of Water***. The process of water administration and ownership of rights to the use of water reflects the semi-arid climate and relative scarcity of water in the region. All of the available surface water comes from streams carrying seasonal snowmelt from the higher elevations of the Rocky Mountains. The physical availability of water from this source is substantially affected by seasonal weather patterns which cannot be relied on from year to year. In the event of low stream flows in a particular year, a "call" may result, in which owners of junior tributary water rights are required to cease diversions to accommodate owners of more senior tributary water rights. The seasonality of available flows and high variability in runoff conditions between years are the reasons large reservoirs are an important part of the City's raw water infrastructure. The City currently maintains reservoir storage capacity equivalent to approximately three years of customer demand to mitigate the effects of varying water runoff conditions and severe droughts.

***Climate Change.*** Staff of Aurora Water are continually accumulating data for purposes of estimating whether and to what extent permanent changes in weather patterns ("climate change") may affect the quality or quantity of existing or future water supplies. Changes in weather patterns could have various effects on the operations of the System, in addition to affecting the total yield of the System's sources of supply. For example, while historic drought conditions were experienced in 2002, resulting in substantial depletion of reservoir storage, heavy spring rains in recent years have exceeded reservoir storage capacity in some cases, a condition which could be managed by the acquisition or construction of additional reservoir space. Master planning efforts include measures intended to make the System more robust to account for changes in run-off and water yields likely to be encountered with potential climate change.

***Environmental Concerns***. The operation of the System, including the administration of its sources of supply, is subject to substantial environmental protection regulation under local, State and federal law. Aurora Water management believes it is presently in compliance with all material regulations. Due to the constantly changing environmental regulatory environment, there can be no assurance that new laws and regulations or new interpretations of existing laws and regulations will not frustrate or delay otherwise feasible projects or result in increased capital and operating expenses for the System. This has occurred in other water development and public works projects in recent years throughout the United States.

Various federal and State legislative measures have influenced prior water development proposals by the City. Such legislation, and the related claims made by special interest groups as well as federal and state agencies, generally concern environmental policies, land use, appropriation of water, and water quality. The constraints imposed by environmental laws and regulations can potentially limit the current yield or further expansion of existing water projects as well as prohibit or significantly modify new project development. The following summarizes some of the issues related to existing laws or proceedings.

The National Environmental Policy Act of 1969 subjects a water project that is within the regulatory jurisdiction of the federal government to a detailed analysis of the impact of that project upon the environment. In addition to an examination of potential project alternatives, an environmental assessment or environmental impact statement is to be prepared and reviewed as part of the federal decision making process. This requirement has had the effect of both delaying projects and increasing project costs, and may apply to various construction projects proposed for the System in the future.

The Federal Land Policy and Management Act ("FLPMA") authorizes the issuance by the federal government of easements or special use permits for rights of way for water facilities crossing or located upon federal property. Some seventy-five percent of the City's watershed is on federal land, primarily belonging to the United States Forest Service. The special use permits include conditions considered

necessary to protect the environment. All rights of way issued under FLPMA are for limited periods of time and frequently contain reopener provisions. Upon renewal or reopening, additional conditions, such as minimum stream flow or bypass requirements, may be imposed, the effect of which could be a reduction in the amount of water available to the City in the future.

The federal government has designated large parcels of federally owned mountain land as controlled land use areas pending an evaluation for possible inclusion within the national wilderness preservation system. The inclusion of land within a wilderness area may render a water source unusable due to access restrictions and federal reserved rights claims, or force a change to a more expensive alternate development plan. Furthermore, in 2012 the United States Department of Agriculture Forest Service (USFS) adopted the Colorado Roadless Rule, which restricts development of roads within specified lands throughout Colorado. While the rule included provisions to allow roads under certain circumstances, such as fire reduction efforts, construction and maintenance of water conveyance structures, and exploration and development of coal resources in the North Fork coal mining area, these provisions have not been tested. It is still unclear how the rule will be implemented should it be necessary to develop water conveyance structures in designated roadless areas.

In 2011, the United States Forest Service (the "USFS") attempted to revise special use permit regulations by including a stipulation that required ski areas relinquish their water rights to the USFS if the ski areas wished to maintain their special use permits. A number of Colorado ski areas challenged the new permit conditions in U.S. District Court. The Court ruled in favor of the ski areas in 2012 by providing the permit regulation violated federal procedural rules, failed to evaluate economic impact and violated ski area rights. Had the ruling gone differently, it may have impacted water projects on federal lands where special use permits must be maintained with the USFS. However, there is still a chance the USFS will pursue legal action in which it claims vested federal reserved rights to water flowing in and through National Forests. The priorities claimed for these water rights can predate the priorities of certain water rights of the City. The forest areas of primary concern to the City are the Arapahoe-Roosevelt, Pike/San Isabel and White River National Forests, all of which were reserved by the United States Forest Service. These forests, located within the Colorado River and Arkansas River drainages, include sources of City owned rights and entitlements connected with the Homestake Project and other material sources of water for the System.

The Federal Wild and Scenic Rivers Act is designed to protect certain free flowing waters identified by federal agencies. This Act allows a river to be designated by Congress as wild, scenic or recreational depending upon the degree of existing encroachment. Designation of a segment carries with it a federal reserved water right, and may also affect flow management of the river and its corridor with respect to water quality. The South Platte River from Eleven-Mile Reservoir to Strontia Springs Reservoir was excluded from designation through the designation of the South Platte Protection Plan, which provided an alternative to listing and protects the outstandingly remarkable values envisioned in the Act. A similar plan is being negotiated on the Colorado River.

The federal Clean Water Act, as amended in 1987 and currently enforced by federal and State entities with regulatory responsibility for water quality protection, creates the potential for additional constraints on water diversion and water management activities. This is relevant in light of a United States Supreme Court case decided in 1994 in which the Court held that hydrologic modifications (i.e., a water diversion that causes a change in the flow of a stream or river) may impact instream water quality requirements under the federal Clean Water Act, and thus, instream flow permit conditions may be appropriate to protect designated beneficial uses. Additionally, two federal court of appeals decisions rendered in 2001 and 2002 (outside Aurora Water's jurisdiction) raise the issue whether a permit is necessary for transbasin diversions. The U.S. Supreme Court has remanded for further factual determination by a lower court this issue from a case in Florida that could impact other water utilities in

the West if a broad interpretation is made of those specific circumstances. Such new permitting conditions, along with existing requirements imposed under Section 404 of the Federal Clean Water Act (relating to dredge and fill permits), Section 401 (relating to state water quality certification conditions), Section 303(d) (relating to impairment and pollutant load and wasteload allocations), and those which may be necessary to meet Section 319 (nonpoint source best management practices) may increase the costs of System operation and development. These regulations may also affect the viability or configuration of a proposed water project in terms of where a project can be located (both from the standpoint of source water protection and minimization of environmental impacts) and the size and operations of the project. Furthermore, the EPA continues to emphasize drinking water quality and watershed planning, which could lead to future changes in the law, such as new or more stringent drinking water criteria, more scrutiny on new projects to ensure that they will not degrade existing water quality levels, and changes to water quality standards for constituents such as sediment and nutrient loading. These developments could impact System construction and operation. For instance, changes in the law related to these issues could necessitate more advanced drinking water treatment technology, result in further restrictions on the siting of new water storage projects, and mandate additional watershed protection measures and operational safeguards to protect new and existing drinking water sources from pollution. In late 2015, the EPA in conjunction with the United State Army Corps of Engineers (the "Corps") released a new rule clarifying the definition of what was considered a "Water of the United States" and therefore subject to the requirements of the federal Clean Water Act. While EPA and the Corps claimed the rule was merely a clarification, it stood to have substantial impacts on water projects throughout the US, in particular, on projects in the arid west. Waters and wetlands that historically would not have been considered "Waters of the United States" would have come under EPA and the Corps jurisdiction and, therefore, would have been subject to the permitting requirements of the Clean Water Act. The rule has been stayed by a U.S. District court pending a number of legal challenges to the rule by several States and industry groups.

The federal Endangered Species Act requires consultation with the U.S. Fish and Wildlife Service (the "USFWS") by a federal agency before the agency issues any authorization or permit for an activity. If the USFWS determines that the proposed activity will have a detrimental impact on threatened or endangered species or their habitat, it must identify a reasonable and prudent alternative which would not jeopardize the species or result in the destruction of its habitat. The Section 7 consultation process and the Section 9 "take" provisions of the Federal Endangered Species Act may result in a decrease in project yields and/or an increase in project costs. Construction activities in certain areas in and around the System may be impacted by threatened or endangered species designations which can require special permits, conservation plans and consultation with the USFWS. Furthermore, the USFWS recently adopted changes to the Endangered Species Act (the "ESA") regulations which considerably change the regulatory definitions related to "critical habitat" and "adverse modification," increasing the agencies' discretion to designate and protect areas that do not presently contain features essential to the conservation of an endangered species. The result of these changes could cause extensive expansion of the impact of the ESA on the development of lands, including the development of water rights. Water diversions in the South Platte and Colorado Rivers are currently allowed without Section 7 consultations due to robust programs to protect identified threatened and endangered species. The System is a participant and supporter of these programs.

Colorado county land use powers under H.B. 1041, adopted by the Colorado legislature in 1974, may be used to regulate new water projects or the expansion of existing projects. Specifically, any municipal water project built in unincorporated portions of Colorado counties will need to comply with the permitting requirements imposed by H.B. 1041. This process may include public hearings and imposition of permit conditions to alleviate perceived environmental harms or nuisance conditions. In addition, project alternatives may need to be analyzed, although the law is unsettled in this area. Thus, the time associated with the H.B. 1041 review process in impacted counties and the possibility of

additional environmental conditions imposed on projects may cause delays or increase project costs, require a change in a project's approach or even result in the denial of permitting for the project.

During the 2001 legislative session, the Colorado General Assembly passed Senate Bill 216, which authorized the Colorado Water Conservation Board to make recommendations to the Water Court on Recreation In Channel Diversion Water Rights filings. If the Water Court grants the rights requested in these filings, they become junior water rights, but may be problematic for senior water rights owners. Recreation In Channel Diversion Water Rights filings are becoming problematic for future water development and may make it more difficult for municipalities to develop additional water supply on certain rivers.

***State Water Plan.*** A State task force appointed by the Governor of Colorado has prepared a preliminary State Water Plan with a view to instituting policies protecting the interest of all water users in the State. The State Water Plan is also meant to encourage the efficient use of water as well as the preservation of environmental, scenic and recreational values. As of the date of this Official Statement, the State Water Plan remains in the preliminary stages and currently contains only general policy statements. Consequently, it is not possible for Aurora Water to identify specific effects the State Water Plan may have on the management of the System or Prairie Waters.

***Mechanical Capacity of the System***. System pipeline and reservoir capacities must be balanced with water supply and demand for an integrated system to optimally perform. Even where an adequate supply of water is legally and physically available, the mechanical characteristics of a given utility system may limit operations or the use of the available raw water supply. For example, water supply may seasonally exceed diversion or storage capacity during some wet years. This can, and has, resulted in loss of otherwise divertible flows.

## PRAIRIE WATERS

### In General

Prairie Waters was designed to substantially increase the raw water supplies available to the System by maximizing the use of the City's water rights, primarily for the purpose of improving the drought resistance of the System. Prairie Waters also serves future growth and facilitates future expansions of the System.

The City undertook a detailed study of various methods of drought hardening the System during 2003, after drought conditions prevailing over preceding years had reduced the amounts of water in storage to historically low levels. Management of the System considered these levels to be inadequate for a water utility the size of the System. See "TABLE VI—System Raw Water Supply, Outflow and Storage."

As the result of a detailed comparison of available alternatives, the City concluded that the best method of expanding available water supplies and providing for future needs of the System would be the construction of a pipeline and associated structures to permit the use of the City's rights to return flows under its existing water rights. Prairie Waters accomplishes this by withdrawing water from the lower South Platte River downstream of the metropolitan area and transporting it to the Peter D. Binney Water Purification Facility ("Binney") treatment plant and distribution facilities in the City.

Prairie Waters had a total estimated cost of approximately $754,800,000 and was financed from a combination of proceeds of the Series 2007A Bonds, proceeds of a $75,000,000 second-lien loan from the Colorado Water Conservation Board, a loan to the City funded with the proceeds of a Colorado Water

Resources and Power Development Authority revenue bond issue (the "Series 2005D Bonds"), cash on hand and available revenues of the System. The City was able to complete Prairie Waters on schedule and more than $100 million under the original projected project cost, allowing the City to reduce its related borrowing from $600 million to $542.6 million. A substantial part of that borrowing has been paid in the ordinary course or prepaid from available cash. The loan funded by the Series 2005D Bonds was paid in full by the City in June of 2015.

**Successive Uses of Existing Water Rights**

Typically, water rights developed within a river basin can only be used once and return flows are available for downstream users. However, the majority of the City's existing water rights include the right to use return flows from interbasin and transferred agricultural waters to extinction, i.e. successive uses can be made by diverting water from the river because of the classification of such rights under the State's water laws.

A substantial amount of the City's diverted water is returned to the South Platte River following its use by System customers. This process results in reusable return flows that are available for successive uses by the System. The terms "return flow" and "re use" in this context refer to a specific volume of water being returned to the river as the result of the City's use of its water rights, rather than to the same water being reused. The efficient use of return flows significantly increases the value of upstream water rights and minimizes or delays the need to acquire additional trans basin waters from the Colorado or Arkansas River basins. Prairie Waters was designed to utilize these reusable return flows, as well as amounts of water which may become available from additional transfers of decreed water rights along the South Platte River, to supplement the yields otherwise available from the System's water rights. Supplemental South Platte water rights acquired for this purpose would typically be agricultural water rights that would be required to be transferred to municipal use through the State's Water Court system.

Substantially all of the City's existing surface water supplies are diverted from the South Platte River at Strontia Springs Reservoir, above the metropolitan area, and transported to raw water storage and treatment facilities of the System through the Rampart Parallel Pipelines. See "THE SYSTEM—Supply Assets." Although Prairie Waters water is also obtained from the South Platte River, it is withdrawn through shallow wells adjacent to the South Platte River, downstream of the metropolitan area. Because of differences in treatment requirements between the Strontia Springs/Rampart Parallel Pipeline water and Prairie Waters water, Prairie Waters incorporates additional steps in the treatment process, both immediately after Prairie Waters water is withdrawn and at the water purification facility, where it is blended with water from Aurora Reservoir and the Rampart Pipeline.

**Components of Prairie Waters**

Prairie Waters consists of three principal components (collectively, the "Core Project"): (1) a facility (the "North Campus") adjacent to the South Platte River at a downstream location generally between Brighton and Fort Lupton, Colorado, for the extraction of water through shallow wells approximately 300 feet from the River, and initial purification of the well water in aquifer recharge and recovery facilities, including recharge basins and wells for the extraction of water beneath the basins; (2) a 60" diameter conveyance pipeline including three pumping stations (the "Conveyance System") extending from the North Campus approximately 34 miles to the vicinity of the existing Aurora Reservoir, east of the City; and (3) Binney, a water purification facility able to process 10 MGD which is being expanded and is expected to eventually have a capacity to process 50 MGD, employing advanced high intensity ultraviolet light treatment, as well as coal, sand and activated charcoal filtration and disinfection, with associated connections to the System's existing treatment and distribution facilities. Following the multiple stage filtration and treatment process, water from Binney is blended with

mountain water delivered through the Rampart Pipeline or Aurora Reservoir and treated at the City's existing treatment plants. See "PRAIRIE WATERS SCHEMATIC" and "ILLUSTRATION OF PRAIRIE WATERS COMPONENTS."

Although particular features of Prairie Waters have been successfully employed in other water systems, Prairie Waters is believed to be one of the largest and most innovative projects of its kind ever constructed in the United States using all of such features in a single plan. The Core Project, as completed in 2010, was designed to immediately increase the City's supply of raw water by 10,000 acre feet annually. Prairie Waters can therefore supply approximately 20% of the City's current demand. It delivers as much as nine million gallons of water to the City daily and is expandable to 50 MGD with additional infrastructure. The current 20-year capital plan includes expanding Prairie Waters to 30 MGD. Prairie Waters is the cornerstone of a water supply plan that is expected to help meet the City's needs for decades.

**Current Status**

The Core Project was completed in April 2010, followed by a requisite six-month start-up and testing period, and became fully operational in October 2010 (nearly three months ahead of the scheduled December completion). Budgeted at $754.8 million, Prairie Waters came in well under budget at $637.4 million. The project uses both natural cleansing processes and state-of-the-art purification technology to deliver an additional capacity of 3.3 billion gallons of water per year to the City. The Prairie Waters system opened with 17 alluvial wells drilled (average from 30 to 50 feet deep) within 200 yards of the banks of the South Platte River in Weld County, Colorado to pull the water through hundreds of feet of sand and gravel to clean out impurities ("Riverbank Filtration"). Riverbank Filtration is a cost-effective natural pretreatment technology used in water systems throughout the world, which has gained acceptance in the United States in recent years. The well water is delivered either to the North Campus aquifer-recharge-and-recovery basin where it percolates through more sand and gravel over a longer period of time to remove more contaminants or piped directly to the transmission system, then, via 34 miles of 60-inch diameter pipeline and three pump stations, to Binney near the Aurora Reservoir. At Binney, the water undergoes some of the most advanced purification processes in the country. The entire system can be monitored and operated remotely by flow control operators at the treatment plants. Data is transmitted via fiber-optic cable running parallel to the pipeline. Buildings at the Binney site are designed to blend in with the Aurora Reservoir park's surroundings, in some cases being constructed partially below ground.

Recently, Riverbank Filtration was expanded from 17 alluvial wells to 23 alluvial wells to increase the capacity of the Prairie Waters system. Current projects underway to increase the output and the efficiency of water treatment at Binney include the outfitting of four South Platte Train filters, conversion of four existing solids dewatering lagoons to drying beds, addition of a new gravity thickener and thickened solids pump station for residual handling, and additional storage for cationic polymer used in the treatment process.

Together with Aurora Water's mountain supply, Prairie Waters provides residents with drought protection and the additional water supply to accommodate future customers.

**Out-of-City Water Deliveries**

As one of the largest water providers in the State, Aurora Water has the capacity to deliver substantial amounts of water by contract to public water systems outside the City limits, at negotiated rates, without impairing deliveries to in-City customers.

***The WISE Partnership.*** Prairie Waters enables the City to generate third party revenues through a regional water supply project (the "Water Infrastructure and Supply Efficiency Partnership" or "WISE Partnership") by putting Prairie Waters to greater use in times when the full system capacity is not needed by City customers. The WISE Partnership is a regional water supply project among Aurora Water, Denver Water and the South Metro WISE Authority ("South Metro") (collectively, the "WISE Parties"). The South Metro WISE Authority is a quasi-governmental entity created by intergovernmental agreement among the third-party members identified below. The three-party WISE Partnership is authorized under various intergovernmental agreements and the Amended and Restated WISE Delivery Agreement (the "WDA"), effective December 31, 2013, among the WISE Parties.

The WISE Partnership is intended to provide for average deliveries of 7,225 acre-feet/year from Aurora Water and Denver Water reusable supplies through Prairie Waters to South Metro, for delivery to its ten third party members, which include: (i) Town of Castle Rock; (ii) Dominion Water and Sanitation District; (iii) Stonegate Village Metropolitan District; (iv) Cottonwood Water and Sanitation District; (v) Denver Southeast Suburban Water and Sanitation District (also known as Pinery Water and Wastewater District); (vi) Centennial Water and Sanitation District; (vii) Rangeview Metropolitan District; (viii) Parker Water and Sanitation District; (ix) Meridian Metropolitan District; and (x) Inverness Water and Sanitation District. Each of the third-party members is the current or prospective owner or operator of water utility infrastructure within its service area and has need for supplemental water supplies, although their individual needs and circumstances vary.

The WDA provides that Aurora Water and Denver Water will deliver at least 72,250 acre-feet over 10-year blocks (an average of 7,225 acre-feet per year). The deliveries may potentially grow to an average of 100,000 acre-feet per ten year period (an average of 10,000 acre-feet per year) under the WISE Water Reservation Agreement, an option agreement entered into with Douglas County and the WISE Parties on January 30, 2015. WISE deliveries are subject to interruption by Aurora Water and Denver Water under certain circumstances provided in the WDA. Aurora Water and Denver Water can limit deliveries as necessary to protect deliveries to their primary customers, including interrupting deliveries for up to 24 consecutive months. For this reason, the WDA provides a supplemental, rather than primary, source of water to the third-party WISE members, which must also have their own primary supplies.

The WISE Partnership delivery system is currently in the process of being placed in operation, with initial infrastructure to allow for water delivery, to be built by South Metro, being close to completion. The costs of all infrastructure needs for delivery to South Metro are the responsibility of South Metro. Upon the completion of a temporary connection at Binney, limited deliveries are expected to begin in late 2016 with full deliveries expected to start in 2021. By agreement, minimum deliveries are required starting June 1, 2017. Delivery minimums start at 1,500 acre-feet in 2017 and increase to 5,000 acre-feet in 2020 before full deliveries start on June 1, 2021.

The WISE water rate is based on a cost of service rate methodology outlined in the WDA. That rate takes into consideration the cost of infrastructure used, the cost of operations and maintenance, the cost of raw water and a rate of return on capital for Aurora Water.

***Roxborough Water and Sanitation District Contracts.*** Under an Intergovernmental Agreement executed December 20, 2010 and effective December 20, 2010, (the "Roxborough Agreement"), which superseded previous agreements originally entered into as far back as 1972, the City, acting by and through Aurora Water, agreed to provide Roxborough Water and Sanitation District ("Roxborough") a perpetual supply of raw water, either from the Rampart Pipeline through the Roxborough treatment plant, or from the WISE Partnership through an East Cherry Creek Valley Water and Sanitation District pipeline, at an initial rate of $3.77 per 1,000 gallons of water, increased annually in an amount equal to 70% of the percentage increase in the City's treated water user rates in its service area. The Roxborough

Agreement also provides for the payment of certain one-time development and connection fees with respect to capital improvements and increases in delivery capacity. A second agreement dated as of October 15, 2014 between the City and Roxborough (the "150 Agreement") provides for a one-time use of an additional 150 acre-feet of water by Roxborough on an emergency basis to supply certain small water providers in Douglas County (the "150 Service Area"), currently operating with nonrenewable supplies of well water.

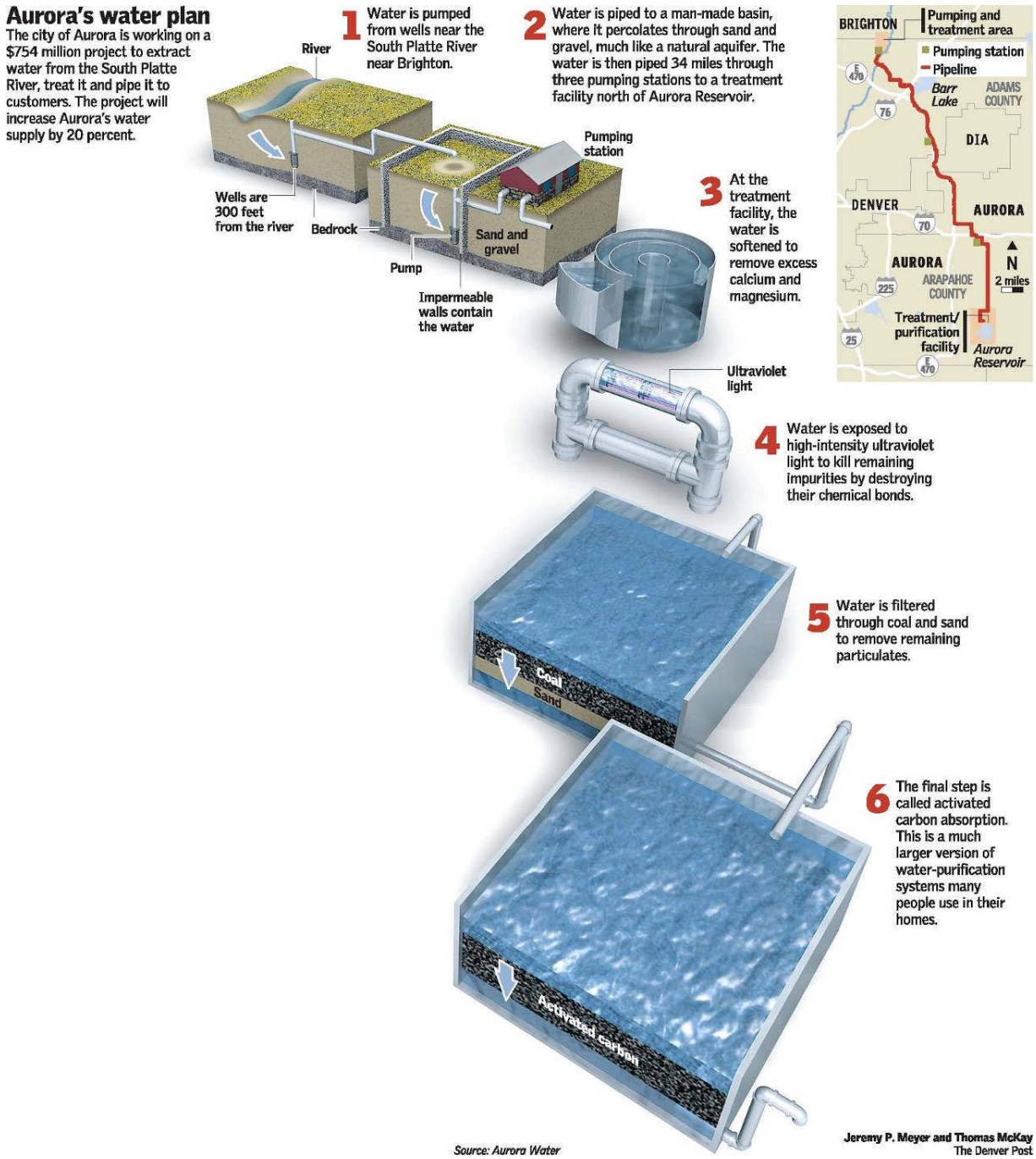
***Dominion Water and Sanitation District Contracts.*** Dominion Water and Sanitation District ("Dominion"), a governmental entity formed to provide water to an area outside the City, is planning utility services to Sterling Ranch, a 3,400 acre/12,000 home mixed use proposed development located near Chatfield Reservoir in Douglas County. Dominion is a member of the WISE Partnership as a subscriber of 1,325 acre-feet, and is a member of South Metro. Under the WDA, South Metro has initiated infrastructure development which may permit deliveries as early as November 2016 to some members. However, since Sterling Ranch's construction began in 2015, Dominion's immediate need for water for that purpose could not be met under the WDA, and Dominion is consequently reliant upon temporary water supply service agreements with the City in order to bridge its supply needs until the WDA is fully functional.

The City's current agreements with Dominion include (1) an Agreement for the Trade of Water, dated as of October 1, 2009 (the "Trade Agreement"); (2) an Intergovernmental Agreement for Temporary Lease of Water dated July 30, 2012 (the "570 Agreement"); and (3) an Intergovernmental Agreement for Delivery of Water dated December 11, 2013 (the "250 Agreement" and together with the 570 Agreement, the "Dominion Agreements"). The Trade Agreement provided for Dominion to surrender certain water rights owned by it as the result of a stipulation entered into with the City of Thornton, Colorado, to Aurora Water in return for Aurora Water's agreement to deliver 230 acre-feet of water annually to Dominion on a permanent basis from a location to be determined between Strontia Springs Reservoir and the outlet works of Chatfield Reservoir in the Southwest portion of the metropolitan area. In 2009, the Trade Agreement was amended to specify that deliveries would be made at a point adjacent to the Roxborough treatment plant. The 250 and 570 Agreements together provide for Aurora Water to deliver annually a total of up to 820 acre-feet of water derived from mountain sources, through the Rampart Pipeline and Roxborough Treatment Plant to Dominion, or, in the case of the 250 Agreement, from other sources, for use in Sterling Ranch. Both of the 250 and 570 Agreements contemplate that Dominion will ultimately utilize WISE water as its primary supply, at which time deliveries under the 570 Agreement, but not the 250 Agreement, would cease. Rates payable under the 570 Agreement for deliveries of water to Dominion are $5.52/1000 gallons (the WISE delivery rate, subject to adjustment in the same manner provided in the WDA). Rates payable under the 250 Agreement for deliveries of water to Dominion are from $3.09/1000 gallons to $6.84/1000 gallons, depending on the source of water and location of delivery, adjusted annually. The delivery rate under the Trade Agreement is the 2010 rate of $3.77/1000 gallons, adjusted annually.

The City and Dominion have had discussions concerning the possibility of constructing additional infrastructure to permit deliveries of WISE water directly to Dominion, but no specific agreement has been reached.

**PRAIRIE WATERS PROJECT SCHEMATIC**

## ILLUSTRATION OF PRAIRIE WATERS PROJECT COMPONENTS



## DEBT STRUCTURE OF THE SYSTEM

The following tables summarize the outstanding water obligations of the City and Aurora Water and their annual debt service requirements.

### TABLE X
### Debt Supported by Water Fund Revenues as of December 31, 2015

| Issue | Dated | Original Amount | Interest Rate | Maturity Date | Principal Outstanding |
|---|---|---|---|---|---|
| **First-Lien Water Revenue Obligations** | | | | | |
| Water Improvement Revenue Bonds, Series 2007A[1] | 07/11/07 | $421,495,000 | 4.75%-5.00% | 2039 | $421,495,000 |
| Water Refunding Revenue Bonds, Series 2008A[1] | 04/23/08 | 39,995,000 | 4.63%–5.00% | 2033 | 39,995,000 |
| Total First-Lien Water Revenue Obligations | | | | | $ 461,490,000 |
| **Second-Lien Water Revenue Obligations** | | | | | |
| CWCB Loan[1] | 11/20/07 | $75,750,000 | 3.75% | 2040 | $70,844,813 |
| Total Second-Lien Water Revenue Obligations | | | | | $70,844,813 |
| **Subordinate-Lien Water Revenue Obligations** | | | | | |
| Rocky Ford Ditch II Water Rights Notes | Various 2004 | $ 8,280,091 | 5.00% | 2019 | $530,649 |
| Total Subordinate-Lien Water Revenue Obligations | | | | | $530,649 |
| **Total** | | | | | $ 532,865,462 |

[1] To be refunded by the Series 2016 Bonds.

**TABLE XI**
**Summary of Debt Service Requirements to Maturity**

| Year | First-Lien Water Revenue Obligations[1] Principal | First-Lien Water Revenue Obligations[1] Interest | Subordinate Water Revenue Obligations[2] Principal | Subordinate Water Revenue Obligations[2] Interest | Total Requirements to Maturity |
|---|---|---|---|---|---|
| 2016 | $ -- | $ -- | $176,883 | $26,532 | $ 203,415 |
| 2017 | -- | 18,147,048 | 176,883 | 17,688 | 18,341,619 |
| 2018 | -- | 18,936,050 | 176,882 | 8,844 | 19,121,776 |
| 2019 | -- | 18,936,050 | -- | -- | 18,936,050 |
| 2020 | 2,350,000 | 19,048,550 | -- | -- | 21,398,550 |
| 2021 | 4,855,000 | 19,013,300 | -- | -- | 23,868,300 |
| 2022 | 7,565,000 | 18,770,550 | -- | -- | 26,335,550 |
| 2023 | 10,410,000 | 18,392,300 | -- | -- | 28,802,300 |
| 2024 | 10,930,000 | 17,871,800 | -- | -- | 28,801,800 |
| 2025 | 11,445,000 | 17,357,800 | -- | -- | 28,802,800 |
| 2026 | 12,015,000 | 16,785,550 | -- | -- | 28,800,550 |
| 2027 | 12,015,000 | 16,787,300 | -- | -- | 28,802,300 |
| 2028 | 12,615,000 | 16,186,550 | -- | -- | 28,801,550 |
| 2029 | 13,245,000 | 15,555,800 | -- | -- | 28,800,800 |
| 2030 | 13,905,000 | 14,893,550 | -- | -- | 28,798,550 |
| 2031 | 14,600,000 | 14,198,300 | -- | -- | 28,798,300 |
| 2032 | 14,880,000 | 13,918,300 | -- | -- | 28,798,300 |
| 2033 | 15,565,000 | 13,234,750 | -- | -- | 28,799,750 |
| 2034 | 16,345,000 | 12,456,500 | -- | -- | 28,801,500 |
| 2035 | 17,160,000 | 11,639,250 | -- | -- | 28,799,250 |
| 2036 | 18,020,000 | 10,781,250 | -- | -- | 28,801,250 |
| 2037 | 18,920,000 | 9,880,250 | -- | -- | 28,800,250 |
| 2038 | 19,715,000 | 9,084,950 | -- | -- | 28,799,950 |
| 2039 | 20,545,000 | 8,254,400 | -- | -- | 28,799,400 |
| 2040 | 21,415,000 | 7,387,050 | -- | -- | 28,802,050 |
| 2041 | 22,320,000 | 6,480,900 | -- | -- | 28,800,900 |
| 2042 | 23,040,000 | 5,759,500 | -- | -- | 28,799,500 |
| 2043 | 24,090,000 | 4,710,900 | -- | -- | 28,800,900 |
| 2044 | 25,185,000 | 3,613,000 | -- | -- | 28,798,000 |
| 2045 | 26,335,000 | 2,463,650 | -- | -- | 28,798,650 |
| 2046 | 27,540,000 | 1,260,200 | -- | -- | 28,800,200 |
| | $437,025,000 | $381,805,348 | $530,648 | $53,064 | $819,414,060 |

[1] Series 2016 Bonds; exclusive of Refunded Obligations to be refunded by the Series 2016 Bonds.
[2] Includes certain contractual obligations not secured by a lien upon, but payable from, Net Pledged Revenues on a basis subordinate to first-lien obligations.

**TABLE XII**
**Historic Debt Service Coverage for Water Fund for the Fiscal Years ended December 31, 2011—2015**

| | 2011 | 2012 | 2013 | 2014 | 2015 |
|---|---|---|---|---|---|
| Pledged Revenue: | | | | | |
| Charges for Services[1] | $ 104,943,606 | $112,403,991 | $97,187,860 | $125,028,918 | $ 102,488,841 |
| Connection and Development Fees[2] | 13,898,708 | 20,243,327 | 22,003,577 | 20,126,862 | 26,671,937 |
| Investment Income and Other Non-operating Revenue[3] | 6,287,725 | 4,124,923 | 5,780,984 | 5,396,725 | 4,636,544 |
| Total Pledged Revenue | 125,130,039 | 136,772,241 | 124,972,421 | 150,552,505 | 133,797,322 |
| Operating Expenses[4] | (46,573,513) | (45,857,363) | (46,864,006) | (51,489,719) | (53,355,471) |
| Net Pledged Revenue | 78,556,526 | 90,914,878 | 78,108,415 | 99,062,786 | 80,441,851 |
| First Lien Revenue Obligations—Debt Service | 34,665,365 | 29,660,125 | 25,265,338 | 24,746,935 | 24,012,297 |
| First Lien Revenue Obligations—Coverage | 2.27 | 3.07 | 3.09 | 4.00 | 3.35 |
| All Revenue Obligations—Debt Service | 45,356,604 | 33,220,589 | 30,371,679 | 29,383,915 | 28,640,434 |
| All Revenue Obligations—Coverage | 1.73 | 2.74 | 2.57 | 3.37 | 2.81 |

[1] Includes charges for services, licenses and permits. 2014 includes a one-time payment from Roxborough in the amount of $26.3 million.
[2] Includes connection, main extension and front footage fees and drought replacement surcharge (for applicable years). Does not include annexation fees.
[3] Includes investment income and other non-operating revenue, less the adjustment to fair value.
[4] Excludes depreciation and amortization expenses.
Source: Aurora Water

Based on the 2016 System budget and projected Net Pledged Revenues, management of the System currently estimates the following approximate debt service coverage in the years 2016-2021:

**TABLE XIII**
**Estimated Debt Service Coverage for Water Fund for the Fiscal Years ended December 31, 2016—2021**

| | 2016 Budget[5] | 2017 Estimate[5] | 2018 Estimate[5] | 2019 Estimate[5] | 2020 Estimate[5] | 2021 Estimate[5] |
|---|---|---|---|---|---|---|
| Pledged Revenue: | | | | | | |
| Charges for Services[1] | $101,606,659 | $102,304,967 | $104,152,833 | $107,262,673 | $110,780,531 | $115,095,936 |
| Connection and Development Fees[2] | 23,432,390 | 36,140,807 | 36,636,579 | 37,530,775 | 37,997,781 | 31,152,645 |
| Investment Income and Other Non-operating Revenue[3] | 3,691,971 | 1,155,667 | 1,072,337 | 1,039,259 | 1,053,908 | 1,025,504 |
| Total Pledged Revenue | 128,731,020 | 139,601,441 | 141,861,750 | 145,832,707 | 149,832,220 | 147,274,085 |
| Operating Expenses[4] | (53,931,995) | (56,816,579) | (60,077,593) | (63,339,153) | (65,553,541) | (69,048,521) |
| Net Pledged Revenue | 74,799,024 | 82,784,862 | 81,784,157 | 82,493,554 | 84,278,678 | 78,225,564 |
| First Lien Revenue Obligations—Debt Service | 22,931,125 | 18,147,048 | 18,936,050 | 18,936,050 | 21,398,550 | 23,868,300 |
| First Lien Revenue Obligations—Coverage | 3.26 | 4.56 | 4.32 | 4.36 | 3.94 | 3.28 |
| All Revenue Obligations—Debt Service | 27,508,316 | 18,343,799 | 19,123,957 | 18,938,230 | 21,400,730 | 23,870,480 |
| All Revenue Obligations—Coverage | 2.72 | 4.51 | 4.28 | 4.36 | 3.94 | 3.28 |

[1] Includes charges for services, licenses and permits.
[2] Includes connection, main extension and front footage fees and drought replacement surcharge (for applicable years). Does not include annexation fees.
[3] Includes investment income and other non-operating revenue, less the adjustment to fair value.
[4] Excludes depreciation and amortization expenses.
[5] Estimated based upon assumptions concerning future operations, including events and conditions which are not within Aurora Water's control, used by Aurora Water for planning purposes. These estimates assume Aurora Water does not implement an increase in rates charged to its customers during the years indicated. Actual results will vary from the assumptions and such variations may be material.
Source: Aurora Water

## FINANCIAL INFORMATION CONCERNING THE SYSTEM

### Operating History

The following table sets forth the operating history of the Water Fund for the years indicated.

**TABLE XIV**
**City of Aurora Water Fund**
**Comparative Schedule of Revenues, Expenses and Changes in Net Assets**
**Years Ended December 31**[1]

| | 2011 | 2012 | 2013 | 2014 | 2015 |
|---|---|---|---|---|---|
| **Operating Revenues** | | | | | |
| *Charges for services* | | | | | |
| Customers | $104,941,420 | $112,403,991 | $97,187,860 | $125,028,918 | $102,488,841 |
| **Operating Expenses** | | | | | |
| Cost of Sales and Services | 42,202,299 | 41,782,745 | 42,640,617 | 49,351,361 | 50,393,700 |
| Administrative Expenses | 4,371,213 | 4,074,618 | 4,223,389 | 2,138,358 | 2,961,771 |
| Depreciation | 14,734,196 | 26,608,375 | 28,469,745 | 29,495,894 | 29,472,592 |
| Total Operating Expenses | 61,307,708 | 72,465,738 | 75,333,751 | 80,985,613 | 82,828,063 |
| Operating Income | 43,633,712 | 39,938,253 | 21,854,109 | 44,043,305 | 19,660,778 |
| **Nonoperating Revenues (Expenses)** | | | | | |
| Investment Earnings | 4,407,179 | 3,744,862 | 2,006,894 | 3,858,080 | 3,202,708 |
| Intergovernmental Revenue | 556,905 | 94,055 | 2,180,526 | 1,723,351 | 653,591 |
| Miscellaneous Revenue | 599,663 | 347,362 | 267,117 | 240,691 | 431,871 |
| Interest Expense | (8,334,345) | (28,561,411) | (25,650,137) | (24,211,342) | (22,652,684) |
| Amortization of premiums and (discounts) | (848,667) | 955,621 | 398,385 | 677,935 | 375,461 |
| Gain (loss) Disposal Capital Assets | (209,190) | (1,340,467) | (2,089,943) | (271,577) | 26,070 |
| Gain on early extinguishment of debt | 0 | (5,643,142) | 0 | (1,563,264) | 117,614 |
| Equity in Joint Venture | (31,334) | (32,165) | (33,628) | 59,356 | 32,742 |
| Net Non-Operating Revenues (Expenses) | (3,859,789) | (30,435,285) | (22,920,786) | (19,486,770) | (17,812,627) |
| **Income (Loss) Before Contributions and Transfers** | 39,773,923 | 9,502,968 | (1,066,677) | 24,556,535 | 1,848,151 |
| Connection and Development Fees | | | | | |
| Capital Contributions | 14,855,566 | 21,571,350 | 23,137,323 | 22,167,754 | 32,335,016 |
| Transfers In | 0 | 0 | 0 | 0 | 0 |
| CHANGE IN NET ASSETS | 54,629,489 | 31,074,318 | 22,070,646 | 46,724,289 | 34,183,167 |
| NET POSITION—January 1, before restatement | 1,011,290,399 | 1,065,919,888 | 1,092,184,940 | 1,114,255,586 | 1,160,979,875 |
| Adjustment for Change in Accounting Principle | 0 | (4,809,266) | 0 | 0 | (156,872) |
| NET POSITION—January 1, after restatement | 1,011,290,399 | 1,061,110,622 | 1,092,184,940 | 1,114,255,586 | 1,160,823,003 |
| NET POSITION – December 31 | $1,065,919,888 | $1,092,184,940 | $1,114,255,586 | $1,160,979,875 | $1,195,006,170 |

[1] See Appendix B to this Official Statement containing the audited financial statements of the City for the year ended December 31, 2015 and accompanying notes for more complete information related to the Water Fund.

**TABLE XV**
**City of Aurora Water Fund**
**Schedule of Sources, Uses and Changes in Funds Available**
**Actual, (Non-GAAP) Budgetary Basis Years Ended December 31**

| | 2011 | 2012 | 2013 | 2014 | 2015 |
|---|---|---|---|---|---|
| **Sources** | | | | | |
| Charges for Services[1] | $104,863,804 | $112,331,690 | $ 97,069,815 | $124,914,163 | $102,351,506 |
| Licenses and Permits | 77,651 | 72,301 | 118,045 | 114,755 | 134,042 |
| Intergovernmental | 683,770 | 91,838 | 2,210,135 | 1,690,524 | 2,748,403 |
| Investment Income | 5,189,532 | 3,651,642 | 3,233,568 | 3,356,081 | 3,363,669 |
| Miscellaneous Revenues[2] | 14,269,871 | 20,537,453 | 22,364,904 | 20,731,335 | 25,288,266 |
| Proceeds—Sale of Assets | 27,160 | 31,864 | 99,773 | 76,602 | 187,413 |
| Proceeds—Long Term Borrowing | 0 | 0 | 0 | 0 | 0 |
| Transfers In | 0 | 0 | 0 | 0 | 0 |
| Funds from Restricted Assets | 3,391,681 | 380,000 | 910,000 | (241,757) | 0 |
| Total Sources | 128,503,469 | 137,096,788 | 126,006,240 | 150,641,703 | 134,073,299 |
| **Uses** | | | | | |
| Operations | 46,643,402 | 45,670,384 | 48,073,583 | 51,506,689 | 52,411,507 |
| Debt Service[3] | 87,404,817 | 79,438,761 | 30,262,144 | 54,431,224 | 57,521,783 |
| Capital Projects—Allocated | (11,242,452) | 6,250,052 | 15,917,846 | 53,330,405 | 35,765,778 |
| Total Uses | 122,805,767 | 131,359,197 | 94,253,573 | 159,268,318 | 145,699,068 |
| Change in Funds Available | 5,697,702 | 5,737,591 | 31,752,667 | (8,626,615) | (11,625,769) |
| **Funds Available—January 1** | 34,085,325 | 39,783,027 | 45,520,618 | 77,273,285 | 68,646,670 |
| **Funds Available—December 31** | $ 39,783,027 | $ 45,520,618 | $ 77,273,285 | $ 68,646,670 | $ 57,020,901 |

[1] 2014 amount includes $26.3 million one-time payment from Roxborough.
[2] Includes connection, development and annexation fees in addition to other miscellaneous revenues.
[3] Includes voluntary prepayments in 2011, 2012, 2014 and 2015.

## Management's Discussion and Analysis of Trends in Water Fund Financial Results

***Introduction.*** Aurora Water maintains a major water supply asset acquisition and capital improvements development program for the System to enhance the level of service provided to existing customers and to respond to projected growth in the City. A prior cycle of capital investment in the early 1980s created surplus capacity in the System to meet at least two decades of growth. The System during that period was able to minimize major capital expenditures and maintain both user rates and connection fees at a level that met the operating needs of the System and distribution system expansions for newly developed areas of the City. Projections of planned population growth indicate that the System will require significant new water supplies on a sustained and accumulating basis in the coming decades. The addition of new sources of water from river and ditch systems that are currently applied to other uses (primarily agriculture) will require raw water collection and storage systems, and related infrastructure such as transmission pipelines and pump stations. Increasingly stringent drinking water quality standards and customer expectations will require expansions and continuing upgrades in water treatment capabilities and improvements in distribution pipelines and finished water reservoirs within the City system.

The City acquires water supplies from a variety of primarily renewable surface water sources. The City's infrastructure allows for the recapture of legally reusable return flows as described under the

captions "FACTORS AFFECTING THE DELIVERY OF WATER TO CUSTOMERS" and "PRAIRIE WATERS–Successive Uses of Existing Water Rights." Lawn irrigation and sewer treatment return flows can be quantified and corresponding volumes of South Platte water reused as established by Water Court adjudication. Also, tertiary treatment of effluent provides water of sufficient quality that it can be used for irrigation of parks, golf courses and other open spaces. Thus, the System enhances itself through the recapture of these supplies.

The right to use water is a transferable property right in Colorado. Many of the renewable surface water supplies that the City may acquire in the future are currently used for agricultural purposes and must be transferred through proceedings before State Water Courts. Technical, environmental, economic and institutional issues must be addressed in those proceedings. The Water Court determines supply amounts, priorities, diversion points and legal status. Once transferred, the transferred supply is protected from injury by owners and users of other water rights. Accordingly, the City acts opportunistically and aggressively to acquire these water resources when they can be effectively and efficiently integrated into the City's system. Aurora Water expects to continually assess whether its forecasted revenues, operating expenses and capital needs may require periodic adjustments in rates and user fees to allow for the continued opportunistic development of water sources and ensure the System maintains sufficient fund balances.

The City has conducted a comprehensive assessment of available water resources in the State of Colorado and anticipates the continued development of water reclamation opportunities, agricultural transfers of water, conservation and demand management strategies and cooperative projects with other water users under an integrated resources plan.

***2014 Financial Results***. In 2014, Aurora Water continued to benefit from a strong recovery in the economy with increased development, resulting in increased connections and revenues. The 2014 charges for water services totaled $125.0 million. They exceeded the 2014 budgeted amount by $17.3 million or 16.1% and increased from 2013 results by $27.8 million or 28.6%. The increase over 2013 results was primarily due to a one-time payment from Roxborough Water & Sanitation District of $26.3 million under a water supply agreement. When excluding the Roxborough Water and Sanitation District payment, Utility Sales were down $8.8 million in 2014 compared to the budgeted amount due to a wetter than average irrigation season. No water rate increases were requested by the Water Department in 2014.

Total operating expenses in 2014 were $81.0 million, including depreciation, which was $5.6 million more than 2013. The total change reflects increases in employee compensation and benefits, depreciation, large increases in costs for activities related to construction improvement projects and also increases in legal costs. The net assets of the System continued to grow due to acquisition of water rights and construction of facilities.

***2015 Financial Results***. In 2015, the economy continued to grow in the Denver metro area. The charges for water services totaled $102.5 million. They were under the 2015 budgeted amount by $9.0 million or 8.1% and below 2014 results by $22.5 million or 18.0%. The decrease from 2014 results was primarily due to a one-time payment from Roxborough Water & Sanitation District of $26.3 million in 2014 under a water supply agreement. Charges for water service were up $3.8 million in 2015 compared to the budgeted amount, excluding the one-time Roxborough payment from 2014. No water rate increases were requested by Aurora Water in 2015.

Total operating expenses in 2015 were $83.0 million, including depreciation. The total operating expenses increased by $2.0M, which is around a 2.5% growth. The increase included compensation and benefit increases and general inflationary increases. A debt prepayment of $29.6 million was also made in 2015.

***2016 Financial Plan***. The 2016 Adopted Budget assumes overall revenues of $132.1 million. As part of the 2016 Water Financial Plan update, revenues will be reviewed and updated as needed.

Connection and development fees are projected at $23.4 million, a slight increase as development continues to be strong.

**The System Financial Plan**

Since 2007 Aurora Water has performed annual updates of the Water Enterprise Financial Plan (the "Financial Plan"). The first version of the plan was approved by the City Council on March 26, 2007. The Financial Plan incorporates a comprehensive capital and operating plan, a cash flow model for the System, and includes a 15-year schedule of water rate increases for system requirements. The Financial Plan is used by Aurora Water Managers in the overall management of the System. The 2016 cash flow model associated with the Financial Plan uses the results of the Integrated Water Master Plan (the "IWMP") and the demand forecast study developed by Aurora Water's Planning & Engineering Department. The IWMP resulted in a scheduling of capital costs consistent with water demand requirements of the system.

The Financial Plan demonstrates the necessary rate increases sufficient to pay annual operating and capital costs as well as maintaining the required debt service coverage and target reserve requirements. The assumptions used in the Financial Plan and cash flow model are subject to revision in the future as warranted by circumstances.

The rates currently charged to System customers are believed to be competitive with other systems in the Denver metropolitan area. The Financial Plan assumes the timely completion of the IWMP Project within its current schedule and contemplates a specific program of rate and fees increases which must be implemented to provide the required revenues. While the City Council has the authority to increase rates to whatever extent necessary to meet the City's obligations, there is no assurance that unforeseen circumstances will not require greater rate increases than currently contemplated.

**Financial Policies; Debt Service Coverage**

Aurora Water maintains voluntary financial policies which reflect management's current understanding of industry best practices. The financial policies are not mandatory and may be changed from time to time, at the discretion of Aurora Water, with Council approval. In general, the financial policies are contained in a document approved by the City Council on July 11, 2016, stating goals which include rate setting practices; impact fees; maintenance of debt service coverage in excess of bond covenant requirements; capital planning; maintenance of credit ratings; and optimum levels of reserves and liquidity. In addition, the policies contemplate continued acquisition of water supplies and infrastructure sufficient to accommodate growth and provide drought protection, maintenance of high water quality, and the employment of various mechanisms for conservation and wise use of water.

Table XII describes the historic coverage of revenues over debt service for the System during the years 2011 through 2015 and management's current estimates with respect to coverage in the years 2016-2021.

**Debt Service Prepayments**

Since 2010, Aurora Water has used cash on hand to prepay or defease a number of outstanding obligations, which practice has favorably affected debt service requirements and coverage. Once Prairie Waters was substantially completed, the cash balance in the Water Fund was reviewed and, due to the low

rate of return on investments, it was determined to be more advantageous to prepay debt rather than to continue to invest the cash balances. Even after completion of these transactions, Aurora Water has had sufficient liquidity to operate as needed. In addition, prepayment of debt also helped to smooth out the Water Fund debt repayment schedule. Since 2010, Aurora Water has prepaid a little over $140 million in par value of debt resulting in aggregate net present value savings on debt service costs of nearly $43 million.

**Water Rates and Fees**

Water rates and fees are established by the City Council by ordinance. The Colorado Supreme Court has held that rate ordinances are administrative, rather than legislative, in nature and are therefore not subject to popular referendum.

Since 2002, Aurora Water has been billing on a tiered basis to encourage conservation. Aurora Water uses an inclining tier structure with a base rate for all properties.

Aurora Water's practice is to examine its water rates and fee structure on an annual basis in connection with the City's fall budget cycle. For financial planning purposes, Aurora Water annually prepares an updated fifteen year financial plan. Separate subfunds accounting for operations and capital functions are maintained in the financial plan for rate and fee setting purposes. Operating and capital improvement project spending is updated in the financial plan based on growth and development trends, system improvements, and the cost of providing service to water customers. Operating revenues sufficient to support operations, maintenance and administrative costs, routine capital outlay, and debt service requirements are projected in the financial plan. Rates for water service within the City are generally designed to recover costs of service from customers related to the service provided. Additional goals for rate design include: (a) conservation, (b) affordability, (c) system equity among customer classes and between current users and new growth in the City, (d) rate stability, and financial stability. Development fees are maintained at levels sufficient to fund the cost of growth related infrastructure inclusive of water source development and acquisitions costs. Rate and development related fee increases necessary to support operation and development, as identified in the financial plan, are presented to Council for approval by ordinance.

The 2016 financial plan model uses the results of the IWMP and the demand forecast developed through the master planning process. The IWMP provided the scheduling of capital costs consistent with the IWMP water demand requirements of the System to meet future customer needs.

The following tables summarize the City's historic, current and adopted service charges and water usage rates. The City continues to monitor its service charges needs. Based in part upon a 2006 rate study, the City implemented substantial rate increases prior to and during the financing of Prairie Waters in anticipation of the financial needs of that project. Due to a combination of various factors, including conditions in the construction industry, economic trends and financial precautionary measures taken by the City, Prairie Waters project costs were substantially lower than anticipated in the 2006 rate study. As a result, there was no need to adjust rates after the completion of Prairie Waters. Aurora Water is currently engaged in an ongoing process of evaluating the need for future rate increases and expects to adjust rates as needed. The following table compares actual rate increases in the years 2007-2016 to those anticipated in the 2006 rate study.

**TABLE XVI**
**Comparison between 2006 Rate Study and Approved Rate Increases**

| | **2007** | **2008** | **2009** | **2010** | **2011** | **2012** | **2013** | **2014** | **2015** | **2016** |
|---|---|---|---|---|---|---|---|---|---|---|
| Approved Rate Increase: | 12% | 12% | 8% | 7.5% | 0% | 0% | 0% | 0% | 0% | 0% |
| 2006 Rate Study: | 12% | 12% | 12% | 12% | 9% | 9% | 9% | 9% | 9% | 9% |

**TABLE XVII**
**Water Service Charges and Usage Rates**
**Monthly Service Charges**
**For Residential, Multi-Family & Commercial Accounts**

| Meter Size | 2007 | 2008 | 2009 | 2010 | 2011 | 2012 | 2013 | 2014 | 2015 | 2016 (March) |
|---|---|---|---|---|---|---|---|---|---|---|
| 5/8”&3/4” | $8.50 | $10.39 | $11.22 | $12.06 | $12.06 | $12.06 | $12.06 | $12.06 | $12.06 | $12.06 |
| 1” | 11.67 | 15.31 | 16.53 | 17.77 | 17.77 | 17.77 | 17.77 | 17.77 | 17.77 | 17.77 |
| 1-1/4” | 11.67 | 15.31 | 16.53 | 17.77 | 17.77 | 17.77 | 17.77 | 17.77 | 17.77 | 17.77 |
| 1-1/2” | 18.70 | 23.52 | 25.40 | 27.31 | 27.31 | 27.31 | 27.31 | 27.31 | 27.31 | 27.31 |
| 2” | 27.20 | 33.37 | 36.04 | 38.74 | 38.74 | 38.74 | 38.74 | 38.74 | 38.74 | 38.74 |
| 3” | 53.90 | 59.63 | 64.40 | 69.23 | 69.23 | 69.23 | 69.23 | 69.23 | 69.23 | 69.23 |
| 4” | 145.38 | 89.17 | 96.30 | 103.53 | 103.53 | 103.53 | 103.53 | 103.53 | 103.53 | 103.53 |
| 6” | 286.11 | 171.24 | 184.94 | 198.81 | 198.81 | 198.81 | 198.81 | 198.81 | 198.81 | 198.81 |
| 8” | 356.51 | 401.03 | 433.11 | 465.60 | 465.60 | 465.60 | 465.60 | 465.60 | 465.60 | 465.60 |

**TABLE XVII Continued**
**Monthly Service Charges**
**For Irrigation Accounts Only**

| Meter Size | 2007 | 2008 | 2009 | 2010 | 2011 | 2012 | 2013 | 2014 | 2015 | 2016 (March) |
|---|---|---|---|---|---|---|---|---|---|---|
| 5/8”&3/4” | $8.50 | $9.01 | $9.73 | $10.46 | $10.46 | $10.46 | $10.46 | $10.46 | $10.46 | $10.46 |
| 1” | 11.67 | 11.86 | 12.81 | 13.77 | 13.77 | 13.77 | 13.77 | 13.77 | 13.77 | 13.77 |
| 1-1/4” | 11.67 | 11.86 | 12.81 | 13.77 | 13.77 | 13.77 | 13.77 | 13.77 | 13.77 | 13.77 |
| 1-1/2” | 18.70 | 16.61 | 17.94 | 19.28 | 19.28 | 19.28 | 19.28 | 19.28 | 19.28 | 19.28 |
| 2” | 27.20 | 22.32 | 24.11 | 25.91 | 25.91 | 25.91 | 25.91 | 25.91 | 25.91 | 25.91 |
| 3” | 53.90 | 37.53 | 40.53 | 43.57 | 43.57 | 43.57 | 43.57 | 43.57 | 43.57 | 43.57 |
| 4” | 145.38 | 54.65 | 59.02 | 63.45 | 63.45 | 63.45 | 63.45 | 63.45 | 63.45 | 63.45 |
| 6” | 286.11 | 102.19 | 110.37 | 118.64 | 118.64 | 118.64 | 118.64 | 118.64 | 118.64 | 118.64 |
| 8” | 356.51 | 235.30 | 254.12 | 273.18 | 273.18 | 273.18 | 273.18 | 273.18 | 273.18 | 273.18 |

| Type of Account | Use Rate per 1,000 Gallons | | | Use Rate per 1,000 Gallons | | Use Rate per 1,000 Gallons | |
|---|---|---|---|---|---|---|---|
| | 2012 | 2013 | 2014 | 2015 | | 2016 | |
| Residential (1-4 Units) | $5.27 | $5.27 | $5.27 | $5.27 | Tier 1–(0 – 20,000) gals | $5.27 | Tier 1–(0 – 20,000) gals |
| | 6.00 | 6.00 | 6.00 | 6.00 | Tier 2–(20,001 – 40,000) gals | 6.00 | Tier 2–(20,001 – 40,000) gals |
| | 7.50 | 7.50 | 7.50 | 7.50 | Tier 3–(40,001 and above) gals | 7.50 | Tier 3–(40,001 and above) gals |
| Multi-Family (five or more units) | $5.60 | $5.60 | $5.60 | $5.60 | Up to 100% of allocation | $5.60 | Up to 100% of allocation |
| | 6.16 | 6.16 | 6.16 | 6.16 | All usage over 100% allocation | 6.16 | All usage over 100% allocation |
| Commercial [5] | $5.67 | $5.67 | $5.67 | $5.67 | Up to 100% of allocation | $5.67 | Up to 100% of allocation |
| | 6.24 | 6.24 | 6.24 | 6.24 | All usage over 100% of allocation | 6.24 | All usage over 100% of allocation |
| Irrigation | $6.48 | $6.48 | $6.48 | $6.48 | Up to 100% of allocation | $6.48 | Up to 100% of allocation |
| | 7.13 | 7.13 | 7.13 | 7.13 | All usage over 100% of allocation | 7.13 | All usage over 100% of allocation |

[1] Monthly fee equals the Monthly Service charge (based on meter size) plus a charge per 1,000 gallons used

[2] Rate structure has three tiers for residential based on number of gallons used. Multi-family, commercial and irrigation rate is based on allocation. Tier 1 rates apply to multi-family, commercial and irrigation accounts for water usage up to 100% of allocation. All water usage over allocation is billed at the Tier 2 rates.

**TABLE XVIII**
**Water Service Connection Fees**

| Type and Size of Connection | Water Service Connection Fee | | | | |
|---|---|---|---|---|---|
| | 2012 | 2013 | 2014 | 2015 | 2016 |
| Single Family Detached | | | | | |
| 5/8" & 3/4" | $24,460 | $24,460 | See Below Table | See Below Table | See Below Table |
| 1" | 43,700 | 43,700 | See Below Table | See Below Table | See Below Table |
| Single Family Attached (per unit) | 13,515 | 13,515 | 8,814 | 8,814 | 8,814 |
| Multi-Family (per unit) | 12,494 | 12,494 | 8,814 | 8,814 | 8,814 |
| Commercial | | | (b) | (b) | (b) |
| 5/8" & 3/4" | 24,460 | 24,460 | 20,043 | 20,043 | 20,043 |
| 1" | 42,365 | 42,365 | 35,876 | 35,876 | 35,876 |
| 1-1/2" | 97,620 | 97,620 | 78,767 | 78,767 | 78,767 |
| 2" | 173,374 | 173,374 | 143,104 | 143,104 | 143,104 |
| 3" | 389,818 | 389,818 | (a) | (a) | (a) |
| 4" | 693,500 | 693,500 | (a) | (a) | (a) |
| 6" | 1,560,930 | 1,560,930 | (a) | (a) | (a) |
| 8" | 2,775,412 | 2,775,412 | (a) | (a) | (a) |

(a) Effective 12/1/2013, commercial water service connection fees for meters greater than 2" are determined by engineer review.
(b) The water service connection fees in this table are base charges. Based on engineer review of plans and fixtures, additional fees will be charged at $57.45 per gallons per day of use based on plan review.
Source: Aurora Water

**Water Service Connection Fees**
**(after December 2013)**

| Type and Size of Connection | 2014 | 2015 | 2016 |
|---|---|---|---|
| Single Family Detached | | | |
| Indoor Use: | | | |
| 1-2 bathrooms | $5,509 | $5,509 | $5,509 |
| 3-4 bathrooms | 8,901 | 8,901 | 8,901 |
| 5+ bathrooms | 15,425 | 15,425 | 15,425 |
| Outdoor Use: | | | |
| Per Square Foot of Lot Size | 0.941 | 0.941 | 0.941 |
| Multi- Family and Commercial | See Above Table | See Above Table | See Above Table |
| Irrigation | | | |
| Non-water Conserving (per square foot of landscaped area) | 2.75 | 2.75 | 2.75 |
| Water Conserving (per square foot of landscaped area) | 1.47 | 1.47 | 1.47 |

Source: Aurora Water

**TABLE XIX**
**Aurora Water Rates History and Average Annual Water Bill 2012–2016**

| Single Family Residential[1] | 2012 | 2013 | 2014 | 2015 | 2016 |
|---|---|---|---|---|---|
| Base Charge | $12.06 | $12.06 | $12.06 | $12.06 | $12.06 |
| Rates per 1,000 gallons (0-20,000 gals) | 5.27 | 5.27 | 5.27 | 5.27 | 5.27 |
| Rates per 1,000 gallons (20,001-40,000 gals) | 6.00 | 6.00 | 6.00 | 6.00 | 6.00 |
| Rates per 1,000 gallons (above 40,001 gals) | 7.50 | 7.50 | 7.50 | 7.50 | 7.50 |
| Average Annual Bill | $681.38 | $602.32 | $581.08 | $587.40 | $587.40[2] |

[1] Includes only charges for water; does not include sewer service charges.
[2] Estimated average monthly bill for water exclusively is $48.95. For a comparison on total average monthly water and sewer bills, please see Table XXII.
Source: Aurora Water billing system

Connection and development fees are not treated as income under generally accepted accounting principles. However, such fees are included in Income as defined in the General Ordinance. The following table shows receipts of connection and development fees in 2011 through 2015.

**TABLE XX**
**Connection and Development Fee Receipts**

| Year | Connection Fee Revenues | Development Fee Revenues | Total Connection and Development Fees |
|---|---|---|---|
| 2011 | $13,689,898 | $125,460 | $13,815,358 |
| 2012 | 24,144,078 | 99,249 | 24,243,327 |
| 2013 | 21,949,651 | 53,926 | 22,003,577 |
| 2014 | 20,026,461 | 100,400 | 20,126,861 |
| 2015 | 24,492,259 | 100,977 | 24,593,236 |

**Billing Practices and Collections**

The System's service area is divided into 19 geographical zones, each of which is billed every month. The customers are billed for monthly service charges and usage fees for water, sanitary sewer and storm drainage services in the same bill. Payment is due twenty days from the statement date. The City receives payments through various means. Due to the concern for public safety, the City makes every effort to collect delinquent accounts prior to disconnection of water service. The City provides at least 15 days prior written notice of service disconnection. Discontinuance and reinstatement charges due to delinquency in payment, of $37.25 and $21.00 respectively, are added to the customer's account. Under the City Code, water, sewer and storm drainage services provided by the City or Metro Waste Water Reclamation District are deemed to be provided to the real property so served without regard to the actual person billed for such services. The City is authorized to place a lien on the real property so served in the amount of all unpaid fees and rates, including a late fee of 5% of the bill and an administrative fee not to exceed ten percent of the total amount of such unpaid fees and rates, such lien being enforceable in the same manner provided for collection of delinquent real property taxes.

As of December 31, 2015, the City served approximately 81,560 active water accounts, including seasonal users. As of December 31, 2015, the receivable amount over 30 days delinquent for all water accounts totaled $1,026,080. The table below summarizes the City's billed revenues and cash collections for the past five years. During the five year period ended December 31, 2015 total cash collected by the City averaged 100.3% of aggregate sales.

**TABLE XXI**
**System Annual Billed Revenues and Cash Collections**[1]

| Year | Billed Revenues | Cash Collected During Year for Current and Prior Years' Sales | Percentage of Billed Revenues Collected |
|---|---|---|---|
| 2011 | $ 99,665,457 | $ 99,874,709 | 100.2% |
| 2012 | 107,066,380 | 107,152,680 | 100.1 |
| 2013 | 92,937,171 | 93,786,045 | 100.9 |
| 2014 | 94,532,190 | 94,693,590 | 100.2 |
| 2015 | 97,966,627 | 98,161,298 | 100.2 |

[1] Revenues include metered sales, raw water irrigation, raw water resale, tertiary reuse water sales, and related services (trip charges, meter testing, wasting water fees and non-sufficient funds fees).
Source: Aurora Water

**TABLE XXII**
**2016 Comparison of Total Average Monthly Water and Sewer Bills by Metropolitan Area Water Providers**

| Provider | Average Monthly Rate[1] |
|---|---|
| ACWWA, as of 1/01/2016 | $146.04 |
| Roxborough WSD, as of 3/25/2016 | 142.58 |
| Castle Pines North Metro District, as of 1/01/2016 | 135.23 |
| Cottonwood WSD, as of 1/01/2016 | 113.95 |
| City of Fountain, 2016 | 111.55 |
| Pinery W&WW District, as of 1/01/2016 | 109.82 |
| Parker WSD, as of 1/01/2016 | 109.00 |
| City of Fort Lupton, 2016 | 108.79 |
| Town of Castle Rock, 2016 | 107.86 |
| Stonegate Village Metro District, as of 1/01/2014 | 105.94 |
| Inverness WSD, as of 5/01/2015 | 98.18 |
| Meridian Service Metro District, 2016 | 96.25 |
| ECCV WSD, as of 1/01/2016 | 94.15 |
| Castle Pines Metro District, as of 1/01/2010 | 89.43 |
| Colorado Springs, as of 4/01/2016 | 89.36 |
| Boulder, 2016 | 86.79 |
| City of Brighton, as of 1/01/2016 | 85.25 |
| **City of Aurora, as of 1/01/2016** | **84.69** |
| City of Fort Collins, as of 1/01/2016 | 84.36 |
| City of Loveland, 2016 | 80.98 |
| Centennial WSD, 2016 | 69.91 |
| City of Greeley, as of 1/01/2016 | 68.47 |
| Thornton, 2016 | 68.09 |
| Denver Water (Inside City), 2016 | 64.49 |

[1] Includes rate for both water and sewer fees. For purposes of evaluating the average monthly bill, monthly water is equivalent to 8,000 gallons and monthly sewer is equivalent to 5,000 gallons. For a comparison to the City's average annual bill for water charges exclusively, please see Table XIX.
Source: Aurora Water

Depending upon drought stage determinations in particular years, rates may also be affected by the Water Management Plan described under the caption "THE SYSTEM—Water Management Plan."

## CONSTITUTIONAL LIMITATIONS ON TAXES, REVENUES, BORROWING AND SPENDING

At the general election held November 3, 1992, the voters of the State approved a constitutional amendment ("TABOR") limiting the ability of the State and local governments such as the City to increase revenues, debt and spending and restricting property, income and other taxes. Generally, TABOR limits the percentage increases in spending and property tax revenues to the prior year's amounts, adjusted for inflation, local growth and voter approved changes, requires the maintenance of certain reserves, and prohibits the imposition of new real estate transfer taxes. In addition, TABOR requires that the State and local governments obtain voter approval for certain tax or tax rate increases or to keep or spend revenues received in excess of TABOR limits, and to create any "multiple fiscal year direct or indirect debt or other financial obligation whatsoever without adequate present cash reserves pledged irrevocably and held for payments in all future fiscal years," except for refinancing debt at a

lower interest rate or adding new employees to existing pension plans. City Charter amendments approved by voters in 1999 and 2000 limited the rate of property taxes imposed in the City, but also excluded most categories of City revenue, including City fees for services, from the TABOR fiscal year spending limit.

Many of the provisions of TABOR are ambiguous and will continue to require judicial interpretation. There is no assurance that the application of TABOR, particularly during periods of reduced economic activity, will not adversely affect the operations or financial condition of the City.

TABOR excepts from its restrictions the borrowings and fiscal operations of "enterprises," which term is defined to include government owned businesses authorized to issue their own revenue bonds and receiving under 10% of their revenues in grants from all Colorado State and local governments combined. In a 1995 decision the Colorado Supreme Court held that a governmental entity with taxing power was not itself an "enterprise." Aurora Water is authorized to issue revenue bonds in its own name, has no taxing power and receives no material portion of its revenues as grants from governmental sources. The City therefore treats, and expects to continue to treat, Aurora Water as an "enterprise" within the meaning of TABOR. Such treatment would depend upon conditions which may or may not exist in the future. Accordingly, the actual treatment of Aurora Water under TABOR may vary and such variations may be material. A failure by Aurora Water to qualify as a TABOR enterprise in a future year would potentially cause its revenues to be counted against the City's TABOR fiscal year spending limits, although the Charter amendments described above under this caption would tend to mitigate any adverse effect of such a failure. See "AURORA WATER–Designation and Character of the Enterprise for Purposes of TABOR."

## RATINGS

S&P Global Ratings ("S&P") and Fitch Ratings Services ("Fitch") have assigned ratings of "AA+" and "AA+" respectively, to the Series 2016 Bonds. Such ratings reflect only the views of the respective rating agencies, and do not constitute a recommendation to buy, sell or hold securities. Explanations of the significance of such ratings may be obtained from the rating agencies.

The ratings are subject to revision or withdrawal at any time by the respective rating agency and there is no assurance that the ratings will continue for any period of time or that they will not be revised or withdrawn. The Underwriters have undertaken no responsibility either to bring to the attention of the holders of the Bonds any proposed revision or withdrawal of the ratings of the Series 2016 Bonds or to oppose any such proposed revision or withdrawal. Any downward revision or withdrawal of such ratings could have an adverse effect on the market price of the Series 2016 Bonds.

## LITIGATION

There is no litigation now pending or, to the knowledge of the City officials responsible for the issuance of the Series 2016 Bonds, threatened which questions the validity of the Series 2016 Bonds or of any proceedings of the City taken with respect to issuance or sale thereof. There is no litigation pending or, to the knowledge of City officials, threatened that would, if determined adversely to the City, have a material effect on the financial condition of Aurora Water.

## TAX MATTERS

### General

In the opinion of Kutak Rock LLP, Bond Counsel, under existing laws, regulations, rulings and judicial decisions, interest on the Series 2016 Bonds is excluded from gross income for federal income tax purposes and exempt from State of Colorado income tax and is not a specific preference item for purposes of the federal or State of Colorado alternative minimum tax. The opinion described in the preceding sentence assumes the accuracy of certain representations and compliance by the City with covenants designed to satisfy the requirements of the Internal Revenue Code of 1986, as amended, that must be met subsequent to the issuance of the Series 2016 Bonds. Failure to comply with such requirements could cause interest on the Series 2016 Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Series 2016 Bonds. The City has covenanted to comply with such requirements. Bond Counsel has expressed no opinion regarding other federal tax consequences arising with respect to the Series 2016 Bonds.

Notwithstanding Bond Counsel's opinion that interest on the Series 2016 Bonds is not a specific preference item for purposes of the federal alternative minimum tax, such interest will be included in adjusted current earnings of certain corporations, and such corporations are required to include in the calculation of alternative minimum taxable income 75% of the excess of such corporation's adjusted current earnings over its alternative minimum taxable income (determined without regard to such adjustment and prior to reduction for certain net operating losses).

The Series 2016 Bonds that have an original yield below their respective interest rates, as shown on the cover of this Official Statement (collectively, the "Premium Bonds"), are being sold at a premium. An amount equal to the excess of the issue price of a Premium Bond over its stated redemption price at maturity constitutes the amount of original issue premium on such Premium Bond. A purchaser of a Premium Bond must amortize any original issue premium over such Premium Bond's term using constant yield principles, based on the purchaser's yield to maturity (or, in the case of Premium Bonds callable prior to their maturity, generally by amortizing the original issue premium to the call date, based on the purchaser's yield to the call date and giving effect to any call premium). As original issue premium is amortized, the amount of the amortization offsets a corresponding amount of interest for the period, and the purchaser's basis in such Premium Bond is reduced by a corresponding amount resulting in an increase in the gain (or decrease in the loss) to be recognized for federal income tax purposes upon a sale or disposition of such Premium Bond prior to its maturity. Even though the purchaser's basis may be reduced, no corresponding federal income tax deduction is allowed. Purchasers of the Premium Bonds should consult their tax advisors with respect to the determination and treatment of original issue premium for federal income tax purposes and with respect to the state and local tax consequences of owning a Premium Bond.

The 2.000% (initial rate) Series 2016 Step Coupon Term Bonds maturing on August 1, 2046 bear an interest rate that increases over time. Due to the fact that the interest rate of the Series 2016 Step Coupon Term Bonds increases over time, such Bonds may be deemed to have been issued with original issue discount. The accrual of any original issue discount on the Series 2016 Step Coupon Term Bonds will be treated as interest that is excluded from gross income for federal income tax purposes. Owners of Series 2016 Step Coupon Term Bonds should consult their tax advisors regarding the amount, if any, of original issue discount on such Bonds and the treatment thereof for federal income tax purposes.

The accrual or receipt of interest on the Series 2016 Bonds may otherwise affect the federal income tax liability of the owners of the Series 2016 Bonds. The extent of these other tax consequences will depend upon such owner's particular tax status and other items of income or deduction. Bond

Counsel has expressed no opinion regarding any such consequences. Purchasers of the Series 2016 Bonds, particularly purchasers that are corporations (including S corporations and foreign corporations operating branches in the United States), property or casualty insurance companies, banks, thrifts or other financial institutions, certain recipients of social security or railroad retirement benefits, taxpayers otherwise entitled to claim the earned income credit, or taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry tax-exempt obligations, should consult their tax advisors as to the tax consequences of purchasing or owning the Series 2016 Bonds.

**Changes in Law**

From time to time, there are legislative proposals in the Congress and in the states that, if enacted, could alter or amend the federal and state tax principles referred to above or adversely affect the market value of the Series 2016 Bonds. It cannot be predicted whether or in what form any such proposals might be enacted or whether if enacted they would apply to bonds issued prior to enactment. In addition, regulatory actions are announced or proposed from time to time and litigation of tax issues is threatened or commenced which, if implemented or concluded in a particular manner, could adversely affect the market value of obligations such as the Series 2016 Bonds. Purchasers of the Series 2016 Bonds should consult their tax advisors regarding any pending or proposed legislation, regulatory initiatives or litigation. The opinions expressed by Bond Counsel are based upon existing legislation and regulations as interpreted by relevant judicial authorities as of the date of issuance and delivery of the Series 2016 Bonds and Bond Counsel has expressed no opinion as of any date subsequent thereto or with respect to any pending legislation, regulatory initiatives or litigation.

## FINANCIAL ADVISOR

Piper Jaffray & Co. is employed as financial advisor to the City and has advised the City concerning the plan of financing for the Series 2016 Bonds.

## UNDERWRITING

The Underwriters named on the cover page of this Official Statement have agreed to purchase the Series 2016 Bonds from the City at a purchase price equal to the principal amount thereof, less an underwriting discount of $1,700,208.68 plus original issue premium of $80,822,922.20. The City's obligation to deliver, and the Underwriters' obligation to accept, the Series 2016 Bonds are subject to various conditions contained in the bond purchase agreement relating to the Series 2016 Bonds.

Morgan Stanley, parent company of Morgan Stanley & Co. LLC, has entered into a retail distribution arrangement with its affiliate Morgan Stanley Smith Barney LLC. As part of the distribution arrangement, Morgan Stanley & Co. LLC may distribute municipal securities to retail investors through the financial advisor network of Morgan Stanley Smith Barney LLC. As part of this arrangement, Morgan Stanley & Co. LLC may compensate Morgan Stanley Smith Barney LLC for its selling efforts with respect to the Series 2016 Bonds.

The Underwriters and their respective affiliates are full service financial institutions engaged in various activities, which may include sales and trading, commercial and investment banking, advisory, investment management, investment research, principal investment, hedging, market making, brokerage and other financial and non-financial activities and services. Under certain circumstances, the Underwriters and their affiliates may have certain creditor and/or other rights against the City and its affiliates in connection with such activities. In the various course of their various business activities, the Underwriters and their respective affiliates, officers, directors and employees may purchase, sell or hold a broad array of investments and actively trade securities, derivatives, loans, commodities, currencies,

credit default swaps and other financial instruments for their own account and for the accounts of their customers, and such investment and trading activities may involve or relate to assets, securities and/or instruments of the City (directly, as collateral securing other obligations or otherwise) and/or persons and entities with relationships with the City. The Underwriters and their respective affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities and instruments.

Wells Fargo Securities is the trade name for certain securities-related capital markets and investment banking services of Wells Fargo & Company and its subsidiaries, including Wells Fargo Bank, National Association, which conducts its municipal securities sales, trading and underwriting operations through the Wells Fargo Bank, NA Municipal Products Group, a separately identifiable department of Wells Fargo Bank, National Association, registered with the Securities and Exchange Commission as a municipal securities dealer pursuant to Section 15B(a) of the Securities Exchange Act of 1934. Wells Fargo Bank, National Association, acting through its Municipal Products Group ("WFBNA"), one of the underwriters of the Series 2016 Bonds has entered into an agreement (the "Distribution Agreement") with its affiliate, Wells Fargo Advisors, LLC ("WFA"), for the distribution of certain municipal securities offerings, including the Series 2016 Bonds. Pursuant to the Distribution Agreement, WFBNA will share a portion of its underwriting or remarketing agent compensation, as applicable, with respect to the Series 2016 Bonds with WFA. WFBNA also utilizes the distribution capabilities of its affiliate Wells Fargo Securities, LLC (“WFSLLC”), for the distribution of municipal securities offerings, including the Series 2016 Bonds. In connection with utilizing the distribution capabilities of WFSLLC, WFBNA pays a portion of WFSLLC’s expenses based on its municipal securities transactions. WFBNA, WFSLLC, and WFA are each wholly-owned subsidiaries of Wells Fargo & Company.

## LEGAL MATTERS

Legal matters incident to the authorization and issuance of the Series 2016 Bonds are subject to approval by Kutak Rock LLP, Bond Counsel, whose opinion is expected to be delivered in substantially the form set forth in Appendix A hereto. In addition to acting as Bond Counsel, Kutak Rock LLP has also been retained to advise the City concerning, and has assisted in, the preparation of this Official Statement. Certain legal matters will be passed upon for the City by the Office of the City Attorney and for the Underwriters by Sherman & Howard LLC.

## FINANCIAL STATEMENTS

The financial statements of the City for the year ended December 31, 2015, included in Appendix B to this Official Statement, have been audited by BKD, LLP, independent certified public accountants, as stated in their report appearing herein. The City did not request BKD, LLP to perform any updating procedures subsequent to the date of its audit report on the December 31, 2015 financial statements.

## VERIFICATION OF CERTAIN CALCULATIONS

At the time of delivery of the Series 2016 Bonds to the Underwriters, Causey, Demgen & Moore P.C., certified public accountants, are expected to deliver a report as to the mathematical accuracy of certain computations contained in schedules provided to them by the Financial Advisor and the Underwriters relating to (a) the adequacy of the Refunding Escrow Account investments and cash balances to provide for payment of principal of, interest on and premiums, if any, due in connection with

the redemption of the Refunded Obligations and (b) the actuarial yields relied upon by Bond Counsel to support their opinion described under the caption "TAX MATTERS."

## MISCELLANEOUS

Any statements made in this Official Statement involving matters of opinion or estimates, whether or not expressly so stated, are set forth as such and not as representations of fact, and no representation is made that any such estimates will be realized. This Official Statement shall not be construed as a contract between the City and any person.

The execution and delivery of this Official Statement have been duly authorized by the City.

**CITY OF AURORA, COLORADO**

By /s/ Stephen D. Hogan
Mayor

**APPENDIX A**

**FORM OF OPINION OF BOND COUNSEL**

, 2016

City of Aurora
5th Floor
15151 East Alameda Parkway
Aurora, CO 80012

**$437,025,000**
**City of Aurora, Colorado**
**acting by and through its**
**Utility Enterprise**
**First-Lien Water Refunding Revenue Bonds**
**Series 2016**

We have been engaged by the City of Aurora, Colorado (the "City") to act as bond counsel for the issuance of the above bonds (the "Series 2016 Bonds"). The Series 2016 Bonds are being issued by the City, acting by and through its Utility Enterprise (the "Enterprise"), pursuant to Ordinance No. 2003-18, as amended (the "General Ordinance") and Ordinance No. 2016-26 (the "Series Ordinance"), as supplemented by a Final Terms Certificate dated July 21, 2016 (the "Final Terms Certificate"). The Series Ordinance, incorporating the General Ordinance and as supplemented by the Final Terms Certificate, is referred to herein as the "Ordinance." Capitalized terms used but not otherwise defined herein have the meanings assigned to them in the Ordinance.

We have examined the Constitution and the laws of the State of Colorado (the "State"), the home rule charter (the "Charter") of the City, and the regulations, rulings and judicial decisions relevant to the opinions set forth in paragraph 2 below; the transcript of the proceedings relating to the issuance of the Series 2016 Bonds, the Ordinance, and such other certificates, documents, opinions and papers as we deem necessary to render this opinion. As to questions of fact material to our opinion, we have relied upon the certifications in the transcript of proceedings and other certifications of public officials furnished to us without undertaking to verify the same by independent investigation.

Based upon and in reliance on the foregoing, we are of the opinion, under existing law and as of the date hereof, that:

1. The Series 2016 Bonds have been duly authorized, executed and delivered and are valid and binding special and limited obligations of the City, acting by and through the Enterprise, payable on the terms, and subject to the conditions, stated in the Ordinance.

2. Under the laws, regulations, rulings and judicial decisions existing on the date hereof, interest on the Series 2016 Bonds is excluded from gross income for federal income tax purposes and is not a specific item of tax preference for purposes of the federal alternative minimum tax. The opinions set forth in the preceding sentence assume that accuracy of certain representations by the City and continuing compliance by the City with certain requirements of the Internal Revenue Code of 1986, as amended (the "Tax Code") that must be met subsequent to the issuance of the Series 2016 Bonds. Failure to comply with such requirements could cause such interest to be included in gross income for federal income tax purposes or could otherwise adversely affect such opinions, retroactive to the date of issuance

of the Series 2016 Bonds. The City has covenanted in the Ordinance and in the Tax Compliance Certificate executed and delivered in connection with the issuance of the Series 2016 Bonds to comply with such requirements. We express no opinion regarding other federal tax consequences arising with respect to the Series 2016 Bonds. We note, however, that interest on the Series 2016 Bonds is taken into account in determining adjusted current earnings for purposes of the alternative minimum tax imposed on corporations (as defined for federal income tax purposes).

3. Interest on the Series 2016 Bonds is exempt from Colorado income tax and excluded from the computation of Colorado alternative minimum tax under present Colorado income tax laws. We express no opinion regarding other tax consequences arising with respect to the Series 2016 Bonds under the laws of Colorado or any other state or jurisdiction.

The rights of the Owners of the Series 2016 Bonds and the enforceability of the Series 2016 Bonds and the Ordinance may be limited by bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights generally, by equitable principles, whether considered at law or in equity, by the exercise by the State and its governmental bodies of the police power inherent in the sovereignty of the State and by the exercise by the United States of the powers delegated to it by the Constitution of the United States.

We express no opinion herein with respect to the accuracy, completeness or sufficiency of the Official Statement or other offering materials relating to the Series 2016 Bonds or any matter relating to the investment of proceeds of the Series 2016 Bonds.

This opinion is delivered based and in reliance upon our examination of the laws, documents and other items specifically described in the second paragraph hereof on the date hereof and we have no obligation to supplement or update this opinion based on or with respect to changes in such laws, documents or other items or with respect to any other event that occurs after the date hereof.

Very truly yours,

# APPENDIX B

## AUDITED FINANCIAL STATEMENTS OF THE CITY
## AS OF DECEMBER 31, 2015

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# FINANCIAL SECTION


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BKD LLP
CPAs & Advisors

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# Independent Auditor's Report

Honorable Mayor and Members of City Council
City of Aurora, Colorado
Aurora, Colorado

## Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, the discretely presented component unit, each major fund and the aggregate remaining fund information of the City of Aurora, Colorado (the City), as of and for the year ended December 31, 2015, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents.

### *Management's Responsibility for the Financial Statements*

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

### *Auditor's Responsibility*

Our responsibility is to express opinions on these financial statements based on our audit. We did not audit the financial statements of the General Employees' Retirement Plan (GERP), which represents 68 percent and 14 percent, respectively, of the assets and revenues of the aggregate remaining fund information. Those statements were audited by other auditors whose report has been furnished to us, and our opinion, insofar as it relates to the amounts included for GERP, is based solely on the report of the other auditors. We also did not audit the financial statements of the Havana Business Improvement District (BID), which represents 100 percent of the assets and revenues of the discretely presented component unit. Those statements were audited by other auditors whose reports thereon have been furnished to us, and our opinion, insofar as it relates to the amounts included for BID, is based solely on the reports of other auditors. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

Praxity MEMBER
GLOBAL ALLIANCE OF INDEPENDENT FIRMS

Honorable Mayor and Members of City Council
City of Aurora, Colorado

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

***Opinions***

In our opinion, based on our audit and the reports of the other auditors, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, the discretely presented component unit, each major fund, and the aggregate remaining fund information of the City as of December 31, 2015, and the respective changes in financial position and cash flows, where applicable, thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

***Emphasis of Matter***

As discussed in Note 20 to the financial statements, in 2015 the City adopted GASB Statement No. 68, *Accounting and Financial Reporting for Pensions – an amendment of GASB Statement No. 27*. Our opinions are not modified with respect to this matter.

***Other Matters***

*Required Supplementary Information*

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, and other postemployment benefits and pension information listed in the table of contents be presented to supplement the basic financial statements. Such information, although not part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

BKD, LLP

Denver, Colorado
June 6, 2016

Management of the city of Aurora, Colorado (the city) offers readers of the city's financial statements this overview and analysis of the basic financial statements of the city as of and for the year ended December 31, 2015. Readers should consider the information presented in this discussion and analysis in conjunction with additional information furnished in our letter of transmittal, which can be found on pages *i-v* of this report, and the city's financial statements, which begin on page 1.

## Financial Highlights

Financial highlights are presented in this discussion and analysis to help with the assessment of the city's financial activities. Governmental Accounting Standards Board Statement No. 68, *Accounting and Financial Reporting for Pensions – an amendment to GASB Statement No. 27* (GASB Statement No. 68) was implemented in 2015. Therefore, the presentation of 2014 is not comparable to the 2015 financial information.

- The city's assets plus deferred outflows of resources exceeded liabilities plus deferred inflows of resources at the end of 2015 by $4.3 billion (*net position*). Of this amount, $252.1 million, or 5.8%, was unrestricted and may be used to meet the city's ongoing obligations.
- Citywide net position increased $93.7 million in 2015 after the GASB Statement No. 68 restatement. Prior to the restatement, citywide net position increased $116.3 million.
- At December 31, 2015, the city's governmental funds reported combined ending fund balances of $211.7 million, an increase of $1.7 million from the prior year. Approximately 63.9% of the fund balance is not restricted and is available for spending at the government's discretion. The fund balance, exclusive of restricted fund balance, is classified as follows: $41.8 million committed, $68.8 million assigned and $24.6 million unassigned.
- The city's General Fund total revenues were over budget $19.7 million and total expenditures were under budget by $3.9 million during 2015.
- Capital improvement and capital outlay activity increased $154.0 million during 2015.
- The city's total bonded and certificate of participation debt decreased $11.7 million during the year.
- The city implemented GASB Statement No. 68 in 2015 resulting in net pension assets, net pension liabilities, deferred outflows of resources and deferred inflows of resources being reported for the year relating to the city's defined benefit pension plans. This implementation is a change in accounting principle for 2015 only; the prior year financial statements were not restated.

## Overview of the Basic Financial Statements

The basic financial statements consist of a) citywide financial statements, b) fund financial statements and c) notes to the financial statements. This report also contains required and other supplementary information in addition to the basic financial statements themselves.

***Citywide Financial Statements -*** The citywide financial statements are designed to provide readers with a broad longer-term overview of the city's finances. While these statements assist in evaluating finances of the city in its entirety, city council and investors refer to the fund financial statements to make spending and borrowing decisions as the availability of resources is controlled at the fund level. The citywide statements use the accrual basis of accounting, which is similar to the accounting used by most private-sector businesses. Certain interfund activities, including interfund balances, transfers, and internal billings, are eliminated in the aggregation of data for the citywide statements. The citywide statements include not only the city itself, but also legally separate component units, entities for which the city is financially accountable. Accordingly, the citywide statements are divided into two groups, the "primary government" and "component units" (discretely presented). The primary government includes all activities of the city (including blended component units) except fiduciary funds. Fiduciary funds are not included in these statements because resources of these funds are not available to support city programs.

Activities of the primary government are aggregated into two activity types: governmental and business-type.

*Governmental Activities* reflect the basic services of the city including: judicial, police, fire, public safety communications, public works (streets), culture and recreation (parks, libraries, recreation services), economic development, community services and general government (administration and other activities). Governmental activities are primarily supported by taxes. Activities of the internal service funds are included in the governmental activities as services provided by these funds predominantly benefit governmental activities.

*Business-type Activities* include functions that are intended to recover all or a significant portion of their costs through user fees and charges. Business-type activities of the city include water, wastewater and golf course operations.

The citywide financial statements consist of a statement of net position and a statement of activities. These statements can be found on pages 1 through 3 of this report.

The *Statement of Net Position* presents information about the city's assets and deferred outflows of resources and liabilities and deferred inflows of resources, with the difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the city is improving or deteriorating.

The *Statement of Activities* provides information showing how the city's net position changed during the year. The statement of activities is in a format that presents expenses, revenues and net revenues by "function", a broad grouping of services provided to citizens. The format of this statement shows the extent to which a function is self-financing through user fees and other function-related revenues or if it is supported through taxes and other general revenues of the city.

***Fund Financial Statements -*** A fund is a grouping of related accounts that is used to maintain control over resources that are segregated by external and internally adopted laws and agreements for specific activities or objectives. The city uses fund accounting to ensure and demonstrate compliance with finance related legal requirements. All of the funds of the city can be divided into three categories: governmental, proprietary and fiduciary.

*Governmental funds* account for essentially the same functions reported as governmental activities in the citywide financial statements. Unlike the citywide statements, the governmental fund financial statements focus on near-term inflows and outflows of spendable resources as well as balances of resources available at year-end. The governmental fund financial statements provide a detailed short-term view that helps the reader determine whether there are more or fewer financial resources that can be spent in the near future to finance the city's programs. Because the fund financial statements do not encompass the long-term focus of the citywide statements, additional information is provided that reconciles the governmental fund financial statements to the citywide statements and explains the differences between them. The city has two major governmental funds: the General Fund and Aurora Capital Leasing Corporation (ACLC) Capital Projects Fund. The governmental fund financial statements can be found on pages 5 through 8 of this report.

The city maintains two types of *proprietary funds*: enterprise and internal service. Enterprise funds report the same functions as presented in the business-type activities on the citywide statements. The city has two major proprietary funds: the Water Fund and the Wastewater Fund. The Golf Fund is not a major fund but is presented in a separate column because it is the only nonmajor proprietary fund. Internal service funds are an accounting mechanism used to accumulate and allocate costs internally among the city's various functions. The city uses internal service funds to account for fleet maintenance and risk management. Because these services predominantly benefit government rather than business-type functions, they have been included within governmental activities in the citywide financial statements. The proprietary fund financial statements can be found on pages 10 through 15 of this report.

*Fiduciary funds* are used to account for resources held for the benefit of parties outside the city. Fiduciary funds are not reflected in the citywide financial statements because the resources of these funds are not available to support city programs. The fiduciary fund financial statements can be found on pages 17 and 18 of this report.

The *notes to the basic financial statements* provide additional information that is essential to a full understanding of the data provided in the citywide and the fund financial statements. The notes to the basic financial statements begin on page 19 of this report.

**Other Information**

In addition to the basic financial statements and accompanying notes, this report also presents certain *required supplementary information* highlighting various information for the city's defined benefit pension plans, funding progress for other postemployment benefits and a comparison of the General Fund's original and final budget to actual budgetary revenue and expenditures. Required supplementary information begins on page 79 of this report.

## Citywide Financial Analysis

As noted earlier, net position may serve over time as a useful indicator of a government's financial position. In the case of the city, assets and deferred outflows of resources exceeded liabilities and deferred inflows of resources by $4.3 billion at the close of the fiscal year as shown in Chart 1.

The largest portion of the city's net position, $4.0 billion reflects its investment in capital assets less the outstanding portion of the debt that was issued to acquire or construct those assets. The city uses these capital assets to provide services to citizens; consequently, these amounts are not available for future spending. Although the city's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

### Citywide Net Position December 31, 2015 (in thousands)

| | Governmental Activities | | | | Business-type Activities | | | | Citywide Totals | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2015 | 2014* | Change | % | 2015 | 2014* | Change | % | 2015 | 2014* | Change | % |
| Current and other assets | $ 301,788 | $ 276,410 | $ 25,378 | 9.2 | $ 258,172 | $ 290,849 | $ (32,677) | (11.2) | $ 559,960 | $ 567,259 | $ (7,299) | (1.3) |
| Capital assets, net | 2,615,878 | 2,515,563 | 100,315 | 4.0 | 2,083,718 | 2,030,015 | 53,703 | 2.6 | 4,699,596 | 4,545,578 | 154,018 | 3.4 |
| Total Assets | 2,917,666 | 2,791,973 | 125,693 | 4.5 | 2,341,890 | 2,320,864 | 21,026 | 0.9 | 5,259,556 | 5,112,837 | 146,719 | 2.9 |
| Deferred outflows of resources | 21,683 | 8,687 | 12,996 | 149.6 | 2,112 | 461 | 1,651 | 358.1 | 23,795 | 9,148 | 14,647 | 160.1 |
| Current and other liabilities | 23,157 | 17,244 | 5,913 | 34.3 | 36,391 | 33,248 | 3,143 | 9.5 | 59,548 | 50,492 | 9,056 | 17.9 |
| Noncurrent liabilities | 278,390 | 194,179 | 84,211 | 43.4 | 582,921 | 613,856 | (30,935) | (5.0) | 861,311 | 808,035 | 53,276 | 6.6 |
| Total Liabilities | 301,547 | 211,423 | 90,124 | 42.6 | 619,312 | 647,104 | (27,792) | (4.3) | 920,859 | 858,527 | 62,332 | 7.3 |
| Deferred inflows of resources | 35,426 | 30,134 | 5,292 | 17.6 | - | - | - | - | 35,426 | 30,134 | 5,292 | 17.6 |
| Net Position: | | | | | | | | | | | | |
| Net investment in capital assets | 2,461,112 | 2,412,879 | 48,233 | 2.0 | 1,539,226 | 1,454,926 | 84,300 | 5.8 | 4,000,338 | 3,867,805 | 132,533 | 3.4 |
| Restricted | 69,047 | 71,215 | (2,168) | (3.0) | 5,587 | 5,869 | (282) | (4.8) | 74,634 | 77,084 | (2,450) | (3.2) |
| Unrestricted | 72,216 | 75,009 | (2,793) | (3.7) | 179,878 | 213,426 | (33,548) | (15.7) | 252,094 | 288,435 | (36,341) | (12.6) |
| Total net position | $ 2,602,375 | $ 2,559,103 | $ 43,272 | 1.7 | $ 1,724,691 | $ 1,674,221 | $ 50,470 | 3.0 | $ 4,327,066 | $ 4,233,324 | $ 93,742 | 2.2 |

***** The 2014 summarized financial information has not been restated to reflect the impact of the change in accounting principle implementation of GASB Statement No. 68.

**Chart 1**

As shown in Chart 1, total restricted net position at the end of 2015 was $74.6 million. This amount represents net resources where use is constrained by external requirements dictating how the funds are to be used. Restrictions result from grant requirements, legislation, agreements, or other requirements of the specific revenue source. The remaining net position of $252.1 million is unrestricted. While there were no outside restrictions on these funds, city policies and budget plans limit the use of these amounts. Policy and budget plan limitations include: council policy reserve, enhanced development review program, commitment of surcharges to fund certain public safety programs, payment of long-term liabilities, and project-length appropriations.

Net position increased $93.7 million in 2015 after the GASB Statement No. 68 restatement, of which $43.2 million (46%) was attributable to governmental activities and $50.5 million (54%) was attributable to business-type activities. GASB Statement No. 68 was implemented for 2015 only; the 2014 summarized financial information has not been restated to reflect the impact of this change.

Governmental activities net position increased $43.2 million. Contributing to the increase in total net position is the increase in net investment in capital assets of $48.2 million that is primarily a result of increases in capital assets offset by an increase in noncurrent liabilities due to debt issuances to fund a portion of the projects undertaken. In addition, the increase in net position was also partially offset by the recording of the net pension liability reflected in 2015 as required by GASB Statement No. 68. The increase in capital assets of $100.3 million included the addition of developer contributed roads, which increased due to development in the city, as well as construction either completed or in progress including the public safety training facility, the Hyatt Aurora conference center and parking garage, street overlays, the installation of an enhanced E-911 system, the Iliff Station parking garage, Del Mar Park and Pool renovations, Sports Park and other parks and open space improvements.

Business-type activities net position increased $50.5 million. Noncurrent liabilities decreased $30.9 million primarily as a result of the defeasance of the remainder of the 2005D Colorado Water Resources and Power Development Authority (CWRPDA) revenue bonds for $29.7 million. The decrease in noncurrent liabilities corresponds to the decrease in current and other assets as well as unrestricted net position. This debt extinguishment was unscheduled and used available cash balances. Capital assets increased $53.7 million resulting from water rights and land purchases, water and sewer contributed mains and construction either completed or in progress for various water and sewer improvement projects including the Wemlinger and Binney water purification facilities, the Everist storage improvements, the Westerly Creek bridge and channel improvements, the Alameda Avenue storm drainage improvements and other water and sewer improvement projects. These increases were partially offset by accumulated depreciation. The net investment in capital assets increase corresponds to the increase in capital assets and the decrease in noncurrent liabilities.

## Citywide Changes in Net Position Year Ended December 31, 2015 (in thousands)

| | Governmental Activities | | | | Business-type Activities | | | | Citywide Totals | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2015 | 2014 | Change | % | 2015 | 2014 | Change | % | 2015 | 2014 | Change | % |
| REVENUES: | | | | | | | | | | | | |
| Program Revenues: | | | | | | | | | | | | |
| Charges for services | $ 46,607 | $ 42,423 | $ 4,184 | 9.9 | $ 168,301 | $ 189,428 | $ (21,127) | (11.2) | $ 214,908 | $ 231,851 | $ (16,943) | (7.3) |
| Operating grants and contributions | 25,194 | 22,044 | 3,150 | 14.3 | 5,554 | 4,957 | 597 | 12.0 | 30,748 | 27,001 | 3,747 | 13.9 |
| Capital grants and contributions | 74,912 | 31,328 | 43,584 | 139.1 | 44,549 | 30,085 | 14,464 | 48.1 | 119,461 | 61,413 | 58,048 | 94.5 |
| General Revenues: | | | | | | | | | | | | |
| Taxes | | | | | | | | | | | | |
| Sales and use | 211,786 | 192,398 | 19,388 | 10.1 | - | - | - | - | 211,786 | 192,398 | 19,388 | 10.1 |
| Property | 30,271 | 33,627 | (3,356) | (10.0) | - | - | - | - | 30,271 | 33,627 | (3,356) | (10.0) |
| Other | 32,961 | 30,984 | 1,977 | 6.4 | - | - | - | - | 32,961 | 30,984 | 1,977 | 6.4 |
| Grants and contributions not restricted to specific programs | 1,071 | 1,027 | 44 | 4.3 | - | - | - | - | 1,071 | 1,027 | 44 | 4.3 |
| Unrestricted investment earnings | 1,906 | 2,548 | (642) | (25.2) | 1,748 | 2,611 | (863) | (33.1) | 3,654 | 5,159 | (1,505) | (29.2) |
| Total revenues | 424,708 | 356,379 | 68,329 | 19.2 | 220,152 | 227,081 | (6,929) | (3.1) | 644,860 | 583,460 | 61,400 | 10.5 |
| EXPENSES: | | | | | | | | | | | | |
| General government | 28,312 | 25,063 | 3,249 | 13.0 | - | - | - | - | 28,312 | 25,063 | 3,249 | 13.0 |
| Judicial | 9,862 | 9,253 | 609 | 6.6 | - | - | - | - | 9,862 | 9,253 | 609 | 6.6 |
| Police | 101,214 | 96,507 | 4,707 | 4.9 | - | - | - | - | 101,214 | 96,507 | 4,707 | 4.9 |
| Fire | 43,163 | 42,765 | 398 | 0.9 | - | - | - | - | 43,163 | 42,765 | 398 | 0.9 |
| Other public safety | 13,977 | 13,308 | 669 | 5.0 | - | - | - | - | 13,977 | 13,308 | 669 | 5.0 |
| Public works | 74,913 | 70,674 | 4,239 | 6.0 | - | - | - | - | 74,913 | 70,674 | 4,239 | 6.0 |
| Economic development | 25,605 | 19,705 | 5,900 | 29.9 | - | - | - | - | 25,605 | 19,705 | 5,900 | 29.9 |
| Community services | 11,336 | 10,163 | 1,173 | 11.5 | - | - | - | - | 11,336 | 10,163 | 1,173 | 11.5 |
| Culture and recreation | 39,979 | 38,385 | 1,594 | 4.2 | - | - | - | - | 39,979 | 38,385 | 1,594 | 4.2 |
| Unallocated depreciation | 3,940 | 3,743 | 197 | 5.3 | - | - | - | - | 3,940 | 3,743 | 197 | 5.3 |
| Interest on debt | 6,274 | 5,032 | 1,242 | 24.7 | - | - | - | - | 6,274 | 5,032 | 1,242 | 24.7 |
| Water | - | - | - | - | 105,058 | 106,723 | (1,665) | (1.6) | 105,058 | 106,723 | (1,665) | (1.6) |
| Wastewater | - | - | - | - | 56,644 | 53,568 | 3,076 | 5.7 | 56,644 | 53,568 | 3,076 | 5.7 |
| Golf | - | - | - | - | 8,292 | 8,067 | 225 | 2.8 | 8,292 | 8,067 | 225 | 2.8 |
| Total expenses | 358,575 | 334,598 | 23,977 | 7.2 | 169,994 | 168,358 | 1,636 | 1.0 | 528,569 | 502,956 | 25,613 | 5.1 |
| Increase in net position before transfers | 66,133 | 21,781 | 44,352 | 203.6 | 50,158 | 58,723 | (8,565) | (14.6) | 116,291 | 80,504 | 35,787 | 44.5 |
| Transfers | (555) | 7 | (562) | (8,028.6) | 555 | (7) | 562 | (8,028.6) | - | - | - | - |
| Increase in net position | 65,578 | 21,788 | 43,790 | 201.0 | 50,713 | 58,716 | (8,003) | (13.6) | 116,291 | 80,504 | 35,787 | 44.5 |
| Net position January 1, before restatement | 2,559,103 | 2,537,315 | 21,788 | 0.9 | 1,674,221 | 1,615,505 | 58,716 | 3.6 | 4,233,324 | 4,152,820 | 80,504 | 1.9 |
| Adjustment for change in accounting principle | (22,306) | - | (22,306) | n/a | (243) | - | (243) | n/a | (22,549) | - | (22,549) | n/a |
| Net position January 1, after restatement | 2,536,797 | 2,537,315 | (518) | (0.0) | 1,673,978 | 1,615,505 | 58,473 | 3.6 | 4,210,775 | 4,152,820 | 57,955 | 1.4 |
| Net position December 31 | $ 2,602,375 | $ 2,559,103 | $ 43,272 | 1.7 | $ 1,724,691 | $ 1,674,221 | $ 50,470 | 3.0 | $ 4,327,066 | $ 4,233,324 | $ 93,742 | 2.2 |

* The 2014 summarized financial information has not been restated to reflect the impact of the change in accounting principle implementation of GASB Statement No. 68.

**Chart 2**

**Expenses Financed through Program Revenues – Governmental Activities**

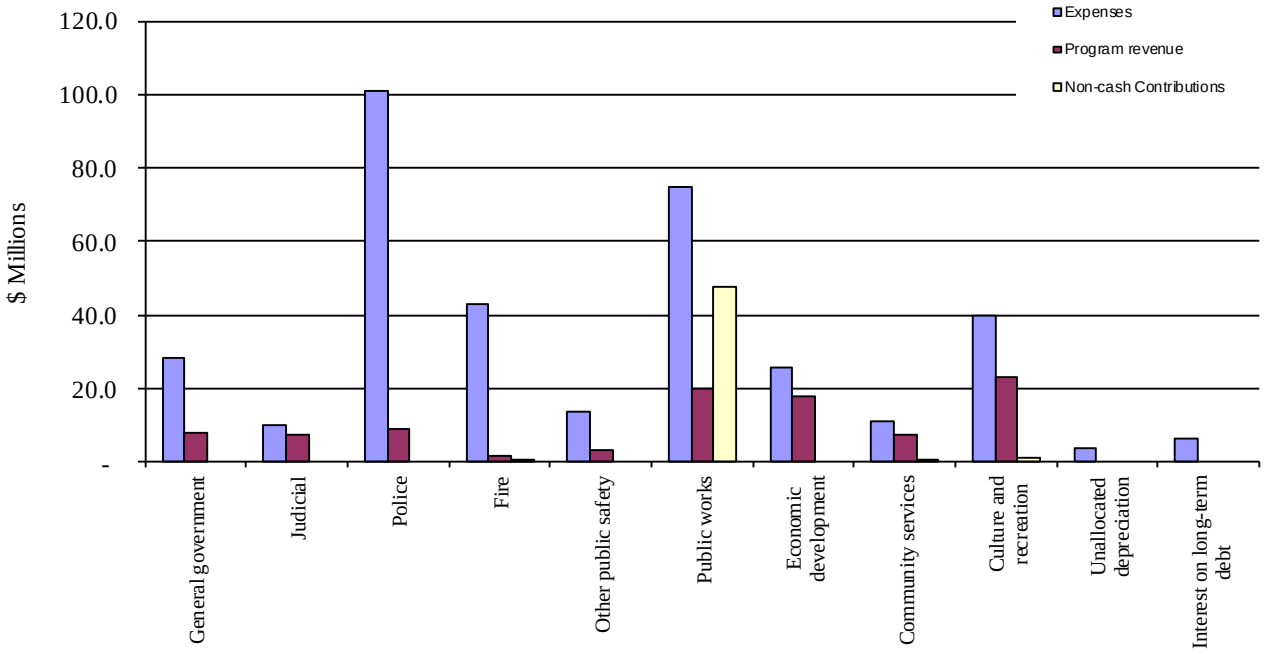


**Chart 3**

**Revenues by Source – Governmental Activities**

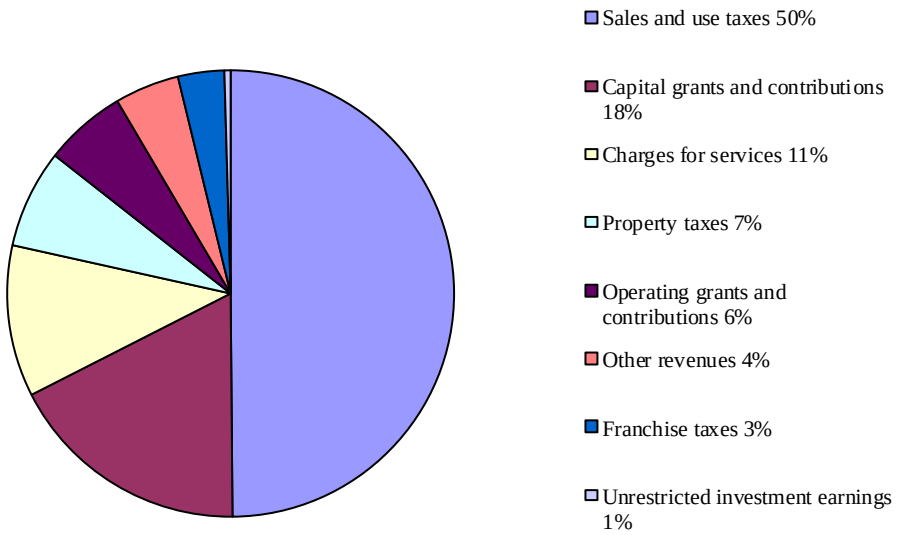


**Chart 4**

Refer to Chart 2 for changes in net position. Charts 3 and 4 graphically illustrate information concerning governmental activities revenues and expenses while Charts 5 and 6 graphically illustrate information concerning business-type activities revenues and expenses.

*Governmental activities changes in net position*
Total revenues increased $68.3 million or 19.2%. Capital grants and contributions increased $43.6 million primarily due to an increase in developer contributions in the form of donated roads. Sales and use tax increased $19.4 million due to the continued growth in the economy. Charges for services increased $4.2 million primarily as a result of $2.4 million assessed to property owners for an improvement reimbursement district for Smoky Hill Road related improvements and $1.3 million in increased licenses and permits issued due to the continued strong economy creating increased building activity. Revenues in other areas were impacted similarly.

Total governmental activities expenses increased $24.0 million or 7.2%. Economic development expense increased $5.9 million as development activity increased in urban renewal areas around the city and the city addressed increased demand in plan reviews and inspection activity due to new development and construction within the city. Police expense increased $4.7 million to meet mandated staffing and equipment needs. Public works expense increased $4.2 million due to an increased need for snow removal supplies and a change in allocation of certain direct costs that will now remain with public works. General government expense increased $3.2 million due to $2.4 million for the Smoky Hill Road improvement project as well as progress on IT network and systems initiatives.

*Business-type activities changes in net position*
Total revenues for business-type activities decreased $6.9 million or 3.1%. Charges for services decreased $21.1 million primarily as a result of the timing of the one-time development and connection fees received from Roxborough Water and Sanitation District in late 2014; no such significant one-time fees were collected in 2015. This decrease was partially offset by an increase in capital grants and contributions of $14.5 million due to an increase in the water and sewer mains contributed by developers in 2015.

Total business-type activities expenses increased $1.6 million or 1.0%. Wastewater operating expenses increased $3.1 million primarily due to an increase in sewage treatment and disposal costs as well as additional sewer improvement projects. Water operating expenses decreased $1.7 million due to the extinguishment of water revenue bonds during 2015 resulting in decreased interest expense incurred for the year.

**Expenses and Charges for Services – Business-type Activities**

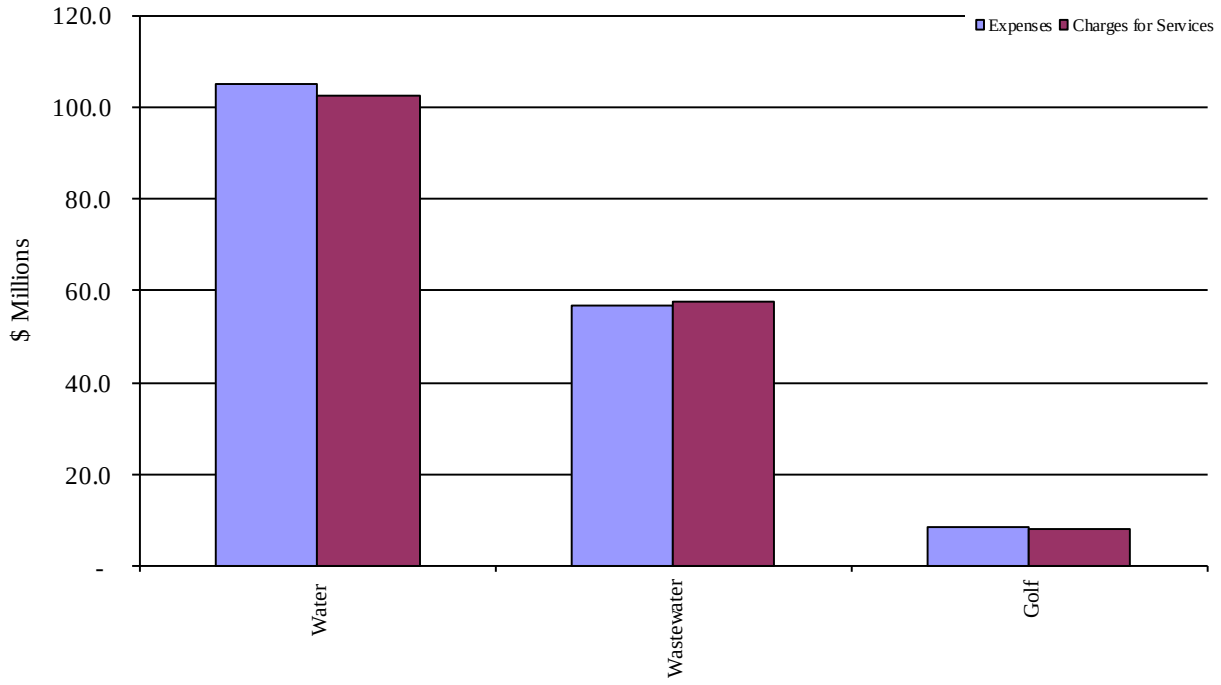


**Chart 5**

**Revenues by Source – Business-type Activities**

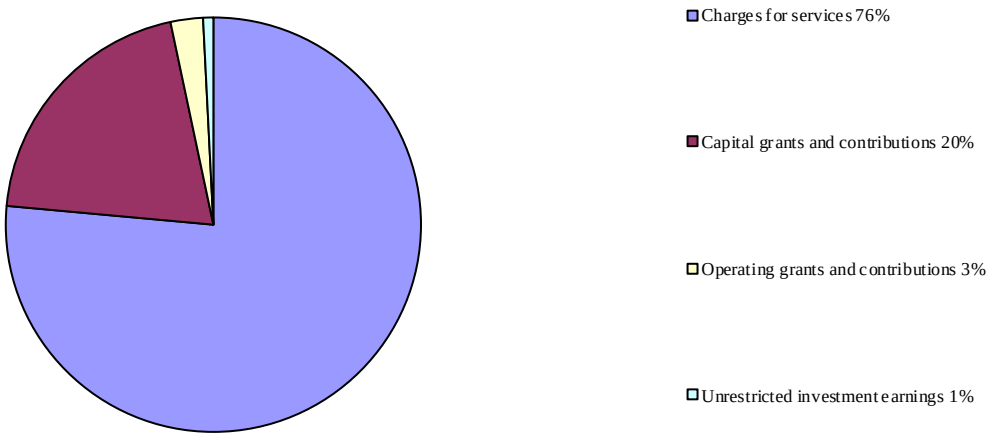


**Chart 6**

***Financial Analysis of the Government's Funds***

General Fund

The General Fund is the main operating fund of the city. At the end of 2015, total fund balance for the General Fund was $94.5 million. This amount includes: $11.1 million restricted fund balance comprised primarily of the $8.3 million TABOR reserve restricted for emergencies; $29.8 million committed fund balance comprised mainly of the $24.5 million 10% policy reserve; $26.8 million assigned fund balance comprised primarily of $23.0 million assigned to payment of long-term liabilities; and $26.8 million for the unassigned fund balance operating reserve.

All of the unassigned General Fund fund balance is maintained as the "unassigned fund balance Operating Reserve". The Operating Reserve has a minimum target policy range of 1% to 3% of annual budgetary revenues and is intended to be spendable in limited circumstances as determined appropriate and necessary by City Council. City policy provides for restoring the Operating Reserve to those levels as quickly as feasible. The General Fund unassigned fund balance Operating Reserve was $26.8 million at December 31, 2015 and $26.2 million at December 31, 2014. The Operating Reserve is 8.1% of 2015 annual budgetary revenues or $15.6 million above the 3% minimum target range specified by Council. Total General Fund funds available was 19.7% of total General Fund budgetary revenues in 2015, compared to 20.1% in 2014.

It is the city's policy to hold a minimum 10% of the General Fund's adjusted budgetary operating expenditures for the year in the General Fund committed reserves. General Fund adjusted budgetary operating expenditures, for purposes of calculating this 10% Policy Reserve, exclude capital and development related expenditures and expenditures related to funding two police officers per 1,000 citizens, which are funded with voter approved sales and use taxes. At the end of 2015, the 10% Policy Reserve balance meets the minimum 10% policy. The total of the General Fund's 10% Policy Reserve balance committed to reserves and the "Taxpayer Bill of Rights" (TABOR) Reserve balance restricted for emergencies was 14.3% of the General Fund's 2015 adjusted budgetary operating expenditures.

The TABOR Reserve is restricted for emergencies for fund balance purposes. This balance accounts for the emergency reserve required by TABOR, a State constitutional amendment (Note 19). TABOR specifies that local governments are permitted to use reserve funds for emergencies with the requirement that the reserve funds be restored to 3% of fiscal year spending in the following fiscal year. The city management believes it is in compliance with the provisions of the TABOR amendment at December 31, 2015.

### *General Fund Budgetary Highlights*

General Fund revenues for 2015 were greater than budget by $19.7 million primarily due to growth in sales and use tax revenue resulting from the continued moderate growth in the economy. Other tax revenues were impacted similarly.

Moderate revenue growth occurred in the city for 2015. For 2015, General Fund revenue, net of transfers, increased 8.4% on a budgetary basis (7.4% per GAAP basis), above the growth experienced in 2014. The combination of sales and use tax is the most significant source of revenue, generating 66.5% of the total General Fund GAAP revenue, net of transfers. Property tax represents an important secondary general revenue source. Property tax collections were 8.5% of the total General Fund budgetary and 8.2% of GAAP revenues, net of transfers, in 2015.

General Fund expenditures were $3.9 million under budget primarily from vacancy savings and lower utility costs. Ending 2015 funds available were $36.0 million higher than original budget and $23.7 million higher than the final budget. The city expects to maintain its financial condition through continued control over the growth of city expenditures and through evaluation of options for enhancing revenues.

### *Capital Assets and Debt Administration*

#### *Capital Assets*

The city's capital assets for its governmental and business-type activities as of December 31, 2015 were valued at $4.7 billion (net of accumulated depreciation) and include: land and water rights, buildings and improvements, infrastructure, machinery and equipment and construction in progress. The city uses these assets to provide services to its citizens. Additional information on the city's capital assets can be found in the notes to the basic financial statements (Note 7).

***Comparative Schedule of Capital Assets - net of accumulated depreciation December 31, 2015 and 2014 (in thousands)***

| | Governmental Activities | | | Business-type Activities | | | Citywide Totals | | |
|---|---|---|---|---|---|---|---|---|---|
| | 2015 | 2014 | Change | 2015 | 2014 | Change | 2015 | 2014 | Change |
| Land and water rights | $ 278,961 | $ 273,885 | $ 5,076 | $ 399,983 | $ 383,412 | $ 16,571 | $ 678,944 | $ 657,297 | $ 21,647 |
| Buildings and improvements | 132,915 | 133,566 | (651) | 439,455 | 452,107 | (12,652) | 572,370 | 585,673 | (13,303) |
| Infrastructure | 2,091,084 | 2,054,780 | 36,304 | 1,067,762 | 1,048,033 | 19,729 | 3,158,846 | 3,102,813 | 56,033 |
| Machinery and equipment | 36,238 | 33,581 | 2,657 | 65,582 | 68,516 | (2,934) | 101,820 | 102,097 | (277) |
| Construction in progress | 76,680 | 19,751 | 56,929 | 110,936 | 77,947 | 32,989 | 187,616 | 97,698 | 89,918 |
| Totals | $ 2,615,878 | $ 2,515,563 | $100,315 | $ 2,083,718 | $ 2,030,015 | $ 53,703 | $ 4,699,596 | $ 4,545,578 | $ 154,018 |

**Chart 7**

Major capital asset activity for the year ended December 31, 2015 included the following:

*Governmental Activities Capital Assets*

- Land and water rights increased primarily as a result of the value of the land under 2015 developer contributed roads of $2.8 million. Additional land purchases and easements contributed to the remainder of the increase.
- Infrastructure increased as a result of numerous projects and improvements undertaken across the city. The most significant items included the addition of $44.4 million for developer contributed roads and $31.8 million of completed projects transferred from construction in progress. These projects included $13.2 million for street overlays, $7.9 million for the completed Del Mar Park and Pool renovations, $6.3 million for the completed Sports Park project and $1.6 million for traffic signals. Other parks and open space improvements, as well as parking lot and alley paving projects, totaling $2.8 million were also completed in 2015. This increase was partially offset by the current year additions to accumulated depreciation of $39.9 million.
- Construction in progress increased due to $91.0 million in capital project costs incurred in 2015 including $22.7 million for a public safety training facility, $17.1 million for the Hyatt Aurora conference center and parking structure, $13.2 million for street overlays, $9.8 million for the E-911 system upgrades, $8.0 million for the Iliff parking garage project, and $6.3 million for the Sports Park project. In addition, other parks and

open space projects, as well as other projects across the city, totaling $13.9 also incurred project costs in 2015. The increase was partially offset by completed projects of $34 million that were transferred to other capital asset categories including machinery and equipment, buildings and infrastructure in 2015.

*Business-type Activities Capital Assets*

- The purchase of $14.1 million in Gilcrest land and water rights and $2.3 million in other water rights purchases accounted for the majority of land and water rights increases in 2015.
- The buildings and improvements decrease is the result of additions to accumulated depreciation.
- Infrastructure increased mainly due to transfers from construction in progress for various projects including $6.4 million for Cherry Creek spillway channel rehabilitation project, $4.8 million for raw water system improvements, $4.4 million for water line replacements, $3.7 million for Prairie Waters well field infill expansion project and $8.9 million for various other water and sewer improvements. Also, water and sewer mains valued at $11.6 million were contributed from developers. Infrastructure decreased $20.1 million through additions to accumulated depreciation.
- Construction in progress increased as a result of new capital projects including $15.1 for Wemlinger water purification facility improvements, $7.9 million for Everist storage improvements, $6.7 million for Westerly Creek bridge and channel improvements, $5.0 million for Alameda Avenue drainage system improvements, $4.1 million for Binney water purification facility improvements and $22.9 million for various other water and sewer improvements. Additionally, assets valued at $28.7 million were completed and transferred to buildings and improvements, infrastructure and machinery and equipment.

***Debt Administration***

At the end of 2015, the city had total bonded debt of $497.3 million and $129.5 million in certificates of participation (COPs). COPs are issued for particular projects and are repaid from lease payments made by the city for use of the acquired property. Aurora Capital Leasing Corporation (ACLC), a blended component unit, issues the COPs. Outstanding debt by activity at December 31, 2015, and 2014 was as follows:

***Comparative Schedule of Outstanding Debt December 31, 2015 and 2014 (in thousands)***

| | Primary Government | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| | Governmental Activities | | | Business-type Activities | | | Citywide Totals | | |
| | 2015 | 2014 | Change | 2015 | 2014 | Change | 2015 | 2014 | Change |
| General Obligation Bonds | $ 3,549 | $ 5,811 | $ (2,262) | $ - | $ - | $ - | $ 3,549 | $ 5,811 | $ (2,262) |
| Revenue Bonds | - | - | - | 493,785 | 523,950 | (30,165) | 493,785 | 523,950 | (30,165) |
| Total Bonded Debt | 3,549 | 5,811 | (2,262) | 493,785 | 523,950 | (30,165) | 497,334 | 529,761 | (32,427) |
| Certificates of Participation | 129,515 | 108,800 | 20,715 | - | - | - | 129,515 | 108,800 | 20,715 |
| Totals | $ 133,064 | $ 114,611 | $ 18,453 | $ 493,785 | $ 523,950 | $ (30,165) | $ 626,849 | $ 638,561 | $ (11,712) |

**Chart 8**

Citywide net bonded and COP debt decreased $11.7 million during 2015 due to $2.8 million in bonded debt payments and $3.6 million in COP payments. In addition, during 2015, the 2005D Colorado Water Resources and Power Development Authority (CWRPDA) revenue bonds were paid off for $29.7 million. This unscheduled, voluntary water debt pay down was made from available funds and will result in significant savings along with improved debt coverage ratios. These decreases were partially offset by the issuance of the 2015 Certificates of Participation (COPs) for the public safety training facility project for $24.3 million.

The city's underlying general obligation debt rating is Aa1 by Moody's Investors Service and AA by Standard & Poor's.

The City Charter imposes a limit upon general obligation debt (other than debt issued for water purposes) of 3% of the assessed value of property subject to city general property tax. Additional information on the city's legal debt margin can be found in the Statistical Section of this report, Exhibit A-16, and additional information on the city's debt can be found in the notes to the basic financial statements (Note 8).

### *Economic Factors and Rate Increases*

- For 2015, the average annual local unemployment rate for Denver-Aurora-Lakewood was at 3.8%. This rate compares favorably to the state's average unemployment rate of 3.9% and the national unemployment rate of 5.3%.
- Although the number of permits issued for improvements to existing structures remained relatively stable, the number of new residential and commercial permits issued for the city in 2015 increased 19.0% over last year with an increase in valuation of approximately $240 million (75.0%).
- Water, wastewater, and storm drain user rates will increase 0.0%, 4.0% and $1 per month, respectively, in 2016 to fund operating expenses and system improvement needs.

### Requests for Information

This financial report is designed to provide a general overview of the city's finances. Questions concerning the information provided in this report or other financial information should be addressed to the Controller's Office, City of Aurora, Colorado, 15151 East Alameda Parkway, Suite 5700, Aurora, Colorado 80012-1555 or telephone 303-739-7800.

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## Citywide Financial Statements

# Basic Financial Statements

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**CITY OF AURORA, COLORADO**

**CITYWIDE**
**STATEMENT OF NET POSITION**
**DECEMBER 31, 2015**

| | Primary Government | | | |
|---|---|---|---|---|
| | Governmental Activities | Business-Type Activities | Total | Component Unit |
| **ASSETS** | | | | |
| Cash and cash equivalents | $ 13,910,591 | $ 15,908,356 | $ 29,818,947 | $ 147,330 |
| Investments | 113,724,402 | 160,394,850 | 274,119,252 | — |
| *Receivables (net of allowance)* | | | | |
| Taxes receivable | 59,739,486 | — | 59,739,486 | 354,171 |
| Accounts receivable | 4,049,107 | 15,860,919 | 19,910,026 | 4,486 |
| Interest receivable | 755,480 | 706,800 | 1,462,280 | — |
| Due from other governments | 1,225,611 | 2,192,291 | 3,417,902 | — |
| Due from fiduciary fund | 427,797 | — | 427,797 | — |
| Other receivables | 104,161 | — | 104,161 | — |
| Internal balances | (2,108,624) | 2,108,624 | — | — |
| Inventories | 806,736 | 198,265 | 1,005,001 | — |
| Other Asset-Interest Rate Cap | 8,296 | — | 8,296 | — |
| *Restricted assets* | | | | |
| Cash and cash equivalents | 20,387,057 | 374,000 | 20,761,057 | — |
| Investments | 62,255,208 | 51,921,174 | 114,176,382 | — |
| Taxes receivable | 4,497,933 | — | 4,497,933 | — |
| Accounts receivable | 183,002 | — | 183,002 | — |
| Interest receivable | 37,712 | 889,974 | 927,686 | — |
| Due from other governments | 3,982,787 | — | 3,982,787 | — |
| Other receivables | 1,291,109 | 5,212,796 | 6,503,905 | — |
| Inventories | 973,042 | — | 973,042 | — |
| Asset acquired for resale | 4,003,861 | — | 4,003,861 | — |
| Notes receivable | 1,518,857 | — | 1,518,857 | — |
| Net pension asset | 9,859,880 | — | 9,859,880 | — |
| Notes receivable | 154,099 | — | 154,099 | — |
| Equity in joint venture | — | 2,404,208 | 2,404,208 | — |
| *Capital assets (net of accumulated depreciation)* | | | | |
| Land and water rights | 278,961,348 | 399,983,075 | 678,944,423 | — |
| Buildings and improvements | 132,914,629 | 439,455,176 | 572,369,805 | — |
| Infrastructure | 2,091,084,278 | 1,067,761,391 | 3,158,845,669 | 31,028 |
| Machinery and equipment | 36,237,985 | 65,582,213 | 101,820,198 | 15,591 |
| Construction in progress | 76,679,778 | 110,936,229 | 187,616,007 | — |
| Total assets | 2,917,665,608 | 2,341,890,341 | 5,259,555,949 | 552,606 |
| **DEFERRED OUTFLOWS OF RESOURCES** | 21,683,333 | 2,112,233 | 23,795,566 | — |
| **LIABILITIES** | | | | |
| Accounts payable | 20,005,345 | 18,769,123 | 38,774,468 | 35,869 |
| Accrued interest | 637,114 | 11,902,063 | 12,539,177 | — |
| Other payables | 1,613,713 | 3,995,083 | 5,608,796 | — |
| Unearned revenues | 900,756 | 1,724,480 | 2,625,236 | — |
| *Noncurrent liabilities* | | | | |
| Due within one year | 18,705,641 | 2,265,998 | 20,971,639 | — |
| Due beyond one year | 259,684,910 | 580,654,888 | 840,339,798 | — |
| Total liabilities | 301,547,479 | 619,311,635 | 920,859,114 | 35,869 |
| **DEFERRED INFLOWS OF RESOURCES** | 35,426,271 | — | 35,426,271 | 352,573 |
| **NET POSITION** | | | | |
| Net investment in capital assets | 2,461,112,367 | 1,539,225,474 | 4,000,337,841 | 46,619 |
| Restricted | | | | |
| Culture, recreation, and open space | 21,160,590 | — | 21,160,590 | — |
| Development | 8,236,594 | — | 8,236,594 | — |
| Gifts and grants | 4,136,575 | — | 4,136,575 | — |
| Public improvement | 7,477,210 | 5,586,796 | 13,064,006 | — |
| Emergencies | 18,176,280 | — | 18,176,280 | 12,452 |
| Pension Benefits | 9,859,880 | — | 9,859,880 | — |
| Unrestricted | 72,215,695 | 179,878,669 | 252,094,364 | 105,093 |
| Total net position | $ 2,602,375,191 | $ 1,724,690,939 | $4,327,066,130 | $ 164,164 |

See notes to the basic financial statements

**CITY OF AURORA, COLORADO**

**CITYWIDE**
**STATEMENT OF ACTIVITIES**
**FOR THE YEAR ENDED DECEMBER 31, 2015**

| | | Program Revenues | | | Net (Expense) Revenue and Changes in Net Position<br>Primary Government | | | |
|---|---|---|---|---|---|---|---|---|
| **Functions/Programs** | **Expenses** | **Charges for Services** | **Operating Grants and Contributions** | **Capital Grants and Contributions** | **Governmental Activities** | **Business-type Activities** | **Total** | **Component Unit** |
| **Primary government** | | | | | | | | |
| *Governmental activities* | | | | | | | | |
| General government | $ 28,312,124 | $ 6,581,894 | $ 1,313,210 | $ 22,000 | $ (20,395,020) | $ — | $ (20,395,020) | |
| Judicial | 9,862,201 | 7,413,655 | 112,891 | — | (2,335,655) | — | (2,335,655) | |
| Police | 101,213,804 | 4,285,323 | 4,184,402 | 436,376 | (92,307,703) | — | (92,307,703) | |
| Fire | 43,162,495 | 1,349,663 | 312,257 | 300,613 | (41,199,962) | — | (41,199,962) | |
| Other public safety | 13,977,142 | — | 3,293,682 | — | (10,683,460) | — | (10,683,460) | |
| Public works | 74,913,385 | 713,229 | 3,800,782 | 63,223,483 | (7,175,891) | — | (7,175,891) | |
| Economic development | 25,604,640 | 15,443,197 | 848,815 | 1,504,890 | (7,807,738) | — | (7,807,738) | |
| Community services | 11,336,479 | 2,661,456 | 4,582,625 | 12,500 | (4,079,898) | — | (4,079,898) | |
| Culture and recreation | 39,979,006 | 8,158,984 | 6,745,418 | 9,412,176 | (15,662,428) | — | (15,662,428) | |
| Unallocated depreciation, excluding direct program depreciation | 3,940,098 | — | — | — | (3,940,098) | — | (3,940,098) | |
| Interest on long-term debt | 6,273,892 | — | — | — | (6,273,892) | — | (6,273,892) | |
| Total governmental activities | 358,575,266 | 46,607,401 | 25,194,082 | 74,912,038 | (211,861,745) | — | (211,861,745) | |
| *Business-type activities* | | | | | | | | |
| Water | 105,058,284 | 102,488,841 | 3,131,344 | 32,335,016 | — | 32,896,917 | 32,896,917 | |
| Wastewater | 56,643,979 | 57,664,236 | 2,404,684 | 12,203,329 | — | 15,628,270 | 15,628,270 | |
| Golf | 8,291,834 | 8,147,841 | 18,521 | 10,800 | — | (114,672) | (114,672) | |
| Total business-type activities | 169,994,097 | 168,300,918 | 5,554,549 | 44,549,145 | — | 48,410,515 | 48,410,515 | |
| Total primary government | $528,569,363 | $ 214,908,319 | $ 30,748,631 | $ 119,461,183 | (211,861,745) | 48,410,515 | (163,451,230) | |
| **Component Unit** | $ 400,224 | $ 13,141 | $ — | $ — | | | | $ (387,083) |

| | Primary Government | | | |
|---|---|---|---|---|
| | Governmental Activities | Business-Type Activities | Total | Component Unit |
| **General Revenues** | | | | |
| *Taxes* | | | | |
| Sales and use | 211,785,430 | — | 211,785,430 | — |
| Property taxes | 30,270,851 | — | 30,270,851 | 358,726 |
| Franchise taxes | 14,212,992 | — | 14,212,992 | — |
| Lodgers taxes | 7,643,748 | — | 7,643,748 | — |
| Occupational privilege taxes | 5,259,105 | — | 5,259,105 | — |
| Other taxes | 5,845,172 | — | 5,845,172 | 27,412 |
| Grants and contributions not restricted to specific programs | 1,071,238 | — | 1,071,238 | — |
| Unrestricted investment earnings | 1,906,294 | 1,747,611 | 3,653,905 | — |
| **Transfers** | (555,216) | 555,216 | — | — |
| Total general revenues and transfers | 277,439,614 | 2,302,827 | 279,742,441 | 386,138 |
| INCREASE (DECREASE) IN NET POSITION | 65,577,869 | 50,713,342 | 116,291,211 | (945) |
| NET POSITION - January 1, before restatement | 2,559,102,780 | 1,674,221,404 | 4,233,324,184 | 165,109 |
| Adjustment for change in accounting principle | (22,305,458) | (243,807) | (22,549,265) | — |
| NET POSITION - January 1, after restatement | 2,536,797,322 | 1,673,977,597 | 4,210,774,919 | 165,109 |
| NET POSITION - December 31 | $ 2,602,375,191 | $ 1,724,690,939 | $ 4,327,066,130 | $ 164,164 |

See notes to the basic financial statements.

AURORA

## GOVERNMENTAL FUNDS

Major governmental funds include the General Fund and any governmental fund that comprises 10% or more of total governmental fund classification (assets, deferred outflows of resources, liabilities, deferred inflows of resources, revenues or expenditures) and at least 5% of the governmental and enterprise fund totals for the same classification. The General Fund and the ACLC Capital Projects Fund are considered to be the only major governmental funds.

## MAJOR GOVERNMENTAL FUND

### General Fund

The General Fund accounts for taxes and other resources traditionally associated with government and the operations of the city that are financed from these resources.

### Aurora Capital Leasing Corporation (ACLC) Capital Projects Fund

The ACLC Capital Projects Fund accounts for financial resources used by ACLC for the construction of city facilities, public safety vehicles, public works equipment, and communications systems. Funding for these projects is provided by proceeds of certificates of participation issued by ACLC and general revenues of the city.

### Nonmajor governmental funds

are comprised of all nonmajor special revenue funds, debt service funds and capital projects funds.

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**CITY OF AURORA, COLORADO**

**GOVERNMENTAL FUNDS**
**BALANCE SHEET**
**DECEMBER 31, 2015**

| | General | ACLC Capital Projects | Nonmajor Governmental Funds | Total Governmental Funds |
|---|---|---|---|---|
| **ASSETS** | | | | |
| Cash and cash equivalents | $ 5,753,060 | $ — | $ 6,651,352 | $ 12,404,412 |
| Investments | 51,813,768 | — | 47,743,802 | 99,557,570 |
| *Receivables (net of allowance)* | | | | |
| Taxes receivable | 59,739,486 | — | — | 59,739,486 |
| Accounts receivable | 1,120,902 | — | 2,928,205 | 4,049,107 |
| Interest receivable | 678,772 | — | 27,249 | 706,021 |
| Due from other governments | 1,186,673 | — | 38,938 | 1,225,611 |
| Other receivables | 91,731 | — | 12,430 | 104,161 |
| Due from other funds | 1,807,674 | — | — | 1,807,674 |
| Due from fiduciary fund | 427,797 | — | — | 427,797 |
| Interfund loan receivable | 225,753 | — | — | 225,753 |
| *Restricted assets* | | | | |
| Cash and cash equivalents | 861,424 | 13,661,043 | 5,864,590 | 20,387,057 |
| Investments | 10,231,454 | — | 52,023,754 | 62,255,208 |
| Taxes receivable | — | — | 4,497,933 | 4,497,933 |
| Accounts receivable | — | — | 183,002 | 183,002 |
| Interest receivable | 20,248 | — | 17,464 | 37,712 |
| Due from other governments | — | — | 3,982,787 | 3,982,787 |
| Other receivables | — | — | 1,291,109 | 1,291,109 |
| Inventory | — | — | 973,042 | 973,042 |
| Asset acquired for resale | — | — | 4,003,861 | 4,003,861 |
| Notes receivable | — | — | 1,518,857 | 1,518,857 |
| Due from other funds | — | — | 6,701 | 6,701 |
| Notes receivable | 76,000 | — | 78,099 | 154,099 |
| Total assets | $ 134,034,742 | $ 13,661,043 | $ 131,843,175 | $ 279,538,960 |
| **LIABILITIES** | | | | |
| Accounts payable | $ 6,399,653 | $ 3,964,454 | $ 10,384,911 | $ 20,749,018 |
| Other payables | 1,282,638 | — | 331,075 | 1,613,713 |
| Due to other funds | — | 1,807,674 | 6,701 | 1,814,375 |
| Interfund loan payable | — | — | 4,000,000 | 4,000,000 |
| Unearned revenues | — | — | 900,756 | 900,756 |
| Total liabilities | 7,682,291 | 5,772,128 | 15,623,443 | 29,077,862 |
| **DEFERRED INFLOWS OF RESOURCES** | 31,817,269 | — | 6,989,326 | 38,806,595 |
| **FUND BALANCES** | | | | |
| Restricted | 11,109,504 | 7,888,915 | 57,395,145 | 76,393,564 |
| Committed | 29,802,537 | — | 12,025,651 | 41,828,188 |
| Assigned | 26,842,775 | — | 41,962,901 | 68,805,676 |
| Unassigned | 26,780,366 | — | (2,153,291) | 24,627,075 |
| Total fund balances | 94,535,182 | 7,888,915 | 109,230,406 | 211,654,503 |
| Total liabilities, deferred inflows of resources, and fund balances | $ 134,034,742 | $ 13,661,043 | $ 131,843,175 | $ 279,538,960 |

See notes to the basic financial statements.

**CITY OF AURORA, COLORADO**

**GOVERNMENTAL FUNDS**
**RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET TO THE CITYWIDE STATEMENT OF NET POSITION**
**DECEMBER 31, 2015**

Amounts reported for governmental activities in the statement of net position (see page 1) are different because:

| | | |
|---|---|---|
| Total fund balance - governmental funds (see page 5) | | $ 211,654,503 |
| The current and long-term portions of the golf cart interfund loans between the General Fund and the Golf Fund are eliminated. As these loans cross between governmental activities and business-type activities at citywide, these amounts are recorded on the internal balances line. | | |
| General Fund - asset | | 225,753 |
| Golf Fund - liability | | (225,753) |
| The Fanfare interfund loan between the AURA Debt Service Fund and the Water Fund is eliminated. As this loan crosses between governmental activities and business-type activities at citywide, this amount is recorded on the internal balances line. | | |
| AURA Debt Service Fund - liability | | (4,000,000) |
| Water Fund - asset | | 4,000,000 |
| The internal balances due to the governmental activities from the business-type activities result from the allocation of the cumulative internal service fund loss. | | 1,665,623 |
| Due to / due from amounts are eliminated for citywide reporting. | | |
| Due to other funds | | 1,814,375 |
| Due from other funds | | (1,814,375) |
| The net pension asset is not available to pay current period expenditures and, therefore, is not recorded in the funds. (see Note 13) | | 9,859,880 |
| The interest rate cap asset is not available to pay current period expenditures and, therefore, is not recorded in the funds. (see Note 6) | | 8,296 |
| Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the governmental funds. Less $429,765 internal service fund capital assets. | | 2,615,448,253 |
| Deferred outflow of resources is amortized over future periods and is not recorded in the funds. (see Note 9) | | 21,683,333 |
| Accounts payable are adjusted for interest payable on bonds, which are not paid in the current period and, therefore, not recorded in the funds. | | (637,114) |
| Deferred inflow of resources from tax audit receivables, notes receivable, and special assessments have been recognized as revenue at citywide. (see Note 9) | | 3,650,443 |
| Deferred inflow of resources related to pensions and interest rate cap is amortized over future periods and is not recorded in the funds. (see Note 9) | | (270,119) |
| Noncurrent liabilities including bonds, certificates of participation, accrued compensated absences, and the net pension liability are not due and payable in the current period and therefore, are not recorded in the funds. (see Note 8) | | |
| Due within year - | | |
| Due within one year on citywide statement of net position | 18,705,641 | |
| Internal service fund current portion long-term liabilities | (5,362,613) | |
| Funded portion of accrued compensated absences reclassified from accounts payable in the funds to short term debt at citywide. | (1,000,734) | (12,342,294) |
| Due beyond one year - | | |
| Due beyond one year on citywide statement of net position | 259,684,910 | |
| Internal service fund due beyond one year | (6,385,217) | (253,299,693) |
| Internal service funds are used by the city to accumulate and allocate fleet management and risk management costs to individual funds. The assets and liabilities of the internal service funds are included in governmental activities in the citywide statement of net position as they predominately benefit governmental activities. | | 4,954,080 |
| Net position of governmental activities (see page 1) | | $ 2,602,375,191 |

See notes to the basic financial statements.

**CITY OF AURORA, COLORADO**

**GOVERNMENTAL FUNDS**
**STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES**
**FOR THE YEAR ENDED DECEMBER 31, 2015**

| | General | ACLC Capital Projects | Nonmajor Governmental Funds | Total Governmental Funds |
|---|---|---|---|---|
| **REVENUES** | | | | |
| *Taxes* | | | | |
| Sales and use | $ 206,044,737 | $ — | $ 5,740,693 | $ 211,785,430 |
| Property | 25,463,632 | — | 4,807,219 | 30,270,851 |
| Franchise | 14,212,992 | — | — | 14,212,992 |
| Lodgers | 7,246,920 | — | 396,828 | 7,643,748 |
| Occupational privilege | 4,745,307 | — | 513,798 | 5,259,105 |
| Other | 6,125,535 | — | 25,597 | 6,151,132 |
| Charges for services | 14,596,052 | — | 12,674,665 | 27,270,717 |
| Licenses and permits | 3,853,212 | — | 11,806,149 | 15,659,361 |
| Fines and forfeitures | 9,286,892 | — | 5,104 | 9,291,996 |
| Special assessments | — | — | 323,586 | 323,586 |
| Intergovernmental | 15,307,102 | — | 25,181,382 | 40,488,484 |
| Surcharges | 334,021 | — | 3,268,681 | 3,602,702 |
| Miscellaneous | 1,570,995 | — | 4,479,390 | 6,050,385 |
| Investment earnings | 895,724 | 20,448 | 886,071 | 1,802,243 |
| Total revenues | 309,683,121 | 20,448 | 70,109,163 | 379,812,732 |
| **EXPENDITURES** | | | | |
| *Current* | | | | |
| General government | 31,320,749 | — | 1,411,735 | 32,732,484 |
| Judicial | 9,670,673 | — | 116,624 | 9,787,297 |
| Police | 95,207,157 | — | 4,234,309 | 99,441,466 |
| Fire | 44,388,776 | — | 227,256 | 44,616,032 |
| Other public safety | 10,736,034 | — | 2,732,957 | 13,468,991 |
| Public works | 27,907,578 | 52,626 | 7,593,393 | 35,553,597 |
| Economic development | 6,298,208 | — | 19,244,117 | 25,542,325 |
| Community services | 5,866,440 | — | 5,214,939 | 11,081,379 |
| Culture and recreation | 18,043,809 | — | 18,606,358 | 36,650,167 |
| *Debt service* | | | | |
| Principal | — | — | 7,425,763 | 7,425,763 |
| Interest | — | — | 6,363,895 | 6,363,895 |
| Capital outlay | 3,655,967 | 44,280,017 | 56,061,837 | 103,997,821 |
| Total expenditures | 253,095,391 | 44,332,643 | 129,233,183 | 426,661,217 |
| Excess (deficiency) of revenues over (under) expenditures | 56,587,730 | (44,312,195) | (59,124,020) | (46,848,485) |
| **OTHER FINANCING SOURCES (USES)** | | | | |
| Transfers in | 1,624,940 | 1,500,000 | 54,970,801 | 58,095,741 |
| Transfers out | (53,587,930) | (11,967) | (6,045,844) | (59,645,741) |
| Certificates of participation issued | — | 23,384,336 | 955,664 | 24,340,000 |
| Premium on certificates of participation | — | 449,531 | — | 449,531 |
| Proceeds from notes issued | — | — | 16,366,639 | 16,366,639 |
| Proceeds from capital leases | — | 8,507,793 | 104,643 | 8,612,436 |
| Sale of capital assets | 371,214 | — | — | 371,214 |
| Total other financing sources (uses) | (51,591,776) | 33,829,693 | 66,351,903 | 48,589,820 |
| NET CHANGE IN FUND BALANCES | 4,995,954 | (10,482,502) | 7,227,883 | 1,741,335 |
| FUND BALANCES - January 1 | 89,539,228 | 18,371,417 | 102,002,523 | 209,913,168 |
| FUND BALANCES - December 31 | $ 94,535,182 | $ 7,888,915 | $ 109,230,406 | $ 211,654,503 |

See notes to the basic financial statements.

**CITY OF AURORA, COLORADO**

**GOVERNMENTAL FUNDS**
**RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES TO THE CITYWIDE STATEMENT OF ACTIVITIES**
**FOR THE YEAR ENDED DECEMBER 31, 2015**

Amounts reported for governmental activities in the statement of activities (see page 2 and 3) are different because:

| | |
|---|---|
| Net change in fund balances - total governmental funds (see page 7) | $ 1,741,335 |
| Sales and use tax audit revenue is recorded at citywide since the receivable amount is known, however it does not provide current financial resources and, therefore, is reported as revenue in the funds when collected. Amounts accrued in the prior year exceeded amounts collected in the current year. | (305,960) |
| Charges for services generated internally are eliminated at citywide. | |
| Charges for services - revenue | (5,964,067) |
| Charges for services - expenditures | 5,964,067 |
| The change in fines and forfeiture revenue, deferred inflow of resources in the funds, is recognized as revenue at citywide. | (378,944) |
| The change in special assessment revenue and notes receivable, recognized as deferred inflow of resources in the funds, is recognized as revenue at citywide. | 1,882,349 |
| Street infrastructure donated by developers and easement infrastructure are recorded as revenue at citywide, however they are not a current financial source and, therefore, not recorded in the funds. | 47,591,043 |
| Donated capital assets are recorded as revenue at citywide, however they are not a current financial source and, therefore, not recorded in the funds. | 1,482,493 |
| Certain expenses in the citywide statement of activities do not require the use of current financial resources and, therefore, are not recorded in the funds. | |
| Change in OPEB obligation (see Note 8) | 73,450 |
| Change in accrued compensated absences, less internal service funds | (831,041) |
| Change in aid to agencies | (26,032) |
| Pension expense is recognized in the fund statements based on employer contributions and in the citywide statement of activities on changes in certain pension deferrals and other pension-related items excluding employer contributions. | 3,953,815 |
| Debt service payments consume current financial resources and are included as expenditures in the funds. At citywide the payments are recorded as a reduction to long-term liabilities. The accrual adjustment for debt service interest and the amortization of debt discounts, premiums and loss on refunding are made at citywide only. | |
| Repayment of principal | 7,425,763 |
| Accrued interest | (148,078) |
| Amortization of premium and discount | 1,045,945 |
| Amortization of loss on refunding | (807,864) |
| Capital outlay is reported in the funds as expenditures but are capitalized at citywide. Depreciation does not require the use of current financial resources and, therefore, is not reported in the funds. | |
| Capital outlay (see Note 7 less roads and easements, donated capital assets and internal service funds) | 103,997,821 |
| Depreciation (see Note 7 less internal service funds depreciation) | (51,998,619) |
| Capital asset transfers to enterprise funds ($405,216) and from internal service funds ($1,719) | (403,497) |
| Proceeds from capital leases, certificates of participation (including premium) and notes payable are recorded in the funds but have no affect on net position. | (49,768,606) |
| Disposal of capital assets proceeds are recorded in the funds while the loss from the disposal is recorded at citywide and includes the write-off of the carrying value of the related capital asset. | (246,677) |
| Internal service funds are used by the city to accumulate and allocate fleet management and risk management costs to individual funds. The change in net position of the internal service funds are included in governmental activities in the citywide statement of net position as they predominately benefit governmental activities. | |
| Governmental - type | 1,161,119 |
| Business - type | 138,054 |
| Increase in net position of governmental activities (see page 3) | $ 65,577,869 |

See notes to the basic financial statements.

## PROPRIETARY FUNDS

Major proprietary funds are enterprise funds that comprise 10% or more of total enterprise fund classification (assets, deferred outflows of resources, liabilities, deferred inflows of resources, revenues or expenses) and at least 5% of the combined governmental and enterprise fund total for the same classification.

Enterprise funds account for operations that are financed and operated in a manner similar to private business where costs are predominantly supported by user charges or where management has decided periodic determination of revenues, expenses, and/or change in net position is appropriate for capital maintenance, public policy, management control, accountability or other purposes. The Water Fund and the Wastewater Fund are major proprietary funds.

## MAJOR PROPRIETARY FUNDS

### Water Fund

The Water Fund accounts for the acquisition of water and water rights and for the operation and maintenance of the water plants and distribution systems.

### Wastewater Fund

The Wastewater Fund accounts for the systems and operations used in treating and disposing of wastewater from sanitary wastewater and storm drain activities.

## NONMAJOR PROPRIETARY FUND

### Golf Fund

The Golf Fund accounts for the operation and maintenance of city owned or operated golf courses.

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AURORA

**CITY OF AURORA, COLORADO**

**PROPRIETARY FUNDS**
**STATEMENT OF NET POSITION**
**DECEMBER 31, 2015**

| | Business-type Activities - Enterprise Funds | | | | Governmental Activities |
|---|---|---|---|---|---|
| | Major Funds | | Nonmajor Fund | Total Enterprise Funds | Internal Service Funds |
| | Water | Wastewater | Golf | | |
| **ASSETS** | | | | | |
| *Current assets* | | | | | |
| Cash and cash equivalents | $ 10,154,490 | $ 5,429,840 | $ 324,026 | $ 15,908,356 | $ 1,506,179 |
| Investments | 101,043,270 | 56,713,672 | 2,637,908 | 160,394,850 | 14,166,832 |
| *Receivables (net of allowance)* | | | | | |
| Accounts receivable | 9,500,564 | 6,360,355 | — | 15,860,919 | — |
| Interest receivable | 446,610 | 248,954 | 11,236 | 706,800 | 49,459 |
| Due from other governments | 1,728,496 | 463,795 | — | 2,192,291 | — |
| *Restricted assets* | | | | | |
| Investments | 9,533,864 | 649,922 | — | 10,183,786 | — |
| Current portion of interfund loans | — | 275,000 | — | 275,000 | — |
| Inventories | — | — | 198,265 | 198,265 | 806,736 |
| Total current assets | 132,407,294 | 70,141,538 | 3,171,435 | 205,720,267 | 16,529,206 |
| *Noncurrent assets* | | | | | |
| *Restricted assets* | | | | | |
| Cash and cash equivalents | 374,000 | — | — | 374,000 | — |
| Investments | 37,988,138 | 3,749,250 | — | 41,737,388 | — |
| Interest receivable | 805,289 | 84,685 | — | 889,974 | — |
| Other receivables | — | 5,212,796 | — | 5,212,796 | — |
| Interfund loans | 4,000,000 | 3,909,000 | — | 7,909,000 | — |
| Equity in joint venture | 2,404,208 | — | — | 2,404,208 | — |
| *Capital assets (net of accumulated depreciation)* | | | | | |
| Land and water rights | 372,029,958 | 12,983,737 | 14,969,380 | 399,983,075 | — |
| Buildings and improvements | 389,974,819 | 47,405,393 | 2,074,964 | 439,455,176 | — |
| Infrastructure | 678,849,725 | 378,870,752 | 10,040,914 | 1,067,761,391 | 216,886 |
| Machinery and equipment | 60,598,693 | 4,438,875 | 544,645 | 65,582,213 | 212,879 |
| Construction in progress | 85,803,349 | 25,132,880 | — | 110,936,229 | — |
| Total capital assets | 1,587,256,544 | 468,831,637 | 27,629,903 | 2,083,718,084 | 429,765 |
| Total noncurrent assets | 1,632,828,179 | 481,787,368 | 27,629,903 | 2,142,245,450 | 429,765 |
| Total assets | 1,765,235,473 | 551,928,906 | 30,801,338 | 2,347,965,717 | 16,958,971 |
| **DEFERRED OUTFLOWS OF RESOURCES** | 1,459,084 | 520,010 | 133,139 | 2,112,233 | — |
| **LIABILITIES** | | | | | |
| *Current liabilities* | | | | | |
| Accounts payable | 9,679,239 | 9,027,093 | 62,791 | 18,769,123 | 257,061 |
| Accrued interest | 11,242,672 | 644,270 | 15,121 | 11,902,063 | — |
| Other payables | 2,243,522 | 1,751,561 | — | 3,995,083 | — |
| Unearned revenues | 1,017,250 | — | 707,230 | 1,724,480 | — |
| Current portion - interfund loans | — | — | 422,502 | 422,502 | — |
| Current portion - long-term liabilities | 2,059,720 | 117,263 | 89,015 | 2,265,998 | 5,362,613 |
| Total current liabilities | 26,242,403 | 11,540,187 | 1,296,659 | 39,079,249 | 5,619,674 |
| *Noncurrent liabilities* | | | | | |
| Interfund loans | — | — | 3,987,251 | 3,987,251 | — |
| Due beyond one year | 545,445,984 | 34,430,443 | 778,461 | 580,654,888 | 6,385,217 |
| Total noncurrent liabilities | 545,445,984 | 34,430,443 | 4,765,712 | 584,642,139 | 6,385,217 |
| Total liabilities | 571,688,387 | 45,970,630 | 6,062,371 | 623,721,388 | 12,004,891 |
| **NET POSITION** | | | | | |
| Net investment in capital assets | 1,076,958,388 | 434,637,183 | 27,629,903 | 1,539,225,474 | 429,765 |
| Restricted for public improvement | 374,000 | 5,212,796 | — | 5,586,796 | — |
| Unrestricted | 117,673,782 | 66,628,307 | (2,757,797) | 181,544,292 | 4,524,315 |
| Total net position | $1,195,006,170 | $ 506,478,286 | $ 24,872,106 | $1,726,356,562 | $ 4,954,080 |

See notes to the basic financial statements.

**CITY OF AURORA, COLORADO**

**PROPRIETARY FUNDS**
**RECONCILIATION OF THE PROPRIETARY FUNDS STATEMENT OF NET POSITION TO THE CITYWIDE STATEMENT OF NET POSITION**
**DECEMBER 31, 2015**

Amounts reported for business-type activities in the statement of net position (see page 1) are different because:

| | |
|---|---|
| Total net position - proprietary funds (see page 10) | $ 1,726,356,562 |
| The current and long-term portions of the Murphy Creek interfund loan between the Wastewater Fund and the Golf Fund are eliminated. | |
| Wastewater Fund - asset | (4,184,000) |
| Golf Fund - liability | 4,184,000 |
| The current and long-term portions of the golf cart interfund loans between the General Fund and the Golf Fund are eliminated. As these loans cross between governmental activities and business-type activities at citywide, these amounts are recorded on the internal balances line. | |
| General Fund - asset | (225,753) |
| Golf Fund - liability | 225,753 |
| The Fanfare interfund loan between the AURA Debt Service Fund and the Water Fund is eliminated. As this loan crosses between governmental activities and business-type activities at citywide, this amount is recorded on the internal balances line. | |
| AURA Debt Service Fund - liability | 4,000,000 |
| Water Fund - asset | (4,000,000) |
| The internal balances due to the governmental activities from the business-type activities result from the allocation of the cumulative internal service fund loss. | (1,665,623) |
| Net position of business-type activities (see page 1) | $ 1,724,690,939 |

See notes to the basic financial statements.

**CITY OF AURORA, COLORADO**

**PROPRIETARY FUNDS**
**STATEMENT OF REVENUES, EXPENSES AND CHANGES IN NET POSITION**
**FOR THE YEAR ENDED DECEMBER 31, 2015**

| | Business-type Activities - Enterprise Funds | | | | Governmental Activities |
|---|---|---|---|---|---|
| | Major Funds | | Nonmajor Fund | Total Enterprise Funds | Internal Service Funds |
| | Water | Wastewater | Golf | | |
| **OPERATING REVENUES** | | | | | |
| *Charges for services* | | | | | |
| Customers | $ 102,488,841 | $ 57,664,236 | $ 8,147,841 | $ 168,300,918 | $17,202,710 |
| **OPERATING EXPENSES** | | | | | |
| Cost of sales and services | 50,393,700 | 44,953,375 | 6,611,953 | 101,959,028 | 11,802,242 |
| Claims losses | — | — | — | — | 5,979,620 |
| Administrative expenses | 2,961,771 | 1,064,355 | 808,919 | 4,835,045 | 140,044 |
| Depreciation | 29,472,592 | 10,133,859 | 816,274 | 40,422,725 | 105,411 |
| Total operating expenses | 82,828,063 | 56,151,589 | 8,237,146 | 147,216,798 | 18,027,317 |
| Operating income (loss) | 19,660,778 | 1,512,647 | (89,305) | 21,084,120 | (824,607) |
| **NONOPERATING REVENUES (EXPENSES)** | | | | | |
| Investment earnings | 3,202,708 | 912,735 | 26,420 | 4,141,863 | 104,051 |
| Intergovernmental revenue | 653,591 | 2,131,543 | — | 2,785,134 | — |
| Miscellaneous revenues | 431,871 | 71,244 | 7,999 | 511,114 | 483,394 |
| Interest expense | (22,652,684) | (602,477) | (197,891) | (23,453,052) | — |
| Amortization of premiums and (discounts), net | 375,461 | 29,655 | (12,364) | 392,752 | — |
| Gain (loss) on disposal of capital assets | 26,070 | 107,659 | 1,019 | 134,748 | (1,719) |
| Gain on early extinguishment of debt | 117,614 | — | — | 117,614 | — |
| Gain on joint venture | 32,742 | — | — | 32,742 | — |
| Net nonoperating revenues (expenses) | (17,812,627) | 2,650,359 | (174,817) | (15,337,085) | 585,726 |
| **Income (loss) before capital contributions and transfers** | 1,848,151 | 4,163,006 | (264,122) | 5,747,035 | (238,881) |
| Capital contributions | 32,335,016 | 12,203,329 | 416,016 | 44,954,361 | — |
| Transfers in | — | — | 150,000 | 150,000 | 1,400,000 |
| CHANGE IN NET POSITION | 34,183,167 | 16,366,335 | 301,894 | 50,851,396 | 1,161,119 |
| NET POSITION - January 1, before restatement | 1,160,979,875 | 490,184,991 | 24,584,107 | 1,675,748,973 | 3,792,961 |
| Adjustment for change in accounting principle | (156,872) | (73,040) | (13,895) | (243,807) | — |
| NET POSITION - January 1, after restatement | 1,160,823,003 | 490,111,951 | 24,570,212 | 1,675,505,166 | 3,792,961 |
| NET POSITION - December 31 | $ 1,195,006,170 | $506,478,286 | $24,872,106 | $ 1,726,356,562 | $ 4,954,080 |

See notes to the basic financial statements.

**CITY OF AURORA, COLORADO**

**PROPRIETARY FUNDS**
**RECONCILIATION OF THE PROPRIETARY FUNDS ON THE STATEMENT OF REVENUES, EXPENSES AND CHANGES IN NET POSITION TO THE CITYWIDE STATEMENT OF ACTIVITIES**
**FOR THE YEAR ENDED DECEMBER 31, 2015**

Amounts reported for business-type activities in the statement of activities (see page 2 and 3) are different because:

| | | |
|---|---|---|
| Net change in net position - total enterprise funds (see page 12) | $ | 50,851,396 |
| The current year internal service fund operating loss attributable to business-type activities is eliminated for citywide reporting. | | (138,054) |
| Increase in net position of business-type activities (see page 3) | $ | 50,713,342 |

See notes to the basic financial statements.

**CITY OF AURORA, COLORADO**

**PROPRIETARY FUNDS**
**STATEMENT OF CASH FLOWS**
**FOR THE YEAR ENDED DECEMBER 31, 2015**

| | Business-type Activities - Enterprise Funds | | | | Governmental Activities |
|---|---|---|---|---|---|
| | Major Funds | | Nonmajor Fund | Total Enterprise Funds | Internal Service Funds |
| | Water | Wastewater | Golf | | |
| **CASH FLOWS FROM OPERATING ACTIVITIES** | | | | | |
| *Cash received from:* | | | | | |
| Customers and others | $ 101,663,004 | $ 57,347,835 | $ 8,173,683 | $ 167,184,522 | $ 484,654 |
| Interfund services provided and used | — | — | — | — | 17,201,451 |
| *Cash payments to:* | | | | | |
| Employees | (22,818,579) | (12,227,640) | (4,160,132) | (39,206,351) | (4,001,121) |
| Suppliers for goods and services | (29,547,058) | (32,868,582) | (3,313,802) | (65,729,442) | (13,397,579) |
| Net cash provided by operating activities | 49,297,367 | 12,251,613 | 699,749 | 62,248,729 | 287,405 |
| **CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES** | | | | | |
| Cash transfers in | — | — | 150,000 | 150,000 | 1,400,000 |
| Interfund loan transactions | — | 50,000 | — | 50,000 | — |
| Net cash provided by noncapital financing activities | — | 50,000 | 150,000 | 200,000 | 1,400,000 |
| **CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES** | | | | | |
| *Proceeds from:* | | | | | |
| Capital contributions | 26,931,802 | 5,964,864 | 10,800 | 32,907,466 | — |
| Sale of capital assets | 187,413 | 107,659 | 1,019 | 296,091 | — |
| Grants | — | 1,872,412 | — | 1,872,412 | — |
| Note receivable principal | — | 1,183,337 | — | 1,183,337 | — |
| *Payments for:* | | | | | |
| Capital assets | (48,970,009) | (16,342,370) | (67,154) | (65,379,533) | — |
| Capital assets acquired through construction payables | (8,499,158) | (2,183,262) | — | (10,682,420) | — |
| Principal on capital debt (golf amount includes interfund loan payment of $230,218) | (1,872,494) | — | (740,218) | (2,612,712) | — |
| Interest on capital debt | (26,767,939) | (1,559,813) | (201,852) | (28,529,604) | — |
| Prepayment on debt | (29,876,587) | — | — | (29,876,587) | — |
| Deposits for future construction | 1,017,055 | 282,671 | — | 1,299,726 | — |
| Net cash used in capital and related financing activities | (87,849,917) | (10,674,502) | (997,405) | (99,521,824) | — |
| **CASH FLOWS FROM INVESTING ACTIVITIES** | | | | | |
| (Increase) decrease in equity in pooled investments | 17,795,080 | (8,215,618) | (959,438) | 8,620,024 | (2,794,207) |
| (Increase) decrease in investments | 578,232 | — | 455,025 | 1,033,257 | — |
| Interest received | 3,361,690 | 893,537 | 40,550 | 4,295,777 | 130,406 |
| Net cash provided by (used in) investing activities | 21,735,002 | (7,322,081) | (463,863) | 13,949,058 | (2,663,801) |

| | Business-type Activities - Enterprise Funds | | | | Governmental Activities |
|---|---|---|---|---|---|
| | Major Funds | | Nonmajor Fund | Total Enterprise Funds | Internal Service Funds |
| | Water | Wastewater | Golf | | |
| NET DECREASE IN CASH AND CASH EQUIVALENTS | (16,817,548) | (5,694,970) | (611,519) | (23,124,037) | (976,396) |
| TOTAL CASH AND CASH EQUIVALENTS, January 1 (including $374,000 for the Water Fund reported as restricted cash) | 27,346,038 | 11,124,810 | 935,545 | 39,406,393 | 2,482,575 |
| TOTAL CASH AND CASH EQUIVALENTS, December 31 (including $374,000 for the Water Fund reported as restricted cash) | $ 10,528,490 | $ 5,429,840 | $ 324,026 | $ 16,282,356 | $ 1,506,179 |
| **RECONCILIATION OF OPERATING INCOME (LOSS) TO NET CASH PROVIDED BY OPERATING ACTIVITIES** | | | | | |
| OPERATING INCOME (LOSS) | $ 19,660,778 | $ 1,512,647 | $ (89,305) | $ 21,084,120 | $ (824,607) |
| ADJUSTMENTS TO RECONCILE OPERATING INCOME (LOSS) TO NET CASH PROVIDED BY OPERATING ACTIVITIES | | | | | |
| Depreciation | 29,472,592 | 10,133,859 | 816,274 | 40,422,725 | 105,411 |
| Miscellaneous nonoperating revenues | 1,085,462 | 71,244 | 7,999 | 1,164,705 | 483,394 |
| *Changes in operating assets, deferred outflows of resources and liabilities* | | | | | |
| Receivables | (1,986,115) | (387,644) | (10,126) | (2,383,885) | — |
| Inventories | — | — | (19,574) | (19,574) | (61,652) |
| Pension related items | (184,297) | (92,725) | (23,744) | (300,766) | — |
| Accounts payable and accrued liabilities | 1,248,947 | 1,014,232 | (9,744) | 2,253,435 | 584,859 |
| Unearned revenues | — | — | 27,969 | 27,969 | — |
| Total adjustments | 29,636,589 | 10,738,966 | 789,054 | 41,164,609 | 1,112,012 |
| Net cash provided by operating activities | $ 49,297,367 | $ 12,251,613 | $ 699,749 | $ 62,248,729 | $ 287,405 |
| **NONCASH INVESTING, CAPITAL AND FINANCING ACTIVITIES** | | | | | |
| Contribution of capital assets | $ 5,403,213 | $ 6,147,895 | $ — | $ 11,551,108 | $ — |
| Capital assets acquired through payables | 7,338,628 | 5,110,629 | — | 12,449,257 | — |
| Increase (decrease) in fair value of investments | (122,140) | (113,463) | (14,129) | (249,732) | (28,022) |
| Amortization of discount (premium) and loss on refunding | (375,461) | (29,655) | 12,364 | (392,752) | — |
| Capital asset transfers (to) from other funds | (90,570) | 90,570 | 405,216 | 405,216 | (1,719) |

See notes to the basic financial statements.

AURORA

## FIDUCIARY FUNDS

Fiduciary funds are used to report assets held for others in a trustee or agency capacity. Fiduciary funds are not available to support city programs and are therefore not included in the citywide financial statements.

## Pension Trust Funds

Pension trust funds account for the activities and accumulation of resources to pay retirement benefits for employees, elected officials and council appointees. The pension trust funds are comprised of the General Employees' Retirement Plan Fund (GERP) and the Elected Officials' and Executive Personnel Defined Benefit Plan Fund (EOEP).

## Agency Funds

Agency Funds are used to account for assets held by the government as an agent for individuals, private organizations, other governments and/or other funds. The agency fund is comprised of the Payroll Clearing Fund.

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**CITY OF AURORA, COLORADO**

**FIDUCIARY FUNDS**
**STATEMENT OF FIDUCIARY NET POSITION**
**DECEMBER 31, 2015**

| | Pension Trust Funds | Agency Fund |
|---|---|---|
| **ASSETS** | | |
| *Current assets* | | |
| Cash and cash equivalents | $ 5,235,072 | $ — |
| *Investments* | | |
| Equity securities and funds | 180,552,717 | — |
| U.S. government treasury and U.S. government agency obligations | 12,268,905 | — |
| Corporate notes, bonds and funds | 87,317,647 | — |
| Real estate funds | 43,957,124 | — |
| Alternative investments | 78,759,282 | — |
| *Receivables (net of allowance)* | | |
| Interest receivable | 1,403,919 | — |
| Due from other governments | 228,391 | — |
| Prepaid items | 5,900 | 427,797 |
| Total assets | $ 409,728,957 | $ 427,797 |
| **LIABILITIES** | | |
| *Current liabilities* | | |
| Accounts payable and other current liabilities | 1,212,034 | — |
| Due to other funds | — | 427,797 |
| Total liabilities | 1,212,034 | $ 427,797 |
| **NET POSITION RESTRICTED FOR PENSIONS** | $ 408,516,923 | |

See notes to the basic financial statements.

**CITY OF AURORA, COLORADO**

**FIDUCIARY FUNDS**
**STATEMENT OF CHANGES IN FIDUCIARY NET POSITION**
**FOR THE YEAR ENDED DECEMBER 31, 2015**

| | Pension Trust Funds |
|---|---|
| **ADDITIONS** | |
| *Contributions* | |
| City | $ 6,253,533 |
| Plan members | 6,137,147 |
| Total contributions | 12,390,680 |
| *Investment activity* | |
| Investment earnings | 4,765,043 |
| Investment expense | (1,862,401) |
| Net investment earnings | 2,902,642 |
| Other income | 16,960 |
| Total additions, net | 15,310,282 |
| **DEDUCTIONS** | |
| Benefits | 20,329,994 |
| Administrative expenses | 572,504 |
| Total deductions | 20,902,498 |
| NET DECREASE IN NET POSITION | (5,592,216) |
| **NET POSITION RESTRICTED FOR PENSIONS - January 1** | 414,109,139 |
| **NET POSITION RESTRICTED FOR PENSIONS - December 31** | $ 408,516,923 |

See notes to the basic financial statements.

# Notes to the Basic Financial Statements

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## 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

### A. Financial Reporting Entity

The City of Aurora (the city) is a home-rule local government governed by an elected eleven-member council. These financial statements include the city and its component units. A component unit is a legally separate organization for which the city is considered financially accountable or whose exclusion would make the city's financial statements misleading or incomplete. Blended component units, although legally separate, are in substance, part of the city's operations. Therefore, data from these organizations are included with data of the primary government. Discrete presentation refers to presenting financial data of the component unit in a column separate from that of the primary government.

**1. Discretely Presented Component Unit**

*Havana Business Improvement District* (*Havana BID)* – The Havana BID was organized by the City Council on July 21, 2007 for the purpose of enhancing the economic vitality of the Havana Street corridor. It is a quasi-municipal corporation and political subdivision of the State of Colorado with all powers and responsibilities granted to business improvement districts by Title 31, Article 25, Part 12 of the Colorado Revised Statutes. The City Council appointed all the initial members of the Havana BID Board of Directors, which are not substantially the same as the City Council and the BID does not primarily benefit the city government. The city is able to impose its will on the BID as its operating plan and budget are approved by City Council. The Havana BID is a discretely presented component unit of the city. An election was held in November 2007 authorizing the Havana BID to levy property taxes. Separately issued, audited financial statements are available by contacting the Havana BID at 337 Oswego Street, Aurora, Colorado 80010 or telephone (303) 360-7505.

**2. Blended Component Units**

*Aurora Capital Leasing Corporation (ACLC)* **–** ACLC was organized as a not-for-profit corporation in 1993 to finance capital assets of the city. ACLC is a component unit because the City Council appoints the governing board and ACLC is fiscally dependent upon the city. ACLC is a blended component unit because it provides services solely to the city. ACLC financial statements consist of a debt service fund and a capital projects fund. Capital assets and long-term debt for ACLC are included in the citywide statement of net position. There are no separately issued financial statements for ACLC.

*Aurora Urban Renewal Authority (AURA)* – AURA was formed by action of the City Council in 1981, pursuant to Part 1 of Article 25, Title 31, of the Colorado Revised Statutes. AURA has various expressed powers including the power to: undertake urban renewal projects, mortgage, sell or dispose of property, borrow money and accept grants, and issue tax-increment and other forms of securities. From time to time, the City Council has determined the existence of blighted conditions in the city and designated Urban Renewal Areas. AURA is a component unit because its exclusion would make the city's financial statements misleading. AURA is a blended component unit because AURA's governing body is the same as the City Council and it provides specific financial benefits solely to the city. AURA financial statements consist of a general fund, a debt service fund, and a capital projects fund. The AURA general fund is presented in these financial statements as a special revenue fund. Noncurrent debt and noncurrent assets of AURA are included in the citywide statement of net position. There are no separately issued financial statements for AURA.

*The General Improvement Districts (GIDs)* – Three separate fence GIDs, a sewer line GID, and a conference center GID have been created by action of registered voters in their respective neighborhoods to construct masonry fences and sewer line improvements financed by the issuance of general obligation bonds (repaid with property taxes assessed on their respective neighborhoods). The conference center GID currently has no debt outstanding. Each GID is a blended component unit because its governing body is the same as the City Council and it provides financial benefits solely to the city. The financial statements for each GID consist of a separate special revenue fund. The noncurrent debt of each respective GID is included in the citywide statement of net position. There are no separately issued financial statements for any of the GIDs. The five GIDs are as follows:

*Cherry Creek Fence General Improvement District (GID)* – Cherry Creek Fence GID was formed by action of registered voters of the Cherry Creek Racquet Club neighborhood in 2007.

*Meadow Hills Fence General Improvement District (GID)* – Meadow Hills Fence GID was formed by action of registered voters of the Meadow Hills neighborhood in 2008.

*Peoria Park Fence General Improvement District (GID)* – Peoria Park Fence GID was formed by action of registered voters of the Peoria Park neighborhood in 2008.

*Pier Point 7 Sewer General Improvement District (GID)* – Pier Point 7 Sewer GID was formed by action of registered voters of the Pier Point 7 neighborhood in 2009.

*Aurora Conference Center General Improvement District (GID)* – This GID was formed by action of registered voters in 2011.

**3. Fiduciary Component Units**

*General Employees' Retirement Plan (GERP)* – GERP was created to provide retirement benefits to career service and executive personnel. It has a separate, independent board that administers the plan. Three of the seven board members are appointed by City Council. GERP is a component unit because it is funded by contributions from the city and city employees, and its exclusion would make the city's financial statements misleading. GERP is a blended component unit because it provides services solely to the city. GERP is included in this report as a pension trust fund in the fiduciary fund statements. GERP is not included in the citywide statements because its assets are not available to finance city programs. Separately issued, audited financial statements are available online at www.auroragerp.qwestoffice.net or by contacting GERP at 12100 East Iliff Avenue, Suite 108, Aurora, Colorado 80014 or telephone (303) 368-9160.

*Elected Officials' and Executive Personnel Defined Benefit Plan (EOEP)* –EOEP was created in 2001 to provide retirement benefits to elected officials and executive personnel. As required by city code, a city executive serves as plan trustee and plan administrator. EOEP is a component unit because it is funded solely by contributions from the city and because its exclusion would make the city's financial statements misleading. It is a blended component unit because it provides services solely to the city, its employees and retired elected officials. EOEP is included in this report as a pension trust fund in the fiduciary fund statements. EOEP is not included in the citywide statements because its assets are not available to finance city programs. There are no separately issued financial statements for EOEP.

**4. Joint Venture**

*Aurora-Colorado Springs Joint Water Authority (ACSJWA)* **–** ACSJWA was formed in 1983, by contract, between the city and the city of Colorado Springs, Colorado, for the purpose of developing water resources, systems, or facilities in whole or in part for the benefit of the two cities. The council of each city appoints three directors to the board. The ACSJWA must obtain approval from both cities before proceeding with any new project. Prior approval is not required for operating and maintenance expenses related to a previously approved project. To date, the cities have approved one project, the construction and operation of a pipeline to transport raw water. Construction was financed through revenue bonds. The city has a 1/3 participation share and Colorado Springs has a 2/3 participation share in the project.

The city's share of the ACSJWA is accounted for in the Water Fund using the equity method. The Water Fund is a major proprietary fund and business-type activity. Separately issued, audited financial statements for ACSJWA are available at Colorado Springs Utilities, P.O. Box 1103, Mail Code 0930, Colorado Springs, Colorado 80947-0930 or telephone (719) 668-4052.

**B. Citywide and Fund Financial Statements**

The financial statements of the city are prepared in accordance with accounting principles applicable to governments, which are generally accepted in the United States of America (U.S. GAAP). The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing U.S. governmental accounting and financial reporting principles.

The citywide financial statements (i.e., the statement of net position and the statement of activities) provide financial information about the city as a whole (the primary government and its component unit). Governmental activities, which are normally supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support. Likewise, the primary government is reported separately from a legally separate component unit for which the government is financially accountable.

The *statement of activities* demonstrates the extent to which direct expenses of a given function are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include: 1) charges for services; 2) program-specific operating grants and contributions; and 3) program-specific capital grants and contributions. Taxes and other items not properly included among program revenues are reported instead as general revenues.

Separate financial statements are provided for governmental funds, proprietary funds, and fiduciary funds, even though the fiduciary funds are excluded from citywide reporting as the assets are not available to finance city operations.

**C. Measurement Focus, Basis of Accounting and Financial Statement Presentation**

The citywide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are the proprietary fund, internal service fund, and fiduciary fund financial statements. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of the related cash flow.

The governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized when they become both measurable and available. The city considers revenues, other than grants, to be measurable and available if collected within two months after year-end. Grants are considered measurable and available if 1) they are collected within one year after year-end and 2) all eligibility requirements, including incurring allowable costs, have been met. Property taxes are recognized as revenue in the year for which they are levied (the year subsequent to the levy year), and are reported as a receivable and deferred inflow of resources in the year levied, as an enforceable legal claim occurs at this time. Revenues susceptible to accrual under the modified accrual basis include fines, surcharges, intergovernmental, grants, interest and the following taxes: property, sales, use, lodgers, occupational privilege, franchise, and specific ownership tax. All other revenues are considered measurable and available only when cash is received. Expenditures are recorded when the related liability is incurred, with the exception of principal and interest on long-term debt and compensated absences, which are recognized when matured.

When both restricted and unrestricted resources are available for use, spending is determined on a case by case basis but it is generally the city's intent to use restricted resources first, then unrestricted resources as needed.

The city reports the following major governmental funds:

The *General Fund* accounts for taxes and other resources traditionally associated with government and the operations of the city that are financed from those resources.

The *Aurora Capital Leasing Corporation (ACLC) Capital Projects Fund* accounts for financial resources used by ACLC for the construction of city facilities and for the purchase of certain public safety vehicles and communications systems financed by certificates of participation proceeds issued by ACLC and general revenues of the city.

The city reports the following major proprietary funds:

The *Water Fund* accounts for the acquisition of water and water rights and for the operation and maintenance of reservoirs, wells, water treatment plants and distribution systems.

The *Wastewater Fund* accounts for the systems and operations used in treating and disposing of wastewater from sanitary wastewater and storm drain services.

Additionally, the city reports the following nonmajor funds:

*Special Revenue Funds* account for revenues that are restricted or committed for a specific purpose. The city has sixteen special revenue funds: Gifts and Grants, Development Review, Abatement, Community Development, Enhanced E-911, Conservation Trust, Parks Development, Open Space, Recreation Services, Cultural Services, Cherry Creek Fence GID, Meadow Hills Fence GID, Peoria Park Fence GID, Pier Point 7 Sewer GID, Aurora Conference Center GID and AURA General Fund.

*Debt Service Funds* account for the accumulation of resources and payments of principal, interest and fees related to general obligation, special assessment and revenue bonds and certificates of participation except those accounted for in proprietary funds. The city has four debt service funds: City Debt Service, Special Improvement District (SID)

Debt Service (includes the following special improvement districts: 1-03 Smith Road, 1-04 56th Avenue, 1-05 Ptarmigan Fence, 2-03 Dam West Fence, and 1-10 Dam East Fence), AURA Debt Service and ACLC Debt Service.

The *Capital Projects Funds* account for resources allocated for the acquisition or construction of capital projects except those financed by special revenue or proprietary funds. The city has two nonmajor capital projects funds: the City Capital Projects Fund and AURA Capital Projects Fund.

The *Golf Fund* accounts for the operations and maintenance of city owned or operated golf courses. The Golf Fund is a nonmajor proprietary fund.

*Internal Service Funds* are used to account for resources calculated on a cost recovery basis and provided by other city funds for centralized acquisition of supplies and services. The city has two internal service funds: Fleet Management and Risk Management.

*Pension Trust Funds* account for the accumulation of resources and the payment of retirement benefits to qualified employees. The city has two pension trust funds: the city of Aurora General Employees' Retirement Plan (GERP) and the city of Aurora Elected Officials' and Executive Personnel Defined Benefit Plan (EOEP).

The city has one *agency fund.* The Payroll Clearing Fund accounts for the consolidation of payroll liabilities (taxes, pensions, insurance etc.) after the related payroll expenditures are recorded into the appropriate funds.

*Program revenues* are those that are derived directly from the program itself. Program revenues are divided into three groups: charges for services, program-specific operating grants and contributions, and program-specific capital grants and contributions. Charges for services are exchange or exchange-like transactions including: fees, licenses, permits, and special assessments. Program-specific grants and contributions include revenues arising from mandatory and voluntary non-exchange transactions with other governments, private organizations or individuals where monies are required by the grantor / contributor to be used for a particular program or activity. Program-specific grants and contributions that are required to be used to purchase or construct capital assets are shown in the capital grants and contributions column. All other program-specific grants and contributions are shown as operating revenues. Water and Wastewater capital grants and contributions include tap and annexation fees, which are required to be used for the construction of water and wastewater capital assets.

*General Revenues* include: all taxes levied by the city regardless of their purpose; unrestricted investment income; and multi-purpose or non-specific grants and contributions.

The proprietary fund statement of revenues, expenses and changes in net position separately presents revenues and expenses that are directly related to the service provided by the fund as “operating.” Operating revenues are primarily charges for services (exchange or exchange-like transactions for water, wastewater and golf services). Golf operating revenues also include sales of merchandise. Operating revenues for internal service funds are charges for services provided to other funds and departments. All other revenues in the proprietary funds are reported as nonoperating. Operating expenses for proprietary funds include the cost of sales and services, administrative expenses, claims losses, and depreciation on capital assets. All other expenses are reported as nonoperating.

**D. Deferred Inflows and Outflows of Resources**

A deferred inflow of resources is an acquisition of net position by the city that is applicable to a future reporting period and a deferred outflow of resources is a consumption of net position by the city that is applicable to a future reporting period. Both deferred inflows and outflows are reported in the statement of net position but are not recognized in the financial statements as revenues, expenses, or reductions of liabilities or increases in assets until the period(s) to which they relate.

In accordance with GASB Statement No. 53, *Accounting and Financial Reporting for Derivative Instruments,* GASB Statement No. 65, *Items Previously Reported as Assets and Liabilities*, and GASB Statement No. 68, *Accounting and Financial Reporting for Pensions – an amendment of GASB Statement No. 27*, the financial statements of the city include both deferred outflows of resources and deferred inflows of resources. The citywide statements include deferred outflows of resources representing the deferred loss on refunding recorded in the business-type activities column for the Water Fund and in the governmental activities column at citywide related to the ACLC Debt Service Fund, as well as items relating to the city’s pension obligations in both the business type and governmental activities columns. The citywide statements include deferred inflows of resources representing items relating to the city’s pension obligations while the fund statements include property tax receivables and unavailable fund resources that have not met modified accrual revenue recognition criteria. Unavailable fund resources include: special assessment

receivables, tax audit receivables and notes receivables that are unavailable in the fund statements but are recognized as revenue in the citywide statements.

**E. Cash and Investments**

The city pools its cash and investments. All temporary cash surpluses are invested. Earnings on pooled investments are allocated among the funds based on an average daily balance of the individual fund's equity in pooled monies. The amounts shown as "cash and cash equivalents" and "investments" in the citywide and proprietary funds statement of net position and the governmental funds balance sheet include both unrestricted equity in the city's pool and unrestricted amounts held in non-pooled accounts. Restricted assets include cash and investments required to be used for specific purposes and may contain pooled and non-pooled amounts. Cash and cash equivalents are carried at fair value and include petty cash, demand deposits and highly liquid investments (readily convertible to known amounts of cash) with maturities of three months or less from purchase date. Investments are stated at fair value based upon quoted market prices in brokerage service reports. In regards to pension plan investments, real estate funds not actively traded on national or international exchanges are valued based upon appraisals of the real estate underlying the investment. Additionally, for alternative investments where no readily ascertainable fair value exists, the general partner of the partnerships, in consultation with investment advisors, determines the fair value.

**F. Interfund Transactions**

During the course of operations, transactions occur between individual funds for goods provided or services rendered. Receivables and payables related to these transactions are reported as due from other funds and due to other funds, respectively, in the fund statements. Interfund loans or advances, which are made to provide internal financing, are reported as interfund loans in the fund statements.

In the process of aggregating data for the citywide statement of net position, amounts reported in the funds as interfund receivables and payables are eliminated. The residual amounts due between governmental and business-type activities are shown on a single line as internal balances. Interfund amounts (if any) due between the primary government and a fiduciary fund are shown on the citywide statement as receivable or payable of the fiduciary fund rather than internal balances.

Interfund activities include: transfers, internal billings, and transactions with internal service funds. For fund statement presentation, transfers are shown as "transfers in" and "transfers out." Internal billings, including transactions with internal service funds, are shown as revenues and expenses / expenditures in the respective funds. As a general rule, these revenues / transfers in and expenditures / expenses / transfers out have been eliminated in the aggregation of data for the citywide statement of activities. Exceptions to this rule are charges between the city's water function and various other functions of the city. Elimination of these charges would distort the direct costs and program revenues reported in the various functions concerned.

**G. Inventories**

Inventories are stated at the lower of cost determined using the first-in, first-out basis or market. The cost of inventories in the proprietary fund statements and citywide statements are recorded as an expense when consumed rather than when purchased. Restricted inventories included in the governmental fund statements and citywide statements represent housing purchased, rehabilitated and resold under the Neighborhood Stabilization Program and HOME Investment Partnerships grants for $973,042.

**H. Asset Acquired for Resale**

Asset acquired for resale reflects a property acquired by the city for the express purpose of resale. Since this asset is intended to be converted to cash rather than used in daily operations, it is reported in governmental fund statements as a financial asset valued at the lessor of cost or net realizable value. This property is blighted and is intended to be sold for economic redevelopment purposes per state redevelopment statutes and is valued at $4,003,861.

**I. Capital Assets**

The criteria used for capitalizing assets include assets with an estimated useful life of more than one year and an acquisition cost meeting the threshold level on a per unit basis. Capital assets are stated at actual cost for purchased and constructed assets, estimated historical cost for older assets for which actual cost was not determinable, and estimated fair value at the time of receipt for donated or contributed items. Street infrastructure recorded from 1973 through 2002 is stated at discounted replacement cost. Expenditures incurred during the construction phase are recorded as construction in progress. These amounts are transferred from construction in progress to the appropriate classification (water rights, buildings and improvements, or infrastructure) upon completion of the project. Land, machinery, and equipment are normally recorded upon receipt. Land includes intangible water rights and easements. Machinery and equipment includes both internally developed and externally acquired computer software. Salvage value is not material and is therefore not computed. Accordingly, assets are completely depreciated if retained for their total estimated useful life. Straight-line depreciation is used in all cases over the following estimated useful lives.

**Estimated Useful Lives Assigned by Individual Items**

| Description | Estimated Useful Life (Years) | Threshold Levels |
|---|---|---|
| Land and water rights | N/A | $ 50,000 |
| Buildings and improvements | 40-50 | 50,000 |
| Infrastructure | | |
| Street overlay and improvements | 10 | 250,000 |
| Other utility improvements | 20-65 | 250,000 |
| Mains and conduits | 65-95 | 250,000 |
| Reservoirs/park improvements/roads | 99 | 250,000 |
| Machinery and equipment | 3-20 | 5,000 |
| Assets purchased with federal funds | Varies by category | 5,000 |

Assets recorded under capital lease agreements are amortized over either the term of the lease or the estimated useful life of the asset, whichever period is shorter. Amortization expense for capital leases is included in the depreciation line item on the financial statements.

Capital assets purchased by governmental funds are not included as assets in the governmental fund but as expenditures. These expenditures are reclassified on the reconciliation of governmental funds balance sheet to the citywide statement of net position. Interest incurred during construction is not capitalized. Estimated costs for streets constructed by developers and contributed to the city are reported as program revenue for the public works function in the citywide statement of activities and as additions to infrastructure in the citywide statement of net position.

Capital assets purchased by proprietary funds are included on the fund's statement of net position as well as in the business-type activities column of the citywide financial statements. Developers who construct water and wastewater lines for subdivisions are required to furnish cost figures to the city for contributed lines. If cost figures are not provided, the city estimates the value of the donated asset. Such costs are recorded as capital assets and capital contribution revenues when accepted by the city. Interest cost is capitalized during construction of business-type activities' assets in accordance with GASB 62.

**J. Accounts Payable**

Amounts reported as accounts payable on the statement of net position includes:

| | Governmental Activities | Business-type Activities |
|---|---|---|
| Vendors | $ 17,059,033 | $ 18,299,556 |
| Salaries and Benefits | 2,946,312 | 469,567 |
| **Total** | **$ 20,005,345** | **$ 18,769,123** |

**K. Unearned Revenues (Liabilities)**

Unearned revenues reflect amounts that have been received before the city has a legal claim to the funds. In subsequent periods, when revenue recognition criteria are met, or when the city has a legal claim to the resources, the unearned revenue is removed from the statements of net position or governmental funds balance sheet and revenue is recognized.

**L. Noncurrent Liabilities**

Noncurrent liabilities include: bonds, notes, certificates of participation, capital leases, claims payable, earned but not used compensated absences, net pension liability and postemployment benefits. For governmental funds, the liability is recorded when payment is due, or when resources have been accumulated in the debt service fund for payment early in the following year. Proceeds from issuance of debt are reported in the governmental funds as “other financing sources” and payments of principal on debt are shown as expenditures. For the citywide statements, governmental debt issuances are shown as noncurrent liabilities and principal payments are shown as decreases in noncurrent liabilities. Amounts due within the next twelve months are reported as “due within one year” with the remaining amount being reported as “due beyond one year.” For the proprietary and pension trust funds, long-term liabilities are accounted for in the applicable fund. Additionally, proprietary fund long-term liabilities are accounted for in the business-type activities column of the citywide financial statements.

**M. Bond Premiums and Discounts**

In governmental funds, bond premiums and discounts are reported as other financing sources/uses. For the citywide and the proprietary fund statements, bond premiums and discounts are capitalized and amortized over the term of the bonds using the straight-line method. Bond premiums and discounts are presented as a reduction of the face amount of bonds payable.

**N. Compensated Absences**

City policy allows employees to accumulate earned but not used annual leave up to maximum hours as indicated in the table below. Annual leave hours for Fire Civil Service 24-hour shift in excess of the maximum accrual permitted are forfeited on January 1 of the subsequent year. Annual leave hours for all other employees in excess of the maximum accrual permitted are forfeited on February 28 of the subsequent year. Accrued annual leave is payable to the extent earned.

| Employees | Maximum Hours |
|---|---|
| Police and Career Service | 260 |
| Fire Civil Service 8-hour shift | 256 |
| Fire Civil Service 24-hour shift | 360 |

Generally, Career Service employees may convert sick leave hours accumulated in excess of established minimums annually in January to either annual leave hours or cash payments at a rate of one hour’s pay (in annual leave or cash) for every two hours of sick leave up to the established maximum payment hours. In lieu of, or in combination with, cash payment, Career Service employees may elect to increase their annual leave balances by up to forty hours per year in exchange for twice the amount of accrued sick leave. Police and Fire Civil Service may only convert sick leave hours to cash at a rate of one hour’s pay for every two hours of sick leave.

| Employees | Minimum Accrual Hours | Maximum Payment Hours |
|---|---|---|
| Council Appointees | 520 | 120 |
| Police and Career Service | 720 | 100 |
| Fire Civil Service 8-hour shift | 684 | 120 |
| Fire Civil Service 24-hour shift | 960 | 120 |

The city records a liability for accrued compensated absences and related payroll taxes. The “vesting method” per GASB 16, *Accounting for Compensated Absences*, is followed to estimate the sick leave liability upon termination. Only the portion of compensated absences that is due is reported as a liability in a governmental fund while the entire liability is reflected in the citywide statement of net position as noncurrent liabilities. The liability for compensated absences for employees whose work primarily benefits a proprietary fund is recorded in the respective fund. The portion of amounts anticipated to be paid (in lieu of used) over the next twelve months are reported as “current portion of long-term liabilities” in the proprietary fund statements and as “due within one year” in the business-type activities on the citywide statement of net position.

**O. Defined Benefit Pension Plans**

The city participates in two single employer defined benefit pension plans, two agent multiple-employer defined benefit plans and two cost-sharing multiple employer defined benefit pension plans.

For the purposes of measuring the net pension liability (asset), deferred outflows of resources and deferred inflows of resources related to pensions and pension expense, information about the fiduciary net position of the city of Aurora General Employees' Retirement Plan (GERP), the city of Aurora Elected Officials' and Executive Personnel Defined Benefit Plan (EOEP) and the Fire and Police Pension Association of Colorado (FPPA) Plans, including Old Hire-Fire, Old Hire-Police, Statewide Defined Benefit and Statewide Hybrid, and additions to/deductions from each Plan's fiduciary net position have been determined on the same basis as they are reported by each of the Plans. For this purpose, benefit payments (including refunds on employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

GERP is recognized in both governmental activities and business-type activities as employee participation for GERP is citywide. The allocations are based on the pension contributions for the year. The remaining Plans are recognized in governmental activities only as they have minimal or no employee participation from business-type activities.

Each Plan has an annual or bi-annual actuarial valuation that is either considered in establishing funding policies or determines the annual required contribution. The contribution rates or annual required contributions are intended to be sufficient to amortize each Plan's unfunded actuarial accrued liability over a specified period as identified by each Plan.

**P. Use of Estimates**

The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions. These assumptions affect the reported amounts of assets, deferred outflows of resources, liabilities, deferred inflows of resources, revenues and expenditures and disclosure of contingent assets and liabilities. Actual results could differ from those estimates.

**Q. Fund Balances and Net Position**

Fund balances reflect assets plus deferred outflows of resources minus liabilities plus deferred inflows of resources and are shown only in the governmental fund statements. Fund balance is divided into four classifications; restricted, committed, assigned and unassigned. Fund balance is reported as restricted when constraints placed on the use are either externally imposed by creditors, grantors, contributors, or laws or regulations of other governments; or imposed by law through constitutional provisions or enabling legislation. Additionally, assets that are required by outside sources to be used for a specific purpose are shown on the balance sheet as "restricted assets." Fund balance is reported as committed when constraints are imposed by formal action (ordinance or resolution) of the City Council, the city's highest level of decision making authority. Council ordinances and resolutions require the same level of council action to add or remove a constraint. Both are equally binding for their respective purposes and are mutually exclusive, not interchangeable with one another. Fund balance is reported as assigned when the intent of the city is to use it for a specific purpose.

The Financial Policies and Guidelines, as approved by City Council, authorize the assignment of fund balances by informal action of City Council (no ordinance or resolution) or by the City Manager or the Finance Director as long as City Council has been advised of the assignment through either the budget process or some other process. Positive unassigned fund balance is the residual and may only be reported in the General Fund. Negative unassigned fund balance may be reported in any governmental fund other than the General Fund when expenditures incurred for specific purposes exceed amounts restricted, committed or assigned to those purposes.

Net position is assets plus deferred outflows of resources minus liabilities plus deferred inflows of resources and is shown in the citywide, proprietary and fiduciary fund financial statements and is reported in three classifications. Net investment in capital assets reflects capital assets (net of accumulated depreciation) reduced by the outstanding amount of debt, which was issued to acquire or construct the capital assets. Restricted net position report amounts legally segregated for a specific future use. Remaining net position is reported as unrestricted.

**R. Budgets**

On or before September 1 of each year, a proposed budget is provided by the City Manager to the City Council for review. The City Council holds public hearings and may add to, subtract from, or change the proposed appropriations and associated revenues and reserves. The City Council is required to adopt the budget for the upcoming year by November 30, but typically does so before every November election.

Budgets are legally adopted for all funds except the Payroll Clearing Agency Fund, which is not subject to the budgetary requirements of the Colorado Revised Statutes (C.R.S.). Budgets for the component units: ACLC, AURA, the GIDs, GERP, EOEP, and Havana BID may be subject to the budgetary requirements of the C.R.S. but are not required to be and are not legally adopted by the city, although the city may approve a component unit's budget.

The city adopts both annual operating appropriations and project-length appropriations each year. Operating costs are controlled at the fund and department level for the General Fund and at the fund level for all other funds. Expenditures may not exceed appropriations at those levels. Annual operating appropriations lapse at year-end except for amounts that are encumbered (reserves for encumbrances are commitments on purchase orders that remain open at year-end).

The city adopts all capital projects on a project-length budget. Project-length (continuing appropriations) budgets do not lapse until the project for which the appropriation was made is completed or abandoned. Project expenditures are controlled at the fund, department and project levels. Expenditures may not exceed appropriations at any of those levels.

The following funds have both project-length continuing appropriations and annual operational budgets: City Capital Projects, Water, Wastewater, Golf, Gifts and Grants, Enhanced E-911, Conservation Trust, Parks Development, Open Space and Recreation Services. The Community Development Fund only adopts project-length budgets.

Since expenditures may not legally exceed budgeted appropriations, appropriation amendments are approved as necessary. Budget amendments require City Council approval by ordinance. The final budget does not always include budget reductions in expenditures or changes in revenues for amounts approved subsequent to the original budget when legal compliance is already demonstrated.

The Aurora Conference Center GID Fund's expenditures of $627 exceeded appropriations of $300. It is the city's policy not to approve supplemental appropriations for this fund as no legal budget is adopted. The GID had available fund balance to cover the overspending. While this may be a violation of state statute, the overspending is not considered to be material.

Budget transfers within a department may be made with administrative approval if the transfer is within the same fund. Transfers between departments within the General Fund require City Council approval by ordinance or resolution. Transfers between funds require City Council approval by ordinance.

**Basis of Budgeting**

The city budgets on a "funds available" basis (budgetary basis). Budgetary basis revenues and other financing sources are considered increases in funds available, and budgetary basis expenditures and other financing uses are considered uses of funds available. In general, funds available are defined as current assets minus current liabilities. However, certain items that are considered current for GAAP accounting are considered long-term for the city budget. Some examples of these in proprietary funds include the current portion of accrued compensated absences and the current portion of long-term debt.

The city's budget disclosure presents funds available net of restrictions and commitments. While the restrictions and commitments are available to appropriate, funds available after restrictions and commitments represent funds that may be used for general purposes.

The "funds available" basis differs from the U.S. GAAP Basis of Accounting as follows:

**1. Governmental Funds**

a) Encumbrances are treated as expenditures in the year they are encumbered, not when the expenditure occurs.
b) Grants are considered revenue when awarded, not when earned.
c) Sales, use and lodgers taxes are considered revenue when received rather than when earned.
d) Project-length (continuing appropriation) budgets are considered reductions of funds available when appropriated, not when expenditures occur.
e) Purchases of inventory are considered expenditures when purchased, not when sold or used.
f) Overspending of project length (continuing appropriation) budgets is considered to reduce funds available.
g) Close-out of unspent project-length (continuing appropriation) budgets is considered to increase funds available.
h) Proceeds from capital leases and related capital expenditures are not budgeted.

i) The value received on the trade-in of capital assets and the related capital expenditures are not budgeted.
j) Changes in investment income due to recording investments at fair value are not budgeted.
k) January sick leave buyout is expensed for GAAP but not for budget until subsequent year.
l) Transactions related to asset forfeitures are not budgeted.

**2. Proprietary Funds**

a) Capital outlay is budgeted as an expenditure in the year purchased.
b) Depreciation is not budgeted.
c) Interest capitalized during construction is budgeted as interest expense.
d) Proceeds from the issuance of debt are considered revenues instead of an increase in liabilities.
e) Principal payments are shown as expenditures rather than reductions of the liability.
f) Encumbrances are treated as expenditures in the year they are encumbered, not when the expense occurs.
g) Grants are considered revenue when awarded, not when earned.
h) Receipts of long-term receivables are considered revenues, not reductions of the receivable.
i) Proceeds from the sale of assets are recognized as revenue; however, the related gain or loss is not.
j) Purchases of inventory are considered expenditures when purchased, not when sold or used.
k) Gains or losses on the early extinguishment of debt are considered to increase or decrease the funds available in the year in which they occur and are not capitalized and amortized over the life of the bonds.
l) January sick leave buyout is expensed for GAAP but not for budget until subsequent year.
m) Accrued compensated absences are not considered expenditures until paid.
n) Interest earned on escrowed cash and investments is not considered revenue for budget purposes.
o) The gain or loss on the equity in the joint venture is not budgeted, however payments to the joint venture, if any, are budgeted as expenditures.
p) Project-length (continuing appropriation) budgets are considered reductions of funds available when appropriated, not when expenditures occur.
q) Overspending of project length budgets is considered to reduce funds available.
r) Close-out of unspent project length budgets is considered to increase funds available.
s) Proceeds from capital leases and related capital expenditures are not budgeted.
t) The value received on the trade-in of capital assets and the related capital expenditures are not budgeted.
u) Changes in investment income due to recording investments at fair value are not budgeted.

## 2. CASH AND INVESTMENTS

Cash and investments as of December 31, 2015 are classified in the accompanying financial statements as follows:

| | Governmental Activities | Business-type Activities | Fiduciary Funds | Component Unit | Total |
|---|---|---|---|---|---|
| Cash and cash equivalents | $ 13,910,591 | $ 15,908,356 | $ 5,235,072 | $ 147,330 | $ 35,201,349 |
| Investments | 113,724,402 | 160,394,850 | - | - | 274,119,252 |
| Restricted cash and cash equivalents | 20,387,057 | 374,000 | - | - | 20,761,057 |
| Restricted investments | 62,255,208 | 51,921,174 | 402,855,675 | - | 517,032,057 |
| **Total** | **$ 210,277,258** | **$ 228,598,380** | **$ 408,090,747** | **$ 147,330** | **$ 847,113,715** |

As a home rule city, the city is allowed by state statute to invest public funds as permitted by charter or ordinance of the city. The city, by resolution, has established an investment policy that does not include the pension funds. All non-pension Plan investments are governed by this policy except for bond proceeds, which are invested in accordance with state statute, terms of the bond indenture or to meet bond insurer requirements. In addition, the Public Deposit Protection Act (PDPA) requires that all deposits exceeding the amount insured by the FDIC be collateralized to 102% of the deposit. The city maintains all cash deposits in PDPA eligible financial institutions. The city will seek to maintain an investment portfolio which is diversified by maturity, type of security, corporate industry and, except for U.S. government obligations, by issuer. The objectives of the city's investment program, in order of their priority, are:

- *Safety* of principal is the primary objective of city investment activities and is the single most important factor in determining investment decisions.
- *Liquidity* **-** The investment portfolio will retain sufficient liquidity to meet all reasonably anticipated operating cash needs.
- *Financial Management Goals* - The timing and form of investment purchases and sales will be managed in a manner consistent with the city's financial management goals.
- *Yield* **-** After the objectives of safety, liquidity and financial management goals are met, the investment portfolio will be managed with the objective of attaining a market rate of return throughout interest rate cycles.

The city held the following investments at December 31, 2015:

| | Pooled Investments | Non-pooled Investments | Total Primary Government |
|---|---|---|---|
| Money market funds* | $ 10,065 | $ 386,585 | $ 396,650 |
| Repurchase agreements | - | 37,507,812 | 37,507,812 |
| Certificates of deposit | 9,500,000 | 2,120,092 | 11,620,092 |
| U.S. agency notes | 67,643,349 | 12,034,675 | 79,678,024 |
| U.S. Treasury notes | 15,048,680 | 451,379 | 15,500,059 |
| Corporate notes | 82,788,125 | - | 82,788,125 |
| Commercial paper | 4,987,542 | - | 4,987,542 |
| Municipal bonds | 65,777,663 | - | 65,777,663 |
| GID revenue bonds-CIC District #4 | 9,000,000 | - | 9,000,000 |
| Foreign securities-U.S. dollars | 81,436,317 | - | 81,436,317 |
| **Total** | **$ 336,191,741** | **$ 52,500,543** | **$ 388,692,284** |

*Money market funds are considered cash equivalents for financial statement presentation.

Reconciliation to the statement of net position:

| | | |
|---|---|---|
| Investments in governmental and business type activities | $ | 376,675,542 |
| Cash and cash equivalents | | |
| Money market funds | | 396,650 |
| Pooled and other cash not included above | | 50,183,354 |
| Certificates of deposit (investment for financial reporting purposes but not for risk evaluation) | | 11,620,092 |
| **Total cash and cash equivalents and investments** | **$** | **438,875,638** |
| Total Governmental Type Activities | $ | 210,277,258 |
| Total Business Type Activities | | 228,598,380 |
| **Total** | **$** | **438,875,638** |

Investments are subject to many different types of risk including, but not limited to, credit risk, custodial credit risk, concentration of credit risk, interest rate risk and foreign currency risk. The city has no custodial credit or foreign currency risk except for the fiduciary fund investments, which have foreign currency risk. City policy gives guidance for investment activity to limit risks, as outlined in the following discussion.

**Credit risk** is the risk that an issuer or other counterparty to an investment will not fulfill its obligations. See rating schedule on page 31.

**Concentration of credit risk** is the risk of loss attributable to the magnitude of the city's investment in a single issuer. Concentration risk as defined by the Governmental Accounting Standards Board is any investment that represents 5% or more of the total investments to any one issuer. The city pooled fund investments are in compliance with city policy which limits unsecured investments with any single issuer other than the federal government to no more than 3% of its pooled investments at the time securities are purchased to the total portfolio excluding bond proceeds. The city does have investments that represent more than 5% to a single issuer within specific funds of the city: the pooled investments contain Fannie Mae investments which represent 6.4% of total investments and the Water Fund repurchase agreements for bond reserve requirements and capital projects represent 9.7% of total investments and are invested pursuant to specific requirements of bond indentures.

*Primary Government*

*Repurchase agreements* – Counterparties must have an investment grade credit rating and must be collateralized by U.S. Treasury, agency, or instrumentality securities. Maturities must be 5 years or less and have a collateralization rate of 103% if the securities are direct obligations of the U.S. Government or a collateralization rate of 105% if the securities are not explicitly guaranteed by the U.S. Government.

The ratings of the repurchase agreements below, as of December 31, 2015, reflect the ratings of the underlying securities held as collateral.

| | 2015 Collateral Securities | | |
|---|---|---|---|
| | Exempt from Disclosure | Custodian Portfolio Percent | Moody's Rating |
| U.S. Treasuries or Obligations Explicitly Guaranteed By the U.S. Government | X | 91% | |
| Government Agencies - FNMA | | 9% | Aaa |
| | | 100% | |

*Money market funds* – Must be registered under the Investment Company Act of 1940 that: 1) are "no-load" (no commission or fee shall be charged on purchases or sales of shares); 2) have a constant net asset value of $1.00 per share; 3) limit assets of the fund to those authorized by state statute; 4) have a maximum stated maturity and weighted average maturity in accordance with Rule 2a-7 of the Investment Company Act of 1940; and 5) have a rating of AAA or the equivalent by one or more nationally recognized statistical rating organization. The city may invest up to 10% of its portfolio in each such fund to a maximum amount per the investment policy, not to exceed 50% of the portfolio.

*U.S. agency notes* – Investments may not exceed 75% of the total par value of the city's portfolio. Maturities may be no more than seven years.

*U.S. Treasury notes* – Maturities may be no more than seven years.

*Commercial paper* – Commercial paper issued by domestic corporations must be rated at least A-1 or the equivalent at the time of purchase by at least two nationally recognized statistical rating organizations (NRSROs). If the commercial paper issuer has senior debt outstanding, it must be rated at least A or the equivalent at the time of purchase by all rating organizations that rate the issuer. The aggregate investment in corporate debt, commercial paper, and bankers acceptances shall not exceed 50% of the city's investment portfolio. No more than 3% of the city's investment portfolio may be invested in the obligations of any one issuer.

*Corporate notes* – Investments other than commercial paper, issued by domestic corporations, maximums:

| Rating | Maximum Percentage | Maximum Maturity (Years) |
|---|---|---|
| AAA or AA | 30% | 5 |
| A1 or A+ | 10% | 2 |

*Municipal bonds* – Investment maximums:

| Rating | Maximum Percentage | Maximum Maturity (Years) |
|---|---|---|
| AAA or AA | 30% | 5 |
| A1 or A+ | 10% | 2 |

*Securities of a general improvement district* – These securities may be purchased only upon recommendation by the Finance Director, a finding by the City Manager and a resolution adopted by City Council that the investment is: 1) financially appropriate, including liquidity provisions; 2) consistent with the financial management goals of the city, including, but not limited to, managing variable rate risk; and 3) not made for the purpose of discharging such securities. On December 30, 2015, the city purchased $9,000,000 of senior taxable special revenue bonds from the Colorado International Center Metropolitan District No. 4 (the District), a general improvement district of the city, in relation to the Gaylord Project. The bonds will be used to construct infrastructure for access to the District, including the Gaylord. Future development within the District will allow for property tax receipts which will provide debt service for the bonds. This is a long term investment; however, should the net present value savings of any newly issued refunding debt of the District ever exceed 3%, the District bonds will be paid off.

*Domestic corporate bonds and foreign securities* – Domestic corporate bonds must be issued by a corporation or bank organized and operating within the United States. Foreign sovereign, foreign political subdivision and foreign corporate securities issued in foreign markets and under foreign law must be denominated in U.S. dollars. Specific nations whose debt may be purchased shall be approved by council resolution. Diversification requirements may not exceed the following; 15% of obligations issued in any one authorized foreign country, 30% investment in foreign securities, 30% invested in domestic corporate bonds, or 50% combination in both, foreign and domestic. Securities must be rated by at least two Nationally Recognized Statistical Ratings Organizations (NRSROs). Those with a rating of AA- or the equivalent may be purchased with a maximum maturity of 5 years and up to 10% may be purchased in securities rated A+ or the equivalent with a maximum maturity of 2 years. The aggregate investment in corporate obligations shall not exceed 50% of the portfolio.

Credit ratings on the primary government's investments are as follows:

| Moody's | Repurchase Agreements | Money Market | Commercial Paper | Certificates of Deposit | U.S. Agency Notes | U.S. Treasury Notes | Corporate Notes | Foreign securities-U.S. Dollars | Municipal Bonds | GID Revenue Bonds - CIC District #4 |
|---|---|---|---|---|---|---|---|---|---|---|
| Aaa | $ - | $ - | $ - | $ - | $ 79,678,024 | $ 15,500,059 | $ 6,539,878 | $ - | $ 8,963,124 | $ - |
| Aa1 | - | - | - | - | - | - | 14,998,545 | 10,989,101 | 20,667,700 | - |
| Aa2 | - | - | - | - | - | - | 16,335,246 | 52,330,386 | 30,513,543 | - |
| Aa3 | - | - | - | - | - | - | 31,811,475 | 18,116,831 | 3,931,086 | - |
| A1 | - | - | - | - | - | - | 13,102,981 | - | 1,702,210 | - |
| P-1 | - | - | 4,987,542 | - | - | - | - | - | - | - |
| Not rated | 37,507,812 | 396,650 | - | 11,620,092 | - | - | - | - | - | 9,000,000 |
| **Total** | **$ 37,507,812** | **$ 396,650** | **$ 4,987,542** | **$ 11,620,092** | **$ 79,678,024** | **$ 15,500,059** | **$ 82,788,125** | **$ 81,436,317** | **$ 65,777,663** | **$ 9,000,000** |

*Fiduciary Funds*

*GERP* – GERP contracts with investment managers to manage all of the Plan's investments. Each investment portfolio is managed in accordance with investment guidelines as stated in the Plan's investment policy adopted July 17, 2014. These guidelines are specific to two strategies (core and core plus) within the fixed income asset class.

The *core* portfolio will include the following:

- Debt instruments issued by the U.S. Government, its agencies and instrumentalities.
- Debt instruments that have been issued by domestic entities rated BBB- or Baa3 or above by Standard & Poor's rating service or Moody's Investors Service, respectively.
- Dollar denominated debt securities issued under section 144(A); and mortgage backed and asset backed securities of investment grade quality.

The *core plus* portfolio will follow the above guidelines with the following exceptions:

- While the overall portfolio credit quality will be maintained at investment grade, up to 25 percent of the portfolio at market value may be invested in securities rated below investment grade. Split rated securities will be governed by the lower designation.
- Up to 20 percent of the portfolio at market value may be invested in securities issued by foreign issuers and denominated in foreign currencies.
- The manager has received authorization to use options, forwards and futures to hedge currency exposure.
- For investment in a commingled fund, the manager is authorized full discretion to use derivate instruments, consistent with fund prospectus.

For the fixed income investment manager, the Plan's investment policy states that for purposes of diversification, the exposure to any single issuer, other than securities guaranteed by the U.S. Treasury, may not exceed 5% of the market value of the portfolio. For the domestic equity investment manager, the Plan's investment policy states that the market value of any single security holding should be limited to a weight of 5% of the portfolio, or 150% of the security's weight in the benchmark, whichever is higher. There is no formal policy for concentration of credit risk for the international equity and real estate investment managers. At December 31, 2015, the Plan held the following investments that meet this criteria:

| Investment | Value | % of Investments |
|---|---|---|
| BlackRock Equity Index Fund A | $ 84,117,381 | 21.0% |
| PIMCO Total Return Fund | 49,185,545 | 12.3% |
| Dodge & Cox International Stock Fund | 27,917,344 | 7.0% |
| Heitman America Real Estate Fund | 21,491,536 | 5.4% |

*EOEP* – Credit risk exposure is dictated by each manager's agreement with the Plan or in the fund's prospectus. The Plan does not have a formal policy regarding the concentration of credit risk. At December 31, 2015, the Plan held investments that meet this criteria; the details of these investments are disclosed on page 56 of this report.

GERP and EOEP held fixed income investments with respective qualitative ratings, excluding those which are not considered to have credit risk, as follows:

| Moody's | Government Mortgage Backed, Corporate and Municipal Bonds | Corporate Bond Fund |
|---|---|---|
| Aaa | $ 5,421,037 | $ - |
| Aa1 to Aa3 | 5,186,208 | 49,979,925 |
| A1 to A3 | 13,773,512 | 904,004 |
| Baa1 to Baa3 | 12,052,961 | - |
| **Total** | **$ 36,433,718** | **$ 50,883,929** |

**Interest rate risk** is the risk that changes in interest rates will adversely affect the fair value of an investment.

*Primary Government*

As a means of limiting its exposure to interest rate risk, it is the city's policy to invest in a manner that securities can normally be held to maturity, or close to maturity, and to limit the types and maturities of permitted securities. The city manages its exposure by limiting the weighted average maturities of the portfolio to less than 3 years, unless the investments are funded by specifically identified sources such as bond proceeds. Non-pooled investments are invested in accordance with state statute; terms of a bond indenture or to meet bond insurer requirements and may have a weighted average maturity exceeding 2 years.

| | Pooled Investments | Weighted Average Maturity (Years) | Non-pooled Investments | Weighted Average Maturity (Years) |
|---|---|---|---|---|
| Money market funds* | $ 10,065 | — | $ 386,585 | — |
| Repurchase agreements | - | — | 37,507,812 | 21.60 |
| Certificates of deposit | 9,500,000 | 0.92 | 2,120,092 | 0.22 |
| U.S. agency notes | 67,643,349 | 2.48 | 12,034,675 | 2.04 |
| U.S. Treasury notes | 15,048,680 | 1.39 | 451,379 | 0.92 |
| Corporate notes | 82,788,125 | 1.37 | - | — |
| Commercial paper | 4,987,542 | 0.36 | - | — |
| Municipal bonds | 65,777,663 | 1.57 | - | — |
| CIC district | 9,000,000 | 15.00 | - | — |
| Foreign securities - U.S. dollars | 81,436,317 | 1.30 | - | — |
| **Total** | **$ 336,191,741** | | **$ 52,500,543** | |

*Money market funds are considered cash equivalents for financial statement presentation.

*Fiduciary Funds*

*GERP* – Interest rate risk exposure is dictated by each investment manager's agreement. Each portfolio is managed in accordance with investment guidelines as stated in the Plan's investment policy adopted on July 17, 2014. These guidelines are specific to two strategies (core and core plus) within the fixed income asset class.

- The *core* fixed income portfolio is to maintain duration within plus or minus 25 percent of the duration of the Barclays Capital Government Credit Index.
- The *core plus* portfolio may normally maintain duration within a range of three to six years.

Colorado Revised Statutes limit investment maturities to five years or less unless formally approved by the Board of Trustees. The Board of Trustees for the Plan has formally adopted an investment policy that allows investment maturities greater than five years.

The Plan had the following investments and maturities at December 31, 2015:

| | | Investment Maturities (in years) | | | | |
|---|---|---|---|---|---|---|
| | Investment | Undetermined | Less than 1 | 1-5 | 6-10 | >10 |
| Money market funds | $ 5,042,673 | $ 5,042,673 | $ - | $ - | $ - | $ - |
| U.S. Treasury notes and bonds | 12,268,905 | - | 2,720,120 | 1,094,624 | 3,127,024 | 5,327,137 |
| Corporate notes and bonds | 36,433,718 | - | 1,101,242 | 15,635,463 | 10,870,582 | 8,826,431 |
| Corporate bond fund | 49,185,545 | - | - | - | 49,185,545 | - |
| Equity securities | 177,393,982 | 177,393,982 | - | - | - | - |
| Real estate funds | 43,162,836 | 43,162,836 | - | - | - | - |
| Alternative investments | 78,509,235 | 78,509,235 | - | - | - | - |
| **Total** | **$401,996,894** | **$304,108,726** | **$ 3,821,362** | **$16,730,087** | **$ 63,183,151** | **$14,153,568** |

*EOEP* – Colorado Revised Statutes limit investment maturities to five years or less unless formally approved by the trustee(s). The EOEP trustee has determined that it is appropriate for the Plan to follow the investment guidelines developed by the city of Aurora General Employees' Retirement Plan. Those guidelines allow investment maturities greater than five years.

| | Investments | Average Maturity (Years) |
|---|---|---|
| Money market funds | $ 78,968 | 0.09 |
| Government and corporate bond funds | 1,698,384 | 7.32 |
| Equity funds | 3,158,735 | — |
| Real estate funds | 794,288 | — |
| Alternative investments | 250,047 | — |
| **Total** | **$ 5,980,422** | |

**Foreign Currency Risk** – Foreign currency risk is the risk that changes in exchange rates will adversely impact the fair value of an investment or deposit.

*Fiduciary Funds*

*GERP* – The Plan's foreign currency risk exposure resides within investments in international equity mutual funds and one private equity limited partnership. The Plan has no formal policy regarding foreign currency risk. The Plan's exposure to foreign currency risk and has delegated responsibility for currency management to its international equity managers. The Plan's exposure to foreign currency risk in U.S. dollars as of December 31, 2015 is $61,076,510.

## 3. RECEIVABLES

### A. Taxes

#### 1. Property Tax

Property tax is levied on December 15 and attaches as a lien on property the following January 1. The tax is payable in full by April 30 or in two equal installments due February 28 and June 15. Each county bills and collects property tax for all taxing entities within the county. Property tax collected by Arapahoe, Adams and Douglas counties for the city are remitted in the subsequent month. Property tax is reported as a receivable and as deferred inflow of resources when levied in both the funds and for citywide reporting. Revenue is recognized when collected in the following year. Collection begins on January 1 of the year following the levy. Total property tax receivable in the General Fund at December 31, 2015 is $30,967,898. Based upon experience, one percent of outstanding receivables is recorded as an allowance and is deducted from the deferred inflow of resources and the receivable for reporting purposes. The allowance at December 31, 2015 is $309,679.

Restricted property tax receivables recorded in the General Improvement Districts (GIDs) represent tax levies collected to specifically repay general obligation bonds and interest. Restricted property tax receivables recorded in the Aurora Urban Renewal Authority (AURA) Debt Service Fund represent tax levies collected pursuant to C.R.S. 31-25 and must be spent on urban renewal within the tax increment district. Total restricted property tax receivables net of allowance at December 31, 2015, for the GIDs and AURA Debt Service are $343,433 and $4,154,500, respectively.

**2. Sales, Use and Lodgers Taxes**

Sales, use and lodgers taxes are recognized as revenue when earned. Sales tax collected and use tax incurred are due to the city by the 20th day of the following month. Total sales, use and lodgers tax receivable at December 31, 2015 is $26,017,152.

**3. Franchise Taxes**

Franchise taxes such as telephone, cable television, gas and electric, due to the city but not received at year-end, are recorded as receivables. Total franchise tax receivable at December 31, 2015 is $2,384,557.

**4. Tax Audits**

Amounts calculated as owed during sales and use tax compliance audits are recorded as receivables and deferred inflow of resources in the General Fund. Tax audit revenue is recognized in subsequent periods when payment is received. For citywide reporting, revenue is recognized when earned. Total sales and use tax audits receivable at December 31, 2015 is $679,558.

**B. Accounts**

**1. City Services**

Amounts billed for court fines, weed cutting, trash removal, demolition, tree trimming and removal, vacant property fees, liens for uncollected city service receivables, overtime inspection fees, recreation registrations and reimbursement for property damages are recorded as receivables and the revenue is recognized when services have been performed. Total accounts receivable for city services at December 31, 2015 is $4,049,107 for governmental activities and $1,649,851 for business-type activities.

Restricted accounts receivable primarily represent amounts collected by the county, state or other governments for specific grant-related expenses incurred by the city.

**2. Utility Billings**

Utility charges, which include water and wastewater usage and storm drainage fees, are billed monthly and are due and payable within 25 days from the billing date. Total billed utility charges at December 31, 2015 are $8,874,749. Earned but unbilled utility charges at December 31, 2015 is $5,360,393. Billed and unbilled charges are recorded as revenue when earned. Estimates of uncollectible utility charges, based upon a percentage of aged outstanding receivables, are established in allowance accounts which are deducted from utility receivables for reporting purposes. Total allowance at December 31, 2015 is $24,074.

**C. Interest**

Interest receivable includes interest earned but not received on investments and notes receivable.

**D. Due from Other Governments**

Due from other governments consists of county road and bridge tax, state highway users tax, lottery proceeds, specific ownership tax, and cigarette tax, which the city has earned but not yet received. These amounts are collected by the other government and remitted to the city within the first two months of the following year. Due from other governments also includes federal and state grants which are collected within one year after year-end.

**E. Other**

Other receivables include E-911 surcharges, PEG access fees, special improvement district assessments, and deposits to a special district for flood and drainage control improvements.

**F. Notes**

Notes receivable are supported by contracts, which outline the repayment of borrowed funds.

**1. Economic Development**

The city has a participation interest in revolving loans made to various commercial and industrial enterprises. These loans are incentives for the relocation or expansion of these enterprises within the boundaries of the city. There are a total of seven loans: three Brownfields loans and four economic development loans Brownfields loans, with total portfolio balances outstanding of $1,478,857, have a 2% interest rate and are interest only for a four year term with principal and interest due on the outstanding principal for the next six years and the remaining balance due at that point. Maturity dates range from 2020 to 2026. Brownfields loans are expected to be collected and are therefore reflected in the city's financial statements. The economic development loans, with total portfolio balances outstanding of $172,683, have interest rates ranging from 2% to 5% and maturity dates ranging from

2015 to 2025 with real and business property as collateral. Economic development loans are not expected to be collected and therefore are not reflected in the city's financial statements.

In 2013, the city advanced $40,000 to a developer to assist with funding the demolition, removal and site cleanup of a blighted motel property in order to facilitate future sale and development of the property. Interest accrues at 2% and outstanding principal is due upon the sale of the property or 5 years from the date the project is complete, whichever occurs first. The project was completed in 2014. Principal balance outstanding at December 31, 2015 is $40,000.

**2. Community Services**

In 2007, the city advanced $90,000 to the Colfax Marathon Partnership, Inc. to assist with the costs associated with the organizing, planning, advertising and producing of the marathon. The balance outstanding at December 31, 2015 is $76,000.

To assist in the redevelopment of low-income areas, the city makes loans from federal funds to assist in the renovation of housing and businesses. There are a total of 1,182 loans with various maturity dates and interest rates. The balance outstanding as of December 31, 2015 is $16,381,887, which is not expected to be collected and therefore is not reflected in the city's financial statements.

**3. Fitzsimons Redevelopment Authority (FRA)**

The city entered into an agreement to assist FRA with required matching funds in conjunction with two grants it received from the U.S. Department of Commerce, Economic Development Administration (EDA) for the purpose of designing and constructing a bioscience incubation facility at Fitzsimons. In 2013, the final installment of the original loan was rolled into a new loan of $130,165, repayable in five equal annual installments beginning October 15, 2014. FRA negotiated the agreement to a zero percent interest rate. The principal balance outstanding as of December 31, 2015 is $78,099 of which $52,066 is not expected to be collected in one year.

**G. Component Unit - Havana BID**

Property owners within the boundaries of the Havana Business Improvement District (BID) have been assessed $352,573 in property taxes for 2015 to be collected in 2016. Havana BID also had tax-related receivables due from the County Treasurer of $1,598 as of December 31, 2015.

## 4. RESTRICTED, COMMITTED, ASSIGNED AND UNASSIGNED FUND BALANCES AND RESTRICTED NET POSITION

**Order of Spending**

Fund balances are classified as restricted, committed, assigned or unassigned. When expenditures are incurred that use funds from more than one classification, the city will generally determine the order which the funds are used on a case-by-case basis, taking into account any application requirements of grant agreements, contracts, business circumstances, or other constraints. If no other constraints exist, the order of spending of resources will be restricted, committed, assigned and, lastly, unassigned.

**Restricted for Culture, Recreation, and Open Space**

*General Fund:* $370,370 per agreement for library and computer equipment funding. *Conservation Trust Fund:* $4,258,557 lottery proceeds share back to be used for park and open space development. *Parks Development Fund:* $5,143,543 developer contributions required to be used for the creation of city parks. *Open Space Fund:* $9,668,098 share back of sales and use tax the citizens in Arapahoe and Adams counties approved for parks and open space construction and maintenance in their respective counties. *Cultural Services Fund*: $61,561 for the SCFD grant. *City Capital Projects Fund:* $1,658,461 from a capital impact fee for open space development.

**Restricted for Debt Related**

Amounts held for debt service payments and required reserves include, *General Fund*: $2,140,340 for a debt service reserve, including interest, for which the city has pledged a moral obligation relating to an AURA revenue note, *SID Debt Service Fund:* $253,053, and *ACLC Debt Service Fund:* $8,402,864. Debt related restrictions are at the fund level only and are not restricted at citywide.

**Restricted for Development**
Amounts restricted for employee development per retirement plan agreements in the *General Fund* are $106,528. Amounts restricted for future development projects in urban renewal areas per Colorado Revised Statues include *AURA General Fund* and *AURA Debt Service Fund* for $52,964 and $8,077,102 respectively.

**Restricted for Gifts and Grants**
*Gifts and Grants Fund:* $1,605,857 of which $790,280 is for home inventory purchased under the neighborhood stabilization program (NSP). An additional $1,478,857 is restricted at citywide for Brownfields loans that are reported at the fund level as deferred inflows of resources and not as restricted. *Community Development Fund:* $614,199 of which $182,762 is for home inventory to be restored and resold under NSP. *City Capital Projects Fund*: $437,662 for capital improvement program grants.

**Restricted for Public Improvement**
*General Fund:* $168,343 restricted for fence maintenance and repair per voter approval. *ACLC Capital Projects Fund*: $1,277,252 unspent note proceeds restricted for purchase of public works equipment at the fund but are included in net investment in capital asset at citywide. *Water Fund:* $374,000 is an escrow and deposit restricted for the Prairie Waters Project "owner controlled insurance program". *Wastewater Fund:* $5,212,796 is held in trust by the Urban Drainage and Flood Control District to fund construction of storm drain infrastructure in the city. *Peoria Park Fence GID:* $60,562, *Meadow Hills Fence GID:* $45,230, and *Cherry Creek Fence GID:* $58,055 required by agreement for the purpose of maintaining neighborhood masonry fences. *Aurora Conference Center GID*: $18 required by agreement for construction of a conference center. *Pier Point 7 Sewer GID*: $110,075 required by agreement for the purpose of maintaining sewer line improvements. *City Capital Projects Fund:* $1,385,265 from the Adams County Road and Bridge 0.5% sales tax collected by Adams County and allocated back per agreement to the city for the purpose of constructing roads and bridges located within the respective jurisdictions, $4,514,892 from capital impact fees for transportation development, and $1,134,770 as settlement of a judgment against another jurisdiction for noise violations at Denver International Airport to be used to acquire land and make improvements in the airport vicinity in an effort to mitigate noise in the surrounding communities.

**Restricted for Emergencies**
*General Fund:* $8,323,923 for the TABOR State constitutional amendment 3% emergency reserve to be used in rare circumstances resulting from major nonrecurring and not predictable emergencies. Examples of a major emergency may include a tornado requiring extensive additional city operational or capital costs, or a protracted health, civilian or military crisis requiring extensive operational or capital costs. The funds are not to be used to adjust for revenue variances due to the normal variance in the economy. The TABOR reserve amount is adjusted annually in accordance with State constitutional requirements. *ACLC Capital Projects Fund*: $2,810,759 for unspent debt proceeds relating to E-911 system improvements and equipment and $3,800,904 unspent proceeds relating to construction of a public safety training facility are restricted at the fund but are included in net investment in capital asset at citywide. *Gifts and Grants Fund:* $1,128,911 of seizure funds from state and federal courts forfeiture actions is used to support activities of the Aurora Police Department. *E-911 Fund:* $7,457,259 received from a phone surcharge is required by State law to fund E-911 infrastructure development, operations and maintenance. *City Capital Projects Fund:* $1,266,187 from capital impact fees for public safety infrastructure.

**Restricted for Pension Benefits**
The net pension asset of $9,859,880 is restricted at citywide. It is not restricted in the funds as it does not represent a current financial resource.

**Committed to Capital Improvements**
*City Capital Projects Fund:* $33,579 is committed for Dam East Reserve per city ordinance.

**Committed to Culture, Recreation and Open Space**
*General Fund:* per city code $1,058,955 from fee revenues is committed for the community trees program to fund tree planting in the city. Per city code $216,460 is committed for various visitor promotion programs. Per city code, $509,096 for public, educational and governmental television programming. *Cultural Services Fund:* per city code $705,852 generated from the capital project budget is committed to fund the Art in Public Places program.

**Committed to Development**
*Development Review Fund:* by city resolution $10,921,259 is committed for the Enhanced Development Review program.

**Committed to Emergencies**
*General Fund:* $3,529,481, per city code court surcharges are committed to fund the DARE, teen court, victim witness and youth programs; traffic fines are committed to fund the photo red light program. *Abatement Fund*: $364,961, per city code weed, tree and demolition abatement fees are used to fund abatement activities.

**Committed to Reserves**
*General Fund:* $24,488,545, financial policies and guidelines adopted by City Council through resolution commit the 10% Policy Reserve. This reserve is to be used only in extremely rare circumstances resulting from major emergencies that are not recurring by nature and, in general, are not predictable. Examples of a major emergency may include a tornado requiring extensive additional city operational or capital costs, or a protracted health, civilian or military crisis requiring extensive operational or capital costs. The funds are not intended to be used to adjust for revenue variances due to the normal variance in the economy. Included in this reserve are two interfund loans totaling $225,753 to the Golf Fund. The 10% Policy Reserve is adjusted annually to an amount no less than 10% of adjusted budgetary operating expenditures of the General Fund.

**Assigned to Capital Improvement**
*City Capital Projects Fund*: $39,071,977 of residual equity is assigned to fund city capital improvements and virtually all has been appropriated to specific projects.

**Assigned to Culture, Recreation and Open Space**
*Recreation Fund*: $274,875 residual fund balance is assigned to Culture and Recreation through the budget process.
*Cultural Services*: $31,744 residual fund balance is assigned to Culture and Recreation through the budget process.

**Assigned to Debt Service**
*ACLC Debt Service Fund:* $2,584,305 is assigned through the budget process to fund future debt payments.

**Assigned to Development**
*General Fund:* $374,270 is assigned to pay existing development incentives through the budget process.

**Assigned to Encumbrance**
*General Fund:* $3,430,358 is assigned to pay commitments on open purchase orders.

**Assigned to Long-term Liabilities**
*General Fund:* $23,038,147 is assigned by management, with Council review, to pay long-term liabilities.

**Unassigned Fund Balance Operating Reserve** (minimum fund balance policy)
*General Fund:* As outlined in the city's Financial Policies and Guidelines and adopted by resolution, the General Fund has a minimum target fund balance of 1% to 3% of annual General Fund budgetary revenues. This reserve is intended to be usable in limited circumstances for one-time use where Council determines such use is appropriate and necessary. Uses may include paying for unexpected revenue shortfalls, unexpected expenses, and offsetting potential budget cuts. This reserve also assists in meeting financial bond rating agency total reserve requirements.

**Unassigned Negative Fund Balance**
*AURA Capital Projects Fund:* Loan proceeds are not recognized on accrued construction costs until cash reimbursement is requested in the subsequent year.

## 5. JOINT VENTURE

The Aurora – Colorado Springs Joint Water Authority (ACSJWA) was formed between the city of Aurora and the city of Colorado Springs. ACSJWA is reported in the Water Fund using the equity interest method. ACSJWA charges both cities transmission service fees to pay expenses incurred in the operation and maintenance of the project. The investment on January 1, 2015 was $2,371,466, plus the city's share of the change in net position of $32,742 results in an ending investment on December 31, 2015 of $2,404,208.

## 6. OTHER ASSET - INTEREST RATE CAP

As of December 31, 2015, the AURA has one derivative instrument outstanding, an interest rate cap purchased in connection with the loan payable from the AURA to NBH Capital Finance for the purpose of financing a public conference center and parking facility. Parties to the derivative agreement are AURA (fixed note payer) and Royal Bank of Canada (floating rate payer or counterparty). The interest rate on the bank note is fixed until November 30, 2017 at which time the rate becomes variable. The interest rate cap is a cash flow hedge derivative. The objective of the rate cap is to protect against possible substantial future increases in interest rates which could adversely affect the coverage afforded by pledged revenues for the loan debt service requirements and limit availability of projected revenue available for expenditure on public purposes.

Below is a summary of the terms of the interest rate cap:

| Notional Amount | Settlement Date | Effective Date | Maturity Date | Terms | Fair Value | Change in Fair Value |
|---|---|---|---|---|---|---|
| $25,000,000 | 9.1.2015 | 12.1.2017 | 12.1.2024 | 70% of sum of USD-LIBOR-BBA plus 2.40% exceeding strike rate | $8,296 | $8,296 |

The rate cap satisfies the criteria for effectiveness using the dollar offset method. The interest rate cap has a positive fair value at December 31, 2015, and it is recorded as other asset in the governmental activities column on the Citywide statement of net position. The changes in fair value are recorded as a deferred inflow of resources on the Citywide statement of net position. As market quotations are not available for over-the-counter derivatives identical to this transaction, a pricing service measured the fair value of the interest rate cap using a discounted cash flow model that incorporates an adaptation of the Black-Scholes option pricing model.

Under the terms of the cap agreement, the cap provider will make floating payments to AURA on any floating rate payment dates when 70% of the sum of USD-LIBOR-BBA with a designated maturity of 12 months plus 2.40% exceeds the predetermined strike rates. In exchange for receiving any floating amount payments from the cap provider, the AURA made a one-time fixed payment to the cap provider in an amount of $195,000 on the trade date September 1, 2015. The AURA has policies in place to evaluate the credit worthiness of a swap counterparty to determine if the counterparty should be required to post collateral for the occurrence of certain events or provide certain credit enhancements prior to executing the agreement. The AURA, in consultation with its Qualified Independent Representative, determined this agreement does not require additional collateral be posted by the counterparty in the event AURA becomes exposed to credit risk. All transactions are in US dollars.

*Hedging Derivative Net Cash Flow* - As interest rates have remained low and there is no indication of significant interest rate increase, management believes the effect on cash flows related to the interest rate cap are de minimis based on rates as of December 31, 2015.

Risks

*Credit Risk*. The fair value represents the AURA's credit exposure to the counterparty as of December 31, 2015. Should the counterparty to this transaction fail to perform according to the terms of the cap agreement, the AURA has a maximum possible loss equivalent to the cap's fair value at that date. The credit ratings of the counterparty are: Moody's Aa2; Standard & Poor's AA-; Fitch AA.

*Interest Rate Risk*. The interest rate is capped at predetermined strike rates.

*Basis Risk*. Basis risk arises from the mismatch between the rate received under the cap and the rate paid on the loan. In this transaction the cap payment calculation is matched with the interest calculation of variable rate on the loan. There is no basis risk.

*Termination Risk*. The AURA or its counterparties may terminate the derivative if the other party fails to perform under the terms of the agreement. Additionally, AURA has the option to terminate the cap agreement at any time, at the then-current market value of the cap agreement. The cap provider shall not have the right to optionally terminate the cap agreement.

*Rollover Risk.* The AURA is exposed to rollover risk on hedging derivative instruments that are hedges of debt that mature or may be terminated prior to the maturity of the debt. When the rate cap terminates, the AURA will be re-exposed to the risks being hedged by the cap.

## 7. CAPITAL ASSETS

*Governmental Activities* - Capital asset activity for the year ended December 31, 2015, is shown below.

| | January 1 | Additions | Disposals | Transfers | December 31 |
|---|---|---|---|---|---|
| **Capital assets not depreciated** | | | | | |
| Land | $ 273,885,364 | $ 4,671,762 | $ - | $ 404,222 | $ 278,961,348 |
| Construction in progress | 19,750,576 | 91,016,409 | (170,336) | (33,916,873) | 76,679,778 |
| **Total capital assets not depreciated** | 293,635,940 | 95,688,171 | (170,336) | (33,512,651) | 355,641,126 |
| **Capital assets being depreciated** | | | | | |
| Buildings and improvements | 209,309,732 | 3,710,357 | (571,553) | 1,506,214 | 213,954,750 |
| Infrastructure | 2,638,391,613 | 44,411,465 | (1,437,948) | 31,814,212 | 2,713,179,342 |
| Machinery and equipment | 89,991,359 | 9,261,364 | (3,455,642) | (237,302) | 95,559,778 |
| **Total capital assets being depreciated** | 2,937,692,704 | 57,383,186 | (5,465,143) | 33,083,124 | 3,022,693,870 |
| **Less accumulated depreciation** | | | | | |
| Buildings and improvements | (75,743,496) | (5,828,006) | 512,305 | 19,075 | (81,040,121) |
| Infrastructure | (583,612,180) | (39,930,162) | 1,425,723 | 21,556 | (622,095,064) |
| Machinery and equipment | (56,410,386) | (6,345,862) | 3,450,774 | (16,320) | (59,321,793) |
| **Total accumulated depreciation** | (715,766,062) | (52,104,030) | 5,388,802 | 24,311 | (762,456,978) |
| **Total capital assets being depreciated, net** | 2,221,926,642 | 5,279,156 | (76,341) | 33,107,435 | 2,260,236,892 |
| **Governmental activities capital assets, net** | **$ 2,515,562,582** | **$ 100,967,327** | **$ (246,677)** | **$ (405,216)** | **$ 2,615,878,018** |

Depreciation expense that was charged to governmental activities' functions is shown below. Unallocated depreciation represents depreciation on multi-use city office buildings such as the Aurora Municipal Center. Depreciation of all other facilities is included in the function that uses the facility.

| | |
|---|---|
| General Government | $ 1,235,970 |
| Judicial | 40,346 |
| Police | 1,837,623 |
| Fire | 1,041,219 |
| Other public safety | 490,893 |
| Public works | 39,454,572 |
| Economic development | 95,461 |
| Community services | 243,777 |
| Culture and recreation | 3,724,071 |
| Unallocated | 3,940,098 |
| Depreciation expense governmental activities | $52,104,030 |

*Business-type Activities* - Capital asset activity for the year ended December 31, 2015, is shown below and includes capitalized interest of $3,458,720 in the Water Fund and $953,097 in the Wastewater Fund.

| | January 1 | Additions | Disposals | Transfers | December 31 |
|---|---|---|---|---|---|
| **Capital assets not depreciated** | | | | | |
| Land and water rights | $ 383,412,383 | $ 16,641,229 | $ - | $ (70,537) | $ 399,983,075 |
| Construction in progress | 77,946,594 | 61,663,881 | - | (28,674,246) | 110,936,229 |
| **Total capital assets not depreciated** | 461,358,977 | 78,305,110 | - | (28,744,783) | 510,919,304 |
| **Capital assets being depreciated** | | | | | |
| Buildings and improvements | 530,601,946 | - | (49,190) | 137,412 | 530,690,168 |
| Infrastructure | 1,303,144,004 | 11,551,107 | - | 28,377,694 | 1,343,072,805 |
| Machinery and equipment | 117,317,966 | 3,935,498 | (1,843,097) | 659,204 | 120,069,571 |
| **Total capital assets being depreciated** | 1,951,063,916 | 15,486,605 | (1,892,287) | 29,174,310 | 1,993,832,544 |
| **Less accumulated depreciation** | | | | | |
| Buildings and improvements | (78,494,677) | (12,770,431) | 49,190 | (19,074) | (91,234,992) |
| Infrastructure | (255,111,127) | (20,178,731) | - | (21,556) | (275,311,414) |
| Machinery and equipment | (48,802,438) | (7,473,563) | 1,772,324 | 16,319 | (54,487,358) |
| **Total accumulated depreciation** | (382,408,242) | (40,422,725) | 1,821,514 | (24,311) | (421,033,764) |
| **Total capital assets being depreciated, net** | 1,568,655,674 | (24,936,120) | (70,773) | 29,149,999 | 1,572,798,780 |
| **Business-type activities capital assets, net** | **$ 2,030,014,651** | **$ 53,368,990** | **$ (70,773)** | **$ 405,216** | **$ 2,083,718,084** |

Depreciation expense that was charged to business-type activities' functions is shown below:

| | |
|---|---|
| Water | $ 29,472,592 |
| Wastewater | 10,133,859 |
| Golf | 816,274 |
| Depreciation expense business-type activities | $ 40,422,725 |

*Component Unit* - Capital asset activity for the year ended December 31, 2015, is shown below:

| | January 1 | Additions | Disposals | Transfers | December 31 |
|---|---|---|---|---|---|
| **Capital assets not depreciated** | | | | | |
| Construction in process | $ 7,088 | $ - | $ - | $ (7,088) | $ - |
| **Total capital assets not depreciated** | 7,088 | - | - | (7,088) | - |
| **Capital assets being depreciated** | | | | | |
| Infrastructure | 75,422 | - | - | 7,088 | 82,510 |
| Machinery and equipment | 53,097 | - | - | - | 53,097 |
| **Total capital assets being depreciated** | 128,519 | - | - | 7,088 | 135,607 |
| **Less accumulated depreciation** | | | | | |
| Infrastructure | (39,694) | (11,788) | - | - | (51,482) |
| Machinery and equipment | (29,555) | (7,951) | - | - | (37,506) |
| **Total accumulated depreciation** | (69,249) | (19,739) | - | - | (88,988) |
| **Total capital assets being depreciated, net** | 59,270 | (19,739) | - | 7,088 | 46,619 |
| **Component unit activities capital assets, net** | $ 66,358 | $ (19,739) | $ - | $ - | $ 46,619 |

## 8. NONCURRENT LIABILITIES

### A. General Obligation Bonds

The city has issued governmental general obligation bonds to provide funds for the acquisition and construction of major capital facilities. General obligation bonds pledge the full faith and credit of the city. The General Improvement Districts pledge the full faith and credit of the properties within the district.

*Governmental Activities* - The General Improvement Districts have four outstanding issuances of general obligation bonds. Amounts originally issued and amounts outstanding at December 31, 2015, respectively, were: 2009 Cherry Creek Fence $700,000 and $560,000; 2010 Meadow Hills Fence $520,000 and $420,000; 2010 Peoria Park Fence $375,000 and $319,000; and 2011 Pier Point Sewer $2,600,000 and $2,250,000.

Annual debt service requirements to maturity for general obligation bonds are as follows:

| | Governmental Activities | | |
|---|---|---|---|
| Year Ending | | 4.38-5.45% | |
| December 31 | Principal | Interest | Total |
| 2016 | $ 163,000 | $ 166,294 | $ 329,294 |
| 2017 | 169,000 | 158,632 | 327,632 |
| 2018 | 174,000 | 150,697 | 324,697 |
| 2019 | 185,000 | 142,543 | 327,543 |
| 2020 | 191,000 | 133,853 | 324,853 |
| 2021-2025 | 1,095,000 | 525,272 | 1,620,272 |
| 2026-2030 | 1,318,000 | 243,368 | 1,561,368 |
| 2031-2035 | 254,000 | 11,649 | 265,649 |
| **Total** | **$ 3,549,000** | **$ 1,532,308** | **$ 5,081,308** |

**B. Revenue Bonds**

*Business-type Activities* – Water Fund has two outstanding issuances of revenue bonds. Amounts originally issued and amounts outstanding at December 31, 2015, respectively, were: 2007A First Lien Water Improvement $421,495,000 and $421,495,000; and 2008A First Lien Water Improvement Refunding $39,995,000 and $39,995,000. During 2015, the Water Fund extinguished $29,655,000 of the 2005D debt issue through payment to the Colorado Water Resources and Power Development Authority. The gain on the 2005D early extinguishment of debt is $117,614 while the early payoff provided a cash flow savings of $18,084,569.

Wastewater Fund has one outstanding issuance of revenue bonds. Amounts originally issued and amounts outstanding at December 31, 2015, respectively, were: 2006 First Lien Sewer Improvement $57,790,000 and $32,295,000.

Annual debt service requirements to maturity for revenue bonds are as follows:

| | Business-Type Activities | | |
|---|---|---|---|
| Year Ending | | 4.00-5.00% | |
| December 31 | Principal | Interest | Total |
| 2016 | $ - | $ 24,490,937 | $ 24,490,937 |
| 2017 | 1,450,000 | 24,490,938 | 25,940,938 |
| 2018 | 1,510,000 | 24,431,125 | 25,941,125 |
| 2019 | 1,585,000 | 24,355,625 | 25,940,625 |
| 2020 | 14,450,000 | 24,276,375 | 38,726,375 |
| 2021-2025 | 94,675,000 | 109,064,838 | 203,739,838 |
| 2026-2030 | 120,950,000 | 82,654,675 | 203,604,675 |
| 2031-2035 | 135,890,000 | 51,450,625 | 187,340,625 |
| 2036-2040 | 123,275,000 | 15,497,313 | 138,772,313 |
| **Total** | **$ 493,785,000** | **$ 380,712,451** | **$ 874,497,451** |

**C. Certificates of Participation**

*Governmental Activities* - Certificates of Participation (COPs) are issued by Aurora Capital Leasing Corporation (ACLC) and represent participation in a capital lease financing. The COPs are payable from the city's lease payments to ACLC, which are assigned to the trustee for the COPs debt service. There are three outstanding COPs issues. Amounts originally issued and amounts outstanding at December 31, 2015, respectively were: 2009A refunding series (2005 Public Improvement and 2008 refunding) $84,160,000 and $84,160,000; and 2014 Public Safety and Sports Park $21,775,000 and $21,015,000; and 2015 Public Safety Training Facility $24,340,000 and $24,340,000.

Annual debt service requirements to maturity for COPs are as follows:

| | Governmental Activiies | | |
|---|---|---|---|
| **Year Ending** | | **3.00-5.00%** | |
| **December 31** | **Principal** | **Interest** | **Total** |
| 2016 | $ 6,230,000 | $ 5,927,600 | $ 12,157,600 |
| 2017 | 6,460,000 | 5,697,575 | 12,157,575 |
| 2018 | 6,720,000 | 5,435,825 | 12,155,825 |
| 2019 | 6,995,000 | 5,160,075 | 12,155,075 |
| 2020 | 7,305,000 | 4,852,400 | 12,157,400 |
| 2021-2025 | 39,285,000 | 18,581,850 | 57,866,850 |
| 2026-2030 | 44,205,000 | 9,625,200 | 53,830,200 |
| 2031-2035 | 5,605,000 | 1,885,300 | 7,490,300 |
| 2036-2040 | 6,710,000 | 773,625 | 7,483,625 |
| **Total** | **$129,515,000** | **$ 57,939,450** | **$ 187,454,450** |

**D. Notes Payable**

*Governmental Activities* – The city has two Special Improvement District Revenue Notes for expenditures made by the city to construct certain masonry fences in the district payable from special assessments levied on the neighborhoods. Amounts originally issued and amounts outstanding at December 31, 2015, respectively were: Ptarmigan Park Neighborhood $1,075,000 and $215,000; and Dam East Neighborhood $1,230,000 and $755,000.

The Aurora Urban Renewal Authority (AURA) issued $27,750,000 NBH Capital Finance note for the purpose of financing the construction of a public conference center and a parking facility in the Fitzsimons Urban Renewal Area (URA) and will be repaid by tax increment revenues of the URA. AURA will draw on this note until the project is substantially complete or December 31, 2017, whichever is earlier. Repayment of the principal amount will begin on December 1, 2019 and matures on December 1, 2024. Interest payments on the note are due quarterly beginning June 1, 2015 at the rate of 2.40% per annum through November 30, 2017. On December 1, 2017 and annually thereafter, the rate of interest on the outstanding principal balance of the note shall be reset to a rate equal to the 12-month LIBOR rate in effect as of such date plus 2.40%, times a tax-exempt factor of 0.70. The maximum interest rate is set at 12% per annum. The amount outstanding on the note at December 31, 2015 is $22,013,063. As required by the AURA and the Public Finance and Redevelopment Agreement (PFRA), the city has a moral obligation pledge on this revenue note's debt service reserve fund in the amount of $2,120,000. The moral obligation does not constitute a pledge of the city's full faith and credit as security for the note, but rather, it is merely a declaration of the city's present intent to consider appropriating funds to replenish the debt service reserve fund under the terms and conditions set forth in the agreement.

*Business-type Activities* – Water Fund has two outstanding notes payable. Amounts originally issued and amounts outstanding at December 31, 2015, respectively were: 2004 Water Rights Notes $8,280,091 and $530,649 and Colorado Water Conservation Board (CWCB) $75,750,000 and $70,844,813 for the financing of the Prairie Waters Project.

Annual debt service requirements to maturity for notes payable are as follows:

| | Governmental Activities | | | Business-Type Activities | | |
|---|---|---|---|---|---|---|
| Year Ending | 2.40-5.00% ** | | | 3.75-5.00% | | |
| December 31 | Principal | Interest | Total | Principal | Interest | Total |
| 2016 | $ 20,000 | $ 568,287 | $ 588,287 | $ 1,759,196 | $ 2,656,681 | $ 4,415,877 * |
| 2017 | 215,000 | 567,965 | 782,965 | 2,002,049 | 2,617,243 | 4,619,292 |
| 2018 | 10,000 | 578,995 | 588,995 | 2,070,493 | 2,539,955 | 4,610,448 |
| 2019 | 355,070 | 578,721 | 933,791 | 2,141,503 | 2,460,101 | 4,601,604 |
| 2020 | 521,655 | 571,193 | 1,092,848 | 2,038,294 | 2,377,583 | 4,415,877 |
| 2021-2025 | 21,861,338 | 2,057,025 | 23,918,363 | 11,396,972 | 10,682,412 | 22,079,384 |
| 2026-2030 | - | - | - | 13,700,298 | 8,379,087 | 22,079,385 |
| 2031-2035 | - | - | - | 16,469,125 | 5,610,259 | 22,079,384 |
| 2036-2040 | - | - | - | 19,797,532 | 2,281,852 | 22,079,384 |
| **Total** | **$ 22,983,063** | **$ 4,922,186** | **$ 27,905,249** | **$ 71,375,462** | **$ 39,605,173** | **$ 110,980,635** |

* A principal and interest payment of $176,883 and $35,377, respectively, was made on the 2004 water rights note payable on December 31, 2015 due January 1, 2016.

**LIBOR rate at December 31, 2015 per Bloomberg Finance LP is 1.178%.

### E. Capitalized Leases

*Governmental Activities* - The city has entered into leases for six fire apparatus, various breathing apparatus, eight construction equipment, ten transportation equipment and two buildings and improvements. All leases are funded from the General Fund. The leases have been capitalized for financial statement purposes. Upon final payment, the equipment and site leased will transfer to the city's ownership. The gross amount of the machinery and equipment acquired, and the cost of buildings and improvements under each lease is $3,208,045, $1,617,875, $1,652,760, $1,734,244 and $5,050,357, respectively. Accumulated amortization on these leases is $1,053,419 as of December 31, 2015.

Annual debt service requirements to maturity for capital leases are as follows:

| | Governmental Activities | | |
|---|---|---|---|
| Year Ending | 1.208-2.56% | | |
| December 31 | Principal | Interest | Total |
| 2016 | $ 2,097,755 | $ 185,041 | $ 2,282,796 |
| 2017 | 2,057,742 | 186,634 | 2,244,376 |
| 2018 | 2,093,833 | 152,787 | 2,246,620 |
| 2019 | 1,884,313 | 118,663 | 2,002,976 |
| 2020 | 968,916 | 87,220 | 1,056,136 |
| 2021-2025 | 3,502,781 | 165,020 | 3,667,801 |
| **Total** | **$ 12,605,340** | **$ 895,365** | **$ 13,500,705** |

### F. Pledged Revenue

*Governmental Activities* - The city has pledged any special assessments levied and collected on the respective neighborhoods to repay $970,000 current principal outstanding, in Special Improvement District Revenue Notes issued in 2007 and 2012. Proceeds from the notes provided for the construction of two masonry fences. The notes are payable solely from special assessments levied and collected on the respective neighborhoods and are payable through 2017 and 2022.

- *Ptarmigan Park Neighborhood* - Annual principal and interest payments on the note are expected to require approximately 100.0% of net revenues. The total principal and interest remaining to be paid on the note is $235,750. Principal and interest paid for the current year and total special assessments levied and collected on the neighborhood was $130,875 and $114,033, respectively.
- *Dam East Neighborhood* - Annual principal and interest payments on the note are expected to require approximately 100.0% of net revenues as the city is expected to pay out all of the special assessments collected. The total principal and interest remaining to be paid on the note is $893,070. Principal and interest paid for the

current year and total special assessments levied and collected on the neighborhood was $148,205 and $167,779, respectively.

The AURA has pledged incremental increases in property, sales, and lodger taxes, as well as net revenues from the operation of the conference center and parking facility, to the payment of the NBH Capital Finance note. Annual principal and interest payments on the note are expected to require 100% of pledged revenues. Based on the terms of the agreement, no pledged revenues have been received as of December 31, 2015. Total principal and interest drawn on the note is $22,345,778. Total interest paid for the current year was $290,604.

*Business-type Activities* - The city has pledged future water system revenues, net of specified operating expenses, to repay $461,490,000 principal currently outstanding, in water system revenue bonds issued in 2007 and 2008 and $71,375,462, principal currently outstanding, in utility enterprise water resources revenue notes issued in 2004 and 2008. Proceeds from the bonds provided financing for the acquisition of water rights, the acquisition and construction of water facilities and additions and improvements to the water system, including funding the Prairie Waters Project. The bonds are payable solely from water system net revenues and are payable through 2039 and 2033. Proceeds from the notes provided for the acquisition of certain water rights and for construction on the Prairie Waters Project. The notes are payable solely from water system revenues and are payable through 2019 and 2040. Annual principal and interest payments on the bonds and notes are expected to require approximately 35.6% of net revenues. The total principal and interest remaining to be paid on the bonds and notes is $935,663,948. Principal and interest paid for the current year and total water system net revenues were $58,511,668 and $80,441,851, respectively. Of the total principal and interest paid, $28,640,434 was scheduled debt service and $29,871,234 was the prepayment of the series 2005D bonds.

The city has pledged future wastewater system revenues, net of specified operating expenses, to repay $32,295,000 in wastewater system revenue bonds issued in 2006. Proceeds from the bonds provided financing for the acquisition and construction of additions and improvements to the wastewater utility system. The bonds are payable solely from wastewater system net revenues and are payable through 2036. Annual principal and interest payments on the bonds are expected to require approximately 7.8% of net revenues. The total principal and interest remaining to be paid on the bonds is $49,814,138. Principal and interest paid for the current year and total system net revenues were $1,559,813 and $20,037,156, respectively.

### G. Accrued Compensated Absences

Accrued compensated absences recorded in governmental activities are generally paid from the General Fund. Amounts outstanding at December 31, 2015 are $28,683,944 for governmental activities and $4,523,091 for business-type activities.

### H. Legal Debt Limit

The city's legal debt limit is 3% of the assessed valuation of taxable property. After certain deductions allowed by law, the legal debt margin as of December 31, 2015 is $108,418,361. In 1992, Colorado voters approved an amendment to the state constitution (TABOR), which requires multiple-fiscal year debt and certain other financial obligations to be authorized by voters, regardless of whether or not the city is at its legal debt margin. Voter approval of additional debt typically includes a provision exempting the new debt from the debt margin. Consequently, the computation of the city's legal debt margin has little real significance.

### I. Changes in Long-Term Liabilities

Long-term liability activity for the year ended December 31, 2015, was as follows:

| Governmental Activities | Beginning Balance (As Restated) | Additions | Reductions | Ending Balance | Due Within One Year |
|---|---|---|---|---|---|
| Bonds Payable: | | | | | |
| General obligation bonds | $ 5,811,000 | $ - | $ (2,262,000) | $ 3,549,000 | $ 163,000 |
| Certificates of participation | 108,800,000 | 24,340,000 | (3,625,000) | 129,515,000 | 6,230,000 |
| Less adjustments: | | | | | |
| Unamortized premium | 8,998,882 | 449,531 | (1,045,945) | 8,402,468 | - |
| Total bonds and COPs | 123,609,882 | 24,789,531 | (6,932,945) | 141,466,468 | 6,393,000 |
| Notes payable | 6,886,425 | 16,366,639 | (270,001) | 22,983,063 | 20,000 |
| Capitalized leases | 5,261,666 | 8,612,436 | (1,268,762) | 12,605,340 | 2,097,755 |
| Accrued compensated absences | 27,839,409 | 847,261 | (2,726) | 28,683,944 | 4,856,037 |
| Accrued claims payable | 10,652,726 | 5,979,622 | (5,338,847) | 11,293,501 | 5,338,849 |
| Net OPEB obligation | 5,263,040 | - | (73,450) | 5,189,590 | - |
| Net pension liability | 14,666,152 | 56,168,645 | (14,666,152) | 56,168,645 | - |
| **Total Governmental Activities** | **$ 194,179,300** | **$ 112,764,134** | **$ (28,552,883)** | **$ 278,390,551** | **$ 18,705,641** |

| Business-type Activities | Beginning Balance (As Restated) | Additions | Reductions | Ending Balance | Due Within One Year |
|---|---|---|---|---|---|
| Bonds Payable: | | | | | |
| Revenue bonds | $ 523,950,000 | $ - | $ (30,165,000) | $ 493,785,000 | $ - |
| Less adjustments: | | | | | |
| Unamortized premium | 10,703,754 | - | (767,958) | 9,935,796 | - |
| Total bonds | 534,653,754 | - | (30,932,958) | 503,720,796 | - |
| Notes payable | 73,247,956 | - | (1,872,494) | 71,375,462 | 1,759,196 |
| Accrued compensated absences | 4,294,951 | 236,407 | (8,267) | 4,523,091 | 506,802 |
| Net OPEB obligation | 958,237 | 12,517 | - | 970,754 | - |
| Net pension liability | 701,049 | 2,330,783 | (701,049) | 2,330,783 | - |
| **Total Business-type Activities** | **$ 613,855,947** | **$ 2,579,707** | **$ (33,514,768)** | **$ 582,920,886** | **$ 2,265,998** |

## 9. DEFERRED INFLOWS AND OUTFLOWS OF RESOURCES

The components of deferred outflows of resources and deferred inflows of resources reported in the government-wide financial statements as of December 31, 2015, are as follows:

| | Primary Government | | |
|---|---|---|---|
| | Governmental Activities | Business-Type Activities | Total |
| **Deferred Outflows of Resources** | | | |
| Pensions | $ 13,804,459 | $ 1,686,690 | $ 15,491,149 |
| Loss on refunding | 7,878,874 | 425,543 | 8,304,417 |
| **Total Deferred Outflows of Resources** | $ 21,683,333 | $ 2,112,233 | $ 23,795,566 |
| **Deferred Inflows of Resources** | | | |
| Pensions | $ 261,823 | $ - | $ 261,823 |
| Interest rate cap | 8,296 | - | 8,296 |
| Property taxes | 35,156,152 | - | 35,156,152 |
| **Total Deferred Inflows of Resources** | $ 35,426,271 | $ - | $ 35,426,271 |

Under the modified accrual basis of accounting, revenues and other fund financial resources are recognized in the period in which they become both measurable and available. Assets recorded in the fund financial statements for which the revenues are not available are reported as a deferred inflow of resources. In addition, property tax receivables are reported as a deferred inflow of resources when levied in the fund statements. Deferred inflows of resources are comprised of property tax and unavailable fund resources. Unavailable fund resources include: special assessment receivables, tax audit receivables and notes receivables that are unavailable in the fund statements but are recognized as revenue in the citywide statements.

The components of the deferred inflows of resources reported in the fund statements as of December 31, 2015, are as follows:

| | General Fund | Non-Major Governmental Funds | Total | Component Unit |
|---|---|---|---|---|
| **Deferred Inflows of Resources** | | | | |
| Property tax | $ 30,658,219 | $ 4,497,933 | $ 35,156,152 | $ 352,573 |
| Unavailable fund resources | 1,159,050 | 2,491,393 | 3,650,443 | - |
| **Total Deferred Inflows of Resources** | $ 31,817,269 | $ 6,989,326 | $ 38,806,595 | $ 352,573 |

## 10. INTERFUND TRANSACTIONS

The balance between the General Fund and the ACLC-Capital Projects Fund results from an overdraft of cash balances and is recorded as a due to/due from other funds. The balance between the General Fund and the Nonmajor Business-type Funds results from an interfund loan between the General Fund and Golf Fund for golf equipment purchases. The balance between the Nonmajor Governmental Funds results from a timing difference of payment of administrative fees due between funds. The balance between the Water Fund and Nonmajor Governmental Funds is an interfund loan for purchase and development of land. The balance between the Wastewater Fund and the Nonmajor Business-type Funds results from the interfund loan between the Wastewater Fund and the Golf Fund for the construction of the Murphy Creek Golf Course.

| | **Interfund Payable** | | | |
|---|---|---|---|---|
| **Interfund Receivable** | **ACLC-Capital Projects Fund** | **Nonmajor Governmental Funds** | **Nonmajor Business-type Funds** | **Totals** |
| General Fund | $ 1,807,674 | $ - | $ 225,753 | $ 2,033,427 |
| Nonmajor Governmental Funds | - | 6,701 | - | 6,701 |
| Water Fund | - | 4,000,000 | - | 4,000,000 |
| Wastewater Fund | - | - | 4,184,000 | 4,184,000 |
| **Total** | **$ 1,807,674** | **$ 4,006,701** | **$ 4,409,753** | **$ 10,224,128** |

The balance between the General Fund and the Payroll Clearing Agency Fund results from the overdraft of cash balances.

Transfers are used to move revenues from the fund in which the city budget requires collection to the fund required to expend the monies, and to move unrestricted revenues collected in the General Fund to finance various activities accounted for in other funds.

| | Interfund Transfers Out | | | |
|---|---|---|---|---|
| **Interfund Transfers In** | **General Fund** | **ACLC-Capital Projects Fund** | **Nonmajor Governmental Funds** | **Totals** |
| General Fund | $ - | $ - | $ 1,624,940 | $ 1,624,940 |
| ACLC-Capital Projects Fund | - | - | 1,500,000 | 1,500,000 |
| Nonmajor Governmental Funds | 52,187,930 | 11,967 | 2,770,904 | 54,970,801 |
| Nonmajor Business-type Funds | - | - | 150,000 | 150,000 |
| Internal Service Funds | 1,400,000 | - | - | 1,400,000 |
| **Total** | **$ 53,587,930** | **$ 11,967** | **$ 6,045,844** | **$ 59,645,741** |

| | |
|---|---|
| Transfers between Governmental Funds and Business-type Activities Funds per above | $150,000 |
| Capital asset transfers: | |
| From Governmental Funds to Business-type Activities | 405,216 |
| Total transfers between Governmental-type Activities and Business-type Activities | $555,216 |

## 11. CONSTRUCTION AND OTHER SIGNIFICANT COMMITMENTS

**Continuing Appropriations**
The city stipulates that appropriations for capital projects do not lapse until the purpose for which the appropriation was made has been accomplished or abandoned. Additionally, any project is deemed abandoned if three years have elapsed without expenditure or encumbrance to the project. As of December 31, 2015, the city had various unspent appropriations for the acquisition and construction of projects which totaled $144,014,275.

**A. Tax Incentive Agreements**
The city enters into tax incentive agreements to encourage retail and mixed use development, commercial expansion and public infrastructure within its borders. At December 31, 2015, the city had development incentive agreements with the developers of Town Center at Aurora, Pacific Ocean Marketplace Aurora and Serenity Ridge Marketplace. In addition, the city had industrial enterprise expansion incentive agreements with Raytheon Company, Whirlpool Corporation, Ecotech Institute, Niagara Bottling, LLC, Cooper Lighting, LLC, United Natural Foods, Inc., Advanced Circuits, Inc., Furniture Row COLO, LLC, ADT, LLC, Steven – Robert Originals, LLC and KeHe Distributors, LLC. These agreements rebate city levied taxes to the enterprise.

**B. Tax Increment Financing**
At December 31, 2015, the Aurora Urban Renewal Authority had retail, commercial and residential agreements with Cornerstar, Fitzsimons Village, the Colorado Science and Technology Park, Gardens on Havana, Corporex Colorado, LLC, Aurora Convention Center Hotel and The Forum Fitzsimons.

**C. Fitzsimons Golf Course Operations**
Fitzsimons Redevelopment Authority (FRA) has retained the city under contract to manage the operation, maintenance and repair of the Fitzsimons Golf Course. The agreement is for the period from January 1, 2014 through December 31, 2018. FRA compensates the city for such services with a management fee payable solely from revenues of the golf course. In return, the city pays FRA $26,032 per year as FRA's share of the proceeds from the operations of the golf course. The maximum remaining commitment to FRA is $78,099 as of December 31, 2015.

## 12. DEFERRED COMPENSATION PLANS

The city offers employees the opportunity to voluntarily participate in one of three deferred compensation plans. The City of Aurora 457 Deferred Compensation Plan, administered by Nationwide Retirement Solutions, is open to all employees. The International City Management Association Retirement Corporation (ICMA-RC) administers a plan open to executive staff. The Fire and Police Pension Association (FPPA) offers an additional 457 plan through Fidelity for Police and Fire civil service employees.

In addition, as a condition of membership of the transfer plan component of the Fire Statewide Defined Benefit Pension Plan, annual contributions are also made to a 457 Deferred Compensation Plan administered by Nationwide Retirement Solutions. In 2015, members of the transfer plan and the city each contributed 0.5% ($74,596).

All four plans are created in accordance with Internal Revenue Code Section 457. The plans allow employees to defer a portion of their salary until future years. The deferred amounts are not available to the employees until termination, retirement, death or unforeseeable emergency. The amounts in the deferred compensation plans are held in trust for the exclusive benefit of the city's employees and beneficiaries. The city is the sponsor and trustee of the plans administered through Nationwide and ICMA-RC. The FPPA Board is trustee of the FPPA Fidelity plan. The trustees are responsible for evaluating the ongoing appropriateness of investment options and ensuring the plans operate in compliance with the plan documents, and other applicable rules and guidelines. The trustees are obliged to act as a reasonable and prudent person would act in a similar situation.

## 13. PENSION PLANS

The city of Aurora provides the following plans:

- Defined Benefit Plans:
  - General Employees' Retirement Plan (GERP)
  - Elected Officials' and Executive Personnel Defined Benefit Plan (EOEP)
  - Fire Pension Plan (Old Hire-Fire)
  - Police Pension Plan (Old Hire-Police)
  - Fire Statewide Defined Benefit Pension Plan (Statewide DB)
  - Fire Statewide Hybrid Pension Plan (Statewide Hybrid)
- Defined Contribution Plans:
  - Police Money Purchase Pension Plan (New Hire-Police)
  - Fire Money Purchase Pension Plan
  - Executive Retirement Plan – Money Purchase Pension Plan (ERP)

### A. Defined Benefit Plans

The following provides a summary of the net pension liability, net pension asset, deferred outflows of resources, deferred inflows of resources and pension expense for each of the defined benefit plans as of and for the year ended December 31, 2015 (measured as of December 31, 2014):

| | Net Pension Liability | Net Pension Asset | Deferred Outflows of Resources | Deferred Inflows of Resources | Pension Expense |
|---|---|---|---|---|---|
| **Single Employer Plans** | | | | | |
| GERP | $ 8,990,655 | $ - | $ 6,506,161 | $ - | $ 4,975,630 |
| EOEP | - | 978,113 | 366,408 | 149,964 | 21,758 |
| **Agent Multiple Employer Plans** | | | | | |
| Old Hire-Fire | 22,674,206 | - | 2,585,584 | - | 1,899,343 |
| Old Hire-Police | 26,834,567 | - | 3,092,419 | - | 2,229,274 |
| **Cost Sharing Multiple Employer Plans** | | | | | |
| Statewide DB | - | 5,140,256 | 2,323,673 | 105,888 | 277,497 |
| Statewide Hybrid | - | 3,741,511 | 616,904 | 5,971 | (326,530) |
| | $ 58,499,428 | $ 9,859,880 | $ 15,491,149 | $ 261,823 | $ 9,076,972 |

The net pension liability, net pension asset, deferred outflows of resources, deferred inflows of resources and pension expense are reported in the governmental activities except for the proportion of GERP associated with business-type activities. Based on the proportion of the pension contributions for the year, the net pension liability for business-type activities is $2,330,783, the deferred outflows of resources is $1,686,690 and pension expense is $1,290,181.

The net pension liability or asset is the difference between the total pension liability and the fiduciary net position as of the measurement date. If the fiduciary net position exceeds the total pension liability as of the measurement date, there is a net pension asset.

Deferred outflows of resources and deferred inflows of resources related to pensions are the amounts that are required to be deferred and recognized in subsequent periods. These amounts refer to items that are not yet recognized in the net pension liability/asset or pension expense and include:

- Differences between actual and expected experience
- Changes in pension assumptions
- Differences between projected and actual earnings on pension plan investments
- Changes in pension proportionate share
- Employer contributions made subsequent to the measurement date through the fiscal year end

Deferred outflows of resources and deferred inflows of resources will be recognized as follows:

- Differences in plan experience, changes in assumptions and changes in proportionate share will be amortized over the remaining service lives of current and former employees, and retirees.
- Differences between projected and actual investment earnings will be amortized over a five-year period.
- Contributions made subsequent to the measurement date will be recognized as a reduction (increase) of the net pension liability (asset) in the subsequent year.

## 1. General Employees' Retirement Plan

### General Information about the Pension Plan

*Plan Description.* The city of Aurora General Employees' Retirement Plan (GERP) is a contributory single employer defined benefit pension plan covering all full-time and part-time city employees except police officers, firefighters, elected officials, contingent employees and executives who have elected to participate in the Executive Retirement Plan. The plan is maintained for the exclusive benefit of the employees of the city and their beneficiaries. Employee contributions are required as a condition of employment and are matched equally by the city. GERP has a separate, independent board that administers the plan with three of the seven board members appointed by City Council. Separately issued audited financial statements are available online at www.auroragerp.qwestoffice.net or by contacting GERP at 12100 E. Iliff Avenue, Suite 108, Aurora, Colorado 80014 or telephone (303) 368-9160.

*Plan Membership.* Currently 858 retirees and others are receiving benefits with 1,650 active plan members. There are 248 former employees that are deferred vested and entitled to receive benefits in the future.

*Benefits Provided.* The plan provides retirement benefits, as well as death, disability and supplemental benefits. Chapter 102, Article V of the City Code assigns the authority to establish and amend benefit provisions to City Council.

Normal Retirement - Normal retirement age is 65 for participants in the plan prior to January 1, 2012 and 67 for participants who first joined the plan after December 31, 2011. Normal retirement benefits are the greater of 1.75% of final average monthly compensation, multiplied by years of credited service, including fractional years, or the annuitized value of the contribution refund described above. Final average monthly compensation is the average pay an employee received (excluding overtime and non-regular remuneration) during his/her highest paid 36 consecutive months with the city within the employee's last 10 years of employment. Optional forms of benefit are available in lieu of the single life annuity, in order to provide survivorship benefits.

Participants in the plan prior to January 1, 2012 automatically receive annual cost of living adjustments linked to the Consumer Price Index, and limited to 5% per year. Participants who first joined the plan after December 31, 2011 may be granted cost of living adjustments at the discretion of the Board, at a rate not to exceed the rate of increase given to participants in the plan prior to January 1, 2012.

A supplemental benefit is provided to all retirees who have five or more years of credited service and is prorated for service of less than 20 years. Periodic cost of living adjustments to the supplemental benefit may be approved by the plan's Board of Trustees and are limited to 5% per year.

Early Retirement - If termination occurs before normal retirement age, participants who are age 50 or older with at least ten years of credited service may elect to begin receiving early retirement benefits. Reductions for early retirement will be applied to the normal retirement benefit if the sum of a participant's years of age and credited service is less than 80 (the Rule of 80). The reduction for participants in the plan prior to January 1, 2012 is 2% for each year a participant is short of attaining the sooner of normal retirement age or the Rule of 80, plus an additional 4% for each year the participant is below age 55. For participants who first joined the plan after December 31, 2011 the reduction is 6% for each year a participant is short of attaining the sooner of normal retirement age or the Rule of 80.

Deferred Vested Benefits - Participants with at least five years of credited service who terminate before normal retirement age may leave their contribution accumulation with the plan and opt to receive an early or normal retirement benefit at a later date.

Disability Retirement Benefits - Participants who meet the eligibility requirements for the city's long-term disability insurance program continue to earn credited service during the period of time they collect disability insurance benefits. Once insurance payments have ended, the plan's disability retirement benefit is calculated in the same manner as the normal retirement benefit, using the higher of the average highest paid 36 consecutive months of compensation or the monthly rate of compensation at the time of disability. Early retirement reductions may apply if benefits begin before normal retirement age.

Death Benefits - The beneficiary of a deceased active employee or deferred vested participant may be eligible to receive a contribution refund or a monthly pension benefit, depending on the age and credited service the participant had earned. At retirement, a participant may designate a joint annuitant to receive pension benefits upon his/her death. The plan also pays a one-time lump sum death benefit of $6,250 to the beneficiary designated by the retiree. This payment is separate from, and in addition to, any other benefits received.

*Contributions.* City Code establishes contribution requirements for the employees and the employer. Actuarial studies are considered in establishing funding policies. However, contributions are not actuarially determined. Employee contributions are required as a condition of employment at 6.50% for 2015 and are matched dollar for dollar by the city. The contribution rate will increase by 0.25% each year up to a contribution rate of 7.00% in 2017. Plan administrative costs are financed using contributions and earnings of the plan.

Employee and employer contributions are recognized as revenues when due, pursuant to formal commitments, as well as statutory or contractual requirements. Benefits and refunds are recognized when due and payable in accordance with the terms of the plan. Employer contributions recognized by the plan for the year ended December 31, 2015 were $6,135,777.

**Net Pension Liability**

At December 31, 2015, the city reported a liability of $8,990,655 for the plan. The net pension liability was measured as of December 31, 2014, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of January 1, 2014. The liability was rolled forward from January 1, 2014 to December 31, 2014 using standard actuarial methods.

*Actuarial Assumptions.* The January 1, 2014 actuarial valuation used the following actuarial assumptions and other inputs:

| | |
|---|---|
| Actuarial cost method | Entry age normal |
| Amortization method | Level percent of payroll - open |
| Remaining amortization period | 30 years |
| Asset valuation method | 3-year smoothed market; 20% corridor |
| Actuarial assumptions: | |
| Investment rate of return | 7.75% |
| Payroll growth rate | 3.25% |
| Projected salary increases | 3.25% to 6.00%, including inflation |
| Inflation | 3.25% |
| Retirement age | Experience based table of rates that are specific to the type of eligibility condition. Last updated for the 2014 valuation pursuant to an experience study of the period 2009-2013. |
| Mortality | RP-2000 Combined Healthy Mortality Table |

*Long-Term Expected Return on Plan Assets.* The long-term expected rate of return on pension plan investments was determined using a building-block method in which expected future real rate of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These real rates of return are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. Best estimates of arithmetic real rates of return were adopted by the plan's trustees after considering input from the plan's investment consultant(s) and actuary(s). For each major asset class that is included in the pension plan's target asset allocation as of January 1, 2014, these best estimates are summarized in the following table:

**Asset Allocation**

| Asset Class | Target Allocation | Long-Term Expected Real Rate of Return |
|---|---|---|
| Domestic Fixed Income | 25.00% | 2.23% |
| Domestic Equity | 29.00% | 5.98% |
| International Equity | 16.00% | 5.35% |
| Private Equity | 10.00% | 6.00% |
| Real Estate | 10.00% | 3.87% |
| Alternative Investments | 10.00% | 5.08% |
| Cash | 0.00% | 0.00% |
| **Total** | 100.00% | |

The figures in the above table were supplied by Callan Associates, the investing consulting firm to the plan.

*Discount Rate.* A discount rate of 7.75% was used to measure the total pension liability. This discount rate was based on the expected rate of return on pension plan investments of 7.75%. The projection of cash flows used to determine this discount rate assumed that plan member contributions and city contributions will be made at the current scheduled contribution rates. Based on these assumptions, the plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

*Changes in the Net Pension Liability.*

| | Increase (Decrease) | | |
|---|---|---|---|
| | **Total Pension Liability (a)** | **Plan Fiduciary Net Position (b)** | **Net Pension Liability (a)-(b)** |
| **Balances at 1/1/2015** | $ 395,063,666 | $ 385,882,442 | $ 9,181,224 |
| **Changes for the year:** | | | |
| Service Cost | 9,208,869 | | 9,208,869 |
| Interest | 30,291,215 | | 30,291,215 |
| Employer Contributions | | 5,536,583 | (5,536,583) |
| Employee Contributions | | 5,531,417 | (5,531,417) |
| Net Investment Income | | 29,167,614 | (29,167,614) |
| Benefit Payments | (16,059,746) | (16,059,746) | - |
| Refunds | (1,567,690) | (1,567,690) | - |
| Administrative Expense | | (544,961) | 544,961 |
| **Net Changes** | 21,872,648 | 22,063,217 | (190,569) |
| **Balances at 12/31/2015** | $ 416,936,314 | $ 407,945,659 | $ 8,990,655 |

*Sensitivity of the Net Pension Liability to Changes in the Discount Rate.* The following presents the city's net pension liability (asset), calculated using a discount rate of 7.75%, as well as what the city's net pension liability (asset) would be if it were calculated using a discount rate that is one percent lower or one percent higher:

**Sensitivity of Net Pension Liability (Asset) to the Discount Rate Assumption**

| | 1% Decrease (6.75%) | Current Discount Rate (7.75%) | 1% Increase (8.75%) |
|---|---|---|---|
| City's net pension liability (asset) | $ 59,893,371 | $ 8,990,655 | $(30,457,708) |

*Pension Plan Fiduciary Net Position.* Detailed information about the plan's net fiduciary net position is available in GERP's comprehensive annual financial report available online at www.auroragerp.qwestoffice.net or by contacting GERP at 12100 E. Iliff Avenue, Suite 108, Aurora, Colorado 80014 or telephone (303) 368-9160.

*Pension Expense and Deferred Outflows of Resources Related to Pensions.* For the year ended December 31, 2015, the city recognized pension expense of $4,975,630. At December 31, 2015, the city reported deferred outflows of resources related to pensions from the following sources:

| | Deferred Outflows of Resources |
|---|---|
| Net difference between projected and actual earnings on pension plan investments | $ 370,384 |
| City contributions subsequent to the measurement date | 6,135,777 |
| Total | $ 6,506,161 |

$6,135,777 reported as deferred outflows of resources related to pensions resulting from city contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended December 31, 2016. Other amounts reported as deferred outflows of resources related to pensions will be recognized in pension expense as follows:

| Year Ending December 31 | Net Deferred Outflows (Inflows) of Resources |
|---|---|
| 2016 | $ 92,596 |
| 2017 | 92,596 |
| 2018 | 92,596 |
| 2019 | 92,596 |
| **Total** | $ 370,384 |

## 2. Elected Officials' and Executive Personnel Defined Benefit Plan (EOEP)

### Plan Description

*Plan Description.* The city has a non-contributory single employer defined benefit pension plan that became effective January 1, 2001. Chapter 102, Article VIII of the City Code, which establishes the plan, does not include a provision for a board of directors, but, instead, names the city's Director of Finance as trustee and plan administrator. The plan provides base and supplemental retirement benefits to members of the City Council and a standard retirement benefit to executive personnel who are also members of the Executive Retirement Plan (ERP). The authority to establish and amend benefit provisions is assigned to City Council. The city has entered into a service agreement with the city of Aurora General Employees' Retirement Plan (GERP) to provide administrative services for the plan. No stand-alone financial report is issued for EOEP.

*Plan Membership.* The mayor of the city and all elected city council members are covered under this plan as elected officials. Individuals performing services as executive employees for the city on or after January 1, 2000, are eligible to participate in this plan as executive personnel if they participate in the city's Executive Retirement Plan. Current membership in the plan is as follows:

| | |
|---|---|
| Retirees and beneficiaries | 39 |
| Inactive, nonretired members | 7 |
| Active members | 38 |
| | 84 |

*Benefits Provided.* EOEP provides basic retirement, supplemental retirement and death benefits. Elected official plan members and executive employee plan members are eligible for retirement based on the following period of service:

| Service Type | Period of Service | Normal Retirement Age |
|---|---|---|
| **Elected Official** | Covered employment ended on or before December 31, 2000 | Later of age 60 or completion of 6 years of service |
| | Covered employment ended on or after January 1, 2001 | If first elected prior to November 5, 2013, then the later of age 56 or completion of 6 years of service |
| | | If first elected on or after November 5, 2013, then the later of age 62 or the completion of 6 years of service |
| **Executive** | Covered employment ended between January 1, 2000 and December 31, 2000 | Later of age 55 or completion of 3 years of service |
| | Covered employment ended on or after January 1, 2001 | If first entered covered employment on or before November 5, 2013, then the later of age 50 or completion of 3 years of service |
| | | If first entered covered employment after November 5, 2013, then the later of age 62 or completion of 3 years of service |

There are no basic retirement benefits for executive employees; they are eligible for benefits from the Executive Retirement Plan. The basic retirement benefits for elected officials per year of service is adjusted annually for increases in the CPI, not to exceed 5% per year. For members in covered employment on or after November 11, 1999, the monthly basic benefit payable for 2015 is $76.50 per year of service. The basic benefit for members who terminated employment before November 11, 1999 is based on a reduced schedule. For officials who begin a new term on or after November 5, 2013, total years of service is limited to the greater of 12 years or total service earned before November 5, 2013, except an additional 8 years may be earned for service as mayor.

Supplemental retirement benefits for elected officials and standard benefits for executive employees are adjusted annually by the same cost-of-living adjustment determined by the Board of Trustees of GERP applicable to the supplemental benefit provided under that plan, not to exceed 5% per year. The monthly supplemental benefit payable for 2015 is $244.44. Only elected officials who were in covered employment on or after November 11, 1999 are eligible to receive the supplemental benefit. The maximum standard benefit for executive employees is $244.44, which is prorated for service less than 6 years.

Death benefits are 100% of the participant's normal, late or deferred retirement benefits for a participant with service on or after January 1, 2000. For participants who terminated prior to January 1, 2000, the death benefit is 50% of the participant's normal, late or deferred retirement benefits.

*Contributions.* There are no contributions from participants of the plan. The contribution requirements of the city are established and may be amended by City Council. The city is required to contribute at an actuarially determined amount. Administrative costs are financed using contributions and earnings of the plan. Employer contributions are recognized as revenues when due, pursuant to formal commitments and/or statutory or contractual requirements. For the year ended December 31, 2015, the city's average contribution rate was 2.77% of annual covered payroll. Employer contributions recognized by the plan for the year ended December 31, 2015 were $117,756.

Governmental Accounting Standards Board Statement No. 67 *Financial Reporting for Pension Plans - an amendment of GASB Statement No. 25* (GASB 67) establishes the requirements for governmental pension plan financial statement reporting, including pension plan financial statements included as a pension trust fund of a government. Accordingly, GASB 67 applies to the city's reporting of EOEP's statement of fiduciary net position, statement of changes in fiduciary net position, certain notes to the financial statements and certain required supplementary information (RSI). GASB 68, adopted in the current year (Note 20), sets forth the pension reporting requirements for the city in the statement of net position, statement of activities, certain notes to the financial statements and certain RSI. As no stand-alone financial report is issued for EOEP, all required disclosures for both GASB 67 and GASB 68 are contained in this note.

Because different measurement dates are used for GASB 67 and GASB 68, GASB 68 disclosures will correspond to the city's basic financial statements, except for the fiduciary funds statements reported under GASB 67.

## GASB 67 Disclosures

*EOEP Financial Statements.*

**EOEP**
**Statement of Fiduciary Net Position**
**December 31, 2015**

| | | |
|---|---|---|
| **ASSETS** | | |
| *Current assets* | | |
| Investments | | |
| Cash and cash equivalents | $ | 78,968 |
| Equity securities and funds | | 3,158,735 |
| Corporate bond funds | | 1,698,384 |
| Real estate funds | | 794,288 |
| Alternative investments | | 250,047 |
| Interest receivable | | 14,479 |
| Prepaid expenses | | 5,900 |
| Total assets | | 6,000,801 |
| **LIABILITIES** | | |
| *Current liabilities* | | |
| Accounts payable | | 450 |
| Total liabilities | | 450 |
| **NET POSITION RESTRICTED FOR PENSIONS** | **$** | **6,000,351** |

**EOEP**
**Statement of Changes in Fiduciary Net Position**
**For the Year Ended December 31, 2015**

| | | |
|---|---|---|
| **ADDITIONS** | | |
| *Contributions* | | |
| City | $ | 117,756 |
| Total contributions | | 117,756 |
| *Investment activity* | | |
| Investment earnings | | (47,150) |
| Investment expense | | (7,144) |
| Net investment earnings | | (54,294) |
| Other income | | 3,368 |
| Total additions | | 66,830 |
| **DEDUCTIONS** | | |
| Benefits | | 206,268 |
| Administrative expenses | | 23,691 |
| Total deductions | | 229,959 |
| NET INCREASE IN NET POSITION | | (163,129) |
| **NET POSITION RESTRICTED FOR PENSIONS - January 1** | | 6,163,480 |
| **NET POSITION RESTRICTED FOR PENSIONS - December 31** | **$** | **6,000,351** |

**Investments**

*Investment Policy.* At December 31, 2015, the plan's securities are in the custody of and controlled by Northern Trust Corporation, the master custodian. The plan contracts with investment managers to manage all of the plan's investments. Assets are diversified and are intended to match, as closely as possible, the investment style, allocation and performance of GERP. Based on GERP's long-term performance, its relatively conservative investment practices, and the cost effective nature of this practice, the EOEP trustee, the city's Director of Finance, has determined that it is appropriate for EOEP to mirror GERP's investment strategy and that GERP's investment managers should be utilized to the extent practical.

Plan investments are reported at fair value. Short-term investments are carried at cost, which approximates fair value. Securities and funds traded on a national or international exchange are valued at the last reported sales price at current exchange rates. Real estate funds, not actively traded on a national or international exchange, are valued based upon periodic appraisals of the real estate underlying the investment units held by the plan. Alternative investments represent investments in funds composed of master limited partnerships which invest in securities traded in public markets and, therefore, have readily determined market values.

The plan includes, in the statement of changes in fiduciary net position, the net appreciation (depreciation) in the fair value of its investments, which consists of the realized gains and losses and the unrealized appreciation and depreciation on those investments. Purchases and sales are recorded on the trade date. Interest income is recorded on the accrual basis and dividends are recorded on the ex-dividend date.

*Long-Term Expected Return on Plan Assets.* The long-term expected rate of return on plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. Best estimates of arithmetic real rates of return were adopted by the plan's trustee after considering input from the plan's actuary. The estimates for each major asset class that is included in the plan's target asset allocation as of January 1, 2015 were as follows:

| Asset Class | Target Allocation | Long-Term Expected Real Rate of Return |
|---|---|---|
| U.S. equity - large cap | 28% | 5.93% |
| U.S. equity - small/mid cap | 7% | 6.63% |
| International equity | 18% | 5.35% |
| Fixed income | 29% | 2.18% |
| Private real estate | 9% | 3.43% |
| Global real estate investment trust | 3% | 5.65% |
| Master limited partnerships | 6% | 5.65% |
| Total | 100% | |

*Investment Concentrations.* Investment concentrations, as defined by the Governmental Accounting Standards Board, is any investment in any one organization (other than those issued or explicitly guaranteed by the U.S. government) that represents 5% or more of EOEP's fiduciary net position. EOEP held the following investments at December 31, 2015, that meet this criteria:

| Investment | Value | % of Investments |
|---|---|---|
| iShares Core S&P 500 ETF | $ 1,703,494 | 28.5% |
| Westcore Plus Bond Fund | 904,004 | 15.1% |
| PIMCO Total Return Fund | 794,380 | 13.3% |
| BlackRock Granite Property Fund | 609,148 | 10.2% |
| Dodge & Cox International Stock Fund | 514,179 | 8.6% |
| iShares Core S&P Small-Cap ETF | 408,508 | 6.8% |
| American Funds EuroPacific Growth | 299,842 | 5.0% |

*Investment Rate of Return.* For the year ended, December 31, 2015, the annual money-weighted rate of return on pension plan investments, net of pension plan investment expense, was (.88)%. The money-weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts actually invested.

**Net Pension Asset**

The components of the net pension asset of the city at December 31, 2015, were as follows:

| | | |
|---|---|---|
| Total pension liability | $ | 5,499,953 |
| EOEP fiduciary net position | | (6,000,351) |
| City's net pension liability (asset) | $ | (500,398) |
| | | |
| EOEP fiduciary net position as a percentage of the total pension liability | | 109.10% |

*Actuarial Assumptions.* The total pension liability was determined by an actuarial valuation as of January 1, 2015, rolled forward to December 31, 2015, using standard actuarial methods. The actuarial assumptions and other inputs used were:

| | |
|---|---|
| Actuarial cost method | Entry age normal |
| Amortization method | Level dollar - open |
| Remaining amortization period | 15 years |
| Asset valuation method | 3-year smoothing |
| Actuarial assumptions: | |
| Investment rate of return | 7.50% |
| Expenses (as a percent of actuarial value of assets) | 0.75% |
| Cost-of-living adjustments | 3.25% on Basic<br>0% on Supplemental |
| Mortality | RP-2000 Healthy Mortality Table |

Actuarial assumptions and methods are set by the Board of Trustees, based upon recommendations made by EOEP's actuary. The assumptions and methods generally follow those used by the city of Aurora General Employee's Retirement Plan (GERP). These assumptions are internally consistent and reasonably based on the actual and expected experience of the plan.

*Discount Rate.* The discount rate used to measure the total pension liability as of December 31, 2015, was 7.50%. Based on the projection of cash flows, EOEP's fiduciary net position and future contributions were projected to be available to finance all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on EOEP investments was applied to all periods of projected benefit payments to determine the total pension liability.

*Sensitivity of the Net Pension Asset to Changes in the Discount Rate.* The following presents the sensitivity of the net pension asset to changes in the discount rate. The table presents the city's net pension liability (asset) if it were calculated using a discount rate that is 1-percentage point lower (6.50%) or 1-percentage point higher (8.50%) than the current rate:

**Sensitivity of Net Pension Liability (Asset) to the Discount Rate Assumption**

| | 1% Decrease (6.50%) | Current Discount Rate (7.50%) | 1% Increase (8.50%) |
|---|---|---|---|
| City's net pension liability (asset) | $ 110,309 | $ (500,398) | $ (1,104,440) |

**GASB 68 Disclosures**

*Long-Term Expected Return on Plan Assets.* The long-term expected rate of return on plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. Best estimates of arithmetic real rates of return were adopted by the plan's trustee after considering input from the plan's actuary. The estimates for each major asset class that is included in the plan's target asset allocation as of January 1, 2014 were as follows:

| Asset Class | Target Allocation | Long-Term Expected Real Rate of Return |
|---|---|---|
| U.S. equity - large cap | 28% | 5.93% |
| U.S. equity - small/mid cap | 7% | 6.63% |
| International equity | 18% | 5.35% |
| Fixed income | 29% | 2.18% |
| Private real estate | 9% | 3.43% |
| Global real estate investment trust | 3% | 5.65% |
| Master limited partnerships | 6% | 5.65% |
| Total | 100% | |

**Net Pension Asset**

At December 31, 2015, the city reported an asset of $978,113 for the plan. The net pension asset was measured as of December 31, 2014, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of January 1, 2015, which was unchanged from December 31, 2014.

*Actuarial Assumptions.* The January 1, 2015 actuarial valuation used the following assumptions and other inputs:

| | |
|---|---|
| Actuarial cost method | Entry age normal |
| Amortization method | Level dollar - open |
| Remaining amortization period | 15 years |
| Asset valuation method | 3-year smoothing |
| Actuarial assumptions: | |
| Investment rate of return | 7.50% |
| Expenses (as a percent of actuarial value of assets) | 0.75% |
| Cost-of-living adjustments | 3.25% on Basic<br>0% on Supplemental |
| Mortality | RP-2000 Healthy Mortality Table |

*Changes in Assumptions*. As of the 2015 actuarial valuation, the investment rate of return decreased from 7.75% to 7.50% and the basic cost-of-living adjustment decreased from 3.50% to 3.25%.

*Changes in Benefit Terms.* The age requirement for normal retirement eligibility was increased to age 62 for members who entered the plan after November 5, 2013 and the service credit used in the calculation of the normal retirement benefit for elected officials was also limited. The effect of this benefit change was first seen in the January 1, 2015 actuarial valuation.

*Discount Rate.* The discount rate used to measure the total pension liability as of December 31, 2014, was 7.50%. Based on the projection of cash flows, EOEP's fiduciary net position and future contributions were projected to be available to finance all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on EOEP investments was applied to all periods of projected benefit payments to determine the total pension liability.

*Changes in the Net Pension Asset.*

| | Increase (Decrease) | | |
|---|---|---|---|
| | **Total Pension Liability (a)** | **Plan Fiduciary Net Position (b)** | **Net Pension Assset (a)-(b)** |
| **Balances at 1/1/2015** | $ 4,868,161 | $ 5,848,964 | $ (980,803) |
| **Changes for the year:** | | | |
| Service Cost | 133,761 | | 133,761 |
| Interest | 380,105 | | 380,105 |
| Benefit Changes | (123,776) | | (123,776) |
| Difference between Expected and Actual Experience | (263,711) | | (263,711) |
| Assumption Changes | 389,217 | | 389,217 |
| Employer Contributions | | 117,756 | (117,756) |
| Net Investment Income | | 415,245 | (415,245) |
| Benefit Payments | (198,390) | (198,390) | - |
| Administrative Expense | | (20,095) | 20,095 |
| **Net Changes** | 317,206 | 314,516 | 2,690 |
| **Balances at 12/31/2015** | $ 5,185,367 | $ 6,163,480 | $ (978,113) |

*Sensitivity of the Net Pension Asset to Changes in the Discount Rate.* The following presents the sensitivity of the city's net pension asset to changes in the discount rate. The table presents the city's net pension asset if it were calculated using a discount rate that is 1-percentage point lower (6.50%) or 1-percentage point higher (8.50%) than the current rate:

**Sensitivity of Net Pension Liability (Asset) to the Discount Rate Assumption**

| | **1% Decrease (6.50%)** | **Current Discount Rate (7.50%)** | **1% Increase (8.50%)** |
|---|---|---|---|
| City's net pension asset | $ (381,697) | $ (978,113) | $ (1,479,148) |

*Pension Expense and Deferred Outflows of Resources and Deferred Inflows of Resources.* For the year ended December 31, 2015, the city recognized pension expense of $21,758. At December 31, 2015, the city reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

| | **Deferred Outflows of Resources** | **Deferred Inflows of Resources** |
|---|---|---|
| Differences between expected and actual experience | $ - | $ 149,964 |
| Assumption changes | 221,335 | - |
| Net difference between projected and actual earnings on pension plan investments | 27,317 | - |
| City contributions subsequent to the measurement date | 117,756 | - |
| Total | $ 366,408 | $ 149,964 |

$117,756 reported as deferred outflows of resources related to pensions resulting from city contributions subsequent to the measurement date will be recognized as an addition to the net pension asset in the year ended December 31, 2016. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

| Year Ending December 31 | Net Deferred Outflows (Inflows) of Resources |
|---|---|
| 2016 | $ 60,964 |
| 2017 | 24,065 |
| 2018 | 6,829 |
| 2019 | 6,830 |
| **Total** | $ 98,688 |

## 3. Fire and Police Pension Plans – Old Hire

### Old Hire Plan Description – Fire and Police

*Plan Description.* The Old Hire Plans are closed, non-contributory agent multiple-employer defined benefit plans covering all full-time police officers or fire fighters hired before April 8, 1978 and provide normal, delayed, vested or deferred retirement benefits to plan participants. The Old Hire Plans are a part of the statewide multiple agent employer public employee retirement system and are administered by the Fire and Police Pension Association of Colorado (FPPA). The FPPA follows the Colorado Revised Statutes for plan contribution requirements and benefits. Both plans are included in the FPPA's annual separately issued audited financial statements. This report is available online at www.fppaco.org by contacting the Fire and Police Pension Association, 5290 DTC Parkway, Suite 100, Greenwood Village, Colorado 80111-2721 or telephone (303) 770-3772.

### Old Hire Fire

*Benefits Provided.* The plan provides normal, delayed, vested, disability and severance retirements including death benefits.

Normal Retirement – For those firefighters who were initially hired by the city prior to January 1, 1976, the normal retirement requirement is 20 years of credited service and attainment of age 50. For those firefighters hired subsequent to January 1, 1976, the requirement is 25 years of credited service and attainment of age 50. Each firefighter shall be eligible to receive a service retirement monthly pension equal to one-half of the current (rank escalation) highest monthly base salary paid for the rank held by such former member at the time of termination of employment with the department thereafter, so long as the member is in retirement, plus one-half of the annual longevity pay and longevity credit earned by the member prior to January 1, 2005. Such monthly pension shall be paid regardless of income or earnings which the retirant receives from any other source. Separate provisions for normal retirement survivor benefits for spouses and children are included in the plan documents.

Delayed Retirement – Generally, any member who has met the eligibility requirement as defined in the plan documents will be eligible for a delayed retirement benefit for each full year of additional active service up to ten years of additional service. This benefit shall be an additional two percent of the current (rank escalation) highest monthly base salary paid for the rank held by such former member at the time of termination of employment with the department for each additional full year of active service plus the annual longevity pay and longevity credit earned by the member prior to January 1, 2005. For each additional full year of active service, the rank escalator benefit and longevity pay and longevity credit shall be increased by two percent. The delayed retirement benefit shall be available to members retiring on or after January 1, 1986. In no case shall the accumulation of additional active service through the delayed retirement benefit program result in a service retirement monthly pension in excess of 70 percent of the current (rank escalation) highest monthly base salary, plus longevity pay and longevity credit, paid for the rank held by such former member at the time of termination of employment with the department. For retirements occurring after May 1, 1991, the additional percent shall be four percent up to six years of additional service for a maximum of 74 percent of the current (rank escalation) highest monthly base salary, plus longevity pay and longevity credit, paid for the rank held by such former member at the time of termination of employment with the department. This modification effective on May 1, 1991, shall not be applicable to anyone who has retired prior to such date. Commencing with retirements occurring on or after January 1, 1993, the

delayed retirement benefit shall be calculated on a pro rata basis using full months of additional service. Separate provisions for delayed retirement survivor benefits for spouses and children are included in the plan documents.

Vested Retirement – Any plan member who shall leave the service of the city prior to becoming eligible to receive a pension for any reason, the member having accumulated less than five years of credited service at the time of termination, shall be entitled to receive a refund of the member's total contribution to the fund, without interest, theretofore made to the fund. If the member has accumulated five or more years of credited service at the time of termination, the member may elect to receive deferred monthly pension benefits, payable at such time as the member would have been eligible to receive pension benefits for longevity of service and age (normal retirement), if employment had not been terminated. Members electing to receive vested monthly pension benefits must make a written application to the board within 60 days after termination. Absent such application, it shall be presumed that the terminated member has elected to have his or her contribution refunded. Receipt of funds pursuant to this provision shall be conditioned upon the signing of a statement to be filed with the city evidencing such an election and acknowledging that the member has no further rights to any other benefits provided for by either the city or the retirement fund. Such vested pension benefit shall be a sum of money equal to the number of years of credited service or fractional portion thereof, multiplied by two percent and the product thereof multiplied by the current (rank escalation) highest monthly base salary paid for that rank or grade held by such former member at the time of termination of employment plus the proportional annual longevity pay and longevity credit earned by the member prior to January 1, 2005; provided, however, that such vested pension benefit sum shall in no event exceed 40 percent of the current (rank escalation) highest monthly base salary, plus longevity pay and longevity credit, paid for the rank held by such former member at the time of termination of employment with the department. Separate provisions for vested retirement survivor benefits for spouses and children, as well as vested interest death benefits, are included in the plan documents.

Severance Benefit - Effective September 30, 1989, any member who shall leave the service of the city through other than a disability, after meeting the 20-year service requirement, regardless of age, shall be entitled to receive a monthly benefit equal to 49 percent of the current (rank escalation) highest monthly base salary paid for the rank held by such former member at the time of termination of employment with the department plus 49 percent of the annual longevity pay and longevity credit earned by the member prior to January 1,2005. This benefit is to commence upon leaving active duty and is in lieu of any other retirement benefits as described in this article. Such monthly pension shall be paid regardless of income or earnings which the retirant receives from any other source. Separate provisions for survivor benefits for spouses and children are included in the plan documents.

*Plan Membership.* Current membership in the plan is as follows:

| | |
|---|---|
| Retirees and beneficiaries | 138 |
| Inactive, nonretired members | 0 |
| Active members | 0 |
| | 138 |

*Contributions.* The city is required to contribute at an actuarially determined rate. Modification of the Old Hire Plans is regulated by state law and by FPPA Rules and Regulations as authorized by state law. Changes to contribution requirements require an affirmative vote of 65% of active members and City Council ordinance. Employer contributions recognized by the plan for the year ended December 31, 2015 were $2,178,948.

**Net Pension Liability**

At December 31, 2015, the city reported a liability of $22,674,206 for the plan. The net pension liability was measured as of December 31, 2014, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of January 1, 2014. The liability was rolled forward from January 1, 2014 to December 31, 2014 using standard actuarial methods.

*Actuarial Assumptions.* The January 1, 2014 actuarial valuation used the following actuarial assumptions and other inputs:

| | |
|---|---|
| Actuarial cost method | Entry age normal |
| Amortization method | Level dollar - open |
| Remaining amortization period | 20 years |
| Asset valuation method | 5-year smoothed market |
| Actuarial assumptions: | |
| Investment rate of return | 7.50% |
| Inflation | 3.00% |
| Salary increases | N/A |
| Retirement age | Any remaining actives are assumed to retire immediately |
| Mortality | Post-retirement: RP-2000 Combined Mortality Table, with Blue Collar Adjustment<br>Disabled: RP-2000 Disabled Mortality Table<br>All tables projected with Scale AA |

*Changes in Benefit Terms.* The benefits were changed effective January 1, 2014, to include a funeral benefit of $1,000. The previous benefit was $200.

*Long-Term Expected Return on Plan Assets.* The long-term expected rate of return on pension plan investments was determined using a building-block method in which expected future real rate of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These real rates of return are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. Best estimates of arithmetic real rates of return for each major asset class included in the plan's target asset allocation as of December 31, 2014, are summarized in the following table:

**Asset Allocation**

| Asset Class | Target Allocation | Long-Term Expected Real Rate of Return |
|---|---|---|
| Global Equity | 40.00% | 8.90% |
| Equity Long/Short | 10.00% | 7.50% |
| Illiquid Alternatives | 18.00% | 10.50% |
| Fixed Income | 15.00% | 4.60% |
| Absolute Return | 12.00% | 6.50% |
| Managed Futures | 4.00% | 5.50% |
| Cash | 1.00% | 2.50% |
| **Total** | 100.00% | |

*Discount Rate.* A discount rate of 7.50% was used to measure the total pension liability. This discount rate was based on the expected rate of return on pension plan investments of 7.50%. The projection of cash flows used to determine this discount rate assumed that all actuarially determined contributions will be made and that the plan's fiduciary net position was projected to be available to make all projected future benefit payments. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

*Changes in the Net Pension Liability.*

| | Increase (Decrease) | | |
|---|---|---|---|
| | **Total Pension Liability (a)** | **Plan Fiduciary Net Position (b)** | **Net Pension Liability (a)-(b)** |
| **Balances at 1/1/2015** | $ 102,032,674 | $ 79,700,815 | $ 22,331,859 |
| **Changes for the year:** | | | |
| Interest | 7,359,766 | | 7,359,766 |
| Benefit Changes | 38,309 | | 38,309 |
| Employer Contributions | | 1,963,632 | (1,963,632) |
| Net Investment Income | | 5,243,318 | (5,243,318) |
| Benefit Payments | (7,948,618) | (7,948,618) | - |
| Administrative Expense | | (151,222) | 151,222 |
| **Net Changes** | (550,543) | (892,890) | 342,347 |
| **Balances at 12/31/2015** | $ 101,482,131 | $ 78,807,925 | $ 22,674,206 |

*Sensitivity of the Net Pension Liability to Changes in the Discount Rate.* The following presents the city's net pension liability, calculated using a discount rate of 7.50%, as well as what the city's net pension liability would be if it were calculated using a discount rate that is one percent lower or one percent higher:

**Sensitivity of Net Pension Liability to the Discount Rate Assumption**

| | 1% Decrease (6.50%) | Current Discount Rate (7.50%) | 1% Increase (8.50%) |
|---|---|---|---|
| City's net pension liability | $ 32,424,719 | $ 22,674,206 | $ 14,313,959 |

*Pension Plan Fiduciary Net Position.* Detailed information about the plan's net fiduciary net position is available in FPPA's comprehensive annual financial report available online at www.fppaco.org or by contacting the Fire and Police Pension Association, 5290 DTC Parkway, Suite 100, Greenwood Village, Colorado 80111-2721 or telephone (303) 770-3772.

*Pension Expense and Deferred Outflows of Resources Related to Pensions.* For the year ended December 31, 2015, the city recognized pension expense of $1,899,343. At December 31, 2015, the city reported deferred outflows of resources related to pensions from the following sources:

| | Deferred Outflows of Resources |
|---|---|
| Net difference between projected and actual earnings on pension plan investments | $ 406,636 |
| City contributions subsequent to the measurement date | 2,178,948 |
| Total | $ 2,585,584 |

$2,178,948 reported as deferred outflows of resources related to pensions resulting from city contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year

ended December 31, 2016. Other amounts reported as deferred outflows of resources related to pensions will be recognized in pension expense as follows:

| Year Ending December 31 | Net Deferred Outflows (Inflows) of Resources |
|---|---|
| 2016 | $ 101,659 |
| 2017 | 101,659 |
| 2018 | 101,659 |
| 2019 | 101,659 |
| **Total** | $ 406,636 |

**Old Hire Police**

*Benefits Provided.* The plan provides normal, delayed, vested, disability and severance retirements including death benefits.

Normal Retirement – Any member of the police department other than a new hire police officer, as defined in section 101.27 of the FPPA rules and regulations, who has met the eligibility requirement for normal retirement, e.g., 20 years of credited service regardless of age, shall be eligible to receive a service retirement monthly pension equal to 40 percent of the current (rank escalation) highest salary paid for that rank or grade held at the time of retirement. Members retiring for the first time after May 1, 1991, shall receive 45 percent instead.

Delayed Retirement –

Members retiring prior to *May 1, 1991*. In addition to normal retirement benefits, any member who elects to remain on active service past 20 years shall receive two percent for each year of service calculated fractionally in accordance with section 102-246 to a maximum of 30 years and 60 percent of the highest current salary paid for that rank or grade held at the time of retirement. Thereafter and so long as the member is in retirement there shall be added to the amount of pension, as stated above, a rank escalator. This rank escalator shall consist of multiplying the percentage, which may include additional increases of two percent up to 60 percent, by any increase in the highest current salary earned for the retiree's grade or rank and by one-half of any longevity pay granted or paid to the rank or grade last occupied by the retirant immediately prior to retirement.

Members retiring after *May 1, 1991*. For members who receive delayed retirement benefits for the first time after *May 1, 1991*, the following apply: Any member who reaches 20 years of service prior to *January 1, 1990*, shall receive two percent per year from the member's 20th year of service until *January 1, 1990*; subsequent to *January 1, 1990*, members shall receive four percent per year to a maximum of 74 percent, regardless of years of service. Any member who reaches 20 years of service after *January 1, 1990*, shall receive four percent per year for each year over 20 years to a maximum of 74 percent, regardless of years of service. These percentages shall be subject to the same qualifying language regarding fractional and rank escalation calculation methodology.

Vested Retirement – If the member has accumulated five or more years of credited service with the city at the time of termination, the member may elect to receive deferred monthly pension benefits, payable at such time as he or she would have been eligible to receive pension benefits for longevity of service (normal retirement) had employment not been terminated. Such vested pension benefit shall be a sum of money equal to the total number of years of credited service or fractional portion thereof, multiplied by two percent and the product thereof multiplied by the monthly salary paid for that rank or grade held by such former member at the time of his or her termination of employment, plus one-half the applicable longevity credit. Anyone who receives a vested benefit for the first time after May 1, 1991, other than those receiving a disability from FPPA as of May 1, 1991, shall receive a multiplier of 2.25 instead of two. The rank escalator benefit is applicable to vested pension benefits for members who started receiving the vested

Death Benefits –

*Death and survivor benefits for active members.* The extent and amount of death and survivor benefits are dependent upon the work status of the member. If the member dies during active or temporary disability status before eligibility for normal or delayed pension benefits, the death and survivor benefits are to be determined by the retirement association in accordance with state law. If an active member is eligible for a normal pension benefit and the member dies, the pension benefit for the survivor shall be determined in accordance with the

provisions of this article which govern benefits payable to the survivor of retirees receiving normal or delayed pension benefits. If a member is retired from active service, the death and survivor benefits are determined by the plan.

*Death of a member who retired prior to May 1, 1991.* When any retirant or member eligible to retire shall die and leave an alternate payee, spouse, dependent mother or father, or child or children under the age of 18 years surviving, such beneficiaries shall receive monthly payments as authorized by the board, of an amount equal to one-fourth of the current (rank escalation) highest monthly salary paid that rank or grade plus longevity which such deceased retirant or deceased member held, multiplied by a fraction with the numerator being the total years of active service, up to a maximum of 30, and the denominator being 20 regardless of whether retirant worked more than 20 years; however, in no case shall the numerator be less than 20.

*Death of member who retired after May 1, 1991.* When any retirant or member eligible to retire shall die and leave an alternate payee, spouse, dependent mother or father, or child or children under the age of 18 years, or child or children under the age of 24 years, if a full-time student as defined by the IRS code, surviving, such beneficiaries shall receive a monthly payment, as authorized by the board, of an amount equal to 75 percent or 100 percent if the surviving spouse has a child under 18 years, or under 24 years, if a full-time student as defined by the IRS code of the benefit, which includes rank escalation, paid the deceased.

*Plan Membership.* Current membership in the plan is as follows:

| | |
|---|---|
| Retirees and beneficiaries | 148 |
| Inactive, nonretired members | 0 |
| Active members | 1 |
| | 149 |

*Contributions.* The city is required to contribute at an actuarially determined rate. Modification of the Old Hire Plans is regulated by state law and by FPPA Rules and Regulations as authorized by state law. Changes to contribution requirements require an affirmative vote of 65% of active members and City Council ordinance. Employer contributions recognized by the plan for the year ended December 31, 2015 were $2,612,565.

**Net Pension Liability**

At December 31, 2015, the city reported a liability of $26,834,567 for the plan. The net pension liability was measured as of December 31, 2014, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of January 1, 2014. The liability was rolled forward from January 1, 2014 to December 31, 2014 using standard actuarial methods.

*Actuarial Assumptions.* The January 1, 2014 actuarial valuation used the following actuarial assumptions and other inputs:

| | |
|---|---|
| Actuarial cost method | Entry age normal |
| Amortization method | Level dollar - open |
| Remaining amortization period | 20 years |
| Asset valuation method | 5-year smoothed market |
| Actuarial assumptions: | |
| Investment rate of return | 7.50% |
| Inflation | 3.00% |
| Salary increases | N/A |
| Retirement age | Any remaining actives are assumed to retire immediately |
| Mortality | Post-retirement: RP-2000 Combined Mortality Table, with Blue Collar Adjustment<br>Disabled: RP-2000 Disabled Mortality Table<br>All tables projected with Scale AA |

*Long-Term Expected Return on Plan Assets.* The long-term expected rate of return on pension plan investments was determined using a building-block method in which expected future real rate of return (expected returns, net

of pension plan investment expense and inflation) are developed for each major asset class. These real rates of return are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. Best estimates of arithmetic real rates of return for each major asset class included in the plan's target asset allocation as of December 31, 2014, are summarized in the following table:

**Asset Allocation**

| Asset Class | Target Allocation | Long-Term Expected Real Rate of Return |
|---|---|---|
| Global Equity | 40.00% | 8.90% |
| Equity Long/Short | 10.00% | 7.50% |
| Illiquid Alternatives | 18.00% | 10.50% |
| Fixed Income | 15.00% | 4.60% |
| Absolute Return | 12.00% | 6.50% |
| Managed Futures | 4.00% | 5.50% |
| Cash | 1.00% | 2.50% |
| **Total** | 100.00% | |

*Discount Rate.* A discount rate of 7.50% was used to measure the total pension liability. This discount rate was based on the expected rate of return on pension plan investments of 7.50%. The projection of cash flows used to determine this discount rate assumed that all actuarial contributions will be made and that the plan's fiduciary net position was projected to be available to make all projected future benefit payments. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

*Changes in the Net Pension Liability.*

| | Increase (Decrease) | | |
|---|---|---|---|
| | **Total Pension Liability (a)** | **Plan Fiduciary Net Position (b)** | **Net Pension Liability (a)-(b)** |
| **Balances at 1/1/2015** | $ 120,359,988 | $ 92,866,994 | $ 27,492,994 |
| **Changes for the year:** | | | |
| Interest | 8,713,959 | | 8,713,959 |
| Employer Contributions | | 3,367,555 | (3,367,555) |
| Net Investment Income | | 6,170,082 | (6,170,082) |
| Benefit Payments | (8,501,414) | (8,501,414) | - |
| Administrative Expense | | (165,251) | 165,251 |
| **Net Changes** | 212,545 | 870,972 | (658,427) |
| **Balances at 12/31/2015** | $ 120,572,533 | $ 93,737,966 | $ 26,834,567 |

*Sensitivity of the Net Pension Liability to Changes in the Discount Rate.* The following presents the city's net pension liability, calculated using a discount rate of 7.50%, as well as what the city's net pension liability would be if it were calculated using a discount rate that is one percent lower or one percent higher:

**Sensitivity of Net Pension Liability to the Discount Rate Assumption**

| | 1% Decrease (6.50%) | Current Discount Rate (7.50%) | 1% Increase (8.50%) |
|---|---|---|---|
| City's net pension liability | $ 39,325,115 | $ 26,834,567 | $ 16,241,610 |

*Pension Plan Fiduciary Net Position.* Detailed information about the plan's net fiduciary net position is available in FPPA's comprehensive annual financial report available online at www.fppaco.org or by contacting the Fire and Police Pension Association, 5290 DTC Parkway, Suite 100, Greenwood Village, Colorado 80111-2721 or telephone (303) 770-3772.

*Pension Expense and Deferred Outflows of Resources Related to Pensions.* For the year ended December 31, 2015, the city recognized pension expense of $2,229,274. At December 31, 2015, the city reported deferred outflows of resources related to pensions from the following sources:

| | Deferred Outflows of Resources |
|---|---|
| Net difference between projected and actual earnings on pension plan investments | $ 479,854 |
| City contributions subsequent to the measurement date | 2,612,565 |
| Total | $ 3,092,419 |

$2,612,565 reported as deferred outflows of resources related to pensions resulting from city contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended December 31, 2016. Other amounts reported as deferred outflows of resources related to pensions will be recognized in pension expense as follows:

| Year Ending December 31 | Net Deferred Outflows (Inflows) of Resources |
|---|---|
| 2016 | $ 119,964 |
| 2017 | 119,964 |
| 2018 | 119,964 |
| 2019 | 119,962 |
| **Total** | $ 479,854 |

## 4. Statewide Defined Benefit Plan – Fire New Hire Pension Plan

### Plan Description

*Plan Description.* The Fire Statewide Defined Benefit Plan (SWDB) is a cost-sharing multiple employer defined benefit pension plan administered by the Fire and Police Pension Association of Colorado (FPPA). The plan provides retirement and death benefits to firefighters hired on or after April 8, 1978. In addition to the initial transfer plan implemented at that time, an updated plan was instituted in 2011 for firefighters hired on or after October 1, 2011. State statute assigns authority to establish and amend benefit provisions to the FPPA. This plan is included in the FPPA's annual separately issued audited financial statements. This report is available

online at www.fppaco.org by contacting the Fire and Police Pension Association, 5290 DTC Parkway, Suite 100, Greenwood Village, Colorado 80111-2721 or telephone (303) 770-3772.

*Benefits Provided.* A member is eligible for a normal retirement pension once the member has completed twenty-five years of credited service and has attained the age of 55. The annual normal retirement benefit is 2 percent of the average of the member's highest three years' base salary for each year of credited service up to ten years, plus 2.5 percent for each year of service thereafter. Benefits paid to retired members are evaluated and may be re-determined every October 1st. The amount of any increase is based on the FPPA Board's discretion and can range from 0 to the higher of 3 percent or the Consumer Price Index.

A member is eligible for an early retirement at age 50 or after 30 years of service. The early retirement benefit equals the normal retirement benefit reduced on an actuarially equivalent basis. Upon termination, an employee may elect to have member contributions, along with 5 percent as interest, returned as a lump sum distribution. Alternatively, a member with at least five years of accredited service may leave contributions with the plan and remain eligible for a retirement pension at age 55 equal to 2 percent of the member's average highest three years' base salary for each year of credited service up to ten years, plus 2.5 percent for each year of service thereafter.

*Contributions.* The city is required to contribute at a statutorily determined rate. The FPPA Board sets contribution rates at a level that enables all benefits to be fully funded at the retirement date of all members. Contribution rates for the SWDB plan are set by state statute. Employer contribution rates can only be amended by state statue while member contribution rates can be amended by state statue or election of the membership and City Council ordinance. Currently 188 city firefighters are members of the transfer plan. In 2015, members of the transfer plan and the city contributed 10.5% ($1,563,755) and 10.0% ($1,491,847), respectively. In 2011, an updated plan was instituted for firefighters hired on or after October 1, 2011. Currently, 99 city firefighters are members of this plan. In 2015, plan members and the city contributed 8.5% ($393,172) and 8.0% ($370,574), respectively.

**Net Pension Asset**

At December 31, 2015, the city reported an asset of $5,140,256 for its proportionate share of the net pension asset for the plan. The net pension asset was measured as of December 31, 2014, and the total pension liability used to calculate the net pension asset was determined by an actuarial valuation as of January 1, 2015, which was unchanged from December 31, 2014. The city's portion of the net pension asset was based on the city's contributions to the SWDB plan for the calendar year 2014 relative to the total contributions of participating employers to the plan.

At December 31, 2014, the city's proportion was 4.55%, a decrease from its proportion of 4.62% measured as of December 31, 2013.

*Actuarial Assumptions.* The January 1, 2015 actuarial valuation used the following actuarial assumptions and other inputs:

| | |
|---|---|
| Actuarial cost method | Entry age normal |
| Amortization method | Level percent of payroll - open |
| Remaining amortization period | 30 years |
| Asset valuation method | 5-year smoothed fair value |
| Actuarial assumptions: | |
| Long term investment rate of return* | 7.50% |
| Projected salary increases | 4.00%-14.00% |
| Cost of living adjustments | 0.00% |
| * Includes inflation at | 3.00% |
| Mortality | The RP-2000 Combined Mortality Table, with Blue Collar Adjustment, projected with Scale AA, 40 percent multiplier for off-duty mortality is used in the valuation for off-duty mortality of active members. On-duty related mortality is assumed to be 0.00020 per year for all members. The RP-2000 Combined Mortality Table with Blue Collar Adjustment, projected with Scale AA is used in the projection of post-retirement benefits. |

*Changes in Assumptions.* The FPPA's Board of Directors, in accordance with best practices, reviews its economic and demographic actuarial assumptions at least every five years. Beginning in the 2014 valuations, the married assumption for active members was increased from 80% to 85% to reflect the passage of the Colorado Civil Union Act.

*Changes in Benefit Terms.* A 0.61% benefit adjustment was granted to all retirees and beneficiaries of the plan who retired on or before October 1, 2014.

*Long-Term Expected Return on Plan Assets.* The long-term expected rate of return on pension plan investments was determined using a building-block method in which expected future real rate of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These real rates of return are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. Best estimates of arithmetic real rates of return for each major asset class included in the plan's target asset allocation as of December 31, 2014, are summarized in the following table:

**Asset Allocation**

| Asset Class | Target Allocation | Long-Term Expected Real Rate of Return |
|---|---|---|
| Global Equity | 40.00% | 8.90% |
| Equity Long/Short | 10.00% | 7.50% |
| Illiquid Alternatives | 18.00% | 10.50% |
| Fixed Income | 15.00% | 4.60% |
| Absolute Return | 12.00% | 6.50% |
| Managed Futures | 4.00% | 5.50% |
| Cash | 1.00% | 2.50% |
| **Total** | 100.00% | |

*Discount Rate.* A discount rate of 7.50% was used to measure the total pension liability. This discount rate was based on the expected rate of return on pension plan investments of 7.50%. The projection of cash flows used to determine this discount rate assumed contributions from participating employers will be made based on statutorily required rates and that the plan's fiduciary net position was projected to be available to make all projected future benefit payments. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

*Sensitivity of the City's Proportionate Share of the Net Pension Asset to Changes in the Discount Rate.* The following presents the city's proportionate share of the net pension liability (asset), calculated using a discount rate of 7.50%, as well as what the city's proportionate share of the plan's net pension liability (asset) would be if it were calculated using a discount rate that is one percent lower or one percent higher:

**Sensitivity of Net Pension Liability (Asset) to the Discount Rate Assumption**

| | 1% Decrease (6.50%) | Current Discount Rate (7.50%) | 1% Increase (8.50%) |
|---|---|---|---|
| City's net pension liability (asset) | $ 4,846,287 | $ (5,140,256) | $(13,470,340) |

*Pension Plan Fiduciary Net Position.* Detailed information about the plan's net fiduciary net position is available in FPPA's comprehensive annual financial report available online at www.fppaco.org or by contacting the Fire and Police Pension Association, 5290 DTC Parkway, Suite 100, Greenwood Village, Colorado 80111-2721 or telephone (303) 770-3772.

*Pension Expense and Deferred Outflows of Resources and Deferred Inflows of Resources.* For the year ended December 31, 2015, the city recognized pension expense of $277,497. At December 31, 2015, the city reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

| | Deferred Outflows of Resources | Deferred Inflows of Resources |
|---|---|---|
| Net difference between projected and actual earnings on pension plan investments | $ 405,282 | $ - |
| Difference between actual and expected experience | - | 105,888 |
| Change in proportionate share | 55,970 | - |
| City contributions subsequent to the measurement date | 1,862,421 | - |
| Total | $ 2,323,673 | $ 105,888 |

$1,862,421 reported as deferred outflows of resources related to pensions resulting from city contributions subsequent to the measurement date will be recognized as an addition to the net pension asset in the year ended December 31, 2016. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

| Year Ending December 31 | Net Deferred Outflows (Inflows) of Resources |
|---|---|
| 2016 | $ 96,091 |
| 2017 | 96,091 |
| 2018 | 96,091 |
| 2019 | 96,091 |
| 2020 | (5,229) |
| Thereafter | (23,771) |
| **Total** | $ 355,364 |

## 5. Statewide Hybrid Plan – Fire New Hire Pension Plan

### Plan Description

*Plan Description.* The Statewide Hybrid Fire Pension Plan (SWH) is a cost-sharing multiple employer defined benefit pension plan administered by the Fire and Police Pension Association of Colorado (FPPA). This plan contains a defined benefit component and a money purchase component. State statute assigns authority to establish and amend benefit provision to the FPPA. This plan is included in the FPPA's annual separately issued audited financial statements. This report is available online at www.fppaco.org by contacting the Fire and Police Pension Association, 5290 DTC Parkway, Suite 100, Greenwood Village, Colorado 80111-2721 or telephone (303) 770-3772.

*Benefits Provided.* A member is eligible for a normal retirement pension at any time after age 55 if the member has at least 25 years of service. The annual normal pension of the defined benefit component is 1.5 percent of the average of the member's highest three years' base salary for each year of credited service. Benefits paid to retired members of the defined benefit component are evaluated and may be re-determined annually on October 1st. The amount of any increase is based on the FPPA Board's discretion and can range from 0 to 3 percent.

A member is eligible for an early retirement at age 50 or after 30 years of service. The early retirement benefit equals the normal retirement benefit reduced on an actuarially equivalent basis. Upon termination, an employee may elect to have member contributions, along with 5 percent as interest, returned as a lump sum distribution from the defined benefit component. Alternatively, a member with at least five years of accredited service may leave contributions with the defined benefit component of the plan and remain eligible for a retirement pension at age 55 equal to 1.5 percent of the average of the member's highest three years' base salary for each year of credited service.

*Contributions.* The city is required to contribute at a statutorily determined rate. The FPPA Board sets contribution rates at a level that enables all benefits to be fully funded at the retirement date of all members. Contribution rates for the SWH plan are set by each individual employer; however, the rate for both employer and members must be at least 8 percent of the member's base salary. Currently, 45 city firefighters are members of this plan. In 2015, plan members and the city each contributed 10.5%, $424,084. The percentage split is recalculated each year.

**Net Pension Asset**

At December 31, 2015, the city reported an asset of $3,741,511 for its proportionate share of the net pension asset for the plan. The net pension asset was measured as of December 31, 2014, and the total pension liability used to calculate the net pension asset was determined by an actuarial valuation as of January 1, 2015, which was unchanged from December 31, 2014. The city's portion of the net pension asset was based on the city's contributions to the SWH plan for the calendar year 2014 relative to the total contributions of participating employers to the plan.

At December 31, 2014, the city's proportion was 31.55%, an increase from its proportion of 31.48% measured as of December 31, 2013.

*Actuarial Assumptions.* The January 1, 2015 actuarial valuation used the following actuarial assumptions and other inputs:

| | |
|---|---|
| Actuarial cost method | Entry age normal |
| Amortization method | Level percent of payroll - open |
| Remaining amortization period | 30 years |
| Asset valuation method | 5-year smoothed fair value |
| Actuarial assumptions: | |
| Long term investment rate of return* | 7.50% |
| Projected salary increases | 4.00%-16.00% |
| Cost of living adjustments | 0.00% |
| * Includes inflation at | 3.00% |
| Mortality | The RP-2000 Combined Mortality Table, with Blue Collar Adjustment, projected with Scale AA, 40 percent multiplier for off-duty mortality is used in the valuation for off-duty mortality of active members. On-duty related mortality is assumed to be 0.00020 per year for all members. The RP-2000 Combined Mortality Table with Blue Collar Adjustment, projected with Scale AA is used in the projection of post-retirement benefits. |

*Changes in Assumptions.* The FPPA's Board of Directors, in accordance with best practices, reviews its economic and demographic actuarial assumptions at least every five years. Beginning in the 2014 valuations, the married assumption for active members was increased from 80% to 85% to reflect the passage of the Colorado Civil Union Act.

*Changes in Benefit Terms.* A 3.00% benefit adjustment was granted to all retirees and beneficiaries of the plan who retired on or before October 1, 2014.

*Long-Term Expected Return on Plan Assets.* The long-term expected rate of return on pension plan investments was determined using a building-block method in which expected future real rate of return (expected returns, net

of pension plan investment expense and inflation) are developed for each major asset class. These real rates of return are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. Best estimates of arithmetic real rates of return for each major asset class included in the plan's target asset allocation as of December 31, 2014, are summarized in the following table:

**Asset Allocation**

| Asset Class | Target Allocation | Long-Term Expected Real Rate of Return |
|---|---|---|
| Global Equity | 40.00% | 8.90% |
| Equity Long/Short | 10.00% | 7.50% |
| Illiquid Alternatives | 18.00% | 10.50% |
| Fixed Income | 15.00% | 4.60% |
| Absolute Return | 12.00% | 6.50% |
| Managed Futures | 4.00% | 5.50% |
| Cash | 1.00% | 2.50% |
| **Total** | 100.00% | |

*Discount Rate.* A discount rate of 7.50% was used to measure the total pension liability. This discount rate was based on the expected rate of return on pension plan investments of 7.50%. The projection of cash flows used to determine this discount rate assumed that contributions from participating employers will be made based on statutorily required rates and that the plan's fiduciary net position was projected to be available to make all projected future benefit payments. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

*Sensitivity of the City's Proportionate Share of the Net Pension Asset to Changes in the Discount Rate.* The following presents the city's proportionate share of the net pension asset, calculated using a discount rate of 7.50%, as well as what the city's proportionate share of the plan's net pension asset would be if it were calculated using a discount rate that is one percent lower or one percent higher:

**Sensitivity of Net Pension Asset to the Discount Rate Assumption**

| | 1% Decrease (6.50%) | Current Discount Rate (7.50%) | 1% Increase (8.50%) |
|---|---|---|---|
| City's net pension asset | $ (2,642,088) | $ (3,741,511) | $ (4,718,657) |

*Pension Plan Fiduciary Net Position.* Detailed information about the plan's net fiduciary net position is available in FPPA's comprehensive annual financial report available online at www.fppaco.org or by contacting the Fire and Police Pension Association, 5290 DTC Parkway, Suite 100, Greenwood Village, Colorado 80111-2721 or telephone (303) 770-3772.

*Pension Expense and Deferred Outflows of Resources and Deferred Inflows of Resources.* For the year ended December 31, 2015, the city recognized a reduction to pension expense of $326,530. At December 31, 2015, the city reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

| | Deferred Outflows of Resources | Deferred Inflows of Resources |
|---|---|---|
| Net difference between projected and actual earnings on pension plan investments | $ 58,053 | $ - |
| Difference between actual and expected experience | 134,767 | - |
| Change in proportionate share | - | 5,971 |
| City contributions subsequent to the measurement date | 424,084 | - |
| Total | $ 616,904 | $ 5,971 |

$424,084 reported as deferred outflows of resources related to pensions resulting from city contributions subsequent to the measurement date will be recognized as an addition to the net pension asset in the year ended December 31, 2016. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

| Year Ending December 31 | Net Deferred Outflows (Inflows) of Resources |
|---|---|
| 2016 | $ 29,515 |
| 2017 | 29,515 |
| 2018 | 29,515 |
| 2019 | 29,515 |
| 2020 | 15,002 |
| Thereafter | 53,787 |
| **Total** | $ 186,849 |

## B. Defined Contribution Plans

### 1. Police Money Purchase Pension Plan – New Hire

The Police New Hire Plan is an open defined contribution money purchase plan established by agreement to provide retirement benefits for full time police hired on or after April 8, 1978. The plan is administered by a board established by the agreement. Plan provisions and contribution requirements are amended by an affirmative vote of 65% of the members as well as a City Council resolution. Normal retirement age is 55. The member is 100% vested at 5 years of service and 0% vested until that time. At December 31, 2015, there were 665 plan members. Plan members and the city are both required to contribute 10.5%. In 2015, plan members and the city each contributed $5,896,091.

### 2. Fire Money Purchase Pension Plan

The Fire Money Purchase Pension Plan is a closed defined contribution money purchase plan established by City Ordinance to provide retirement benefits for city firefighters hired on or after April 8, 1978 and is administered by the Fire and Police Pension Association of Colorado. Plan provisions and contribution requirements are established and may be amended by City Council. Normal retirement age is 55. All members are fully vested. At December 31, 2015, there were 14 plan members. Plan members and the city are both required to contribute 10.5%. In 2015, plan members and the city each contributed $153,342.

**3. Executive Retirement Plan (ERP)**

ERP is an open defined contribution money purchase plan established by City Ordinance to provide retirement benefits for city executive personnel and is administered by ICMA-RC. Plan provisions and contribution requirements are established and may be amended by City Council. Normal retirement age is age 50. Members vest at 33 1/3% each year and are fully vested at 3 years. At December 31, 2015, there were 27 plan members. In 2015, plan members and the city both contributed 10.0% or $393,209.

## 14. OTHER POSTEMPLOYMENT BENEFITS (OPEB)

*Plan Description.* In addition to pension benefits, the city acts in a single-employer capacity in providing medical benefits to eligible retirees and their qualifying dependents through the city's group health insurance plan. Based on city practice, eligible retirees are allowed to participate in the health benefit program up to Medicare age. Police and Fire employees are eligible at any age with 20 years of service, Elected Officials are eligible at a minimum age of 56 with 6 or more years of service and Executives are eligible at a minimum age of 50 with 3 or more years of service. All other employees are eligible at a minimum age of 50 with 10 or more years of service. Currently, there are 2,431 active employees covered under the city's health insurance plan. Of these, 613 are fully eligible for the plan. In addition, there are 381 retired employees who are receiving medical coverage under this program. No stand-alone financial report is issued for the OPEB plan and it is not included in the report of GERP.

*Funding Policy.* Retirees pay 100% of the blended premium cost of their participation for health insurance coverage. Since current and retired employees participate in the same group plan, the city in effect is providing an "implicit subsidy" for the retirees in the plan. The required contribution will be annual premiums based on projected pay-as-you-go financing requirements. This expense is the net expected cost of providing retiree benefits including all expected claims and related expenses offset by retiree contributions. The pay-as-you-go expense for the year ended December 31, 2015 is $1,923,775.

Summary of the Net OPEB obligation at the end of 2015 by Business–type and Governmental activities:

| Fund | Amount |
|---|---|
| Water Fund | $ 590,940 |
| Wastewater Fund | 295,466 |
| Golf Fund | 84,348 |
| Total Business-type activities | 970,754 |
| Total Governmental activities | 5,189,590 |
| **Total net OPEB obligation - December 31** | **$ 6,160,344** |

*Annual Pension Cost and Net Pension Obligation.* The city's annual pension cost and net pension obligations for OPEB is as follows:

| | |
|---|---|
| Annual required contribution (ARC) | $ 1,836,000 |
| Interest on net pension obligation (NPO) | 248,852 |
| Adjustment to ARC | (222,010) |
| Annual pension cost (APC) | 1,862,842 |
| Contributions made | (1,923,775) |
| Increase (decrease) in NPO | (60,933) |
| NPO - beginning of year | 6,221,277 |
| NPO - end of year | **$ 6,160,344** |

Net OPEB obligation is recorded as long term debt on the citywide statement of net position. Net OPEB obligation recorded in governmental activities are generally paid from the General Fund. Water, Wastewater and Golf Funds report a proportionate share of the net OPEB obligation as long term debt in business-type activities and are generally paid from their respective funds.

*Funded Status and Funding Progress.* The city's funded status for OPEB for the year ended December 31, 2015 can be seen below. The schedule of funding progress, presented as Required Supplementary Information following the notes to the financial statements, presents multiyear trend information about whether the actuarial value of plan assets are increasing or decreasing over time relative to the actuarial accrued liability for benefits.

| Valuation Date | Actuarial Value of Assets (a) | Actuarial Accrued Liability (AAL) Entry Age (b) | Unfunded AAL (UAAL) (b-a) | Funded Ratio (a/b) | Covered Payroll (c) | UAAL as a Percent of Covered Payroll (b-a)/(c) |
|---|---|---|---|---|---|---|
| 1/1/15 | $ - | $ 19,932,000 | $19,932,000 | 0.00% | $200,114,851 | 9.96% |

**Three Year Trend Information**

| Year Ended | Annual Pension Cost (APC) | Percentage of APC Contributed | Net Pension Obligation |
|---|---|---|---|
| 12/31/2013 | $ 2,119,805 | 46.66% | $ 5,783,290 |
| 12/31/2014 | 2,230,534 | 80.36% | 6,221,277 |
| 12/31/2015 | 1,862,842 | 103.27% | 6,160,344 |

*Actuarial Methods and Assumptions.* The following chart shows the actuarial methods and assumptions used for OPEB. Actuarial valuations of an on-going plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revisions as actual results are compared with past expectations and new estimates are made about the future.

| | |
|---|---|
| Actuarial valuation date | 1/1/2015 |
| Actuarial cost method | Projected unit credit cost |
| Amortization method | Level percent - open |
| Remaining amortization period | 30 years |
| Asset valuation method | N/A |
| Actuarial assumptions: | |
| Investment rate of return* | 4.00% |
| Payroll growth rate | N/A |
| Projected salary increases* | 3.50% |
| Cost of living adjustment | N/A |
| Health care cost trend | 8.00% to 4.50% |
| *Includes inflation at | N/A |

## 15. OPERATING LEASES

The city has entered into various leases for buildings, office and storage space, and equipment. All leases are cancelable and must be reappropriated annually. Total costs for such leases were $1,173,975 for the year ended December 31, 2015. The future minimum lease payments for these leases are as follows:

| Year Ending December 31 | Amount |
|---|---|
| 2016 | $ 445,861 |
| 2017 | 396,304 |
| 2018 | 144,592 |
| 2019 | 109,900 |
| **Total** | **$ 1,096,657** |

## 16. RISK MANAGEMENT

The city is exposed to various risks and losses related to torts, theft, damage or destruction of assets, errors and omissions, natural disasters, property damage, worker's compensation, auto liability, and unemployment. In addition, the city is party to various pending or potential lawsuits, under which it may be required to pay certain amounts upon final disposition of these matters.

The city retains risk up to the levels where it has been determined that commercial insurance is more cost beneficial. The insurance companies promise payments of claims in excess of stated deductibles, with variable limits depending upon the specific line of coverage. For payment to be made by the insurance company the claim must fall under the insuring agreements and coverage, the insured must meet the insurer's conditions, and certain claims are excluded under certain conditions. The Colorado Governmental Immunity Act establishes limits for claims made against governmental entities for injuries which lie in tort or could lie in tort. These limits are $350,000 per person up to a maximum of $990,000 for any one event for all claimants as of July 1, 2013. These stated limitations do not apply to federal claims. There were no significant reductions in insurance coverage from the prior year. There have been no claim settlements in excess of insurance coverage in the last three years.

Claims expenditures and liabilities are reported when it is probable that a loss has occurred and the amount of that loss can be reasonably estimated. Amounts estimated to be paid on known cases are reported as case reserves. Case reserves are estimated through in-house methods and do include incremental claims adjustment expenses.

Total self-insurance reserves are actuarially determined and include estimated costs for incurred but not reported claims (IBNR). The total liability has been recorded using the discounted method with an expected 1.00% interest return over the life of the liabilities. The city reports the current and noncurrent portions of the accrued claims liability and related claim settlements and judgments within the Risk Management Fund. Management believes any resulting judgments would not exceed insurance coverage by a material amount.

**Summary of the Accrued Claims Liability**
**December 31, 2015**

| Self-Insured Program | Case Reserves | IBNR | Total | Discounted |
|---|---|---|---|---|
| Worker's compensation | $ 3,083,792 | $ 4,653,229 | $ 7,737,021 | $ 7,268,673 |
| Multi-line liability | 1,873,670 | 2,250,581 | 4,124,251 | 4,024,828 |
| Total | $ 4,957,462 | $ 6,903,810 | $ 11,861,272 | $ 11,293,501 |

**Reconcilation of Claims Payable**

| Year | Balance January 1 | Current Year Accrued Claims | Claim Payments | Recoveries | Balance December 31 |
|---|---|---|---|---|---|
| 2014 | $ 9,816,155 | $ 6,049,632 | $ (5,920,049) | $ 706,988 | $ 10,652,726 |
| 2015 | 10,652,726 | 5,758,864 | (5,338,847) | 220,758 | 11,293,501 |

## 17. CONTINGENT LIABILITIES

The city is a party to various lawsuits, which may require expenditures of funds upon decision of the courts or in connection with out-of-court settlements. The City Attorney's Office reports several possible contingent liabilities based on damages alleged in various cases. However, it is the opinion of the city attorney that the city's liability in these cases will be far less than the amounts demanded and/or will be covered by insurance. Accordingly, management of the city considers the amount of liabilities established in the Risk Management Fund to be sufficient to cover any liabilities that may result from the eventual outcome of these matters.

Amounts received or receivable from grant agencies are subject to audit and adjustment by grantor agencies, principally the federal government. Any disallowed claims, including amounts already collected, may constitute a liability of the applicable funds. The amount, if any, of expenditures which may be disallowed by the grantor cannot be determined at this time although the city expects such amounts, if any, to be immaterial.

Proceeds of refunded debt were placed in irrevocable refunding escrow accounts. The funds deposited in these accounts are invested in U.S. Treasury obligations that, together with interest earned thereon, are expected to provide amounts sufficient to pay all principal and interest on the following debt issues as they become due. Should these funds be insufficient to pay the maturing bonds and interest, the city would be liable for the deficiency. The likelihood of the earnings and principal maturities of the U.S. Treasury obligations not being sufficient to pay the refunded bond issues is remote. Accordingly, the escrow accounts and the refunded bonds are not included in the city's financial statements. Escrowed debt outstanding at December 31, 2015 is as follows:

| Issue Description | Date of Issue | Series | Balance December 31, 2015 |
|---|---|---|---|
| First-Lien Sewer Improvement | | | |
| Revenue Bonds Series 2006 | 04/25/2006 | 2006 | $ 16,170,000 |

## 18. CONDUIT DEBT OBLIGATIONS

From time to time, the city has issued revenue bonds to provide financial assistance to private sector and non-profit entities for the acquisition and construction of industrial, commercial and residential properties deemed to be in the public interest. The bonds are payable solely from payments received on the underlying funding source. The city is not obligated in any manner for repayment of the bonds. Accordingly, the bonds are not reported as liabilities in the accompanying financial statements.

As of December 31, 2015, there were four series of revenue bonds outstanding which pertains to the Hospital Revenue Bonds payable from operating revenues. The total aggregate principal amount payable was $224,995,000.

## 19. TAXPAYER BILL OF RIGHTS (TABOR)

In November 1992, Colorado voters approved a State constitutional amendment, TABOR, the general purpose of which is to restrain government growth (as measured by revenues and expenditures) without a vote of the local citizens. The key mechanisms for restraining growth without a vote are: 1) the prohibition of revenue and expenditure growth other than for inflation and a component for new construction growth, 2) the prohibition of new taxes or higher tax rates, 3) the prohibition of new debt, and 4) the refunding of any revenues collected in excess of the revenue limitations. In 2015, property tax revenue and general revenue collections were below the limits imposed by the TABOR Amendment.

TABOR further requires emergency reserves of at least 3% of fiscal year revenue as defined by TABOR (excluding bonded debt service). The city maintains the required reserves in the General Fund. TABOR specifies that local governments are permitted to use reserve funds for "emergencies" with the requirement that the reserve funds be restored to 3% of fiscal year spending in the following fiscal year. In accordance with TABOR, the city maintains an emergency reserve of 3% of the fiscal year spending by designating a combination of available cash and real property owned by the city in lieu of cash in the amount of $2,120,000. Cash of $8,323,923 is restricted for emergencies in the General Fund at December 31, 2015, and the real property is recorded in net investment in capital assets on the citywide statement of net position. The city's management believes the city is in compliance with the provisions of TABOR at December 31, 2015.

## 20. ADOPTION OF ACCOUNTING PRINCIPLES

The city implemented Governmental Accounting Standards Board Statement No. 68 *Accounting and Financial Reporting for Pensions – an amendment of GASB Statement No. 27* (GASB 68), in 2015 which revises and establishes new accounting and financial reporting standards for governments that provide their employees with pension benefits that are administered through trusts and equivalent arrangements in which specific criteria are met. GASB 68 establishes standards for measuring and recognizing net pension liabilities (assets), deferred outflows of resources, deferred inflows of resources and expense/expenditures. The city provides pension benefits through six plans that meet the GASB 68 criteria: two single employer defined benefit pension plans, two agent multiple-employer

defined benefit plans and two cost-sharing multiple employer defined benefit pension plans. GASB 68 requires that the city record each Plan's unfunded net pension liability or asset or, for cost-sharing plans, its proportionate share.

The implementation of GASB 68 resulted in a restatement of net position at citywide for both the governmental activities and business-type activities. In addition, the proprietary funds are restated at the fund level. The restatement decreased beginning net position $22,305,458 for the governmental activities and $243,807 for the business-type activities, respectively.

In addition to the restatement of net position, GASB 68 changes the requirements for information disclosed in the footnotes to the financial statements (see Note 13 for additional information) and information required to be presented as RSI which is included within this financial report.

## 21. SUBSEQUENT EVENTS

On February 29, 2016, the Aurora Urban Renewal Authority (AURA) purchased land valued at $13.2 million in order to begin redevelopment of the Plaza Urban Renewal Area. AURA will enter into an agreement with the developer to be reimbursed through either tax increment revenues generated by the property's redevelopment or by direct land sales.

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# Required Supplementary Information

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**CITY OF AURORA, COLORADO**

**GENERAL EMPLOYEES' RETIREMENT DEFINED BENEFIT PLAN (GERP)**
**SCHEDULE OF CHANGES IN NET PENSION LIABILITY (ASSET) AND RELATED RATIOS (UNAUDITED)**
**LAST 10 FISCAL YEARS ***

| | 2015 |
|---|---|
| **Total pension liability** | |
| Service cost | $ 9,208,869 |
| Interest on the total pension liability | 30,291,215 |
| Benefit changes | — |
| Difference between expected and actual experience | — |
| Assumption changes | — |
| Benefit payments, including refunds | (17,627,436) |
| **Net change in total pension liability** | 21,872,648 |
| | |
| **Total pension liability - beginning** | 395,063,666 |
| **Total pension liability - ending (a)** | $ 416,936,314 |
| | |
| **Plan fiduciary net position** | |
| Contributions - employer | $ 5,536,583 |
| Contributions - employee | 5,531,417 |
| Net investment income | 29,167,614 |
| Benefit payments, including refunds | (17,627,436) |
| Administrative expense | (544,961) |
| Other | — |
| **Net change in plan fiduciary net position** | 22,063,217 |
| | |
| **Plan fiduciary net position - beginning** | 385,882,442 |
| **Plan fiduciary net position - ending (b)** | $ 407,945,659 |
| | |
| **City's net pension liability (asset) - ending (a)-(b)** | $ 8,990,655 |
| | |
| **Plan fiduciary net postion as a percentage of total pension liability** | 97.84% |
| | |
| **Covered employee payroll** | $ 88,585,328 |
| | |
| **City's net pension liability (asset) as a percentage of covered employee payroll** | 10.15% |

Source: Gabriel, Roeder, Smith & Company, GERP Actuary, GASB 68 reports.

Information above is presented as of the measurement date (December 31 of the previous fiscal year-end).

* Information not currently available for prior years; additional years will be displayed as they become available.

**CITY OF AURORA, COLORADO**

**GENERAL EMPLOYEES' RETIREMENT DEFINED BENEFIT PLAN (GERP)**
**SCHEDULE OF EMPLOYER CONTRIBUTIONS (UNAUDITED)**
**LAST 10 YEARS ***

| | 2015 | 2014 |
|---|---|---|
| Contractually required contribution | $ 6,135,777 | $ 5,536,583 |
| Actual contributions | 6,135,777 | 5,536,583 |
| Contribution deficiency (excess) | $ — | $ — |
| Covered employee payroll | $94,369,963 | $88,585,328 |
| Contributions as a percentage of covered employee payroll | 6.50% | 6.25% |

Information above is presented as of the city's fiscal year-end.

* Information not currently available for prior years; additional years will be displayed as they become available.

**CITY OF AURORA, COLORADO**

**ELECTED OFFICIALS' AND EXECUTIVE PERSONNEL DEFINED BENEFIT PLAN (EOEP)**
**SCHEDULE OF CHANGES IN NET PENSION LIABILITY (ASSET) AND RELATED RATIOS (UNAUDITED)**
**LAST 10 FISCAL YEARS ***

| | 2015 | 2014 | 2013 |
|---|---|---|---|
| **Total pension liability** | | | |
| Service cost | $ 129,941 | $ 133,761 | $ 133,761 |
| Interest on the total pension liability | 390,913 | 380,105 | 357,289 |
| Benefit changes | — | (123,776) | — |
| Difference between expected and actual experience | — | (263,711) | — |
| Assumption changes | — | 389,217 | — |
| Benefit payments | (206,268) | (198,390) | (194,971) |
| **Net change in total pension liability** | 314,586 | 317,206 | 296,079 |
| **Total pension liability - beginning** | 5,185,367 | 4,868,161 | 4,572,082 |
| **Total pension liability - ending (a)** | $ 5,499,953 | $ 5,185,367 | $ 4,868,161 |
| **Plan fiduciary net position** | | | |
| Contributions - employer | $ 117,756 | $ 117,756 | $ 182,057 |
| Net investment income | (50,926) | 415,245 | 779,306 |
| Benefit payments | (206,268) | (198,390) | (194,971) |
| Administrative expense | (23,691) | (20,095) | (17,395) |
| **Net change in plan fiduciary net position** | (163,129) | 314,516 | 748,997 |
| **Plan fiduciary net position - beginning** | 6,163,480 | 5,848,964 | 5,099,967 |
| **Plan fiduciary net position - ending (b)** | $ 6,000,351 | $ 6,163,480 | $ 5,848,964 |
| **City's net pension liability (asset) - ending (a)-(b)** | $ (500,398) | $ (978,113) | $ (980,803) |
| **Plan fiduciary net postion as a percentage of total pension liability** | 109.10% | 118.86% | 120.15% |
| **Covered employee payroll** | N/A | N/A | N/A |
| **City's net pension liability (asset) as a percentage of covered employee payroll** | N/A | N/A | N/A |

Source: Gabriel, Roeder, Smith & Company, EOEP Actuary, GASB 67 reports.

Information above is presented as of the city's most recent fiscal year-end.

* Information not currently available for prior years; additional years will be displayed as they become available.

Presentation Note: Because this plan does not issue stand alone financial statements, additional disclosures as required by GASB 67 are presented within this financial report.

**CITY OF AURORA, COLORADO**

**ELECTED OFFICIALS' AND EXECUTIVE PERSONNEL DEFINED BENEFIT PLAN (EOEP)**
**SCHEDULE OF EMPLOYER CONTRIBUTIONS (UNAUDITED)**
**LAST 10 YEARS**

| | 2015 | 2014 | 2013 | 2012 | 2011 | 2010 | 2009 | 2008 | 2007 | 2006 |
|---|---|---|---|---|---|---|---|---|---|---|
| Actuarially determined contribution | $ 117,756 | $ 117,756 | $ 182,057 | $ 182,057 | $ 356,280 | $ 356,280 | $ 351,990 | $ 351,990 | $ 375,669 | $ 375,669 |
| Actual contributions | 117,756 | 117,756 | 182,057 | 182,057 | 356,280 | 356,280 | 351,991 | 351,991 | 375,669 | 375,669 |
| Contribution deficiency (excess) | $ — | $ — | $ — | $ — | $ — | $ — | $ (1) | $ (1) | $ — | $ — |
| Covered employee payroll | N/A | N/A | N/A | N/A | N/A | N/A | N/A | N/A | N/A | N/A |
| Contributions as a percentage of covered employee payroll | N/A | N/A | N/A | N/A | N/A | N/A | N/A | N/A | N/A | N/A |

Actuarial valuations done every odd-numbered year on 1/1/20XX.

Information above is presented as of the city's most recent fiscal year-end.



**Notes to Schedule**

| | |
|---|---|
| Valuation date: | January 1, 2015 |
| Methods and assumptions used to determine contribution rates: | |
| Actuarial cost method | Entry age normal |
| Amortization method | Level dollar - open<br>For the 2009 actuarial valuation only, the level dollar - closed amortiztion method was used. |
| Remaining amortization period | 15 years<br>Decreased from 30 years to 15 years as of the 2011 actuarial valuation. |
| Asset valuation method | 3-year smoothing<br>Changed from the market valuation to 3-year smoothing as of the 2009 actuarial valuation. |
| Investment rate of return | 7.50%<br>Decreased from 7.75% to 7.50% as of the 2015 actuarial valuation. Decreased from 8.00% to 7.75% as of the 2009 actuarial valuation. |
| Expenses (as a percent of actuarial value of assets) | 0.75%<br>Decreased from 1.00% to 0.75% as of the 2009 actuarial valuation. |
| Cost-of-living adjustments | 3.25% on Basic, 0% on Supplemental<br>Basic decreased from 3.50% to 3.25% as of the 2015 actuarial valuation and from 3.75% to 3.50% as of the 2009 actuarial valuation.<br>Supplemental decreased from 5.0% to 0% as of the 2011 actuarial valuation. |
| Mortality | RP-2000 Healthy Mortality Table |

Benefit changes effective for 2015: The age requirement for normal retirement eligibility was increased to age 62 for members who entered the plan after November 5, 2013 and the service credit used in the calculation of the normal retirement benefit for elected officials was also limited.

**CITY OF AURORA, COLORADO**

**ELECTED OFFICIALS' AND EXECUTIVE PERSONNEL DEFINED BENEFIT PLAN (EOEP)**
**SCHEDULE OF ANNUAL MONEY-WEIGHTED RATE OF RETURN ON PLAN INVESTMENTS (UNAUDITED)**
**LAST 10 FISCAL YEARS ***

| | 2015 | 2014 |
|---|---|---|
| Annual money-weighted rate of return, net of investment expense | (0.88)% | 7.05% |

* Information is not currently available for prior years; additional years will be displayed as they become available.

**CITY OF AURORA, COLORADO**

**FPPA - OLD HIRE FIRE DEFINED BENEFIT PLAN**
**SCHEDULE OF CHANGES IN NET PENSION LIABILITY (ASSET) AND RELATED RATIOS (UNAUDITED)**
**LAST 10 FISCAL YEARS ***

| | 2015 |
|---|---|
| **Total pension liability** | |
| Service cost | $ — |
| Interest on the total pension liability | 7,359,766 |
| Benefit changes | 38,309 |
| Difference between expected and actual experience | — |
| Assumption changes | — |
| Benefit payments, including refunds | (7,948,618) |
| **Net change in total pension liability** | (550,543) |
| | |
| **Total pension liability - beginning** | 102,032,674 |
| **Total pension liability - ending (a)** | $ 101,482,131 |
| | |
| **Plan fiduciary net position** | |
| Contributions - employer | $ 1,963,632 |
| Contributions - employee | — |
| Net investment income | 5,243,318 |
| Benefit payments, including refunds | (7,948,618) |
| Administrative expense | (151,222) |
| Other | — |
| **Net change in plan fiduciary net position** | (892,890) |
| | |
| **Plan fiduciary net position - beginning** | 79,700,815 |
| **Plan fiduciary net position - ending (b)** | $ 78,807,925 |
| | |
| **City's net pension liability (asset) - ending (a)-(b)** | $ 22,674,206 |
| | |
| **Plan fiduciary net postion as a percentage of total pension liability** | 77.66% |
| | |
| **Covered employee payroll** | N/A |
| | |
| **City's net pension liability (asset) as a percentage of covered employee payroll** | N/A |

Source: Gabriel, Roeder, Smith & Company, FPPA Actuary, GASB 68 reports.

Information above is presented as of the measurement date (December 31 of the previous fiscal year-end).

* Information not currently available for prior years; additional years will be displayed as they become available.

**CITY OF AURORA, COLORADO**

**FPPA - OLD HIRE FIRE DEFINED BENEFIT PLAN**
**SCHEDULE OF EMPLOYER CONTRIBUTIONS (UNAUDITED)**
**LAST 10 YEARS ***

| | 2015 | 2014 |
|---|---|---|
| Actuarially determined contribution | $ 2,178,948 | $ 1,963,632 |
| Actual contributions | 2,178,948 | 1,963,632 |
| Contribution deficiency (excess) | $ — | $ — |
| Covered employee payroll | N/A | N/A |
| Contributions as a percentage of covered employee payroll | N/A | N/A |

* Information not currently available for prior years; additional years will be displayed as they become available.

Information above is presented as of the city's fiscal year-end.

**Notes to Schedule**

| | |
|---|---|
| Valuation date: | January 1, 2014 |
| Methods and assumptions used to determine contribution rates: | |
| Actuarial cost method | Entry age normal |
| Amortization method | Level dollar - open |
| Remaining amortization period | 20 years |
| Asset valuation method | 5-year smoothed market |
| Investment rate of return | 7.50% |
| Inflation | 3.00% |
| Salary increases | N/A |
| Retirement age | Any remaining actives are assumed to retire immediately |
| Mortality | Post retirement: RP-2000 Combined Healthy Mortality Table with Blue Collar adjustment<br>Disabled: RP-2000 Disabled Mortality Table<br>All tables projected with Scale AA |

Changes in Benefit Terms:
Benefits were changed effective January 1, 2014, to include a funeral benefit of $1,000. The previous benefit was $200.

**CITY OF AURORA, COLORADO**

**FPPA - OLD HIRE POLICE DEFINED BENEFIT PLAN**
**SCHEDULE OF CHANGES IN NET PENSION LIABILITY (ASSET) AND RELATED RATIOS (UNAUDITED)**
**LAST 10 FISCAL YEARS ***

| | 2015 |
|---|---|
| **Total pension liability** | |
| Service cost | $ — |
| Interest on the total pension liability | 8,713,959 |
| Benefit changes | — |
| Difference between expected and actual experience | — |
| Assumption changes | — |
| Benefit payments, including refunds | (8,501,414) |
| **Net change in total pension liability** | 212,545 |
| | |
| **Total pension liability - beginning** | 120,359,988 |
| **Total pension liability - ending (a)** | $ 120,572,533 |
| | |
| **Plan fiduciary net position** | |
| Contributions - employer | $ 3,367,555 |
| Contributions - employee | — |
| Net investment income | 6,170,082 |
| Benefit payments, including refunds | (8,501,414) |
| Administrative expense | (165,251) |
| Other | — |
| **Net change in plan fiduciary net position** | 870,972 |
| | |
| **Plan fiduciary net position - beginning** | 92,866,994 |
| **Plan fiduciary net position - ending (b)** | $ 93,737,966 |
| | |
| **City's net pension liability (asset) - ending (a)-(b)** | $ 26,834,567 |
| | |
| **Plan fiduciary net postion as a percentage of total pension liability** | 77.74% |
| | |
| **Covered employee payroll** | $ 102,328 |
| | |
| **City's net pension liability (asset) as a percentage of covered employee payroll** | 26224.07% |

Source: Gabriel, Roeder, Smith & Company, FPPA Actuary, GASB 68 reports.

Information above is presented as of the measurement date (December 31 of the previous fiscal year-end).

* Information not currently available for prior years; additional years will be displayed as they become available.

**CITY OF AURORA, COLORADO**

**FPPA - OLD HIRE POLICE DEFINED BENEFIT PLAN**
**SCHEDULE OF EMPLOYER CONTRIBUTIONS (UNAUDITED)**
**LAST 10 YEARS**

| | 2015 | 2014 |
|---|---|---|
| Actuarially determined contribution | $ 2,612,565 | $ 3,367,555 |
| Actual contributions | 2,612,565 | 3,367,555 |
| Contribution deficiency (excess) | $ — | $ — |
| Covered employee payroll | $ 111,083 | $ 102,328 |
| Contributions as a percentage of covered employee payroll | 2351.90% | 3290.94% |

Actuarial valuations done every even-numbered year.

Information above is presented as of the city's fiscal year-end.

**Notes to Schedule**

| | |
|---|---|
| Valuation date: | January 1, 2014 |
| Methods and assumptions used to determine contribution rates: | |
| Actuarial cost method | Entry age normal |
| Amortization method | Level dollar - open |
| Remaining amortization period | 20 years |
| Asset valuation method | 5-year smoothed market |
| Investment rate of return | 7.50% |
| Inflation | 3.00% |
| Salary increases | N/A |
| Retirement age | Any remaining actives are assumed to retire immediately |
| Mortality | Post retirement: RP-2000 Combined Healthy Mortality Table with Blue Collar Adjustment<br>Disabled: RP-2000 Disabled Mortality Table<br>All tables projected with Scale AA |

**CITY OF AURORA, COLORADO**

**FPPA - STATEWIDE DEFINED BENEFIT PLAN (SWDB)**
**SCHEDULE OF THE CITY'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY (ASSET) AND RELATED RATIOS (UNAUDITED)**
**LAST 10 FISCAL YEARS ***

| | 2015 | 2014 |
|---|---|---|
| City's % proportion of the net pension liability (asset) | 4.55% | 4.62% |
| City's proportion of the net pension liability (asset) | $ (5,140,256) | $ (4,134,532) |
| Covered employee payroll | $ 16,922,352 | $ 16,387,238 |
| City's proportion of the net pension liability (asset) as a percentage of its covered employee payroll | 30.38% | 25.23% |
| Plan fiduciary net position as a percentage of the total pension liability | 106.80% | 105.80% |

Source: Fire & Police Pension Association of Colorado (FPPA) Schedule of Employer Contributions and Schedule of Collective Pension Amounts

Information above is presented as of the measurement date (December 31 of the previous fiscal year-end).

* Information not currently available for prior years; additional years will be displayed as they become available.

**CITY OF AURORA, COLORADO**

**FPPA - STATEWIDE DEFINED BENEFIT PLAN (SWDB)**
**SCHEDULE OF EMPLOYER CONTRIBUTIONS (UNAUDITED)**
**LAST 10 FISCAL YEARS ***

| | 2015 | 2014 |
|---|---|---|
| Statutorily required contribution | $ 1,862,421 | $ 1,638,586 |
| Actual contributions | 1,862,421 | 1,638,586 |
| Contribution deficiency (excess) | $ — | $ — |
| Covered employee payroll | $19,546,055 | $16,922,352 |
| Contributions as a percentage of covered employee payroll | 9.53% | 9.68% |

* Information not currently available for prior years; additional years will be displayed as they become available.

Information above is presented as of the city's fiscal year-end.

Actuarial valuations done every year.

**Notes to Schedule**

FPPA's Board of Directors, in accordance with best practices, reviews its economic and demographic actuarial assumptions at least every five years. Beginning in the 2014 valuations, the married assumption for active members was increased from 80% to 85% to reflect the passage of the Colorado Civil Union Act.

Benefit changes effective for 2015: A 0.61% benefit adjustment was granted to all retirees and beneficiaries of the plan who retired on or before October 1, 2014.

**CITY OF AURORA, COLORADO**

**FPPA - STATEWIDE HYBRID PLAN (SWH)**
**SCHEDULE OF THE CITY'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY (ASSET) AND RELATED RATIOS (UNAUDITED)**
**LAST 10 FISCAL YEARS ***

| | 2015 | 2014 |
|---|---|---|
| City's % proportion of the net pension liability (asset) | 31.55% | 31.48% |
| City's proportion of the net pension liability (asset) | $ (3,741,511) | $ (3,211,312) |
| Covered employee payroll | $ 3,719,203 | $ 3,870,544 |
| City's proportion of the net pension liability (asset) as a percentage of its covered employee payroll | 100.60% | 82.97% |
| Plan fiduciary net position as a percentage of the total pension liability | 140.60% | 139.00% |

Source: Fire & Police Pension Association of Colorado (FPPA) Schedule of Employer Contributions and Schedule of Collective Pension Amounts

Information above is presented as of the measurement date (December 31 of the previous fiscal year-end).

* Information not currently available for prior years; additional years will be displayed as they become available.

**CITY OF AURORA, COLORADO**

**FPPA - STATEWIDE HYBRID PLAN (SWH)**
**SCHEDULE OF EMPLOYER CONTRIBUTIONS (UNAUDITED)**
**LAST 10 FISCAL YEARS ***

| | 2015 | 2014 |
|---|---|---|
| Statutorily required contribution | $ 424,084 | $ 390,519 |
| Actual contributions | 424,084 | 390,519 |
| Contribution deficiency (excess) | $ — | $ — |
| Covered employee payroll | $ 4,038,631 | $ 3,719,203 |
| Contributions as a percentage of covered employee payroll | 10.50% | 10.50% |

* Information not currently available for prior years; additional years will be displayed as they become available.

Information above is presented as of the city's fiscal year-end.

Actuarial valuations done every year.

**Notes to Schedule**

FPPA's Board of Directors, in accordance with best practices, reviews its economic and demographic actuarial assumptions at least every five years. Beginning in the 2014 valuations, the married assumption for active members was increased from 80% to 85% to reflect the passage of the Colorado Civil Union Act.

Benefit changes effective for 2015: A 3.00% benefit adjustment was granted to all retirees and beneficiaries of the plan who retired on or before October 1, 2014.

**CITY OF AURORA, COLORADO**

**OTHER POSTEMPLOYMENT BENEFITS (OPEB)**
**SCHEDULE OF FUNDING PROGRESS (UNAUDITED)**
**DECEMBER 31, 2015**

| Actuarial Valuation Date | Actuarial Value of Assets (a) | Actuarial Accrued Liability (AAL) Entry Age (b) | Unfunded AAL (UAAL) (b - a) | Funded Ratio (a / b) | Covered Payroll (c ) | UAAL as a Percent of Covered Payroll (b - a) / (c ) |
|---|---|---|---|---|---|---|
| **OPEB** | | | | | | |
| 1/1/09 | $ — | $ 19,884,000 | $ 19,884,000 | 0.00% | $ 176,046,227 | 11.29% |
| 1/1/11 | — | 17,898,000 | 17,898,000 | 0.00% | 174,640,472 | 10.25% |
| 1/1/13 | — | 21,227,000 | 21,227,000 | 0.00% | 179,384,474 | 11.83% |
| 1/1/14 | — | 22,412,000 | 22,412,000 | 0.00% | 187,379,810 | 11.96% |
| 1/1/15 | — | 19,932,000 | 19,932,000 | 0.00% | 200,114,851 | 9.96% |

**CITY OF AURORA, COLORADO**

**OTHER POSTEMPLOYMENT BENEFITS (OPEB)**
**SCHEDULE OF EMPLOYER CONTRIBUTIONS (UNAUDITED)**
**DECEMBER 31, 2015**

| Year | Annual Required Contribution (ARC) | Percentage Contributed |
|---|---|---|
| **OPEB** | | |
| 2011 | $ 1,632,000 | 61% |
| 2012 | 1,701,000 | 97% |
| 2013 | 2,088,000 | 47% |
| 2014 | 2,191,000 | 82% |
| 2015 | 1,836,000 | 105% |

Actuarial valuations done every odd-numbered year on 1/1/20XX with a rollforward done every even-numbered year on 1/1/20XX.

**Notes to Schedule**

| | |
|---|---|
| Valuation date: | January 1, 2015 |
| Methods and assumptions used to determine contribution rates: | |
| Actuarial cost method | Project unit credit cost |
| Amortization method | Level percent - open |
| Remaining amortization period | 30 years |
| Asset valuation method | N/A |
| Inflation | N/A |
| Salary increases | 3.50% |
| Investment rate of return | 4.00% |
| Mortality | RP-2014 projected to 2025 using Scale MP-2014, applied ona gender-specific basis |

**CITY OF AURORA, COLORADO**

**GENERAL FUND**
**SCHEDULE OF SOURCES, USES AND CHANGES IN FUNDS AVAILABLE**
**BUDGET AND ACTUAL (NON-GAAP BUDGETARY BASIS) (UNAUDITED)**
**FOR THE YEAR ENDED DECEMBER 31, 2015**

| | General Fund | | | |
|---|---|---|---|---|
| | Budgets | | Budgetary | Variance |
| | Original | Final | Actual | with Final |
| **SOURCES** | | | | |
| Taxes | | | | |
| Property | $ 25,357,093 | $ 25,357,093 | $ 25,463,632 | $ 106,539 |
| Sales | 154,816,154 | 154,816,154 | 164,927,066 | 10,110,912 |
| Use | 33,109,924 | 33,109,924 | 39,891,458 | 6,781,534 |
| Lodgers | 6,205,242 | 6,205,242 | 7,233,358 | 1,028,116 |
| Franchise | 15,197,590 | 15,197,590 | 14,212,992 | (984,598) |
| Other | 9,245,977 | 9,245,977 | 10,870,841 | 1,624,864 |
| Total taxes | 243,931,980 | 243,931,980 | 262,599,347 | 18,667,367 |
| Intergovernmental | 13,783,514 | 13,936,269 | 15,307,102 | 1,370,833 |
| Licenses and permits | 3,330,642 | 3,330,642 | 3,799,966 | 469,324 |
| Charges for services | 11,721,668 | 11,731,668 | 11,545,481 | (186,187) |
| Fines and forfeitures | 6,234,902 | 6,234,902 | 5,088,514 | (1,146,388) |
| Investment income | 698,701 | 868,621 | 911,467 | 42,846 |
| Other revenues | 1,069,038 | 1,069,038 | 1,567,379 | 498,341 |
| Proceeds from sale of assets | 320,000 | 320,000 | 347,419 | 27,419 |
| Transfers in | 1,154,960 | 1,288,286 | 1,290,173 | 1,887 |
| TOTAL SOURCES | 282,245,405 | 282,711,406 | 302,456,848 | 19,745,442 |
| **USES** | | | | |
| ***Operating Costs*** | | | | |
| *Municipal Court* | | | | |
| Judicial | 2,269,383 | 2,359,481 | 2,233,318 | 126,163 |
| Court Administration | 7,980,027 | 9,298,306 | 8,848,070 | 450,236 |
| Public Defender | 740,091 | 782,782 | 782,166 | 616 |
| Total municipal court | 10,989,501 | 12,440,569 | 11,863,554 | 577,015 |
| *City Attorney* | 5,690,805 | 5,905,352 | 5,905,348 | 4 |
| *General Management Group* | | | | |
| City Council | 1,056,200 | 1,112,529 | 1,027,221 | 85,308 |
| Civil Service | 753,119 | 800,823 | 800,821 | 2 |
| General Management | 2,836,356 | 2,886,171 | 2,885,743 | 428 |
| Total general management group | 4,645,675 | 4,799,523 | 4,713,785 | 85,738 |
| *Administrative Services Group* | | | | |
| Communications | 2,776,680 | 2,788,853 | 2,670,544 | 118,309 |
| Finance | 6,702,700 | 6,929,198 | 6,338,392 | 590,806 |
| Information Technology | 8,699,217 | 8,718,279 | 8,716,512 | 1,767 |
| Internal Services | 6,443,691 | 6,462,051 | 6,237,719 | 224,332 |
| Public Safety Communications | 6,343,365 | 6,527,751 | 6,056,535 | 471,216 |
| Total administrative services group | 30,965,653 | 31,426,132 | 30,019,702 | 1,406,430 |

(continued)

| | General Fund | | | |
|---|---|---|---|---|
| | Budgets | | Budgetary | Variance |
| | Original | Final | Actual | with Final |
| *Operations Group* | | | | |
| Library and Cultural Services | 4,633,177 | 4,694,578 | 4,694,428 | 150 |
| Public Works | 25,326,100 | 25,822,619 | 24,861,205 | 961,414 |
| Parks, Recreation and Open Space | 13,205,625 | 13,293,368 | 13,029,778 | 263,590 |
| Neighborhood Services | 4,674,008 | 4,779,782 | 4,724,548 | 55,234 |
| Planning and Development Services | 2,755,249 | 3,425,012 | 3,342,458 | 82,554 |
| Total operations group | 50,594,159 | 52,015,359 | 50,652,417 | 1,362,942 |
| *Police/Fire Group* | | | | |
| Non-departmental | — | — | 53,240 | (53,240) |
| Police | 91,910,347 | 92,444,809 | 92,425,151 | 19,658 |
| Fire | 43,991,811 | 44,907,874 | 44,907,874 | — |
| Total police/fire group | 135,902,158 | 137,352,683 | 137,386,265 | (33,582) |
| *Non-departmental* | 52,726,298 | 59,130,162 | 58,606,001 | 524,161 |
| TOTAL USES | 291,514,249 | 303,069,780 | 299,147,072 | 3,922,708 |
| CHANGE IN FUNDS AVAILABLE | (9,268,844) | (20,358,374) | 3,309,776 | 23,668,150 |
| FUNDS AVAILABLE - January 1 | 32,726,868 | 56,128,728 | 56,128,728 | — |
| FUNDS AVAILABLE - December 31 | $ 23,458,024 | $ 35,770,354 | 59,438,504 | $ 23,668,150 |
| Less: Restricted for emergencies (TABOR) | | | (8,323,923) | |
| Committed to reserves (10% Policy) | | | (24,488,545) | |
| FUNDS AVAILABLE FOR APPROPRIATION AFTER RESTRICTIONS, AND COUNCIL COMMITMENTS - December 31 | | | $ 26,626,036 | |

**RECONCILIATION OF FUNDS AVAILABLE TO U.S. GAAP FUND BALANCE**

| | |
|---|---|
| FUNDS AVAILABLE (BUDGETARY BASIS) - December 31 | $ 59,438,504 |
| Assets not available for appropriation | 2,140,340 |
| Long-term interfund receivables | 225,753 |
| Sales, use and lodgers tax accrual | 23,038,147 |
| Current year encumbrances | 3,430,358 |
| Adjustment of investments to fair value | (106,869) |
| Adjustment for fund perspective difference | 6,368,949 |
| FUND BALANCE (U.S. GAAP BASIS) - DECEMBER 31 | $ 94,535,182 |

(concluded)

## 1. GENERAL FUND BUDGETARY INFORMATION

The city adopts annual operating appropriations each year. Operating costs are controlled at the fund and department level for the General Fund. Expenditures may not exceed appropriations at those levels. Annual operating appropriations lapse at year-end except for amounts that are encumbered (encumbrances are commitments on purchase orders that remain open at year-end). Since expenditures may not legally exceed budgeted appropriations, appropriation amendments require City Council approval by ordinance. Budget transfers within a department may be made with administrative approval. Transfers between departments require City Council approval by resolution or ordinance.

The city budgets on a “funds available” basis. Budgetary basis revenues and other financing sources are considered increases in funds available and budgetary basis expenditures and other financing uses are considered uses of funds available. In general, funds available are defined as current assets minus current liabilities. The city’s budget disclosure presents funds available, which are available for general purposes. Budgets for the General Fund are reported on the same basis as described above, except as follows:

a) Assets not available for appropriation, debt service reserves for which the city has pledged a moral obligation, are not considered to be available funds.
b) Long-term interfund receivables are not considered available until received.
c) Sales, use and lodgers taxes are considered revenue when received rather than when earned.
d) Encumbrances are treated as expenditures in the year they are encumbered, not when the expenditure occurs.
e) Changes in investment income due to recording investments at fair value are not budgeted.
f) Adjustment for fund perspective difference results from the Designated Revenue Fund being budgeted as a special revenue fund but it does not qualify as a special revenue fund under GAAP and is, thus, reported as part of the General Fund.

## APPENDIX C

## SUMMARY OF CERTAIN PROVISIONS OF THE GENERAL ORDINANCE AND THE SERIES ORDINANCE

The following is a summary of certain provisions of the General Ordinance and the Series Ordinance. The following summary does not purport to be complete and is qualified in its entirety by reference to the complete provisions of such documents, copies of which are available from the City or the Underwriters during the period of the initial offering of the Series 2016 Bonds.

### DEFINITIONS

The following definitions are provided in the General Ordinance and the Series Ordinance with respect to the Series 2016 Bonds:

"*Acquire*" or "*Acquisition*" means the design, construction, reconstruction, purchase, lease, gift, transfer, assignment, option to purchase, grant from the federal government or any public body or other person, endowment, bequest, devise, installation, condemnation, contract, or other acquirement or other provision, or any combination thereof, of facilities, other property, any project, or an interest therein.

"*Additional First-Lien Revenue Obligations*" means any First-Lien Revenue Obligations issued after the issuance of the first Series of First-Lien Revenue Obligations authorized by the General Ordinance.

"*Average Annual Debt Service Requirements*" means, with respect to any one or more Series of Obligations with respect to which the calculation is being made, the aggregate Debt Service Requirements thereof divided by the number of whole or fractional years from the date as of which the calculation is made to and including the final maturity thereof.

"*Bond Anticipation Note*" means an Obligation issued in anticipation of the receipt of proceeds of Bonds or other Obligations and maturing within five years.

"*Bonds*" means all securities issued in the form of bonds pursuant to the provisions of the General Ordinance which are payable from and secured by a lien upon the Net Pledged Revenues and includes the Series 2016 Bonds.

"*Book-Entry Bonds*" means Bonds issued in full book-entry form through the facilities of DTC.

"*Capital Lease*" means a lease which is required or permitted to be capitalized for financial reporting purposes under Generally Accepted Accounting Principles for governmental units or enterprises.

"*Capital Project*" means any additions or Improvements to the System determined by the Council, which additions and Improvements may be more specifically identified by Series Ordinance, Supplemental Resolution or Final Terms Certificate.

"*Charter*" means the Home Rule Charter of the City.

"*City*" means the City of Aurora, Colorado, acting as such or, as the context requires, acting by and through and as the owner of the Enterprise.

"*City Code*" or "*Code*" means the Aurora Municipal Code.

"*City Manager*" means the City Manager of the City or any successor in function.

"*Class*" means, when used in reference to Obligations, one or more Series of Obligations having the same security, whether or not issued on the same date.

"*Closing Date*" means the date on which the Series 2016 Bonds are first issued, sold and delivered.

"*Combined Annual Debt Service Requirements*" means the sum of the annual Debt Service Requirements for all Series of Obligations for which the computation is being made.

"*Commercial Bank*" means a state or national bank or trust company which is a member of the Federal Deposit Insurance Corporation and of the Federal Reserve System, and which is located within the United States of America.

"*Commercial Paper*" means Obligations arising out of current transactions, or the proceeds of which have been or are to be used for current transactions, or issued to provide short-term financing of Capital Projects, and maturing or being subject to tender within 270 days exclusive of days of grace or any renewal thereof the maturity of which is likewise limited.

"*Consulting Engineer*" means an independent consulting engineer or engineering firm or corporation having skill, knowledge and experience in analyzing the operations of municipal water systems in Colorado.

"*Continuing Disclosure Undertaking*" means the Continuing Disclosure Undertaking relating to this Official Statement and the Series 2016 Bonds, in substantially the form filed with the City Clerk at the time of introduction of the Series Ordinance.

"*Cost*" means, when used in reference to a Capital Project, all or any part of the cost of Acquisition, Improvement and Equipment of all or any part of the Capital Project, including, without limitation, all or any property, rights, easements, privileges, agreements, and franchises deemed by the City to be necessary or useful and convenient therefor or in connection therewith, interest or discount on Obligations, costs of issuance of Obligations, engineering and inspection costs and legal expenses, costs of financial, professional, and other estimates and advice, contingencies, any administrative, operating, and other expenses of the City (including without limitation costs of departments or agencies of the City other than the System reasonably allocable to such Capital Project or to the financing thereof) prior to and during such Acquisition, Improvement and Equipment and also during a period of not exceeding one year after the completion thereof, as may be estimated and determined by the City, and all such other expenses as may be necessary or incident to the financing, Acquisition, Improvement, Equipment and completion of the Capital Project or any part thereof, and the placing of the same in operation, provision of reserves for working capital, operation, maintenance or replacement expenses, or for payment or security of principal of or interest on Obligations during or after such Acquisition, Improvement or Equipment as the City may determine, and also reimbursements to the City or to any Person of any moneys theretofore expended for the purposes of the City or other public body, or to the federal government, of any moneys theretofore expended for or in connection with the Capital Project.

"*Costs of Issuance*" means, with respect to any particular Series of Obligations, all reasonable costs incurred in the issuance, sale or delivery thereof, including, without limitation, legal, printing, accounting and other fees and expenses.

"*Costs of Issuance Account*" means an account established in connection with a Series of Obligations to account for Costs of Issuance for such Series.

"*Council*" means the governing body of the City, acting as such or, as the context requires, as the governing body of the Enterprise.

"*Credit Facility*" means any letter or line of credit, policy of bond insurance, surety bond or guarantee or similar instrument issued by a financial, insurance or other institution which specifically provides security with respect to any Obligations.

"*Credit Facility Provider*" means the issuer of a Credit Facility.

"*CWCB Loan*" means the loan from the Colorado Water Conservation Board in the amount of $75,750,000. Such loan is secured by a second lien on the Net Pledged Revenues.

"*Debt Service Account*" means the special account described below under the caption "THE GENERAL ORDINANCE—Special Accounts—Debt Service Account," which is created and referred to in the General Ordinance.

"*Debt Service Requirements*" means the principal of and interest on, and any premium due in connection with the redemption of, any Obligations, including the initial and periodic fees payable to any Credit Facility Provider or Liquidity Facility Provider with respect to such Obligations, but excluding any amounts provided for with capitalized interest or other funds actually on hand and irrevocably committed to the payment of Debt Service Requirements. If there is in effect with respect to an Obligation any interest rate swap, cap, collar or similar arrangement limiting or offsetting interest rate costs or risks, the Debt Service Requirements shall include the net increase in or reduction of the Debt Service Requirements resulting or expected to result from such arrangement.

"*Debt Service Reserve Account*" means, with respect to a particular Series of Obligations, regardless of priority, a special account of the kind described below under the caption "THE GENERAL ORDINANCE—Special Accounts—Debt Service Reserve Accounts," which may be created by Series Ordinance.

"*DTC*" means The Depository Trust Company, New York, New York, or its successors.

"*Enterprise*" means the Utility Enterprise referred to in Article II of Chapter 138 of the Code.

"*Equip*" or "*Equipment*" means the furnishing of all necessary or desirable, related or appurtenant machinery and other facilities, or any combination thereof, appertaining to any property, project or interest therein.

"*Event of Default*" means any one of the events described below under the caption "THE INDENTURE—Events of Default."

"*Excess Investment Earnings Account*" means, with respect to a particular Series of Obligations, a special account which may be established by Series Ordinance for the purpose of accounting for arbitrage rebate payments to the federal government.

"*Federal Securities*" means bills, certificates of indebtedness, notes, or bonds which are direct obligations of, or the principal and interest of which obligations are unconditionally guaranteed by, the United States of America.

"*Final Terms Certificate*" means a certificate of the Director of Finance of the City, specifying the final terms of a Series of Obligations.

"*Finance Director*" means the Director of Finance of the City.

"*First-Lien Revenue Bonds*" means First-Lien Revenue Obligations issued in the form of Revenue Bonds and designated substantially as follows: "First-Lien Water [Improvement] [Refunding] Revenue Bonds, Series _____."

"*First-Lien Revenue Obligations*" means Obligations secured by a first lien upon the Net Pledged Revenues.

"*Fiscal Year*" means the 12 months commencing on the first day of January of any calendar year and ending on the last day of December of such calendar year or such other twelve-month period as may from time to time be designated by the Council or by State statute as the fiscal year of the City or the Enterprise.

"*Fixed Rate*" means an interest rate fixed to the maturity date of the Series 2016 Bonds.

"*Fixed Rate Obligation*" means an Obligation bearing interest at a rate or rates which are fixed for the term of the Obligation. Any instrument, including a stepped-coupon security, as to which all future interest rates can be determined as of its date of issuance is a Fixed Rate Obligation. A zero-coupon Obligation is a Fixed Rate Obligation.

"*General Ordinance*" means Ordinance No. 2003-18 of the City, as it may be amended from time to time.

"*Generally Accepted Accounting Principles*" means accounting principles, methods and terminology followed and construed for utilities and enterprises of governmental units, established by the Governmental Accounting Standards Board or any successor organization, as amended from time to time.

"*Improve*" or "*Improvement*" means the addition, extension, enlargement, betterment, replacement or improvement or any combination thereof, of facilities, other property, any project, or any interest therein, but not including reconstruction, replacement, repair or other renewal of existing facilities which the City determines not to capitalize for financial reporting purposes.

"*Income*" means all income from rates, fees or charges for the services furnished by, or the direct or indirect use of, the System, together with any interest income of the System attributable to the investment of moneys in the accounts created in this Ordinance and not specifically excluded from the lien of this Ordinance, but excluding borrowed moneys, grant moneys or other funds earmarked or designated by the grantor or other source for Improvements, moneys, securities, and investment income therefrom, in any escrow or similar account pledged to the payment of any refunded bonds or other legally defeased Obligations, unrealized gains or losses on investments, or income, charges or revenues from Special Facilities or funds drawn under a Credit Facility or Liquidity Facility and not specifically included in Income under a Series Ordinance, Supplemental Resolution or Final Terms Certificate. To the extent provided by Series Ordinance, Supplemental Resolution or Final Terms Certificate, the Income may include or exclude particular funds, accounts or revenues and may also include, for the purpose of determining compliance with the payment, accumulation and coverage requirements hereof, any other moneys contributed to the System for use in paying Debt Service Requirements or Operation and Maintenance Expenses.

"*Income Account*" means the special account described below under the caption "THE GENERAL ORDINANCE—Special Accounts," which is created and required to be maintained by the General Ordinance.

"*Independent Accountant*" means any certified public accountant, or any firm of such accountants, duly licensed to practice and practicing as such under the laws of the State, appointed and paid by the City, who (a) is, in fact, independent and not under the domination of the City or the Council, (b) does not have any substantial interest, direct or indirect, in any of the affairs of the City, and (c) is not connected with the City as a member, officer or employee of the Council, but who may be regularly retained to make annual or similar audits of any books or records of the City.

"*Installment Purchase Agreement*" means any financing arrangement in which title to the financed property is retained by the seller or lessor and conveyed to the City in increments or in whole upon payment in part or in whole of the Obligation evidenced thereby.

"*Interest Payment Date*" means a date designated by Supplemental Resolution or Final Terms Certificate for the payment of interest on any Series of Obligations.

"*Lease*" means a Capital Lease or an Operating Lease.

"*Liquidity Facility*" means any letter or line of credit, policy of insurance, surety bond or similar instrument issued by a financial, insurance or other institution which provides funds to facilitate the purchase or remarketing of any Tender Obligation.

"*Liquidity Facility Provider*" means the institution providing a Liquidity Facility.

"*Maximum Annual Debt Service Requirements*" means, with respect to all Series of Obligations, in the aggregate, for which the computation is being made, the greatest amount of Debt Service Requirements coming due in any single Fiscal Year when any such Series of Obligations is Outstanding, provided that there shall be excluded from such computation the principal of or interest on any Revenue Anticipation Notes, Bond Anticipation Notes, Commercial Paper or similar Obligations reasonably expected to be paid from proceeds of other Obligations or any other sources other than the Net Pledged Revenues.

"*Net Pledged Revenues*" means all Income remaining after the deduction of Operation and Maintenance Expenses.

"*Obligation*" means any bond, warrant, note, loan, security, Capital Lease, installment purchase arrangement or similar instrument evidencing the advancement of money or the deferral of payments of money which is payable in whole or in part from proceeds of other Obligations or from the Income or the Net Pledged Revenues, regardless of priority, or issued with respect to Special Facilities and payable from Project Revenues. The term Obligation includes repayment, reimbursement or similar obligations to Credit Facility Providers or Liquidity Facility Providers to the extent currently due and payable or as provided by Series Ordinance.

"*Operating Lease*" means a Lease which is not, or, under Generally Accepted Accounting Principles, is not permitted to be, capitalized for financial reporting purposes.

"*Operation and Maintenance Expenses*" means for any particular period, all reasonable and necessary current expenses, paid or accrued, of operating, maintaining and repairing the System, but only if such charges are made in conformity with Generally Accepted Accounting Principles. Operation and

Maintenance Expenses include, without limiting the generality of the foregoing, legal and overhead expenses of the various City departments directly related and reasonably allocable to the administration of the System, billing, payments under Operating Leases, insurance premiums, the reasonable charges of depository banks and paying agents, contractual services, professional services required by this Ordinance or any other applicable requirement, salaries and administrative expenses, labor and the cost of materials and supplies used for current operations, but shall not include any allowance for depreciation, capital replacement or obsolescence charges or reserves, Debt Service Requirements, liabilities incurred by the City or the Enterprise as the result of its negligence (as determined by a court of law) in the operation of the System or Improvements, extensions, enlargements or betterments.

"*Outstanding*" means, as of any particular date, all Obligations which have been authorized, executed and delivered, except the following:

(a) Any Obligation cancelled by the Paying Agent or otherwise on behalf of the City on or before such date;

(b) Any Obligation held by or on behalf of the City;

(c) Any Obligation for the payment or the redemption of which moneys or Federal Securities sufficient (including the known minimum yield available for such purpose from Federal Securities in which such amount wholly or in part may be initially invested) to pay all of the Debt Service Requirements of such Obligation to the maturity date or specified Redemption Date thereof shall have theretofore been deposited in escrow or in trust with a Trust Bank for that purpose; and

(d) Any lost, destroyed, or wrongfully taken Obligation in lieu of or in substitution for which another Obligation shall have been executed and delivered.

"*Owner*" means the holder of any bearer instrument or registered owner of any registered instrument evidencing an Obligation, and, with respect to the Series 2016 Bonds, the registered or beneficial owner of any Bond.

"*Paying Agent*" means a suitable institution or City official designated by Supplemental Resolution or Final Terms Certificate to perform the duties of Paying Agent in connection with any Series Ordinance.

"*Permitted Investments*" means any investment which, as of the time made, is permitted by the laws of the State, the ordinances of the City pertaining to City investments or the applicable Series Ordinance, Supplemental Resolution or Final Terms Certificate to be made with City funds.

"*Person*" means any individual, corporation, partnership, limited partnership, joint venture, association, joint-stock company, trust, unincorporated association, limited liability corporation or partnership, or governmental entity or any agency or subdivision thereof, or other legal entity or group of entities.

"*Principal*" means the principal of an Obligation, including mandatory sinking fund payments whether or not such mandatory sinking fund payments result in a redemption of Obligations.

"*Principal Payment Date*" means any date upon which the principal amount of Series 2016 Bonds is due hereunder at maturity or on any Redemption Date.

"*Project Revenues*" means revenues attributable to a Special Facility.

"*Purchase Date*" means the date upon which any Series 2016 Bond is tendered or deemed tendered for purchase pursuant to the Indenture.

"*Purchase Price*" means an amount equal to the principal amount of any Series 2016 Bonds plus accrued interest, if any.

"*Purchaser*" means the original purchaser of any Obligations, and, under the Series Ordinance, each of the original purchasers of the Series 2016 Bonds.

"*Qualified Surety*" means, with respect to a particular Series of Obligations, a financial institution having a long-term debt rating or ratings not lower than the rating or ratings of such Series of Obligations.

"*Rating Agency*" means each nationally recognized securities rating agency maintaining a rating on the Series 2016 Bonds at the request of the City, with the approval of the Insurer.

"*Record Date*" means a Regular Record Date or a Special Record Date, as appropriate.

"*Redemption Date*" means the date fixed for the redemption or prepayment prior to maturity of any Obligations payable from the Net Pledged Revenues in any notice of prior redemption or prepayment given by or on behalf of the City.

"*Registrar*" means a suitable institution or City official designated by Supplemental Resolution or Final Terms Certificate to perform the duties of Registrar in connection with any Series Ordinance.

"*Regular Record Date*" means the date designated by Series Ordinance, Supplemental Resolution or Final Terms Certificate as the regular record date applicable to a particular Series of Obligations for purposes of identifying or making payments to the Owner or Owners thereof.

"*Revenue Anticipation Note*" means an Obligation issued in the manner contemplated by the General Ordinance for the purpose of funding temporary cash flow deficiencies related to the System.

"*Securities Depository*" means the Securities Depository appointed pursuant to the Indenture, or any substitute Securities Depository, or any successor to any of them.

"*Security*" or "*Securities*" means any Obligation issued by the City either directly or acting by and through the Enterprise, issued in a form commonly purchased and sold in established securities markets.

"*Series*" means an identifiable grouping designated by Supplemental Ordinance, Supplemental Resolution or Final Terms Certificate and consisting of Obligations issued on the same date and having the same security. More than one Series may be issued on the same date having either the same or different security.

"*Series Ordinance*" means an ordinance supplementing the General Ordinance and authorizing the issuance of a particular Series of Obligations pursuant to the provisions thereof.

"*Series 2016 Bonds*" means the First-Lien Water Refunding Revenue Bonds, Series 2016.

"*Series 2016 Costs of Issuance Subaccount*" means the subaccount created within the Series 2016 Capital Project Account and required to be maintained pursuant to the Series Ordinance, to account for Costs of Issuance of the Series 2016 Bonds.

"*Series 2016 Excess Investment Earnings Account*" means the special account created and required to be maintained pursuant to the arbitrage rebate provisions of the Series Ordinance.

"*Series 2016 Debt Service Accounts*" means the Series 2016 Principal Account and the Series 2016 Interest Account.

"*Series 2016 Interest Account*" means the special account established with the Trustee pursuant to the Series 2016 Series Ordinance, which is to be administered as provided in the Series 2016 Series Ordinance.

"*Series 2016 Principal Account*" means the special account established with the Trustee pursuant to the Series 2016 Series Ordinance, which is to be administered as provided in the Series 2016 Series Ordinance.

"*Series 2016 Refunding Project*" means the refunding, payment and discharge of any portion of the City's Series 2007A and Series 2008A Bonds and the CWCB Loan, previously issued and outstanding for System improvements.

"*Service Charge*" means the monthly charge provided for in City Code Section 138-223 or any successor or equivalent provision.

"*Service Connection Fee*" means the water service connection fee provided for in City Code Section 138-221 or any successor or equivalent provision.

"*Special Facility*" means any property financed or refinanced for water purposes upon the express condition that it shall be financed or refinanced with Special Facilities Obligations and excluded from the System during the time such Special Facilities Obligations are Outstanding.

"*Special Facilities Obligations*" means Obligations issued to finance or refinance Special Facilities. Special Facilities Obligations are not to be secured by a lien on the Net Pledged Revenues.

"*Special Record Date*" means the date fixed by the Paying Agent to determine ownership of any Series of Obligations for the purpose of paying interest not paid when due or interest accruing after maturity.

"*State*" means the State of Colorado.

"*Subordinate Revenue Obligations*" means Obligations payable from the Net Pledged Revenues having a lien thereon subordinate or junior to the lien thereon of the First-Lien Revenue Obligations. The term Subordinate Revenue Obligations includes any currently Outstanding Obligations which by their terms have a junior or subordinate claim to System revenues or the Income or Net Pledged Revenues.

"*Superior Obligations*" means Obligations payable from the Net Pledged Revenues having a lien thereon superior or senior to the lien thereon of the First-Lien Revenue Obligations.

"*Supplemental Public Securities Act*" means Part 2 of Article 57, Title 11, Colorado Revised Statutes.

"*Supplemental Resolution*" or "*Supplemental Resolutions*" means a resolution or resolutions of the Council approving the final terms of any particular issue of Obligations and their award to the Purchaser or Purchasers thereof and determining any details reasonably necessary or appropriate in connection therewith in order to effectuate or to clarify the applicable provisions of this Ordinance or the applicable Series Ordinance and to direct the consummation of the transactions contemplated hereby.

"*Supply Assets*" means those assets of the System which constitute the raw water supply components of the System, including, without limitation, absolute, conditional and inchoate water rights of all kinds including rights to return flows, or permits or rights to the use of tributary or nontributary groundwater together with diversion structures, pipelines, flumes, reservoirs, storage tanks and any other property, tangible or intangible, used directly or indirectly to obtain or store raw water for treatment and distribution through the Treatment and Distribution Assets.

"*System*" means the Water System.

"*Tax Code*" means the Internal Revenue Code of 1986, as amended.

"*Transfer Agent*" means a suitable institution or City official designated by Supplemental Resolution or Final Terms Certificate to perform the duties of Transfer Agent in connection with any Series Ordinance.

"*Treatment and Distribution Assets*" means those assets of the System which constitute the water treatment and distribution components of the System, including, without limitation, treatment plants or facilities, treated water storage, pumping or distribution facilities, water mains and all tangible or intangible property (excluding water rights) used in connection with water treatment and the furnishing of potable or nonpotable water to customers of the System, including the City.

"*Trust Bank*" means a Commercial Bank which is authorized to exercise and is exercising trust powers.

"*Variable Rate Obligation*" means any Obligation, including, without limitation, an auction rate Obligation, issued with a variable, adjustable, convertible or other similar interest rate which is not fixed for the entire term of such Obligation. The interest rate payable with respect to a Variable Rate Obligation may be determined under a remarketing arrangement, with or without reference to an index, through an auction procedure, or by any other procedure determined by Series Ordinance, provided that the Series Ordinance shall in any event establish the maximum rate which may be payable with respect to such Variable Rate Obligation.

"*Water Enterprise Fund*" means the funds and accounts of the City used to account for the financial operations of the System as a whole.

"*Water System*" or "*System*" means the municipal water system presently owned and operated by the City, acting by and through the Enterprise, together with all Equipment and Improvements to such water system (but excluding Special Facilities), and any other property or facilities hereafter specifically added to the water system by ordinance of the Council. The term Water System or System includes both the Supply Assets and the Treatment and Distribution Assets and may include, as determined by Council, any assets at the time permitted by law to be acquired or operated in connection with the System. The service area of the System includes the present service area together with any additional areas permitted by law and designated by the Council, less any areas removed by action of the Council as permitted by law.

## THE GENERAL ORDINANCE

### System and Special Facilities Obligations

***Classes of Obligations Issuable Under the General Ordinance***. The following types of Obligations are authorized to be issued or contracted under the General Ordinance for any lawful purpose relating to the System:

(a) First-Lien Revenue Bonds and other types of First-Lien Revenue Obligations;

(b) Subordinate Revenue Bonds and other types of Subordinate Revenue Obligations;

(c) Special Facilities Revenue Bonds and other Special Facilities Obligations;

(d) Capital Leases and Installment Purchase Agreements;

(e) Revenue Anticipation Notes and similar Obligations;

(f) Bond Anticipation Notes and similar Obligations; and

(g) Commercial Paper.

Any Obligation may be issued as either a Fixed Rate Obligation or a Variable Rate Obligation. Any Obligation may be issued as a Tender Obligation. Any Obligation may be issued with a Credit Facility and/or Liquidity Facility. There may be obtained, in connection with any Obligation, any interest rate swap, cap, collar or similar arrangement limiting or offsetting interest rates or interest rate costs or risks as may be provided by Series Ordinance, Supplemental Resolution or Final Terms Certificate.

Nothing in the General Ordinance prevents the City from issuing general obligation bonds or other obligations secured in whole or in part by the full faith, credit or taxing power of the City, or by a pledge of any source of revenue other than the Income, for the purpose of financing or refinancing improvements to the System. Any such Obligation may also be secured by a pledge of the Net Pledged Revenues, but only to the extent that it is issued in compliance with the provisions of the General Ordinance.

***Terms of First-Lien Revenue Obligations***. First-Lien Revenue Obligations are required to be issued pursuant to one or more Series Ordinances, incorporating the provisions of the General Ordinance by reference. Series Ordinances for First-Lien Revenue Obligations may provide for the maximum principal amounts, interest rates, redemption provisions, execution and authentication provisions, registration, transfer and exchange provisions, book-entry form provisions, if any, provisions for Credit Facilities or Liquidity Facilities, if any, tender provisions, if any, and such other matters, not inconsistent with the General Ordinance, as Council shall reasonably determine. The final terms of any Series of First-Lien Revenue Obligations may be established by Supplemental Resolution or, if provided in the applicable Series Ordinance, by a Final Terms Certificate. First-Lien Revenue Bonds of a particular Series, or notes or other instruments evidencing other types of First-Lien Revenue Obligations, are required to be substantially in the form provided in the applicable Series Ordinance, which form may contain such additional or different provisions, not inconsistent with the General Ordinance, as are appropriate or necessary, or as may be required by law at the time such First-Lien Revenue Bonds are issued. The Series Ordinance authorizing a Series of First-Lien Revenue Obligations may or may not

provide for the establishment of a Debt Service Reserve Account or an Excess Investment Earnings Account in connection with such Series.

***Terms of Subordinate Revenue Obligations***. Subordinate Revenue Obligations are required to be issued pursuant to one or more Series Ordinances, incorporating the provisions of the Series Ordinance by reference. Series Ordinances for Subordinate Revenue Obligations may provide any reasonably required details with respect to such Subordinate Revenue Obligations and to expressly provide that such Subordinate Revenue Obligations are payable from and secured by a lien upon the Net Pledged Revenues expressly junior and inferior to the lien securing First-Lien Revenue Obligations and to clearly and conspicuously state any other limitations on the security therefor. Subordinate Revenue Obligations may be issued on a parity-lien basis with each other, or with claims to the Net Pledged Revenues having different relative priorities. The Series Ordinance authorizing a Series of Subordinate Revenue Obligations may or may not provide for the establishment of a Debt Service Reserve Account or an Excess Investment Earnings Account in connection with such Series.

***Special Facilities Obligations***. Special Facilities Obligations are required to be entered into by ordinance, which ordinance is required to include findings as to the need for separate financing of the Capital Project or Improvements being financed as a Special Facility and the necessity of the related Project Revenues being used exclusively for the financing of the Special Facility. Special Facilities Obligations are required to be payable exclusively from Project Revenues and are not permitted to be secured by a lien on the Net Pledged Revenues. Nothing in the General Ordinance prevents a Special Facility from being incorporated into the System upon the payment or provision for payment of all Special Facilities Obligations associated with such Special Facility.

***Capital Leases and Installment Purchase Agreements***. Capital Leases and Installment Purchase Agreements may be entered into pursuant to one or more Series Ordinances. The leasehold or other interest of the City in the property being acquired under a Capital Lease or Installment Purchase Agreement is to be included in the System (for all purposes except certain prohibitions and limits on the disposition of System property in the General Ordinance) for so long as the Capital Lease or Installment Purchase Agreement is in effect and is to be included in the System for all purposes of the General Ordinance after the City acquires title thereto. Subject to compliance with the provisions of the General Ordinance, the payment obligations of the City under any such Capital Lease or Installment Purchase Agreement may be entered into as First-Lien Revenue Obligations or Subordinate Revenue Obligations as provided in the applicable Series Ordinance.

***Revenue Anticipation Notes***. Revenue Anticipation Notes may be issued pursuant to one or more Series Ordinances for the purpose of funding temporary cash flow deficiencies related to the System, provided that (a) any such Obligations mature not later than thirty days after the close of the Fiscal Year in which they are issued; (b) such Obligations are not secured by a first lien upon the Net Pledged Revenues and (c) such Obligations are made payable from the Net Pledged Revenues on a subordinate lien basis.

***Bond Anticipation Notes***. For the purpose of obtaining short-term financing of Capital Projects, Bond Anticipation Notes may be issued pursuant to one or more Series Ordinances. Bond Anticipation Notes may be made payable from sources which may include (i) their own proceeds, (ii) the proceeds of Obligations (including other Bond Anticipation Notes) which the Finance Director has certified are reasonably expected to be issued within five years of the date of issuance of such Bond Anticipation Notes or (iii) the Net Pledged Revenues on any priority permitted under Article Five hereof.

***Commercial Paper***. Commercial Paper may be issued from time to time on terms and for purposes, specified by Series Ordinance, not inconsistent with the General Ordinance and may be sold on

either a discounted basis or accruing and paying interest, or both. Commercial Paper may be made payable from any legally available funds, including, without limitation, proceeds of Commercial Paper or other Obligations, funds available under Liquidity Facilities or Credit Facilities, or Net Pledged Revenues of the System available for such purposes, on any priority permitted by the provisions of the General Ordinance governing priorities, liens and the issuance of additional obligations. Commercial Paper may be issued as First-Lien Obligations, Subordinate Revenue Obligations or on an unsecured basis.

**Special Accounts**

There are established and maintained pursuant to the General Ordinance, for the benefit of all owners of Outstanding Obligations, the following special accounts, together with such other accounts as may be designated by Series Ordinance.

***Income Account***. Except as otherwise provided in the General Ordinance, the entire Income, upon receipt thereof from time to time by the City, is to be set aside and credited immediately to a special account to be known as the Income Account, which may be maintained as a subfund, account or subaccount of the Water Enterprise Fund. In addition, the City may at its option credit to the Income Account any other moneys of the City legally available for expenditure for the purposes of the Income Account as provided in the General Ordinance. The Income Account is to be administered and the moneys on deposit therein deposited and applied in the following order of priority:

(1) FIRST, to the payment of Operation and Maintenance Expenses;

(2) SECOND, to the Debt Service Account to pay the Debt Service Requirements of any First-Lien Obligations then Outstanding;

(3) THIRD, to the extent required, to the Debt Service Reserve Account or Accounts, if any;

(4) FOURTH, to the payment of the Debt Service Requirements of Subordinate Revenue Obligations; and

(5) FIFTH, to be used monthly, for any lawful purpose of the City or the Enterprise.

Moneys in any or all of the foregoing accounts may, to the extent provided by Supplemental Resolution, be made subject to transfer to an Excess Investment Earnings Account. In order to give effect to the requirements of both the Code and the General Ordinance the City may, to the extent necessary, advance, subject to reimbursement, moneys required for the payment of Operation and Maintenance Expenses from funds earmarked for Improvements or Capital Projects, and may also, to the extent necessary, advance, subject to reimbursement, Net Pledged Revenues required for the payment of the Debt Service Requirements of Obligations from funds earmarked for Operation and Maintenance Expenses, including the Operation and Maintenance Account. Nothing in the General Ordinance prevents the City from creating subfunds or subaccounts for the purpose of recording the payments and accumulations made hereunder in a manner consistent with the accounting principles which may be employed by the City from time to time.

***Operation and Maintenance Expenses***. As a first charge on the Income Account, there are to be promptly paid the Operation and Maintenance Expenses of the System as they become due and payable.

***Debt Service Account***. The General Ordinance establishes, for the benefit of all Owners of First-Lien Revenue Obligations, a special account to be known as the Debt Service Account. Subject to

the payments, if any, required to be made to Debt Service Reserve Accounts, for so long as any First-Lien Revenue Obligations are Outstanding, the City agrees to deposit in the Debt Service Account from the Net Pledged Revenues, on or before the last day of each month beginning with the month of issuance of any First-Lien Revenue Obligations, the amount of interest accruing on such First-Lien Revenue Obligations during said month (with a credit for the amount of any accrued or capitalized interest deposited in the Debt Service Account and not theretofore credited) and (except in the case of Revenue Anticipation Notes, Bond Anticipation Notes, Commercial Paper or similar obligations) a ratable portion of the next installment of principal coming due on such First-Lien Revenue Obligations within the succeeding twelve (12) calendar months, together with funds sufficient to make up any deficiency in such payments in any past month.

Such interest and principal are required to be promptly paid when due.

The moneys credited to the Debt Service Account, excluding any investment earnings which may be required to be rebated to the federal government, are to be used to pay the Debt Service Requirements of all First-Lien Revenue Obligations then Outstanding, as such Debt Service Requirements become due, except as otherwise provided in the General Ordinance. The Debt Service Account is also to be maintained as a sinking fund for the mandatory redemption of any First-Lien Revenue Obligations which are subject to mandatory sinking fund redemption.

Nothing in the General Ordinance prevents the City from creating separate principal and interest subaccounts within the Debt Service Account for separate Series of First-Lien Revenue Obligations and accounting separately for any deposits made thereto on account of separate Series of First-Lien Revenue Obligations, if such action is deemed by the City to be necessary or desirable in order to comply with any statute or regulation governing the excludability from gross income for federal income tax purposes of interest on such First-Lien Revenue Obligations or for any other reason, provided that any such separate subaccounts have claims to the Net Pledged Revenues equal to and on a parity with those of the other such subaccounts.

***Debt Service Reserve Accounts***. In connection with any Series of Obligations, the City may provide by Series Ordinance for the establishment of a Debt Service Reserve Account for such Series, in such amount, if any, and on such specific terms as determined by such Series Ordinance or a Supplemental Resolution or Final Terms Certificate.

If, as to any Series of First-Lien Obligations for which a Debt Service Reserve Account has been established, the City shall at any time or for any reason fail to pay into the Debt Service Account the full amount stipulated by Supplemental Resolution or Final Terms Certificate, then at such time an amount is to be paid into the Debt Service Account, or a subaccount thereof associated with such Series of First-Lien Obligations, from the Debt Service Reserve Account established for such Series, equal to the difference between that paid from the Net Pledged Revenues and the full amount so stipulated. The money so used is to be replaced to the Debt Service Reserve Account from the first moneys credited to the Income Account thereafter received and not required by the General Ordinance to be otherwise applied to Operation and Maintenance Expenses or to the Debt Service Account. If First-Lien Revenue Obligations are Outstanding and the Series Ordinances authorizing the issuance of those Obligations require the replacement of moneys in separate Debt Service Reserve Accounts therefor, then the moneys replaced in the Debt Service Reserve Accounts are to be replaced on a pro rata basis based upon the relative principal amounts of the then Outstanding Series of First-Lien Revenue Obligations, as moneys become available therefor. If at any time the City fails to pay into the Debt Service Reserve Account, if any, the full amount stipulated in the applicable Series Ordinances from the Net Pledged Revenues, the difference between the amount paid and the amount so stipulated is to be paid therein from the first moneys credited to the Income Account thereafter received and not required to be applied otherwise by

the provisions of the General Ordinance relating to payment of Operation and Maintenance Expenses and amounts required to be deposited to the Debt Service Account.

Nothing in the General Ordinance limits the right of the City to substitute, as to all or a portion of any Debt Service Reserve Account, for the cash deposit required to be maintained in such Debt Service Reserve Account, an instrument such as a letter of credit, surety bond, insurance policy, agreement guaranteeing payment, or other undertaking of a Credit Facility Provider to ensure that cash in the amount otherwise required to be maintained under the General Ordinance will be available to the City as needed, provided that any such substitution does not cause the then-current rating or ratings of the Outstanding Obligations to be adversely affected. In connection with any such instrument, the City may enter into an Obligation with the Credit Facility Provider to reimburse the Credit Facility Provider for any amounts drawn thereunder, with interest. Nothing in the General Ordinance limits the right of the City to substitute cash for any such instrument.

***Termination of Deposits***. No payment need be made into the Debt Service Account or the Debt Service Reserve Account with respect to any Series of Obligations if the amounts in the Debt Service Account and the amount in the Debt Service Reserve Account with respect to such Series of Obligations total a sum at least equal to the entire amount of the Outstanding Obligations of such Series, as to all Debt Service Requirements, to their respective maturities or to any Redemption Date or Redemption Dates as of which the City shall have exercised or shall have obligated itself to exercise its option to redeem, prior to their respective maturity dates, any Obligations of such Series then outstanding and thereafter maturing. Solely for this purpose, there is deemed to be a credit to the Debt Service Reserve Account of moneys, Federal Securities and bank deposits, or any combination thereof, accounted for in any other fund or account of the City, or held in escrow or in trust as provided in the defeasance provisions of the General Ordinance, and restricted solely for the purpose of paying the Debt Service Requirements of such Series of Obligations. In any such case, moneys in the Debt Service Account and the Debt Service Reserve Account established for such Series or in any other fund or account pledged or restricted to payment of such Series in an amount, except for any known interest or other gain to accrue from any investment or deposit of moneys pursuant to the General Ordinance from the time of any such investment or deposit to the time or respective times the proceeds of any such investment or deposit shall be needed for such payment, at least equal to such Debt Service Requirements, are to be used together with any such gain from such investments and deposits first to pay such Debt Service Requirements as the same become due. Any moneys in excess thereof in the Debt Service Account and the Debt Service Reserve Account or in any other fund or account pledged or restricted to payment of such Series and any other moneys derived from the Income or otherwise pertaining to the System may be used in any lawful manner determined by the City.

***Payment of Subordinate Revenue Obligations***. After there has been deposited or provided for an amount sufficient to make the payments and accumulations described above, any moneys remaining in the Income Account for such month may be used by the City for the payment of Debt Service Requirements of Subordinate Revenue Obligations payable from the Net Pledged Revenues and authorized to be issued in accordance with the General Ordinance, including reasonable requirements for payments to reserves for such Subordinate Revenue Obligations; but the lien of such Subordinate Revenue Obligations upon the Net Pledged Revenues and the pledge thereof for the payment of such Subordinate Revenue Obligations are subordinate and junior to the lien and pledge securing First-Lien Revenue Obligations.

***Use of Remaining Revenues***. Monthly, after the payments described above required during said month have been made or provided for, or whenever in any month there shall have been credited all amounts required to be deposited in all of the special accounts established in connection with all Series of Obligations during said month, any remaining moneys credited to the Income Account are available to the

City and may be used, free of the lien of the General Ordinance, for the Acquisition of Improvements or other properties or facilities for the System or for any one or any combination of other lawful purposes of the City or Aurora Water as the City may from time to time determine.

**General Administration of Funds**

Each of the special accounts created or referred to in the General Ordinance is to be maintained as a book account of the City (which may be commingled for deposit or investment with other City moneys so long as it is separately identified and accounted for) and all moneys accounted for in such special accounts are required at all times to be either deposited in a Commercial Bank or invested in Permitted Investments. Nothing in the General Ordinance prevents the commingling for purposes of deposit or investment of moneys accounted for in any two or more City funds or accounts pertaining to the Income. Such funds or accounts are to be continuously secured to the fullest extent required or permitted by the laws of the State for the securing of public funds and are to be irrevocable and not withdrawable by anyone for any purpose other than the respective designated purposes of such funds or accounts. Each periodic payment is to be credited to the proper fund or account not later than the date therefor designated in the General Ordinance, except that when any such date shall be a day which is not a Business Day then such payment shall be made on or before the next Business Day.

***Investment of Funds***. Any moneys in any fund or account may be invested, reinvested or deposited only in Permitted Investments.

***No Liability for Losses Incurred in Performing Terms of General Ordinance, Series Ordinance, Supplemental Resolution or Final Terms Certificate***. Neither the City nor any officer of the City shall be liable or responsible for any loss resulting from any investment or reinvestment made in accordance with the General Ordinance, or a Series Ordinance, Supplemental Resolution or Final Terms Certificate.

**Priorities; Liens; Issuance of Additional Obligations**

The Net Pledged Revenues are irrevocably pledged and set aside to pay the Debt Service Requirements of the Obligations issued and outstanding under the General Ordinance. All Outstanding First-Lien Revenue Obligations collectively constitute an irrevocable and first lien (but not necessarily an exclusive first lien) upon the Net Pledged Revenues, having priority over any and all other obligations of the City with respect to the Net Pledged Revenues. Revenues pledged under the General Ordinance as received by or otherwise credited to the City, are immediately subject to the lien of such pledge without any physical delivery, filing, or further act. The Supplemental Public Securities Act provides that the lien of this pledge is valid, binding and enforceable against all persons having claims of any kind in tort, contract or otherwise against the City or the Enterprise irrespective of whether such persons have notice of such lien.

The First-Lien Revenue Obligations authorized to be issued and from time to time Outstanding are equitably and ratably secured by a first and prior lien on the Net Pledged Revenues and not entitled to any priority one over the other in the application of the Net Pledged Revenues regardless of the time or times of the issuance thereof, it being the intention of the Council that there shall be no priority among First-Lien Revenue Obligations, regardless of the fact that they may be actually issued and delivered at different times.

***Issuance of Additional First-Lien Revenue Obligations***. Nothing in the General Ordinance, except the limitations summarized below, prevents the issuance by the City of Additional First-Lien Revenue Obligations payable from the Net Pledged Revenues and constituting a lien on the Net Pledged

Revenues on a parity with, but not prior or superior to, the lien thereon of the Outstanding First-Lien Revenue Obligations. Before any such Additional First-Lien Revenue Obligations are authorized or actually issued the City is required to satisfy the following conditions:

(1) ***Absence of Default***. At the time of the adoption of the Series Ordinance authorizing the issuance of the Additional First-Lien Revenue Obligations, the City shall not be in default in making any payments required by Article Three hereof;

(2) ***Historic Net Pledged Revenues Tests***:

(a) Except as described below in the case of Additional First-Lien Revenue Obligations issued for the purpose of refunding less than all of the First-Lien Revenue Obligations then Outstanding, the Net Pledged Revenues for the last complete Fiscal Year or any consecutive twelve whole months of the last eighteen whole months prior to the issuance of the proposed Additional First-Lien Revenue Obligations, as certified by the City Manager or a Consulting Engineer or Independent Accountant, must have been equal to at least 120% of the Maximum Annual Debt Service Requirements of the First-Lien Revenue Obligations then Outstanding and the Additional First-Lien Revenue Obligations proposed to be issued, in the aggregate;

(b) If any adjustment in rates, fees or charges adopted by the City is to be effective during or prior to any Fiscal Year in which the Maximum Annual Debt Service Requirements occur, the City Manager, Consulting Engineer or Independent Accountant are to adjust the calculation of the Net Pledged Revenues to reflect the amount thereof that would have been received if such adjustment had been in effect throughout such Fiscal Year;

(c) For purposes of the historic Net Pledged Revenues test, when computing the Debt Service Requirements for any Series of Variable Rate Obligations, it is to be assumed that any Series of Variable Rate Obligations Outstanding at the time of the computation will have Debt Service Requirements during any period, if the actual interest rate for such period shall not have been determined, equal to the Debt Service Requirements obtained by applying the highest interest rate borne by such Series of Variable Rate Obligations during the two years immediately preceding the date of the computation. If such Series of Variable Rate Obligations has not been outstanding for two years immediately preceding the date of the computation, then it is to be assumed that such Series of Variable Rate Obligations will have Debt Service Requirements during any period, if the actual interest rate for such period shall not have been determined, equal to the Debt Service Requirements obtained by applying a fixed interest rate equal to 120% of the highest rate applicable within the two years immediately preceding the date of the computation under an index generally accepted in the securities industry for securities having comparable ratings and maturity or tender dates. It is further to be assumed that any Variable Rate Obligations which are Tender Obligations will mature on their stated maturity or mandatory redemption dates; and

(d) In the case of Additional First-Lien Revenue Obligations issued for the purpose of refunding less than all of the First-Lien Revenue Obligations then Outstanding, compliance with the historic Net Pledged Revenues test is not required so long as the aggregate Debt Service Requirements payable as to all First-Lien Revenue Obligations Outstanding after the issuance of such Additional First-Lien Revenue Obligations do not exceed the aggregate Debt Service Requirements payable on all

First-Lien Revenue Obligations Outstanding prior to the issuance of such Additional First-Lien Revenue Obligations.

In applying the tests summarized in I above, the references to the "highest interest rate" shall mean the highest interest rate applicable for any consecutive five-week period in such two-year period.

***Subordinate Revenue Obligations Permitted***. Nothing in the General Ordinance, except the limitations stated below or in a Series Ordinance, Supplemental Resolution or Final Terms Certificate, prevents the City from issuing Subordinate Revenue Obligations for any lawful purpose.

***Superior Obligations Prohibited***. Nothing in the General Ordinance permits the City to issue Superior Obligations.

***Series Ordinances; Payment Dates of Obligations***. Additional First-Lien Revenue Obligations or Subordinate Revenue Obligations are to be issued only after authorization thereof by Series Ordinance. All Additional First-Lien Revenue Obligations are to bear such date, and be subject to redemption prior to maturity, on such terms and conditions as may be provided, and shall bear interest at such rate or rates as may be determined, by Series Ordinance, Supplemental Resolution or Final Terms Certificate. Nothing in the General Ordinance prohibits the issuance of Additional First-Lien Revenue Obligations and Subordinate Revenue Obligations payable from the Net Pledged Revenues, the principal of which is payable more frequently than annually or the interest on which is payable more frequently than semiannually.

**Covenants of the General Ordinance**

The City particularly covenants and agrees with the Owners of the Obligations Outstanding from time to time, and makes the following covenants and provisions which shall be a part of its contract with such Owners, and shall be kept by the City continuously until all Obligations issued under the General Ordinance have been fully paid and discharged:

***Rate Maintenance Covenant***. The City agrees to prescribe, revise, and collect fair and reasonable rates, fees and charges for use of the System which shall produce Income sufficient, together with any other moneys legally available therefor and credited to the Income Account, to make the payments and accumulations required by the General Ordinance and any Series Ordinance, Supplemental Resolution or Final Terms Certificate; and which shall produce Net Pledged Revenues in each ensuing Fiscal Year at least equal to the sum of 120% of the Combined Annual Debt Service Requirements of all Outstanding First-Lien Revenue Obligations and 105% of the Combined Annual Debt Service Requirements of all Outstanding Subordinate Revenue Obligations, plus any amounts required to meet then existing deficiencies pertaining to any fund or account relating to the Net Pledged Revenues or any securities payable therefrom.

The Council is to increase rates, fees and charges in such manner and to such extent as to reasonably ensure the payments and accumulations required by the provisions of the General Ordinance.

For purposes of determining compliance with the rate maintenance covenant, it is to be assumed that any Series of Variable Rate Obligations Outstanding at the time of the computation will have Debt Service Requirements during any period, if the actual interest rate for such period shall not have been determined, equal to the Debt Service Requirements obtained by applying the highest interest rate borne by such Series of Variable Rate Obligations during the two (2) years immediately preceding the date of the computation. If such Series of Variable Rate Obligations has not been Outstanding for two (2) years immediately preceding the date of the computation, then it is to be assumed that such Series of Variable

Rate Obligations will have Debt Service Requirements during any period, if the actual interest rate for such period shall not have been determined, equal to the Debt Service Requirements obtained by applying a fixed interest rate equal to 120% of the highest rate applicable within the two (2) years immediately preceding the date of the computation under an index generally accepted in the securities industry for securities having comparable ratings and maturity or tender dates. It is further to be assumed that any such Variable Rate Obligations which are Tender Obligations will mature on their stated maturity or mandatory redemption dates.

Reference to the "highest interest rate" shall mean the highest interest rate applicable for any consecutive five week period in such two year period.

***User Charges***. The City agrees to establish and maintain a system of user charges to assure that each customer's equitable share of the Costs of Operation and Maintenance Expenses, Debt Service Requirements, Improvements and replacements of the System shall be paid.

The foregoing does not prevent the deferment, or assumption, or both, of all or a portion of Service Connection Fees (but not Service Charges) in the case of a commercial or industrial customer or prospective commercial or industrial customer of the System where:

(1) the amount of such assumption is paid in full when due or over time, from sources other than the commercial or industrial customer or prospective commercial or industrial customer of the System, including, without limitation, from a City fund other than an enterprise or internal service fund, provided that if such source is a City fund, Council has determined that the City can reasonably be expected to benefit over time from economic development related to such customer or prospective customer; *or*

(2) the deferment of such fees is granted in return for a water Service Connection Fee surcharge added to the water Service Charge rate paid by such commercial or industrial customer or prospective commercial or industrial customer, which surcharge fully compensates the System for the amount deferred.

No deferment or assumption of Service Connection Fees is to be granted with respect to any residential unit. No deferment or assumption of Service Connection Fees is to be granted unless the Council has determined that such deferment or assumption will not materially impair the financial condition of the Water Enterprise Fund. No customer or prospective customer of the System shall ever be entitled to a deferment or assumption of Service Connection Fees as a matter of right. The decision to allow deferment or assumption of any Service Connection Fee over time, whether as a Service Connection Fee surcharge or otherwise, is required to take into account the cash flow needs of the System, and no deferment or assumption is in any event permitted to extend beyond 10 years. All payments with respect to Service Connection Fee deferments and assumptions over time may include an interest rate component sufficient to compensate the System for the time value of money, the administrative costs of the transaction and the risk associated with time payments. Further, any payment due with respect to an assumption by a City fund is to be evidenced by a formal interfund agreement approved by Council.

Nothing in the General Ordinance limits the ability of the City to adopt a separate rate schedule for out-of-City customers. The City agrees to cause all rates, fees and charges to be billed promptly and collected as soon as reasonable, and to prescribe and enforce rules and regulations or impose contractual obligations for the payment thereof, to the end that the Net Pledged Revenues are adequate to meet the requirements of the General Ordinance and any other ordinance or instrument supplemental thereto. The rates, fees and charges are required to be collected in any lawful manner.

***No Free Service***. The City agrees not to furnish or supply, or cause to be furnished or supplied, any use, output, capacity or service of the System free of charge to any Person.

The waiver of all or a portion of Service Connection Fees when due or as deferred or assumed, with or without interest, or Service Connection Fee surcharges (but not Service Charges) in the case of a commercial or industrial customer or prospective commercial or industrial customer of the System is permitted where Council determines that the cost of such waiver is or will be offset by the value of anticipated economic benefits to the System. The total amount of such Service Connection Fees or Service Connection Fee surcharges waived by the Water Utility Enterprise Fund is not permitted to exceed $200,000 during Fiscal Year 2003, which annual limit increases by $4,000 in each succeeding Fiscal Year. No waiver of Service Connection Fees or Service Connection Fee surcharges may be granted with respect to any residential unit. No customer or prospective customer of the System is entitled to a waiver of Service Connection Fees or Service Connection Fee surcharges as a matter of right.

***Performance of Duties***. The City, acting by and through its officers, or otherwise, agrees to faithfully and punctually perform, or cause to be performed, all duties with respect to the Income and the System required by the Constitution and laws of the State and the ordinances, resolutions and contracts of the City, including without limitation the proper segregation of the proceeds of Outstanding Obligations and the Income and their application from time to time to the respective funds provided therefor.

***Costs of Issuance and of Performance of Obligations***. Costs of Issuance and Performance of Obligations. Except as otherwise provided in the General Ordinance, all costs and expenses incurred in connection with the issuance of Obligations, the payment of the Debt Service Requirements, or the performance of or compliance with any covenant or agreement contained in the General Ordinance or any Series Ordinance, Supplemental Resolution or Final Terms Certificate are to be paid exclusively (but only from the appropriate special fund or account in the manner authorized in the General Ordinance) from the proceeds of the Obligations, the Net Pledged Revenues (in the manner and to the extent provided in the General Ordinance) or other legally available moneys, and in no event are any of such costs or expenses required to be paid out of or charged to the general fund of the City.

***Contractual Obligations***. The City agrees that it will perform all contractual obligations undertaken by it under its contract with the Purchaser of any Series of Obligations and any other agreements relating to the Obligations, the Income or the System.

***Further Assurances***. At any and all times the City agrees, so far as it may be authorized by law, to pass, make, do, execute, acknowledge, deliver and file or record all and every such further instruments, acts, deeds, conveyances, assignments, transfers, other documents and assurances as may be necessary or desirable for the better assuring, conveying, granting, assigning and confirming the rights, the Net Pledged Revenues and other funds pledged or assigned, or intended so to be, or which the City may become bound to pledge or assign, or as may be reasonable and required to carry out the purposes of the General Ordinance. The City, acting by and through its officers, or otherwise, agrees at all times, to the extent permitted by law, to defend, preserve and protect the pledge of the Net Pledged Revenues and other funds and accounts pledged under the General Ordinance and all the rights of every owner of any of the Obligations issued under the General Ordinance against all claims and demands of all Persons.

***Conditions Precedent***. Upon the date of issuance of any Obligations, all conditions, acts and things required by the Constitution or laws of the United States of America, the Constitution or laws of the State, the Charter, the Code and the General Ordinance to exist, to have happened, and to have been performed precedent to or in the issuance of the Obligations are to exist, have happened and have been performed, and the Obligations being issued, together with all other Obligations, are not to contravene

any debt or other limitation prescribed by the Constitution or laws of the United States of America, the Constitution or laws of the State, the Charter or the Code.

***Efficient Operation and Maintenance***. The City agrees that it shall at all times operate the System properly and in a sound and economical manner. The City agrees to maintain, preserve and keep the System properly or cause the same so to be maintained, preserved, and kept, with the appurtenances and every part and parcel thereof in good repair, working order and condition, and from time to time to make or cause to be made all necessary and proper repairs, replacements and renewals so that at all times the maintenance of the System may be properly and advantageously conducted. All salaries, fees, wages and other compensation paid by the City in connection with the repair, maintenance and operation of the System are to be fair and reasonable.

***Records and Accounts***. The City is to keep proper books of record and account, separate and apart from all other records and accounts, showing complete and correct entries of all transactions relating to the funds referred to in the General Ordinance.

***Rules, Regulations and Other Details***. The City, acting by and through its officers, is to establish and enforce reasonable rules and regulations governing the construction, operation, care, repair, maintenance, management, control, and use of the System. The City is to observe and perform all of the terms and conditions of the General Ordinance and any Series Ordinance, Supplemental Resolution or Final Terms Certificate.

***Payment of Governmental Charges***. The City agrees in the General Ordinance to pay or cause to be paid all taxes and assessments or other municipal or governmental charges, if any, lawfully levied or assessed upon or in respect of the System, or upon any part thereof, or upon any portion of the Income, when the same shall become due, and to duly observe and comply with all valid requirements of any municipal or governmental authority relative to the System, or any part thereof, except for any period during which the same are being contested in good faith by proper legal proceedings. The City agrees not to create or suffer to be created any lien or charge upon the System, or any part thereof, or upon the Income, except the pledge and lien created by the General Ordinance, the Series Ordinances, Supplemental Resolutions and Final Terms Certificates for the payment of the Debt Service Requirements due in connection with the Obligations, and except as otherwise permitted under the General Ordinance. The City agrees to pay or cause to be discharged or make adequate provision to satisfy and to discharge, within ninety (90) days after the same becomes payable, all lawful claims and demands for labor, materials, supplies or other objects which, if unpaid, might by law become a lien upon the System, or any part thereof, or the Income, but nothing in the General Ordinance requires the City to pay or to cause to be discharged or to make provision for any such tax, assessment, lien or charge, so long as the validity thereof is contested in good faith and by appropriate legal proceedings.

***Protection of Security***. The City agrees that neither the City, its officers, agents or employees, shall take any action in such manner or to such extent as might prejudice the security for the payment of the Obligations payable from the Net Pledged Revenues according to the terms thereof. No contract is to be entered into nor any other action taken by which the rights of any owner of any other Obligation payable from Net Pledged Revenues might be prejudicially and materially impaired or diminished.

***Accumulation of Interest Claims***. In order to prevent any accumulation of claims for interest after maturity, the City agrees not to directly or indirectly extend or assent to the extension of the time for the payment of any claim for interest on any Obligations payable from the Net Pledged Revenues; and the City agrees not to directly or indirectly be a party to or approve any arrangements for any such extension or for the purpose of keeping alive any of such claims for interest. If the time for the payment of any such installment of interest is extended in contravention of the foregoing provisions, such installment or

installments of interest after such extension or arrangement are not entitled in case of default under the General Ordinance to the benefit or the security of the General Ordinance, except upon the prior payment in full of the principal of all of the First-Lien Revenue Obligations and any such Securities the payment of which has not been extended.

***Prompt Payment of Obligations***. The City agrees to promptly pay the Debt Service Requirements and perform the other terms of every Obligation at the places, on the dates, and in the manner specified in the General Ordinance and in such Obligations.

***Use of Debt Service Account and Debt Service Reserve Account.*** Except as otherwise provided in the General Ordinance, the Debt Service Account and any Debt Service Reserve Account established in connection with any Series of First-Lien Obligations are to be used solely and only for the purpose of paying the Debt Service Requirements of Outstanding First-Lien Revenue Obligations to their respective maturities or any Redemption Date or Redemption Dates on which the City is obligated to redeem such First-Lien Revenue Obligations.

***Additional Securities***. The City agrees not to issue any First-Lien Revenue Obligations or Subordinate Revenue Obligations relating to the System and payable from the Net Pledged Revenues, without compliance with the applicable requirements with respect to the issuance of Additional First-Lien Revenue Obligations or Subordinate Revenue Obligations set forth herein or in any Series Ordinance, Supplemental Resolution or Final Terms Certificate.

***Other Liens***. At the time of issuance of any Obligations payable from the Net Pledged Revenues, there are to be no liens or encumbrances of any nature whatsoever on or against the System or any part thereof or on or against the Net Pledged Revenues, except as expressly provided by the General Ordinance or a Series Ordinance, Supplemental Resolution or Final Terms Certificate.

***Federal and State Income Tax Covenants***. The City agrees that it will, upon the issuance of any Obligations which are sold with the expectation that the interest on such obligations is excluded from gross income for federal income tax purposes or exempt from income taxation by the State, enter into appropriate covenants as to federal and State income tax matters for the benefit of all Owners of such Obligations. Nothing in the General Ordinance prevents the issuance, at the option of the City, of Obligations the interest on which is includable in gross income for federal income tax purposes or subject to State income taxation, or both.

***Disposition of Property***. Except for the use of the System and services pertaining thereto in the ordinary course of business, no part of the System is permitted under the General Ordinance to be sold, leased, mortgaged, pledged, encumbered or otherwise disposed of or otherwise alienated, except in compliance with the express provisions of the General Ordinance. For so long as any Obligations are Outstanding, the City may sell, exchange, lease or otherwise dispose of any Treatment and Distribution Assets not necessary to the generation of sufficient Net Pledged Revenues to satisfy the express requirements of the General Ordinance, provided that any proceeds of any such disposition or exchange received and not used to replace the Treatment and Distribution Assets so sold or exchanged are to be deposited in the Income Account, and any revenues derived from any such lease are to be deposited by the City as Income of the System.

Notwithstanding anything else contained in the General Ordinance, and recognizing the unique requirements applicable to water rights and water supplies in the western United States and in the State in particular, the following provisions apply to dispositions of Supply Assets: The lease or disposition of Supply Assets, and the application of proceeds of such disposition, are subject to the same general limitations as dispositions of Treatment and Distribution Assets, *except*: (1) Supply Assets or the use of

such Supply Assets may in the discretion of the City be used in implementing augmentation plans, substitute supply plans, adjudicated, statutory and administrative water rights loans and exchanges, Leases or water banking operations, or used jointly with other Persons, for the purpose of improving the efficiency or volume of raw water delivery or storage to the System, and such activities are not to be considered to result in a disposition of System property or the receipt of Income, provided that the Utilities Director certifies that such activities are reasonably expected to improve the efficiency, reliability or volume of raw water available to the System; and (2) restrictions on the City's use of Supply Assets resulting from the implementation of augmentation plans, substitute supply plans, adjudicated, statutory and administrative water rights loans and exchanges, Leases or water banking operations or joint use agreements or similar arrangements described in (1) above shall not be deemed to constitute dispositions of System property.

The expiration of a Capital Lease or Installment Purchase Agreement prior to the acquisition of title to the financed property by the City does not constitute a disposition of System property.

***Loss from Condemnation***. If any part of the System is taken by the exercise of a power of eminent domain, the amount of any award received by the City as a result of such taking is to be expended upon the Improvement of the System or to be applied to the redemption of the outstanding First-Lien Revenue Obligations, in accordance with the provisions of the General Ordinance and any Series Ordinance, Supplemental Resolution or Final Terms Certificate pertaining to the issuance of any such First-Lien Revenue Obligations (at maturity or prior thereto if such instruments authorize the prior redemption of such securities) or to be deposited in the Income Account or held as a reserve for expenditure subsequently upon such Improvements, or any combination thereof, as the Council may determine.

***Inspection of Records***. Any Owner of any Obligations payable from the Net Pledged Revenues, any duly authorized agent or agents of such Owner, or the Purchaser thereof, has the right at all reasonable times to inspect all records, accounts and data relating thereto, concerning the System or the Income, to make copies of such records, accounts and data at the Owner's or Purchaser's expense, and to inspect the System and properties comprising the System.

***Audits Required***. The City, annually following the close of each Fiscal Year, is to order an audit for the Fiscal Year of the books and accounts pertaining to the System to be made forthwith by an Independent Accountant, and order an audit report showing the receipts and disbursements for each fund or account pertaining to the System or the Income. All expenses incurred in the making of such audits and reports may be regarded and paid as an Operation and Maintenance Expense.

***Insurance and Reconstruction***. Except to the extent that the City elects to insure itself or as otherwise provided in the General Ordinance, the City agrees at all times to maintain with responsible insurers all such insurance reasonably required and obtainable within limits and at costs deemed reasonable by the City as is customarily maintained with respect to water facilities of like character in the State against loss of or damage to the System and against public and other liability to the extent at least reasonably necessary to protect the interest of the City and of each Owner of Obligations payable from the Net Pledged Revenues. If any part of the System is damaged or destroyed, the City agrees, as expeditiously as possible, to commence and diligently proceed with the repair or replacement of the damaged or destroyed property so as to restore the same to use, provided that no such repair or replacement is required if the City determines in good faith that the damaged or destroyed property was not, prior to such damage or destruction, materially contributing to the Net Pledged Revenues. The proceeds of any insurance or self-insurance appertaining to the System are to be payable to the City and (except for proceeds of use and occupancy insurance) to be applied to the necessary costs involved in such repair and replacement, and to the extent not so applied are (together with the proceeds of any such

use and occupancy insurance) to be deposited in the Income Account as Income. If the costs of such repair and replacement of the damaged or destroyed property exceed the proceeds of such property insurance available for payment of the same, moneys in the Income Account are to be used to the extent necessary for such purpose, to the extent permitted by the General Ordinance.

**Defaults and Remedies Under the General Ordinance**

***Events of Default***. Each of the following events is declared in the General Ordinance to be and to constitute an Event of Default:

(1) ***Nonpayment of Principal***. Payment of the principal of any Obligation is not made when the same becomes due and payable, either at maturity or by proceedings for prior redemption, or otherwise;

(2) ***Nonpayment of Interest***. Payment of any installment of interest on any Obligation is not made when the same becomes due and payable;

(3) ***Incapacity to Perform***. The City for any reason becomes incapable of fulfilling its obligations under the General Ordinance or any Series Ordinance, Supplemental Resolution or Final Terms Certificate;

(4) ***Nonperformance of Duties***. The City shall have failed to carry out and to perform (or in good faith to begin the performance of) all acts and things lawfully required to be carried out or to be performed by it under any contract relating to the Income or to the System or otherwise, including, without limitation, the General Ordinance, a Series Ordinance, Supplemental Resolution or Final Terms Certificate, and such failure shall continue for 60 days after receipt of notice from the Owners of 25% in aggregate principal amount of the affected Class or Series of Obligations then Outstanding; provided that if such failure cannot be cured within such 60 days and if during that period corrective action has commenced to remedy such failure and subsequently is diligently pursued by the City to the completion of such performance, an Event of Default shall not be deemed to have occurred;

(5) ***Failure to Reconstruct***. Except as permitted by the provisions of the General Ordinance concerning dispositions of System property, the City discontinues or unreasonably delays or fails to carry out with reasonable dispatch the reconstruction of any essential part of the System which is condemned, destroyed or damaged and is not promptly repaired or replaced (whether such failure to repair or replace the same is due to impracticality of such repair or replacement, or is due to a lack of moneys therefor, or any other reason);

(6) ***Appointment of Receiver***. An order or decree is entered by a court of competent jurisdiction, with the consent or acquiescence of the City, appointing a receiver or receivers for the System or for the Income and any other moneys subject to the lien to secure the payment of the affected Class or Series of Obligations, or both the System and such moneys, or if any order or decree, having been entered without the consent or acquiescence of the City, is not vacated or discharged or stayed on appeal within 60 days after entry; or

(7) ***Default of Any Provision***. The City defaults in the due and punctual performance of any other of the representations, covenants, conditions, agreements and other provisions contained in the Series Ordinances, Supplemental Resolutions or Final Terms Certificates pertaining to the affected Class or Series of Obligations or in this Ordinance on its part to be performed, and if such default continues for 60 days after written notice, specifying

such default and requiring the same to be remedied, is given to the City by the Owners of 25% in aggregate principal amount of the affected Class or Series of Obligations then Outstanding; provided that if such failure cannot be cured within such 60 days and if during that period corrective action has commenced to remedy such default and subsequently is diligently pursued to the completion of such performance, an Event of Default shall not be deemed to have occurred.

An Event of Default may occur, be existing or be waived or terminated with respect to any one or more Classes or Series of Obligations.

***Remedies for Defaults***. Upon the happening and continuance of any of the Event of Default, the Owner or Owners of not less than 25% in aggregate principal amount of the affected Class or Series of Obligations then Outstanding, including, without limitation, a trustee or trustees therefor, may proceed against the City and its agents, officers and employees to protect and to enforce the rights of any Owner of any of the affected Class or Series of Obligations under the General Ordinance by mandatory injunction or by other suit, action, or special proceedings in equity or at law, in any court of competent jurisdiction, either for the appointment of a receiver or an operating trustee with respect to any affected Class or Series of Obligations or for the specific performance of any covenant or agreement contained herein or for any proper legal or equitable remedy as such Owner or Owners may deem most effectual to protect and to enforce the rights aforesaid, or thereby to enjoin any act or thing which may be unlawful or in violation of any right of any Owner of any Obligation, or to require the City to act as if it were the trustee of an express trust, or any combination of such remedies or as otherwise may be authorized by any statute or other provision of law. All such proceedings at law or in equity are to be instituted, had and maintained for the equal benefit of all Owners of the affected Class or Series of Obligations then Outstanding. Any receiver or operating trustee appointed in any proceedings to protect the rights of such Owners under the General Ordinance may collect, receive and apply all Income arising after the appointment of such receiver or operating trustee in the same manner as the City itself might do. The consent to any such appointment is expressly granted by the City in the General Ordinance.

***Rights and Privileges Cumulative***. The failure of any Owner of any Outstanding Obligation to proceed in any manner provided in the General Ordinance does not relieve the City or any of its officers, agents or employees of any liability for failure to perform or carry out any duty, obligation or other commitment. Each right or privilege of any such Owner or trustee therefor is in addition and is cumulative to any other right or privilege, and the exercise of any right or privilege by or on behalf of any Owner is not to be deemed a waiver of any other right or privilege. Each Owner of any Obligation is entitled to all of the privileges, rights and remedies provided or permitted in the General Ordinance and as otherwise provided or permitted by law or in equity or by statute, except as provided in the General Ordinance with respect to certain express limitations on the creation of liabilities on the City's general credit, pledging of City property and the statute of limitations on claims based on Obligations, and subject to the applicable provisions concerning the Income and the proceeds of the affected Class or Series of Obligations. Nothing in the General Ordinance affects or impairs the right of any Owner of any Obligation to enforce the payment of the Debt Service Requirements due in connection with such Obligation or the obligation of the City to pay the Debt Service Requirements of such Obligation to the Owner thereof at the time and the place expressed in such Obligation.

***Duties Upon Default***. Upon the happening of any Event of Default with respect to any one or more Classes or Series of Obligations, the City, in addition, agrees to do and perform all proper acts on behalf of and for the Owners of the affected Class or Series of Outstanding Obligations to protect and to preserve the security created for the payment of the affected Class or Series of Obligations and to insure the payment of the Debt Service Requirements thereof promptly as the same become due. During any period of default, so long as any of the affected Class or Series of Obligations, as to any Debt Service Requirements, are Outstanding, except to the extent it may be unlawful to do so, all Net Pledged

Revenues are to be paid into the applicable Debt Service Account, or other account designated for payment of the Debt Service Requirements of each affected Class or Series of Obligations, on an equitable and prorated basis, and used for the purposes therein provided. If the City fails or refuses to proceed as so provided, the owner or Owners of not less than 25% in aggregate principal amount of the affected Class or Series of Obligations then Outstanding, after demand in writing, may proceed to protect and to enforce the rights of the Owners of the affected Class or Series of Obligations; and to that end any such Owners of Outstanding Obligations are to be subrogated to all rights of the City under any agreement or contract involving the Net Pledged Revenues entered into prior to the effective date of the General Ordinance or thereafter while any of the affected Class or Series of Obligations are Outstanding. Nothing in the General Ordinance requires the City to proceed if it determines in good faith and without any abuse of its discretion that if it so proceeds it is more likely than not to incur a net loss rather than a net gain or that such action is likely to affect materially and prejudicially the Owners of the affected Class or Series of Obligations.

**Amendments of General and Series Ordinances**

***Amendments of Ordinances Not Requiring Consent of Owners***. The City may, without the consent of, or notice to, the Owners of any Class or Series of Obligations, adopt such ordinances supplementing or amending the General Ordinance or any Series Ordinance, Supplemental Resolution or Final Terms Certificate (which amendments shall thereafter form a part thereof) for any one or more or all of the following purposes:

(1) To cure or correct any formal defect, ambiguity or inconsistent provision contained in the General Ordinance or any Series Ordinance, Supplemental Resolution or Final Terms Certificate;

(2) To appoint successors to the Paying Agent, Registrar or Transfer Agent;

(3) To designate a trustee for the Owners of the affected Class or Series of Obligations, to transfer custody and control of the Income to such trustee, and to provide for the rights and obligations of such trustee;

(4) To add to the covenants and agreements of the City or the limitations and restrictions on the City set forth in the General Ordinance;

(5) To pledge additional revenues, properties or collateral to the payment of the affected Class or Series of Obligations;

(6) To cause the General Ordinance or any Series Ordinance, Supplemental Resolution or Final Terms Certificate to comply with the Trust Indenture Act of 1939, as amended from time to time; or

(7) To effect any other changes to the General Ordinance which do not materially adversely affect the interests of the Owners of any Class or Series of Obligations or any other changes to any Series Ordinance, Supplemental Resolution or Final Terms Certificate which do not adversely affect the interests of the Owners of the applicable Class or Series of Obligations. With respect to the Series 2016 Bonds and all Obligations issued either simultaneously with or after the issuance of the Series 2016 Bonds, an amendment of the General Ordinance which does not result in a downward revision or withdrawal of any then outstanding ratings with respect to a Class, Series or subseries of Obligations shall be deemed not to adversely affect the interests of the Owners of such Class, Series or subseries of Obligations.

***Amendments of Ordinances Requiring Consent of Owners***. Exclusive of the amendatory ordinances referred to above which may be adopted without the consent of the Owners, the General Ordinance or any Series Ordinance, Supplemental Resolution or Final Terms Certificate may be amended or modified by ordinances or other instruments duly adopted by the City Council, without receipt by it or any additional consideration, but with the written consent of the Owners of 66% in aggregate principal amount of the affected Class or Series of Obligations then Outstanding at the time of the adoption of such amendatory ordinance, provided that no such amendatory action shall permit:

(1) ***Changing Payment***. A change in the maturity or in the terms of redemption of the principal of any Outstanding Obligation or any installment of interest thereon; or

(2) ***Reducing Return***. A reduction in the principal amount of any Obligation or the rate of interest thereon without the consent of the Owner of the Obligation; or

(3) ***Prior Lien***. The creation of a lien upon or a pledge of revenues ranking prior to the lien or the pledge created by the General Ordinance; or

(4) ***Modifying Amendment Terms***. A reduction of the principal amount or percentages of Obligations, or any modification otherwise affecting the description of Obligations, or otherwise changing the consent of the Owners of Obligations, which may be required for any amendment to the General Ordinance or to any Series Ordinance, Supplemental Resolution or Final Terms Certificate; or

(5) ***Priorities Between Obligations***. The establishment of priorities as between Obligations of the same Class issued and Outstanding under the provisions of the General Ordinance; or

(6) ***Partial Modification***. Any modifications otherwise materially and prejudicially affecting the rights or privileges of the Owners of less than all of the affected Class or Series of Obligations then Outstanding.

Whenever the Council proposes to amend or modify the General Ordinance or any Series Ordinance, Supplemental Resolution or Final Terms Certificate under the 66% consent provisions of the General Ordinance it is required to give notice of the proposed amendment by mailing such notice to the Purchaser of each affected Class or Series of Obligations, or to any successors thereof known to the Registrar, and to all Owners of the affected Class or Series of Obligations at the addresses appearing on the registration books of the City. Such notice is to briefly set forth the nature of the proposed amendment and state that a copy of the proposed amendatory ordinance or other instrument is on file in the office of the City Clerk for public inspection.

***Time for and Consent to Amendment***. Whenever at any time within one year from the date of the completion of the notice required to be given under the 66% consent provisions of the General Ordinance there is filed in the office of the City Clerk an instrument or instruments executed by the Owners of at least 66% in aggregate principal amount of the affected Class or Series of Obligations then Outstanding, which instrument or instruments refers to the proposed amendatory ordinance or other instrument described in such notice and specifically consents to and approves the adoption of such ordinance or other instrument, thereupon, but not otherwise, the Council may adopt such amendatory ordinance or instrument and such ordinance or instrument shall become effective. If the Owners of at least 66% in aggregate principal amount of the affected Class or Series of Obligations then Outstanding, at the time of the adoption of such amendatory ordinance or instrument, or the predecessors in title of such Owners, have consented to and approved the adoption thereof, no Owner of any Obligation of such

Class or Series, whether or not such Owner has consented to or revoked any consent, has any right or interest to object to the adoption of such amendatory ordinance or other instrument or to object to any of the terms or provisions therein contained or to the operation thereof or to enjoin or restrain the City from taking any action pursuant to the provisions thereof. Any consent given by the Owner of an Obligation pursuant to the provisions thereof is irrevocable for a period of six months from the date of the completion of the notice above provided for and conclusive and binding upon all future Owners of the same Obligation during such period. Such consent may be revoked at any time after six months from the completion of such notice, by the Owner who gave such consent or by a successor in title, by filing notice of such revocation with the City Clerk, but such revocation is not effective if the Owners of 66% in aggregate principal amount of the same affected Class or Series of Obligations Outstanding, prior to the attempted revocation, have consented to and approved the amendatory instrument referred to in such revocation.

***Unanimous Consent***. Notwithstanding the foregoing, the terms and the provisions of the General Ordinance or any Series Ordinance, Supplemental Resolution or Final Terms Certificate, or of any amendatory ordinance or instrument, and the rights and the obligations of the City and of the Owners of any Class or Series of Obligations may be modified or amended in any respect as to the affected Class or Series of Obligations upon the adoption by the City and upon the filing with the City Clerk of an instrument to that effect and with the consent of the Owners of all the then Outstanding Obligations of the affected Class or Series. No notice to Owners of Obligations shall be required if there is unanimous consent and under such circumstances the time of consent is not limited except as provided in the consent.

***Exclusion of Obligations***. At the time of any consent or other action taken under the General Ordinance, the Registrar is to furnish to the City Clerk a certificate, upon which the City Clerk may rely, describing all Obligations to be excluded, either because such Obligations are not Outstanding for purposes of this Ordinance or because they are not part of the Class or Series affected by such consent or other action, for the purpose of consent or other action or any calculation of Outstanding Obligations, and, with respect to such excluded Obligations, the City is not entitled or required with respect to such Obligations to give or obtain any consent or to take any other action provided for hereunder.

**Miscellaneous**

The General Ordinance also contains miscellaneous other provisions which include the following:

None of the covenants, agreements, representations, or warranties contained in the General Ordinance or in the Obligations are ever to impose or be construed as imposing any liability, obligation, or charge against the City (except for the special funds pledged therefor) or against the general credit of the City payable out of general funds or out of any funds derived from general property taxes.

The payment of the Obligations is not secured by an encumbrance, mortgage or other pledge of property of the City except for the Net Pledged Revenues and the other property, funds and accounts pledged pursuant to the General Ordinance or any Series Ordinance, Supplemental Resolution, Final Terms Certificate or other instrument adopted in connection with particular Obligations. No property of the City, subject to such exception with respect to the Net Pledged Revenues pledged for the payment of the Obligations, is liable to be forfeited or taken in payment of the Obligations.

No recourse shall be had for the payment of the Debt Service Requirements of the Obligations or for any claim based thereon or otherwise upon this Ordinance authorizing their issuance or any other ordinance or instrument pertaining thereto, against any individual member of the Council, or any officer or other agent of the City, past, present or future, either directly or indirectly through the City, or otherwise, whether by virtue of any constitution, statute or rule of law or by the enforcement of any

penalty or otherwise, all such liability, if any, being by the acceptance of the Obligations and as a part of the consideration of their issuance specially waived and released.

The General Ordinance, except to the extent expressly provided therein, is irrepealable until the Obligations, as to all Debt Service Requirements, shall be fully paid, cancelled and discharged.

## THE SERIES ORDINANCE

The Series Ordinance is adopted pursuant to the provisions of the General Ordinance summarized above, and includes the following provisions specifically relating to the Series 2016 Bonds:

### The Series 2016 Bonds

***Sale of Series 2016 Bonds; Application of Series 2016 Bond Proceeds***. The Series Ordinance directs the sale of the Series 2016 Bonds and the application of the proceeds of the Series 2016 Bonds, after deduction of underwriting discount, as follows: (a) an amount sufficient to pay the Costs of Issuance is to be deposited in the Series 2016 Costs of Issuance Account; and (b) the remaining Series 2016 Bond proceeds are to be deposited to the Series 2016 Refunding Escrow Account.

***Series 2016 Debt Service Subaccounts***. The Series Ordinance establishes the Series 2016 Debt Service Accounts, consisting of a Series 2016 Interest Subaccount, a Series 2016 Capitalized Interest Subaccount, and a Series 2016 Principal Account, to be used to account for funds of the Debt Service Account allocable to interest on or principal of the Series 2016 Bonds, respectively.

***Series 2016 Costs of Issuance Subaccount***. The portion of the proceeds of the Series 2016 Bonds reasonably required to pay Costs of Issuance is to be deposited in the Series 2016 Costs of Issuance and used, to the extent required, for the payment of Costs of Issuance of the Series 2016 Bonds, and to the extent of any excess, for any other lawful purpose.

***Series 2016 Debt Service Reserve Account***. Pursuant to the Series Ordinance, there will not be a designated debt service reserve account in connection to the Series 2016 Bonds.

***Series 2016 Excess Investment Earnings Account***. The Finance Director of the City is to transfer into and pay from the Series 2016 Excess Investment Earnings Account created within the Water Enterprise Fund the amount of required arbitrage rebate, if any, due to the federal government pursuant to Section 148(f)(2) of the Tax Code, and the applicable Treasury regulations (the "Regulations") promulgated thereunder. All amounts in the Series 2016 Excess Investment Earnings Account, including income earned from investment thereof, are to be held by the Finance Director free and clear of any lien created by the Series Ordinance, and the Finance Director is to remit the same to the federal government from time to time as provided in the Series Ordinance; provided that any amounts remaining in the Series 2016 Excess Investment Earnings Account after payment of, or in excess of, all arbitrage rebate payments reasonably expected to be due in connection with the Series 2016 Bonds are available for any lawful purpose of the Enterprise or the City.

***Series 2016 Refunding Escrow Account***. To the extent that Series 2016 Bonds are issued for a Series 2016 Refunding Project, the portion of the net proceeds of the Series 2016 Bonds allocable to the payment or redemption of outstanding obligations together with any other funds made available by the City for such purpose, are to be either immediately applied to the payment or redemption of the refunded obligations or deposited pursuant to a Refunding Escrow Agreement in an escrow account with a Trust Bank to be held pending its application for such purposes.

**Series 2016 Covenants**

In addition to the various covenants made by it in the General Ordinance or summarized under the caption "THE SERIES 2016 BONDS–Security and Flow of Funds" in this Official Statement, the City covenants to and for the benefit of the Owners of the Series 2016 Bonds as follows:

***Federal Income Tax Covenants***. The City covenants to and for the benefit of the Owners of the Series 2016 Bonds that it shall at all times do and, perform the acts and things necessary or desirable in order to assure that interest paid on the Series 2016 Bonds shall, for purposes of federal income taxation, be excluded from the gross income of the recipients thereof. The City covenants that it will not make or permit to be made any use of the original proceeds of the Series 2016 Bonds, or of any moneys treated as proceeds of the Series 2016 Bonds under the Tax Code and applicable regulations, rulings and decisions, or take, permit to be taken or fail to take any action which would adversely affect the exclusion from gross income of the interest on the Series 2016 Bonds under the Code and applicable regulations, rulings and decisions.

**Rights and Immunities**

Except as otherwise expressly provided in the Series Ordinance, nothing is intended or shall be construed to confer upon or to give to any Person, other than the City, and the Owners from time to time of the Series 2016 Bonds, any right, remedy or claim under the Series Ordinance. All the covenants, stipulations, promises and agreements contained in the Series Ordinance by and on behalf of the City are for the sole and exclusive benefit of the City, and any Owner of any of the Series 2016 Bonds.

The Series Ordinance provides that no recourse shall be had for the payment of the Debt Service Requirements of the Series 2016 Bonds or for any claim based thereon or otherwise upon the Series Ordinance authorizing their issuance or any other ordinance or instrument pertaining thereto, against any individual member of the Council, or any officer or other agent of the City, past, present or future, either directly or indirectly through the City, or otherwise, whether by virtue of any constitution, statute or rule of law or by the enforcement of any penalty or otherwise, all such liability, if any, being by the acceptance of the Series 2016 Bonds and as a part of the consideration of their issuance specially waived and released.

**Ordinance Irrepealable**

The Series Ordinance provides that it is a legislative measure of the City and that after any of the Series 2016 Bonds are issued, the Series Ordinance shall constitute an irrevocable contract between the City and the Owner or Owners of the Series 2016 Bonds; and the Series Ordinance, if any Series 2016 Bonds are in fact issued, shall be and shall remain irrepealable until the Series 2016 Bonds, as to all Debt Service Requirements, shall be fully paid, cancelled and discharged. Subject to compliance with the amendment provisions of the General Ordinance, the Series Ordinance may be amended in the same manner and subject to the same limitations to the Indenture.

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## APPENDIX D

## GENERAL INFORMATION CONCERNING THE CITY

The City's boundaries contain an area of more than 154 square miles, and are expanding generally to the northeast, east and southeast. See "Growth and Development" below. Located on the plains east of the Rocky Mountains, the City comprises the eastern portion of the Denver metropolitan area, affording its residents short (approximately 15 minute) drives to Denver International Airport as well as the area's two major employment centers (downtown Denver and the Southeast Corridor). At an average altitude of 5,435 feet, the City has a semi-arid, four-season climate (32°F average in winter; 72°F in summer).

### Elected Officials

The following persons, as of the date hereof, are members of the City Council.

| Name | Council Position | Principal Occupation | Term Expires |
|---|---|---|---|
| Steve Hogan | Mayor | Full-time Mayor | 2019 |
| Renie Peterson | Mayor Pro Tem | No Outside Employment | 2017 |
| Francoise Bergan | Council Member | Retired | 2019 |
| Marsha Berzins | Council Member | Business Owner | 2017 |
| Barbara Cleland | Council Member | Director of Community Relations and Legislative Issues | 2017 |
| Angela Lawson | Council Member | Lobbyist Program Manager, Colorado Secretary of State's Office | 2019 |
| Bob LeGare | Council Member | Commercial Property Manager | 2019 |
| Sally Mounier | Council Member | Semi-Retired | 2017 |
| Brad Pierce | Council Member | Paralegal/Business Owner | 2017 |
| Charlie Richardson | Council Member | Retired | 2019 |
| Bob Roth | Council Member | Director of Preconstruction Services | 2019 |

Pursuant to the Colorado Constitution, commencing with terms of office beginning on or after January 1, 1995, Council members are limited to two consecutive terms of office. City voters may lengthen, shorten or eliminate these term limitations. At the regular municipal election of November 1, 2005, City voters approved such a change to the term limitation. Accordingly, except for those persons holding elective office prior to November 1, 2005, Council members are now limited to three consecutive terms of office.

The position of mayor is a full time salaried position. Council members are also salaried but do not hold full time positions.

### City Management

The City Manager is responsible for providing administrative support, direction and interpretation of City Council policies to the Deputy City Managers, City departments and agencies. The City Manager, appointed by the City Council, serves at the pleasure of the Council.

***George K. "Skip" Noe***, City Manager, has been engaged in public service for over 38 years holding local government management positions in Texas and Colorado. After completing his Bachelor of Arts degree from St. Mary's University in San Antonio, Texas and a brief stint as a high school social studies teacher, Mr. Noe began his public service career as an administrative assistant in the City Council Office in San Antonio. Over the course of the next 32 years, Mr. Noe held management positions with the cities of San Antonio, Texas; Kingsville, Texas; Fort Collins, Colorado, College Station, Texas and Corpus Christi, Texas, including the city manager's position in Kingsville, College Station and Corpus Christi. Mr. Noe was selected to lead the City of Aurora after a nation-wide search. He was sworn in on December 20, 2010. As city manager, Mr. Noe is responsible for overseeing the City's $701 million budget and 3,960 full and part–time employees and managing the City's day-to-day operations under Council direction. During his career, Mr. Noe has been involved in a number of significant programs including budget management, economic development, performance measurement, application of information technology, development and implementation of significant capital improvements and public-private joint ventures. He has been recognized at the state and national levels for the creative use of technology to improve services and the implementation of innovative management techniques such as the "balanced scorecard." Mr. Noe has been involved in a number of professional organizations and groups. Mr. Noe is active in the Colorado City Management Association and the International City Management Association and was named City Manager of the Year by the Colorado organization in 2013. Recently, Mr. Noe was recognized as "2014 Man of the Year" by the Aurora Chamber of Commerce. He has also been active with the Public Technology Institute.

***Nancy Freed*** has worked for the City since November of 1993. She currently is Deputy City Manager for the Operations Group for Aurora and previously held the positions of Deputy City Manager of Community Services and Neighborhood Services Director. From 1990 to 1992, she was Executive Director of the American Leadership Forum, a national non-profit corporation dedicated to improving civic leadership. From l978 to 1990, Ms. Freed worked for the City of Lakewood, Colorado, in a number of capacities including Acting City Manager, Assistant City Manager, and Executive Director of the Housing Authority/Housing Manager for the City. She received a Bachelor's degree in Political Science from Goucher College in Towson, Maryland and a Master's degree in Public Administration from the University of Denver, Colorado.

***Michelle Wolfe*** currently serves as Deputy City Manager for the Public Safety Group for the City. She was appointed to this position in March, 2015. Previously, Ms. Wolfe held the position of Deputy City Manager for Administrative Services when she started at the City in January 2008. Prior to her appointment, Ms. Wolfe served as City Administrator for Arden Hills, Minnesota, from 2002 through 2007 and Assistant City Administrator of Cottage Grove, Minnesota, from 1996 to 2002. From 1989 through 1996 she served as Administrative Analyst, Senior Administrative Analyst, Management Analyst and Human Resources Manager for the City of Naperville, Illinois. Ms. Wolfe received a Bachelor Arts degree in Public Administration and Political Science from St. Mary's College of Minnesota and a Master of Arts degree in Public Administration from Northern Illinois University.

***Jason Batchelor*** was appointed Interim Deputy City Manager for the Development Group for the City in March, 2015 and named Deputy City Manager in September, 2015. He is responsible for Finance, Management Support, Office of Development Assistance, Neighborhood Services, and Planning and Development Services. Prior to his appointment, Mr. Batchelor served as the Finance Director of the City from 2011 to February, 2015, Budget Officer for the City from 2008 through 2011 and as Corporate Budget Manager for the City of Austin, Texas, from 2003 through 2008. Mr. Batchelor served in the United States Army as a tanker with the First Cavalry Division, stationed at Fort Hood, Texas from 1996 through 2001. Mr. Batchelor received a Master of Public Policy degree from the LBJ School of Public Affairs at the University of Texas and a Master of Science degree in Environmental and Water Resources

Engineering from the University of Texas. He received a Bachelor of Science degree from the United States Military Academy – West Point.

***Marshall Brown*** was appointed Director of Aurora Water in 2012 and has more than 20 years of experience in the water industry. Mr. Brown began in the private sector, where he gained significant technical expertise on water resource evaluation and development, feasibility studies, ground water modeling and groundwater characterization and remediation. He was previously the head of the water utility in Scottsdale, Arizona. During his time with Aurora and Scottsdale, two industry-leading utilities, Mr. Brown has had the opportunity to plan, manage and direct activities to position each organization for sustainable futures. Mr. Brown received a Bachelor of Science in Geological Engineering from Brigham Young University and a Master of Science in Geophysical and Geological Engineering from the University of Arizona.

***Jo Ann Giddings***, Deputy Director Water Financial Administration, has been employed with the City since 2005. Ms. Giddings has over 13 years of experience in government finance at the city and county levels. Her experience at the City includes working in the City Finance Department as Controller as well as the Water Department. In addition to working for the City and Arapahoe County, Ms. Giddings also worked for a public accounting firm, performing audits for governmental entities. Ms. Giddings received a Bachelor of Science in Accounting from Regis University and is licensed as a Certified Public Accountant in the State of Colorado.

***Terri Velasquez*** was appointed Interim Finance Director for the City of Aurora in March, 2015 and named Finance Director in October, 2015. She is responsible for operations of the City's Finance Department and the overall management of the City's finances. Previously, Ms. Velasquez served as the Deputy Finance Director of the City from January, 2012, through February, 2015. From 1987 through 2011 she worked for the City of Colorado Springs, Colorado in a number of capacities including Director of Finance and Administrative Services and Chief Finance Officer. Ms. Velasquez received a master's degree in Finance and a bachelor's degree in Accounting from the University of Colorado and is licensed as a Certified Public Accountant in the State of Colorado. She also holds a Certified Public Finance Officer designation from the Government Finance Officers' Association.

***Michael Shannon*** was appointed the Debt and Financing Administrator of the City in May, 2008, and was promoted to Manager of Debt, Treasury & Investments in July, 2013. Previously, he created and served six years as the Manager of the Public Finance Division for the City of Houston, Texas, primarily responsible for managing the City's existing and new debt. Prior to his time with the City of Houston, he spent 12 years with Texas Commerce Bank (which merged with Chemical Bank and later JP Morgan Chase) where he held various positions in the Corporate Banking and Structured Finance Groups. Mr. Shannon received a Bachelor of Arts degree in Politics with a minor in Urban Studies from Brandeis University in Waltham, Massachusetts, and a Master of Business Administration in Finance from Rice University in Houston, Texas. He is an Adjunct Faculty member at the University of Colorado—Denver teaching finance and economics classes at the Graduate School of Public Affairs.

***Michael J. Hyman, Esq.***, was appointed City Attorney of the City on September 22, 2014. Mr. Hyman received his B.A. in Public Affairs and Political Science from the University of Denver in 1982, and his J.D. from the University of Colorado, School of Law in 1985. He has been with the Aurora City Attorney's Office since 1986, serving from 2012 to 2014 as Deputy City Attorney for the Civil Division. As City Attorney, Mr. Hyman is responsible for supervising a staff of 27 attorneys. He is currently serving as the president of the Metro City Attorneys Association and Colorado Municipal League Attorneys Section.

***Billy Stiggers, Esq.***, was appointed Assistant City Attorney—Finance in the Civil Division of the Aurora City Attorney's Office in November, 2011. Mr. Stiggers received his B.A. in Political Science from the University of Colorado in 1996, his J.D. from the University of Denver Sturm College of Law in 2001 and his L.L.M. from the University of Denver Sturm College of Law in 2005. He has been with the Aurora City Attorney's Office since 2004, serving from 2004 to 2011 as Assistant City Attorney in the Criminal Prosecution Division. Mr. Stiggers provides counsel and advice to the City Council and City Finance Department staff in connection with public improvement and financing projects as well as drafting and reviewing City ordinances and other documents.

**Services Available to City Residents**

***Generally***. Pursuant to its Charter, the City provides the following services: police, fire protection and emergency medical services, water, sanitary sewer and storm drainage facilities and services, street construction and maintenance, parks and open space, libraries and recreation facilities and services. The City operates the second largest municipal water utility system in the metropolitan area. Most sewage from the City is treated by the Metropolitan Wastewater Reclamation District pursuant to contract. Garbage collection is provided by private contractors by arrangement with individual residents.

***Schools***. The public school system serving City residents consists of facilities operated by two school districts, Adams-Arapahoe School District 28J and Cherry Creek School District No. 5, both of which are independent political subdivisions of the State of Colorado not connected with the City government.

The following table presents a five year history of school enrollment for Adams and Arapahoe County School District No. 28J and Cherry Creek School District No. 5.

**TABLE D-I**
**School Enrollment**

| Year | Adams and Arapahoe County School District No. 28J | Cherry Creek School District No. 5 |
|---|---|---|
| 2011/2012 | 39,696 | 52,589 |
| 2012/2013 | 39,835 | 53,368 |
| 2013/2014 | 40,877 | 54,226 |
| 2014/2015 | 41,729 | 54,499 |
| 2015/2016 | 42,249 | 54,695 |

Source: Colorado Department of Education

**Employees; Unions and Labor Relations**

***Employees***. The City has a total of 3,960 full and part-time budgeted positions for 2016. As set forth in the Charter, all regular full-time and part-time City employees, except Council appointees and City Manager appointees, are subject to a Civil or Career Service system, pursuant to which positions are graded and hiring and promotion policies are based upon standardized assessments of merit.

***Unions and Labor Relations***. Approximately 35% of the City's full time employees are members of the Aurora Police Association (the "Police Association") or the International Association of Firefighters Local 1290 (the "Firefighters Association" and together with the Police Association, the "Associations"). The City has contracts with the Associations providing, among other things, for specified wage increases and containing grievance procedures allowing for appeals to the City Civil

Service Commission. The City has been holding periodic meet-and-confer discussions with the Associations for a number of years, as the current contracts are effective through December 31, 2016.

As of the date of this Official Statement, labor management relations in the City may be characterized as free of major controversy, but the City cannot predict what wage settlements or added costs, if any, may result from future discussions or the resolution of grievances.

The Colorado Supreme Court has ruled that a municipality may not agree to binding arbitration on "legislative" matters, which include wages, on the basis that the delegation of legislative power to the arbitrator violates the State Constitution. The City's procedures for resolving labor disputes involving police and fire employees are provided in its Charter. The Charter provisions governing police and fire labor disputes prohibit strikes and provide that disputes concerning wages, hours or working conditions are to be subject to collective bargaining; and that, in the event of an impasse in such bargaining, the matters in controversy may be submitted to a vote of the electors of the City.

***Employee Pension Plans.*** City employees and elected officials participate in one of nine pension plans, including six defined benefit plans and three defined contribution plans, as further described in Note 13 to the basic financial statements in Appendix B to this Official Statement. Counted among these nine plans are the City's pension trust funds: the City of Aurora General Employees' Retirement Plan ("GERP") and the City of Aurora Elected Officials' and Executive Personnel Defined Benefit Plan ("EOEP"). For executive personnel, EOEP is a supplemental plan available to the employee in addition to the Executive Retirement Plan – Money Purchase Pension Plan ("ERP") which is a defined contribution plan available to these executives. GERP was created in 1967 to provide retirement benefits to career service personnel. EOEP plans were created in 2001 to provide retirement benefits to elected officials and executive personnel. City police officers and firefighters are covered by one of the six other available retirement plans which are established and maintained exclusively for these first responders.

The City's various pension plans are evaluated in terms of net pension liability, net pension asset, deferred outflows of resources, deferred inflows of resources and pension expense. The net pension liability or asset is the difference between the total pension liability and the fiduciary net position of the plan as of the measurement date. If the fiduciary net position exceeds the total pension liability as of the measurement date, there is a net pension asset. Deferred outflows of resources and deferred inflows of resources related to pensions are the amounts that are required to be deferred and recognized in subsequent periods. These terms refer to items that are not yet recognized in the net pension liability or asset or the pension expense.

***GERP.*** GERP is a contributory single employer defined benefit pension plan that covers all full- and part-time City employees, with the exception of City police officers, City firefighters, elected officials, contingent employees and executives who have elected to participate in ERP. Under GERP, employee contributions are required as a condition of employment and are matched equally by the City. The employee contribution was at 6.50% for 2015, increasing by .25% each year up to a contribution rate of 7.00% in 2017. Benefits under GERP include retirement, death, disability and supplemental benefits. As of December 31, 2015, there were 858 retirees and others receiving benefits under GERP with 1,650 active plan members. There were 248 former employees who are "deferred vested" under the plan, meaning participants with at least five years of credited service who terminate before normal retirement age and leave their contribution accumulation with the plan, with the option to receive an early or normal retirement benefit at a later time.

GERP administrative costs are financed using contributions and earnings of the plan. Employee and employer contributions are recognized for financial reporting purposes as revenues of the plan when due. Employer contributions recognized by GERP for the year ended December 31, 2015 were

$6,135,777. As of December 31, 2015, the City reported a liability of $8,990,655 for GERP. The net pension liability was measured as of December 31, 2014.

While GERP maintained an actuarial surplus prior to the national financial crisis of 2008, investment losses in that year and changes in actuarial assumptions led the City to develop a plan to return GERP to fully funded status. Actions taken included increasing employee contributions, increasing City matching and developing a less costly tier of benefits in some plans for new employees hired after 2011. These changes are factored into budget estimates for the year 2016 and beyond.

***ERP.*** ERP is an open defined contribution money purchase plan established by ordinance. The ERP plan provides retirement benefits to executive personnel who do not choose to join GERP. Normal retirement age under ERP is 50 years of age. Members vest at 33.33% each year and are fully vested at three years. Provisions and contribution requirements under this plan are established and may be amended by City Council. As of December 31, 2015, there were 27 plan members. In the year ended December 31, 2015, plan members and the City both contributed 10.0% to the plan, for a total of $393,209 each.

***EOEP.*** EOEP is a non-contributory single employer defined benefit pension plan that covers the Mayor of the City and all elected City Council members ("elected officials"). Individuals performing services as executive employees of the City on or after January 1, 2000 are also eligible to participate in EOEP ("executive personnel") if they participate in the City's ERP. The plan relies exclusively on contributions by the City; no member contributions are accepted. Under this plan, the City is required to contribute at an actuarially determined amount. An actuarial valuation is performed every other year and the City makes its full annual required contribution to EOEP each January. Benefits under EOEP include base and supplemental retirement benefits for elected officials, a standard supplemental benefit to executive personnel who are also members of ERP, supplemental and death benefits. Currently, there are 39 retirees receiving benefits under this plan with 38 active plan members. There are 7 former employees who are deferred vested and entitled to receive benefits under EOEP at a later time.

EOEP administrative costs are financed using contributions and earnings of the plan. For the year ended December 31, 2015, the City's average contribution rate was 2.77% of annual covered payroll and employer contributions recognized by the plan were $117,756. As of December 31, 2015, the City's net pension asset under EOEP was $978,113. The net pension asset recorded by the City was measured as of December 31, 2014.

***Additional Pension Plans.*** In addition to GERP, EOEP and ERP, the City has six pension plans exclusively available to its police officers and firefighters: four defined benefit pension plans including Old Hire – Fire; Old Hire – Police; Fire Statewide Defined Benefit Pension Plan; and Fire Statewide Hybrid Pension Plan; and two defined contribution plans including the Police Money Purchase Pension Plan and the Fire Money Purchase Pension Plan. A brief overview of each plan is presented below with additional information provided in Note 13 to the basic financial statements in Appendix B to this Official Statement. The City is currently involved in contract discussions with the Aurora Police Association and the International Association of Firefighters Local 1290 (see "Unions and Labor Relations" above). These discussions, which are expected to be completed prior to the expiration of the current contracts on December 31, 2016, may include changes to the current pension plans available to these City employees.

***Old Hire Fire and Police Pension Plans***. The Old Hire Plans are closed, non-contributory agent multiple-employer defined benefit plans covering all full-time police officers or fire fighters hired before April 8, 1978 and provide normal, delayed, vested or deferred retirement benefits to plan participants. The Old Hire Plans are a part of the statewide multiple agent employer public employee retirement system and are administered by the Fire and Police Pension Association of Colorado (the "FPPA"). The

FPPA follows the Colorado Revised Statutes for plan contribution requirements and benefits. Both plans are included in the FPPA's annual separately issued audited financial statements.

***Old Hire – Fire***. As of December 31, 2015, there were 138 retirees and others receiving benefits under the plan with no active or inactive, nonretired plan members. The City is required to contribute at an actuarially determined rate. Employer contributions recognized by the plan for the year ended December 31, 2015 were $2,178,948. At December 31, 2015, the City reported a liability of $22,674,206 for the plan. The net pension liability was measured as of December 31, 2014.

***Old Hire – Police***. As of December 31, 2015, there were 148 retirees and others receiving benefits under the plan with one active member and no inactive, nonretired plan members. The City is required to contribute at an actuarially determined rate. Employer contributions recognized by the plan for the year ended December 31, 2015 were $2,612,565. At December 31, 2015, the City reported a liability of $26,834,567 for the plan. The net pension liability was measured as of December 31, 2014.

***Statewide Defined Benefit Plan – Fire New Hire Pension Plan***. The Fire Statewide Defined Benefit Plan (the "SWDB") is a cost-sharing multiple employer defined benefit pension plan administered by the FPPA. The plan provides retirement and death benefits to firefighters hired on or after April 8, 1978. In addition to the initial transfer plan implemented at that time (which initial transfer plan is now closed), an updated plan was instituted in 2011 and remains in effect for firefighters hired on or after October 1, 2011. State statute assigns authority to establish and amend benefit provisions to the FPPA. This plan is included in the FPPA's annual separately issued audited financial statements.

The City is required to contribute at a statutorily determined rate. The FPPA Board sets contribution rates at a level that enables all benefits to be fully funded at the retirement date of all members. Contribution rates for the SWDB plan are set by state statute. Employer contribution rates can only be amended by state statute while member contribution rates can be amended by state statute or election of the membership and City Council ordinance. As of December 31, 2015, 188 City firefighters were members of the transfer plan. In 2015, members of the transfer plan and the City contributed 10.5% ($1,563,755) and 10.0% ($1,491,847), respectively. In 2011, an updated plan was instituted for firefighters hired on or after October 1, 2011. As of December 31, 2015, 99 City firefighters were members of this plan. In 2015, plan members and the City contributed 8.5% ($393,172) and 8.0% ($370,574), respectively.

At December 31, 2015, the City reported an asset of $5,140,256 for its proportionate share of the net pension asset for the plan. The net pension asset was measured as of December 31, 2014. The City's portion of the net pension asset was based on the City's contributions to the SWDB plan for the calendar year 2014 relative to the total contributions of participating employers to the plan. At December 31, 2014, the City's proportion was 4.55%.

***Statewide Hybrid Plan – Fire New Hire Pension Plan***. The Statewide Hybrid Fire Pension Plan (the "SWH") is a closed cost-sharing multiple employer defined benefit pension plan administered by the FPPA. This plan contains a defined benefit component and a money purchase component. State statute assigns authority to establish and amend benefit provision to the FPPA. This plan is included in the FPPA's annual separately issued audited financial statements.

The City is required to contribute at a statutorily determined rate. The FPPA Board sets contribution rates at a level that enables all benefits to be fully funded at the retirement date of all members. Contribution rates for the SWH plan are set by each individual employer; however, the rate for both employer and members must be at least 8% of the member's base salary. As of December 31, 2015,

45 City firefighters were members of this plan. In 2015, plan members and the City contributed 10.5% ($424,084) each. The percentage split is recalculated each year.

At December 31, 2015, the City reported an asset of $3,741,511 for its proportionate share of the net pension asset for the plan. The net pension asset was measured as of December 31, 2014. The City's portion of the net pension asset was based on the City's contributions to the SWH plan for the calendar year 2014 relative to the total contributions of participating employers to the plan. At December 31, 2014, the City's proportion was 31.55%.

***Police Money Purchase Pension Plan – New Hire.*** The Police New Hire Plan is an open defined contribution money purchase plan established by agreement to provide retirement benefits for full time police hired on or after April 8, 1978. The plan is administered by a board established by the agreement. Plan provisions and contribution requirements are amended by an affirmative vote of 65% of the members as well as a City Council resolution. Normal retirement age is 55. The member is 100% vested at 5 years of service and 0% vested until that time. At December 31, 2015, there were 665 plan members. Plan members and the City are both required to contribute 10.5%. In 2015, plan members and the City each contributed $5,896,091.

***Fire Money Purchase Pension Plan***. The Fire Money Purchase Pension Plan is a closed defined contribution money purchase plan established by City ordinance to provide retirement benefits for City firefighters hired on or after April 8, 1978 and is administered by the FPPA. Plan provisions and contribution requirements are established and may be amended by City Council. Normal retirement age is 55. All members are fully vested. At December 31, 2015, there were 14 plan members. Plan members and the City are both required to contribute 10.5%. In 2015, plan members and the City each contributed $153,342.

***Governmental Accounting Standards Board Statements No. 67 and 68.*** The Governmental Accounting Standards Board ("GASB") adopted Statement No. 67, *Financial Reporting for Pension Plans – An Amendment of GASB Statement No. 25* ("GASB 67") to establish the requirements for governmental pension plan financial statement reporting for defined benefit pension plans. GASB 67 applies to pension plan financial statements included as a pension trust fund of a governmental entity. For the City's defined benefit pension plans that issue stand-alone financial statements, GASB 67 does not require that the City include the information identified in GASB 67 within the City's report as the stand-alone plan financial reports include the GASB 67 requirements. GASB 67 does apply to the City's reporting of EOEP statements of fiduciary net position, statements of changes in fiduciary net position, certain notes to the financial statements and certain required supplementary information ("RSI"), as no stand-alone financial report is issued for EOEP.

Additionally, the recently adopted GASB Statement No. 68, *Accounting and Financial Reporting for Pensions – An Amendment of GASB Statement No. 27* ("GASB 68") provides pension accounting and reporting requirements with regard to statements of net position, statements of activities, certain notes to the financial statements and certain RSI for governments that provide their employees with pension benefits that are administered through trusts and equivalent arrangements in which specific criteria are met. Under GASB 68, governments providing defined benefit pensions, including the City, are required to recognize the difference between the pension plan's net fiduciary position and the total pension liability as of the measurement date as a liability or asset. The City's required disclosures under both GASB 67 and GASB 68 are contained in the City's basic financial statements in Appendix B to this Official Statement.

***Other Postemployment Benefits.*** In addition to providing pension benefits, the City, acting in a single-employer capacity, provides medical benefits to eligible retirees and their qualifying dependents

though the City's group health insurance plan ("OPEB"). Currently, the plan covers 381 retired employees and 2,431 active employees, of which 613 are fully eligible. No stand-alone financial report is issued for OPEB and the plan is not included in the report of GERP.

To fund OPEB, retirees pay 100% of the blended premium cost of their participation for health care coverage. Since current and retired employees participate in the same group plan, the City, in effect, is providing an "implicit subsidy" for the retirees covered by the plan. The required contribution includes annual premiums based on projected pay-as-you-go financing requirements. This expense is the net expected cost of providing retiree benefits including all expected claims and related expenses offset by retiree contributions. The pay-as-you-go expense for the year ended December 31, 2015 was $1,923,775.

**Growth and Development**

***Generally***. The City's population has grown from 983 in 1920 to an estimated 351,200 in 2015. The City continues to promote growth and good planning for the purpose of encouraging a high quality of life for its current and future residents. This growth has brought significant private investment to the City, along with demand for more public services. If the development trend continues, it is expected to require expenditures by the City on services and major infrastructure necessary to support new development.

Table D-II summarizes the population growth of the City and the Denver/Aurora metropolitan area, which includes Adams, Arapahoe, Denver, Douglas and Jefferson Counties (the "Denver/Aurora Metropolitan Area").

**TABLE D-II**
**Population**

| Year | City of Aurora | Denver/Aurora Metropolitan Area | Aurora as % of Regional Population |
|---|---|---|---|
| 1970 | 74,974 | 1,116,060 | 6.7% |
| 1980 | 158,588 | 1,465,282 | 10.8 |
| 1990 | 222,103 | 1,666,883 | 13.3 |
| 2000 | 276,393 | 2,179,240 | 12.7 |
| 2010 | 325,078 | 2,543,482 | 12.8 |
| 2014 | 347,953 | 2,697,476 | 12.9 |
| 2015 | 351,200 | 2,754,258 | 12.8 |

Source: U.S. Census Bureau; City of Aurora 2015 CAFR; and U.S. Department of Housing and Urban Development

The City has received inquiries concerning potential annexations which could expand the City eastward by as much as approximately 20,000 acres of property, potentially increasing the City's population by 128,000 residents over a period of 20 to 50 years. According to a study conducted by Mark A. Nuszer Consultants (the "Annexation Study"), the expansion could cost a minimum of $15,000,000 per year to provide services to the area for the next 20 to 50 years, due to a large portion of the expansion being residential in nature. No decision has been made as to any specific annexation, and the City contemplates that it would require appropriate arrangements for the financing of infrastructure and provision of services before any such annexations would be approved.

Before any annexation or development is considered, landowners must agree to build or arrange construction of the required infrastructure. These up-front commitments routinely include the construction of water and sewer lines, roads, bridges and drainage improvements. In many new

developments, infrastructure is funded and constructed by special districts, which are local quasi-governmental units with taxing powers. The formation of special districts within the City is subject to the approval of the City. However, the City does not guarantee the financial obligations of special districts. Landowners also must dedicate to the City any groundwater rights they own, donate parcels for fire stations and schools, and preserve land for parks and open space.

***Construction Activity***. The following table sets forth building activity in the City for the period indicated.

**TABLE D III**
**Recent History of Building Permits Issued in the City**

| | Single Family | | Multi-Family | | Commercial/Industrial | |
|---|---|---|---|---|---|---|
| **Year** | **Permits** | **Value** | **Permits / Units** | **Value** | **Permits** | **Value** |
| 2011 | 495 | $129,195,111 | 3 / 247 | $19,472,482 | 38 | $ 55,973,974 |
| 2012 | 751 | 193,478,911 | 5 / 167 | 15,412,193 | 27 | 61,242,570 |
| 2013 | 830 | 204,139,498 | 53 / 980 | 74,050,557 | 36 | 83,922,280 |
| 2014 | 802 | 93,533,567 | 16 / 192 | 20,108,055 | 64 | 104,159,348 |
| 2015 | 981 | 246,990,860 | 0 / 0 | 0 | 72 | 310,550,490 |
| 2015 [1] | 115 | 28,730,310 | 0 / 0 | 0 | 4 | 29,895,579 |
| 2016 [1] | 130 | 31,800,825 | 1 | 7,000,000 | 8 | 32,867,477 |

[1] Year to date totals as of May of 2015 and 2016 are provided for comparison purposes.
Source: City of Aurora Building Division

***Residential Development***. The City's long-term strategy for residential development calls for steadily increasing quality. This strategy is being played out along the City's major growth area, the E-470 corridor that extends 20 miles from I-25 near the town of Parker to Denver International Airport. The 1998 and 2003 Aurora Comprehensive Plans highlighted this corridor with a "framework for neighborhood development" that breaks the post-war pattern expressed previously in the City and most other American cities: strip commercial development along major arterial streets that bound isolated residential neighborhoods in one-mile sections. The City's E-470 Corridor zoning regulations focus new neighborhoods around mixed-use activity centers at three scales: regional, community and neighborhood. Mixed-use development is encouraged. The successful Southlands project, a regional activity center featuring a two-story mixed-use main street, is indicative of E-470 zoning principles. Residential development, with a diversity of housing types, is well served by a full complement of urban services including an extensive park, open space and trail system. The E-470 regulations served as the template for a similar zoning approach to the City's northeast plains area that extends between the E-470 corridor and the City's eastern limits at Front Range Airport. The City has been a past recipient of the Colorado Chapter of the American Planning Association's annual award of excellence for the E-470 approach to residential and mixed-use development. A major factor favoring implementation of the E-470 approach to residential development is the fact that most of the land holdings in the corridor are relatively large. This has allowed master-planning for these extensive greenfields, facilitating translation of zoning rules and concepts into actual development plans.

***Commercial Development***. A variety of office and industrial parks are located in the City. These parks vary in location from urban to suburban and offer a wide variety of multi-tenant, single-tenant and user-owned buildings, along with vacant land ready for development. The City has a commercial leasing and development market comprising nearly 8 million square feet of office space and approximately 16 million square feet of industrial and flex space. The developers of these large master planned parks, all leading national real estate investment trusts, view this area as the logical location for the next expansion

of the region's industrial and distribution facilities. E-commerce mega company Amazon.com recently confirmed plans to operate a 452,000 square foot warehouse and sortation facility near the Denver International Airport ("DIA"), employing more than 250 people. Although the timeline for the opening of this facility remains unknown at the time of this Official Statement, hiring for the warehouse has already begun.

***Retail Development***. The Westerly Creek Village Urban Renewal Area is a recipient of an Environmental Protection Agency Brownfields Area-Wide Planning Pilot Program grant. The project being undertaken features Stapleton Aurora, a master planned residential community, and the Stanley Marketplace, a food-centric community-inspired 100,000 square foot marketplace featuring 48 local businesses. It is expected to open late 2016 in the former 22-acre Stanley Aviation campus. Outside on four acres will be the Big Wonderful – an urban flea market with food trucks, bands, and arts and crafts vendors in warm-weather months. Zagat recently named the Stanley Marketplace one of the nation's 15 most anticipated restaurant openings in 2016.

The retail trade sector employs a large portion of the county's work force and is important to the area's economy. The following table sets forth recent retail sales figures for the City and Colorado.

**TABLE D-IV**
**Retail Sales**

| Year | City of Aurora | Colorado |
|---|---|---|
| 2010 | $ 6,948,384,209 | $143,670,319,384 |
| 2011 | 7,323,570,326 | 154,697,942,972 |
| 2012 | 9,024,625,621 | 164,387,648,458 |
| 2013 | 9,983,436,286 | 171,362,038,352 |
| 2014 | 10,338,485,982 | 182,374,956,947 |
| 2015 | 9,975,615,800 | 182,845,695,387 |

Source: State of Colorado, Department of Revenue, *Sales Tax Statistics*, 2010-2015

**TABLE D V**
**Median Household Effective Buying Income**

| | 2011 | 2012 | 2013 | 2014 | 2015 |
|---|---|---|---|---|---|
| Adams County | $41,718 | $41,692 | $43,701 | $44,294 | $47,919 |
| Arapahoe County | 46,042 | 45,674 | 46,299 | 47,773 | 52,902 |
| Colorado | 43,625 | 43,515 | 43,718 | 47,469 | 49,949 |
| United States | 41,368 | 41,253 | 41,358 | 43,715 | 45,446 |

Note: Calculated as of January 1. A household consists of all the people occupying a house, an apartment, room or group of rooms regarded as a housing unit according to the 2000 Census definitions. Members of the household need not be related.
Source: The Nielsen Company, Site Reports 2011-2015
[1] Calculated as of January 1. Totals may not equal 100% due to rounding.
Source: The Nielsen Company, 2015 Site Report

**TABLE D-VI**
**Percent of Households by Effective Buying Income Groups—2015[1]**

| | Less Than $25,000 | $25,000-$49,999 | $50,000-$99,999 | $100,000-$149,999 | $150,000 and more |
|---|---|---|---|---|---|
| Adams County | 20.72% | 31.98% | 37.12% | 7.51% | 2.67% |
| Arapahoe County | 19.01 | 28.54 | 34.14 | 11.76 | 6.56 |
| Colorado | 21.53 | 28.52 | 33.30 | 10.84 | 5.80 |
| United States | 25.65 | 29.47 | 31.05 | 8.89 | 4.95 |

Note: Calculated as of January 1. A household consists of all the people occupying a house, an apartment, room or group of rooms regarded as a housing unit according to the 2000 Census definitions. Members of the household need not be related.
Source: The Nielsen Company, Site Reports 2011-2015
[1] Calculated as of January 1. Totals may not equal 100% due to rounding.
Source: The Nielsen Company, 2015 Site Report

The following table sets forth historical information with respect to the Consumer Price Index for the past five years for the Denver-Boulder-Greeley MSA, which includes Adams, Arapahoe, Boulder, Denver, Douglas, Jefferson and Weld Counties (the "Denver MSA") and the United States. Such information is not available separately for the City.

**TABLE D-VII**
**Consumer Price Index**

| | 2010 | | 2011 | | 2012 | | 2013 | | 2014 | | 2015 | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 1st Half | 2nd Half | 1st Half | 2nd Half | 1st Half | 2nd Half | 1st Half | 2nd Half | 1st Half | 2nd Half | 1st Half | 2nd Half |
| Denver MSA | 1.7% | 2.0% | 3.8% | 3.6% | 1.8% | 2.1% | 2.8% | 2.8% | 2.9% | 2.7% | 1.0% | 1.4% |
| United States | 2.1% | 1.2% | 2.8% | 3.5% | 2.3% | 1.8% | 1.5% | 1.4% | 1.7% | 1.5% | -0.3% | 0.6% |

Source: State of Colorado, Division of Local Government, Demographic Section and U.S. Department of Labor, Bureau of Labor Statistics

***Anschutz Medical Campus***. The 578-acre former Fitzsimons Army Medical Center, which closed in 1999, is now the site of the Anschutz Medical Campus, a completely new education, research and patient care facility. The campus includes facilities for training future physicians and other health professionals and an internationally renowned research complex, as well as the University of Colorado Hospital and The Children's Hospital, the primary adult and pediatric hospital partners of the University of Colorado School of Medicine, making it the largest academic health center in the Rocky Mountain Region and one of the largest in the country. A new Veteran's Administration ("VA") Medical Center is also under construction within the Anschutz Medical Campus. The total redevelopment program for Fitzsimons calls for over 18 million square feet of new construction phased over 25-30 years. Approximately 9.7 million square feet are built-out to date. Current employment at the site is over 19,000 (which is anticipated to increase at build-out), with over 41,000 jobs statewide supporting the campus. These supporting positions include teaching, patient care, basic-science research and biotechnology research and development.

While Fitzsimons is not expected to directly provide major new revenue to the City budget due to its tax exempt and incentivized development, it is a major economic engine for the City and the surrounding area. The impact on the State's economy is currently over $5.4 billion annually. As an example, the City and Corporex Colorado, LLC have recently completed and opened a hotel-conference center project, including a 242-room Hyatt hotel, a 30,000 square foot City-owned conference center and

a City-owned 506 space parking structure directly across the street from the Anschutz Medical Campus. Additionally, the Forum ~ Fitzsimons, the City's first transit-oriented mixed-use development, is currently under construction. The Forum, which is currently designed to contain 397 rental homes and 28,000 square feet of restaurant and retail space, is to be built within the Anschutz Medical Campus in close proximity to a light rail station.

***Buckley***. Another significant driver of economic activity includes the expanding Buckley Air Force Base, home to the 460th Air Base Wing and the Colorado Air National Guard. Buckley Air Force Base is an Air Force Space Command base that serves more than 92,000 active duty, National Guard, Reserve and retired personnel throughout the Front Range community, as well as maintaining air operations, space-based missile warning capabilities, space surveillance operations, space communications operations and support functions. Buckley Air Force Base provides support for a wide variety of military and satellite-related activities. An economic impact study of Buckley Air Force Base for fiscal year 2013 reported that construction, locally supplied goods and services contracts and other procurement amounted to over $152 million in annual expenditures, comprising a portion of the over $890 million estimated total annual economic impact of the base for the same period.

***Boulevard One***. Boulevard One, which is to be located in the Lowry area on the western boundary of the City, is envisioned to be an urban neighborhood with a forward-looking design focused on sustainability. It is expected to include approximately 130 single-family homes, 145 rowhomes, 100 condominiums, 420 apartments and six pocket parks, including a 5.5-acre community park. The neighborhood will also feature walk-to retail and office spaces as well as trail connections to Crestmoor Park and surrounding neighborhoods. Construction of Boulevard One is currently underway.

***Gaylord.*** The City entered into an Incentive Agreement (the "Incentive Agreement") with the Aurora Urban Renewal Authority ("AURA") and Gaylord Entertainment Company ("Gaylord") on June 20, 2011 concerning the proposed construction of a 1,500 room hotel (the "Hotel") and an approximately 400,000 square foot public conference center (the "Conference Center" and together with the Hotel, the "Gaylord Project"). Under the Incentive Agreement, the Conference Center may be financed in part by tax increment revenue bonds issued by AURA, although it is considered unlikely that the Gaylord Project will require the issuance of bonds by AURA in the foreseeable future.

Gaylord was succeeded by Rida Development Company, which broke ground on the Gaylord Project in April of 2015. Construction of the Gaylord Project is currently underway and expected to be completed by late 2018. Upon completion, the Hotel is expected to attract more than 450,000 visitors annually, producing a projected net new economic benefit of approximately $273.3 million to the State. The Gaylord Project is also expected to create approximately 10,000 jobs during its construction and more than 2,500 permanent positions upon its completion.

**Major Regional Infrastructure and Transportation Projects**

The City has benefited from several major infrastructure and transportation projects in recent years.

***Transportation, Infrastructure and Light Rail***. Major infrastructure construction activity along Aurora's I-70, I-225 and E-470 corridors during the 1990s and more recent, large-scale transportation projects, along with the City's proximity to DIA, provide the City with a strong transportation and mobility base, facilitating population growth along with residential and commercial construction activity. These infrastructure assets continue to be an important source of development and economic activity in the City as the build out in these areas resume following the post-2008 national economic downturn. As

an example, the City, along with the Colorado Department of Transportation ("CDOT") and other regional and national entities recently made wholesale improvements to the I-225/Colfax interchange and construct an additional exit/interchange off of I-225 just north of Colfax Avenue, enabling direct access into the Anschutz Medical Campus. Similarly, the Regional Transportation District's ("RTD") $7.4 billion FasTracks program will include the East Rail Line, a 22.8-mile commuter transit line known as the University of Colorado A Line (the "A Line") between Denver Union Station and DIA, and the Aurora Line, a 10.5 mile light rail line running virtually the length of I-225 with ten stops in the City, including the Peoria station junction with the East Rail Line, and connecting with existing RTD lines through Nine Mile station to the south. The A Line opened in April of 2016 and the Aurora Line is expected to begin operating at the end of 2016.

The addition of light rail stations and two City-owned parking garages prompted the need to create a new City-managed Parking and Mobility Enterprise System. The purpose of this system is to manage parking efficiently to provide a safe and positive parking environment for customers, while supporting and strengthening the transit-oriented development areas, the City's urban center and a City goal to make the City a great place to locate or expand a business. The City will manage the recently opened Hyatt Regency Aurora Conference Center's 506-space public parking garage and the 600-space Illiff Station parking garage, which is set to open later in 2016.

**Insurance**

The City enjoys a limited form of governmental immunity for specified types of claims, pursuant to a State statute which establishes dollar limits for such claims. The statutory limits generally do not apply to federal claims. The City retains insurable risk up to the amounts where it has determined that commercial insurance is more cost beneficial. The City maintains a self-insured Risk Management Fund with total assets of $14,449,155 and total liabilities of $11,432,139 as of December 31, 2015.

**Employment**

It is estimated that, in 2015, the City's total labor force averaged 180,723 and that, on average, in the same period 165,051 City residents were employed. Major employers in the City include Buckley Air Force Base (with approximately 11,000 Air Force, Marine, Navy, Department of Defense, Colorado National Guard, Army National Guard and Air Force Reserve employees); the Fitzsimons campus (with approximately 22,000 combined public, private and not for profit sector workers); the City itself, with 3,960 full and part–time employees; and two public school districts with more than 9,000 total employees. Table D-VIII below summarizes the City's major employers. Tables D-VIII and D-IX provide historical employment trends for the City as well as current unemployment data for the region and State.

**TABLE D-VIII**
**Top Ten Principal Employers—2015**

| Employer | Approximate Number of Employees | Percentage of Total City Employment |
|---|---|---|
| Buckley Air Force Base (includes military, civilian, national guard and reserve employees) | 11,000 | 6.66% |
| University of Colorado Anschutz Medical Campus | 8,140 | 4.93 |
| Aurora Public Schools | 6,090 | 3.69 |
| University of Colorado Health (UCHealth) | 5,860 | 3.55 |
| Children's Hospital Colorado | 5,740 | 3.48 |
| City of Aurora (includes contingent and seasonal workers) | 3,960 | 2.40 |
| Cherry Creek Schools (includes only those school district employees working within the City) | 3,900 | 2.36 |
| Raytheon Company | 2,360 | 1.43 |
| HealthONE: The Medical Center of Aurora | 1,690 | 1.02 |
| Kaiser Permanente | 1,680 | 1.02 |

Source: City of Aurora

**TABLE D-IX**
**Aurora Historical Employment Trends**

| Year | Aurora Labor Force | Aurora Residents Employed | Annual Change in Employment | Aurora Residents Unemployed | Unemployment Rate |
|---|---|---|---|---|---|
| 2010 | 173,689 | 155,321 | -2.9% | 18,368 | 10.6% |
| 2011 | 173,320 | 157,161 | 1.2 | 16,159 | 9.3 |
| 2012 | 175,746 | 160,475 | 2.1 | 15,271 | 8.7 |
| 2013 | 178,150 | 164,926 | 2.8 | 13,224 | 7.4 |
| 2014 | 180,817 | 170,743 | 3.5 | 10,074 | 5.6 |
| 2015 | 181,481 | 173,902 | 1.9 | 7,579 | 4.2 |

Source: City of Aurora; United States Bureau of Labor Statistics

| | Denver/Aurora Metropolitan Area | Colorado |
|---|---|---|
| Total Labor Force | 1,504,944 | 2,828,529 |
| Total Employed | 1,449,488 | 2,718,698 |
| Total Unemployed | 55,456 | 109,831 |
| Unemployment Rate | 3.7% | 3.9% |

**TABLE D-X**
**General Fund Sales and Use Tax Revenues**

| Year | Sales and Use Tax Receipts |
|---|---|
| 2011 | $146,733,948 |
| 2012 | 162,442,375 |
| 2013 | 171,932,210 |
| 2014 | 187,469,359 |
| 2015 [1] | 202,506,339 |
| 2016 [2] | 88,182,987 |

[1] Excludes revenues from marijuana sales.
[2] As of May 2016.
Source: City of Aurora

**TABLE D-XI**
**Assessed and Estimated Actual Value of Property**

| Tax Levy Year | Assessed Valuation[1] | Estimated Actual Value |
|---|---|---|
| 2011 | $2,929,117,931 | $22,127,623,674 |
| 2012 | 2,955,790,168 | 22,847,400,813 |
| 2013 | 2,962,040,450 | 22,472,968,714 |
| 2014 | 2,979,564,029 | 22,695,477,810 |
| 2015 | 3,613,945,379 | 29,529,554,729 |

[1] Assessed valuation of property used as basis for taxes actually paid in subsequent year.
Source: City of Aurora 2015 CAFR

Additional information concerning the City's historic property tax levies and collection, major property tax payers, direct and overlapping general obligation debt and mill levies of overlapping governments is set forth in the statistical section of the City's 2015 Comprehensive Annual Financial Report.

## APPENDIX E

## PROPOSED FORM OF CONTINUING DISCLOSURE UNDERTAKING

This Undertaking (the "Continuing Disclosure Undertaking" or the "Undertaking") is executed and delivered by the City of Aurora, Colorado, acting by and through its Utility Enterprise (the "City") in connection with the issuance by the City, acting by and through its Utility Enterprise, of $437,025,000 aggregate principal amount of First Lien Water Refunding Revenue Bonds, Series 2016 (the "Series 2016 Bonds"). The Series 2016 Bonds are being issued under a Water System General Revenue Bond Ordinance No. 2003-18 (the "General Ordinance") adopted by the City Council (the "Council"), a Series 2016 Water Refunding Revenue Bond Series Ordinance No. 2016-26 (the "Series Ordinance") adopted by the Council acting as such and as the governing body of its Utility Enterprise supplemented, as to certain final terms of the Series 2016 Bonds, by a Final Terms Certificate executed by the City's Director of Finance (the "Final Terms Certificate" and, collectively with the General Ordinance and the Series Ordinance, the "Bond Ordinance"). The City covenants and agrees as follows:

**Section 1. Purpose of this Undertaking**. This Undertaking is being executed and delivered by the City for the benefit of the owners, both registered and beneficial, of the Series 2016 Bonds, in consideration of the purchase of the Series 2016 Bonds by the original purchasers thereof.

**Section 2. Definitions**. The terms set forth below shall have the following meanings in this Undertaking, unless the context clearly otherwise requires.

"*Agreement*" means the obligations of the City pursuant to Sections 4, 5 and 6.

"*Annual Financial Information*" means the financial information and operating data described in Exhibit I.

"*Annual Financial Information Disclosure*" means the dissemination of disclosure concerning Annual Financial Information and the dissemination of the Audited Financial Statements as set forth in Section 4 hereof.

"*Audited Financial Statements*" means the audited consolidated financial statements of the City, prepared pursuant to the standards and as described in Exhibit I.

"*Commission*" means the Securities and Exchange Commission.

"*Dissemination Agent*" means, initially the City, or any successor agent designated as such in writing by the City and which has filed with the City a written acceptance of such designation, and such agent's successors and assigns.

"*EMMA*" means the Electronic Municipal Market Access facility for municipal securities disclosure of the MSRB.

"*Exchange Act*" means the Securities Exchange Act of 1934, as amended.

"*Material Event*" means the occurrence of any of the events with respect to the Series 2016 Bonds set forth in Exhibit II.

"*Material Events Disclosure*" means dissemination of a notice of a Material Event as set forth in Section 6.

"*MSRB*" means the Municipal Securities Rulemaking Board.

"*Participating Underwriter*" means each broker, dealer or municipal securities dealer acting as an underwriter in any primary offering of the Series 2016 Bonds.

"*Prescribed Form*" means, with regard to the filing of Annual Financial Information, Audited Financial Statements and notices of Material Events with the MSRB at *www.emma.msrb.org* (or such other address or addresses as the MSRB may from time to time specify), such electronic format, accompanied by such identifying information, as shall have been prescribed by the MSRB and which shall be in effect on the date of filing of such information.

"*Rule*" means Rule 15c2-12 adopted by the Commission under the Exchange Act, as the same may be amended from time to time.

"*State*" means the State of Colorado.

**Section 3. Final Official Statement**. The final Official Statement relating to the Series 2016 Bonds is dated July 21, 2016 (the "Final Official Statement").

**Section 4. Annual Financial Information Disclosure**. Subject to Section 9 of this Undertaking, the City hereby covenants that it will disseminate the Annual Financial Information and the Audited Financial Statements (in the form and by the dates set forth below and in Exhibit I) by the City's delivery of such Annual Financial Information and Audited Financial Statements to the MSRB within 210 days of the completion date of the City's fiscal year.

The City is required to deliver such information in Prescribed Form and by such time so that the MSRB receives the information by the dates specified.

If any part of the Annual Financial Information can no longer be generated because the operations to which it is related have been materially changed or discontinued, the City will disseminate a statement to such effect as part of its Annual Financial Information for the year in which such event first occurs.

If any amendment is made to this Undertaking, the Annual Financial Information for the year in which such amendment is made (or in any notice or supplement provided to the MSRB) shall contain a narrative description of the reasons for such amendment and its impact on the type of information being provided.

**Section 5. Material Events Disclosure**. Subject to Section 9 of this Undertaking, the City hereby covenants that it will disseminate in a timely manner, not in excess of 10 Business Days after the occurrence of the event, Material Events Disclosure to the MSRB in Prescribed Form. Notwithstanding the foregoing, notice of optional or unscheduled redemption of any Series 2016 Bonds or defeasance of any Series 2016 Bonds need not be given under this Undertaking any earlier than the notice (if any) of such redemption or defeasance is given to the owners of the Series 2016 Bonds pursuant to the Bond Ordinance.

**Section 6. Duty To Update EMMA/MSRB**. The City shall determine, in the manner it deems appropriate, whether there has occurred a change in the MSRB's e-mail address or filing procedures and requirements under EMMA each time it is required to file information with the MSRB.

**Section 7. Consequences of Failure of the City to Provide Information**. The City shall give notice in a timely manner, not in excess of 10 Business Days after the occurrence of the event, to the MSRB in Prescribed Form of any failure to provide Annual Financial Information Disclosure when the same is due hereunder.

In the event of a failure of the City to comply with any provision of this Undertaking, the owner of any Series 2016 Bond may seek specific performance by court order to cause the City to comply with its obligations under this Undertaking. A default under this Undertaking shall not be deemed an Event of Default under the Bond Ordinance or any other agreement, and the sole remedy under this Undertaking in the event of any failure of the City to comply with this Undertaking shall be an action to compel performance.

**Section 8. Amendments; Waiver**. Notwithstanding any other provision of this Undertaking, the City may amend this Undertaking, and any provision of this Undertaking may be waived, if:

(i) The amendment or waiver is made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of the City or type of business conducted;

(ii) This Undertaking, as amended, or the provision, as waived, would have complied with the requirements of the Rule at the time of the primary offering, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(iii) The amendment or waiver does not materially impair the interests of the owners of the Series 2016 Bonds, as determined either by parties unaffiliated with the City (such as the Paying Agent) or by an approving vote of the owners of the Series 2016 Bonds holding a majority of the aggregate principal amount of the Series 2016 Bonds (excluding Series 2016 Bonds held by or on behalf of the City or its affiliates) at the time of the amendment, pursuant to the terms of the Bond Ordinance; or

(iv) The amendment or waiver is otherwise permitted by the Rule.

**Section 9. Termination of Undertaking**. The Undertaking of the City shall be terminated hereunder when the City shall no longer have any legal liability under the terms of the Bond Ordinance pursuant to the terms of the Bond Ordinance for any obligation on or relating to the repayment of the Series 2016 Bonds. The City shall give notice to the MSRB in a timely manner and in Prescribed Form if this Section is applicable.

**Section 10. Dissemination Agent**. The Dissemination Agent shall transmit all information delivered to it by the City hereunder to the MSRB as provided in this Undertaking. The City may, from time to time, appoint or engage a substitute Dissemination Agent to assist it in carrying out its obligations under this Undertaking, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent.

**Section 11. Additional Information**. Nothing in this Undertaking shall be deemed to prevent the City from disseminating any other information, using the means of dissemination set forth in this Undertaking or any other means of communication, or including any other information in any Annual Financial Information Disclosure or notice of occurrence of a Material Event, in addition to that which is required by this Undertaking. If the City chooses to include any information from any document or notice of occurrence of a Material Event in addition to that which is specifically required by this Undertaking,

the City shall not have any obligation under this Undertaking to update such information or include it in any future disclosure or notice of the occurrence of a Material Event.

**Section 12. Beneficiaries**. This Undertaking has been executed in order to assist the Participating Underwriter in complying with the Rule; however, this Undertaking shall inure solely to the benefit of the City, the Dissemination Agent, if any, and the owners of the Series 2016 Bonds, and shall create no rights in any other person or entity.

**Section 13. Recordkeeping**. The City shall maintain records of all Annual Financial Information Disclosure and Material Events Disclosure, including the content of such disclosure, the names of the entities with whom such disclosure was filed and the date of filing such disclosure.

**Section 14. Assignment.** The City shall not transfer its obligations under the Bond Ordinance unless the transferee agrees to assume all obligations of the City under this Undertaking or to execute a continuing disclosure agreement under the Rule.

**Section 15. Governing Law**. This Undertaking shall be governed by the laws of the State.

Date: , 2016

CITY OF AURORA, COLORADO

By _____
Director of Finance

## EXHIBIT I

## ANNUAL FINANCIAL INFORMATION AND TIMING AND AUDITED FINANCIAL STATEMENTS

"*Annual Financial Information*" means statistical and tabular material of the type contained in the Final Official Statement pertaining to the Series 2016 Bonds under the captions "FINANCIAL INFORMATION CONCERNING THE SYSTEM—Operating History" and Tables II, III, VII, X, XII, XVII, XIX and XXI.

All or a portion of the Annual Financial Information and the Audited Financial Statements as set forth below may be included by reference to other documents which have been submitted to the MSRB or filed with the Commission, and such information need not be provided in the exact format as shown in the Final Official Statement. The City shall clearly identify each such item of information included by reference.

Annual Financial Information will be provided to the MSRB within 210 days after the last day of the City's fiscal year. Audited Financial Statements as described below should be filed at the same time as the Annual Financial Information. If Audited Financial Statements are not available when the Annual Financial Information is filed, unaudited financial statements shall be included, and Audited Financial Statements will be provided to the MSRB within 10 Business Days after availability to the City.

Audited Financial Statements will be prepared in accordance with generally accepted accounting principles in the United States as in effect from time to time.

If any change is made to the Annual Financial Information as permitted by Section 4 of the Undertaking, including for this purpose a change made to the fiscal year-end of the City, the City will disseminate a notice to the MSRB of such change in Prescribed Form as required by such Section 4.

## EXHIBIT II

## EVENTS WITH RESPECT TO THE SERIES 2016 BONDS FOR WHICH MATERIAL EVENTS DISCLOSURE IS REQUIRED

1. Principal and interest payment delinquencies

2. Nonpayment-related defaults, if material

3. Unscheduled draws on debt service reserves reflecting financial difficulties

4. Unscheduled draws on credit enhancements reflecting financial difficulties

5. Substitution of credit or liquidity providers, or their failure to perform

6. Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the security, or other material events affecting the tax status of the security

7. Modifications to rights of security holders, if material

8. Bond calls, if material, and tender offers

9. Defeasances

10. Release, substitution or sale of property securing repayment of the securities, if material

11. Rating changes

12. Bankruptcy, insolvency, receivership or similar event of the City*

13. The consummation of a merger, consolidation or acquisition involving the City or the sale of all or substantially all of the assets of the City, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material

14. Appointment of a successor or additional Paying Agent or the change of name of a Paying Agent, if material.

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* This event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the City in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the City, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the City.

## APPENDIX F

## INFORMATION RELATED TO BOOK-ENTRY-ONLY SYSTEM

*The information contained in the following paragraphs of this subsection "Book-Entry-Only System" has been extracted from a schedule prepared by Depository Trust Company ("DTC") entitled "SAMPLE OFFERING DOCUMENT LANGUAGE DESCRIBING BOOK-ENTRY ONLY ISSUANCE." The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the City and the Underwriters believe to be reliable, but neither the City, nor the Underwriters take any responsibility for the accuracy thereof. The contents of the DTC website referenced below are not incorporated in the Official Statement or in this Appendix F by such reference.*

DTC will act as securities depository for the Series 2016 Bonds. The Series 2016 Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered certificate will be issued for the Series 2016 Bonds, as set forth on the cover page hereof, in the aggregate principal amount of each maturity of the Series 2016 Bonds and deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non U.S. securities brokers and dealers, banks, trust companies, clearing corporations and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation & Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non U.S. securities brokers and dealers, banks, trust companies and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has Standard & Poor's highest rating: AAA. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchases of the Series 2016 Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Series 2016 Bonds on DTC's records. The ownership interest of each actual purchaser of each Series 2016 Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Series 2016 Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not

receive certificates representing their ownership interests in the Series 2016 Bonds, except in the event that use of the book entry-system for the Series 2016 Bonds is discontinued.

To facilitate subsequent transfers, all Series 2016 Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Series 2016 Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of Series 2016 Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Series 2016 Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants remain responsible for keeping accounts of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of the Series 2016 Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Series 2016 Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Series 2016 Bond documents. For example, Beneficial Owners of the Series 2016 Bonds may wish to ascertain that the nominee holding the Series 2016 Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices will be sent to DTC. If less than all of the Series 2016 Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Series 2016 Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the City as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Series 2016 Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Series 2016 Bonds are to be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the City or Paying Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Paying Agent or City, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other name as may be requested by an authorized representative of DTC) is the responsibility of the City or the Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

A Beneficial Owner shall give notice to elect to have its Series 2016 Bonds purchased or tendered, through its Participant, to Tender or Remarketing Agent, and shall effect delivery of such Series 2016 Bonds by causing the Direct Participant to transfer the Participant's interest in the Series 2016

Bonds, on DTC's records, to Tender or Remarketing Agent. The requirement for physical delivery of the Series 2016 Bonds in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the Series 2016 Bonds are transferred by Direct Participants on DTC's records and followed by a book-entry credit for tendered Series 2016 Bonds to Tender or Remarketing Agent's DTC account.

DTC may discontinue providing its services as securities depository with respect to the Series 2016 Bonds at any time by giving reasonable notice to the City or the Paying Agent. Under such circumstances, in the event that a successor securities depository is not obtained, Series 2016 Bond certificates are required to be printed and delivered.

The City may decide to discontinue use of the system of book entry only transfers through DTC (or a successor securities depository). In that event, bond certificates will be printed and delivered to DTC.

NEITHER THE CITY, THE TRUSTEE NOR THE UNDERWRITERS WILL HAVE ANY RESPONSIBILITY OR OBLIGATION TO DIRECT PARTICIPANTS, TO INDIRECT PARTICIPANTS, OR TO ANY BENEFICIAL OWNER WITH RESPECT TO (i) THE ACCURACY OF ANY RECORDS MAINTAINED BY DTC, ANY DIRECT PARTICIPANT, OR ANY INDIRECT PARTICIPANT; (ii) ANY NOTICE THAT IS PERMITTED OR REQUIRED TO BE GIVEN TO THE OWNERS OF THE SERIES 2016 BONDS UNDER THE INDENTURE OR THE BOND ORDINANCE; (iii) THE SELECTION BY DTC OR BY ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT OF ANY PERSON TO RECEIVE PAYMENT IN THE EVENT OF A PARTIAL REDEMPTION OF THE SERIES 2016 BONDS; (iv) THE PAYMENT BY DTC OR ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT OF ANY AMOUNT WITH RESPECT TO THE PRINCIPAL OR REDEMPTION PREMIUM, IF ANY, OR INTEREST DUE WITH RESPECT TO THE SERIES 2016 BONDS; (v) ANY CONSENT GIVEN OR OTHER ACTION TAKEN BY DTC AS THE OWNER OF SERIES 2016 BONDS; OR (vi) ANY OTHER MATTER.

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